

Whangarei District Council Meeting

Supplementary Agenda

Date: Thursday, 27 March, 2025

Time: 9:00 am

Location: Civic Centre, Te Iwitihi, 9 Rust Avenue

Elected Members: His Worship the Mayor Vince Cocurullo
Cr Gavin Benney
Cr Nicholas Connop
Cr Ken Couper
Cr Jayne Golightly
Cr Phil Halse
Cr Deborah Harding
Cr Patrick Holmes
Cr Scott McKenzie
Cr Marie Olsen
Cr Carol Peters
Cr Simon Reid
Cr Phoenix Ruka
Cr Paul Yovich

For any queries regarding this meeting please contact the Whangarei District Council on (09) 430-4200.

	Pages
6. Information Reports / Ngā Pūrongo Kōrero	
6.4 <i>2024 Rates Review</i>	3
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6.4 2024 Rates Review

Meeting: Whangarei District Council
Date of meeting: 27 March 2025
Reporting officer: Alan Adcock (General Manager – Corporate/CFO)
 Alison Puchaux (Manager – Revenue)

1 Purpose / Te Kaupapa

To consolidate the discussions of the five Rates Review Council Briefings, by bringing together the insights learnt, and direction provided.

2 Recommendations / Whakataunga

That the Council:

1. Notes the information contained in this report.
2. Notes the direction that has been provided is the basis for preparing the rates information in the 2025-26 Draft Annual Plan and Consultation Document.

3 Background / Horopaki

A review of Council's rating system was planned as part of the 2024-34 Long Term Plan process. However, the cancelled Three Water Reforms and changed direction by central government, resulting in Council prudently postponing the Rates Review until 2024.

There were five Council Briefings between August 2024 and February 2025. Topics included:

- Our current rating system
- Customers' and staff feedback on the current system
- Rating tools
- Options for general rates
- Options for targeted rates
- Rates relief and grants.

Discussion on the options available for changing how the funding of Council activities via rates provided the following direction for inclusion in Annual Plan consultation:

- Reduce the uniform annual general charge (UAGC) to \$500, compared to \$909 for the status quo.
- Increase the water supply charge and wastewater targeted rates to cover the cost of the proposed central government levies to fund their regulatory function.
- Introduce a district-wide stormwater targeted rate to fund the stormwater activity. The rates to be assessed determined by the rating unit's land value.
- Possibly introduce a contestable grant to provide some relief to farmed, business-zoned properties held for future development. The grant is proposed to be funded by an additional 1.2% general rates increase for the rural and commercial & industrial sectors.

The attached report provides information on how and why the above directions were given by the elected members.

4 Financial/budget considerations

Changes to rating policy are generally cost-neutral, as they simply change the way rates revenue is allocated across ratepayers, keeping the budgeted rates revenue the same.

In the 2024-34 Long Term Plan provision was made to introduce rating (provisionally a targeted rate) for Stormwater from 2025. If this is not done it will continue to be debt funded and this will compromise balanced budget assessments.

If all the changes outlined in this agenda are supported, there is no change to net revenue.

5 Significance and engagement / Te Hira me te Arawhiti

The decisions or matters of this Agenda do not trigger the significance criteria outlined in Council's Significance and Engagement Policy, and the public will be informed via agenda publication on the website or Council News or Facebook.

6 Attachments / Ngā Tāpiritanga

Attachment 1 – Report on 2024 Rates Review

Report on 2024 Rates Review

1. Purpose / Te Kaupapa

To consolidate the discussions of the five Rates Review Council Briefings, by bringing together the insights learnt, and direction provided.

2. Background / Horopaki

A review of Council's rating system was planned as part of the 2024-34 Long Term Plan process. However, the cancelled Three Water Reforms and changed direction by central government, resulting in Council prudently postponing the Rates Review until 2024.

There were five Council Briefings, the first in August 2024 culminating in February this year. Topics included:

- Our current rating system
- Customers' and staff feedback on the current system
- Rating tools
- Options for general rates
- Options for targeted rates
- Rates relief and grants.

Discussion on the options available for changing how the funding of Council activities via rates provided the following direction:

- Reduce the uniform annual general charge (UAGC) to \$500, compared to \$909 for the status quo.
- Increase the water supply charge and wastewater targeted rates to cover the cost of the proposed central government levies to fund their regulatory function.
- Introduce a district-wide stormwater targeted rate to fund the stormwater activity. The rates to be assessed determined by the rating unit's land value.
- Introduce a contestable grant to provide some relief to farmed, business-zoned properties held for future development. The grant is proposed to be funded by an additional 1.2% general rates increase for the rural and commercial & industrial sectors.

3. Discussion / Whakawhiti kōrero

3.1 First Principles

Rates are Council's largest, and the often seen as the most topical, revenue source. Generally, ratepayers don't understand what rates fund. Rates are a property tax and while targeted rates are charged only to those properties that directly benefit, general rates fund Council's activities that are unfunded by other sources (e.g. debt, user fees and charges, rent, grants, subsidies), and can be challenging, for ratepayers to always acknowledge their benefit. Rates contribute to keeping our Council running and ensuring our District's future.

The amount to be required from rates, follows Council decisions on spending and how the spending is funded (Revenue and Financing Policy). Rating policy, within the legislative provisions, determines the rates for each property in the district.

The goal of rating policy is to be equitable, affordable and stable for our ratepayers; while being adequate, efficient, simple, comparable to other councils and legislatively compliant.

3.2 Chronology

The chronological table below summarises how the outcomes have been achieved.

Council Briefing	Subjects Discussed	Outcomes
27 August 2024	First steps: What we do now Issues that have been raised Alternative rating tools available – Taituara Rating Knowhow	General rates options to model: Capital value and UAGC @ \$345 and \$874 50/50 Capital/Land value and UAGC @ \$345 and \$874 Stormwater targeted rate options to model using capital value: District wide Urban Areas only 80/20 Urban/other areas 90/10 Urban/other areas
2-3 October 2024	Initial modelling of options from 27 August Briefing Information on: How other councils rate General rates- additional categories for retail, industrial, utility and lifestyle properties; multi-unit accommodation, sector splits Forestry targeted rate Carbon farming Rating of Crown properties Assistance for farmed business-zoned properties	General rates options to model: Land value and UAGC @ \$345 50/50 Capital/Land value and UAGC @ \$345 and \$874 Additional categories for retail, industrial, utility and lifestyle properties Stormwater targeted rate options to model: District wide land value District wide capital value 80/20 Urban/other areas capital value Forestry targeted rate using area
6 November 2024	Modelling of options from 2-3 October Briefing Information on: General rates of other councils General rate contributions by property group Multi accommodation	General rates options to model: Land value and UAGC @ \$500 Additional category for rural residential properties Rates relief for small retail outlets Increase multi-unit accommodation differential Stormwater targeted rate options to model: District wide land value 80/20 Urban/other areas capital value

		Forestry targeted rate using area and distance from state highway
27 November 2024	Modelling of options from 5 November Briefing Information on: Assistance for farmed business-zoned properties	General rates option to model: Land value and UAGC @ \$500 Stormwater targeted rate option to model: District wide land value Forestry targeted rate using area and distance from state highway finessed
18 February 2025	Modelling of options from 27 November Briefing including impact of 2024 general revaluation Information on: Assistance for farmed business-zoned properties Water rates and wastewater rates (levies by central government)	Changes to rating for consultation: General rates : UAGC @ \$500 Add stormwater targeted rate: District wide land value Add forestry roading targeted rate: using area and distance from state highway Increased water and wastewater rates to fund levies, increased backflow preventor rates Contestable grant to assist farmed business-zoned properties
12 March Workshop	Information on: Assistance for farmed business-zoned properties	Further information requested
13 March 2025	Draft Funding Impact Statement – Rates Supporting document for 2025-26 Draft Annual Plan and options for consultation	Do not add forestry roading targeted rate Further information requested on contestable grant to assist farmed business-zoned properties

3.3 General rates

General rates fund a large part of Council's services which are delivered to the whole community. Activities wholly or partially general rates funded include transportation, parks and recreation, solid waste management, community facilities and services, planning, strategy, regulatory services, governance and support services.

The rates are currently split into two portions; a fixed amount (the Uniform Annual General Charge) and a variable amount which is based on the dollar value of each rating unit.

Council's current rating system for general rates is:

- Land value based rates - differentiated by sector: commercial & industrial, residential, miscellaneous, multi accommodation and rural.
- Uniform Annual General Charge per Separately Used and Inhabited Part of a Rating Unit (SUIP).

Proceeding with the Rates Review in the same year as a General Revaluation could have clouded outcomes. The rates modelling in 2024 was calculated using the 2021 rating valuations and 2024-25 rates revenue sought and from 2025 using the new values and

the proposed rates increase. The 2024 General Revaluation did not move the district's rating values significantly. The average changes in land values were: 9% for rural and commercial & industrial, 3% for residential, lifestyle & others.

Feedback from the community, staff and the elected members lead Council to explore:

- capital value rating – to address equity and affordability
- a mix of capital and land values (one being a targeted rate) – to address equity, affordability and stability
- low or no UAGC – to address affordability
- rating units instead of SUIP's (capital value rating only) - to address equity and affordability
- additional categories for:
 - o retail, small retail in Central Business District (CBD) – to the retail sector and improve the CBD
 - o lifestyle, rural residential - to address equity
 - o industrial - to address affordability and stability if capital values used
 - o utilities - to address affordability and stability if capital values used
- higher differential for multi accommodation – to reduce the difference between licensed and unlicensed accommodation.

3.3.1 UAGC Level

The Uniform Annual General Charge (UAGC) can be charged per rating unit or Separately Used and Inhabited Parts of a Rating Unit (SUIP). We currently charge per SUIP because each additional unit generally adds additional use of council services. For example, properties with multiple dwellings will generally have multiple connections to water and waste-water services, use more of the facilities and services provided by Council and have more vehicles using the roads than a single home.

A separately used or inhabited part is defined as:

- *any part of a property (rating unit) that is separately used or occupied, or is intended to be separately used or occupied (including any vacant unit) by any person, other than the ratepayer, having a right to use or inhabit that part by virtue of a tenancy, lease, license, or other agreement*
- *any part of a rating unit that is separately used, or occupied, or intended to be separately used or occupied (including any vacant unit) by the ratepayer.*

Examples include:

- *each separate shop or business activity on a rating unit*
- *each occupied or intended to be occupied dwelling, flat, or additional rentable unit (attached or not attached) on a rating unit*
- *individually tenanted flats, including retirement units, apartments and town houses (attached or not attached) or multiple dwellings on Māori freehold land on a rating unit.*

If we moved to capital value rating, we would not necessarily need to continue using SUIP's as the capital value more closely reflects the use of Council services than the land value. For example, two properties with the same land value are charged the same general rates whether it's vacant or has a house. If a property has two houses, it is currently charged an additional SUIP, however, by calculating the general rates using the capital value, the value of the second house is already considered, so there is no need for SUIP's.

The UAGC is a regressive rate, meaning the higher it is set, the more the rating burden shifts to lower value properties, which is arguably less affordable.

Some Elected Members have expressed a desire for the UAGC to be set as low as possible, with others wishing to keep it at close to the maximum amount. To this end, the 2024-25 rates were modelled and the UAGC at 10% (\$345) which can provide an indication of the impact of a low UAGC and our current level: 25% (\$874) of the total rates. Later the UAGC was modelled at \$500.

3.3.2 Value Based Rates - Capital or Land Value?

While most councils use capital value to calculate the value-based part of the general rates the most recent study in 2019 by the Productivity Commission on Local Government Funding and Financing evaluated the rating systems used in New Zealand and the following extract is from the report:

“Economic efficiency – allocative and productive

Taxes on **land value** – the unimproved value of the land on which a property sits (whether the property is vacant or has a building or other improvements) – are among the most efficient taxes. Landowners cannot do anything to change the unimproved value of their land or, therefore, change the amount of tax owed. For this reason, taxes on unimproved land value do not distort the economic choices of taxpayers.

Taxes on **capital value** create a disincentive at the margin to owners to invest in property improvements and put land to its highest value use (NZPC, 2017). The disincentive is because the improvements will raise capital values and increase the amount of tax payable. As shown in Chapter 3, many local authorities have shifted from land value to capital value for their rating base in recent years. This is likely to have reduced economic efficiency. However, the Commission is not aware of any empirical estimates of the size of this reduction in efficiency.

An important exception to rates on capital value reducing efficiency is when capital value is a good indicator of benefits received. For example, the capital value of a property could be a proxy for the number of people living or working in it which, in turn, could be a proxy for services such as street cleaning, drinking water or wastewater. In this situation, the decision of an owner to improve the property is

effectively a decision to use more services and, to the extent that the supply of these services is a cost to the council, it is efficient that this is signalled to the property owner and they pay more in rates.

Outside of the situation where business rates are a good proxy for benefits received from council services, rates on the capital value of business property risk greater inefficiency than rates on the capital value of residential property. If rates on the capital value of a business are simply a tax to raise revenue for the council, they risk creating productive inefficiency that is avoidable.³⁹ This adverse outcome is an important result in tax economics and tax design (Diamond & Mirrlees, 1971).

An example of rates on the capital value of businesses causing productive inefficiency is when councils apply a high differential to rates on electricity generators. Meridian Energy, for instance, told the Commission that its wind farms in Wellington were subject to the same 2.8 times commercial differential applying in the city itself, despite their rural location and the fact that they made few demands on council services (sub. 73). A commercial differential on electricity generation in rural locations likely means generators' rates are significantly out of proportion to benefits received from council services – remembering also that generators' assets typically have high capital values.

Apart from these high rates possibly distorting generators' decisions, the generators will tend to pass them on in higher electricity prices. As a result, electricity is more expensive than its true resource cost to the many hundreds of thousands of businesses that use electricity. This is likely to cause them to make decisions about electricity use that are inefficient. For example, businesses could decide not to decarbonise as much as they would do if electricity were cheaper. Meridian Energy's submission described its experience and that of other generators: Meridian and other electricity generators have high capital value assets on their land and therefore pay extraordinarily high rates, while consuming very little local government services. Rates bills are an input cost for electricity generation and ultimately capital value rates increase the cost of electricity for New Zealand consumers. (sub. 73, p. 6)

The Commission recommends that councils should levy rates for business properties only in proportion to the cost of council services that benefit those properties."

To summarise:

"Rates based on (unimproved) land values cause little or no economic distortion and therefore are a highly efficient way to raise revenue. Rates on capital value are relatively less efficient because they can disincentivise land and building development. Rates on the capital value of business property can, in addition, cause unnecessary productive inefficiency."

3.3.3 Modelling - Capital Value

The option of changing from land to capital value rating was quickly eliminated due to the large number of properties with proposed “winners and losers”, in the current economic climate. Below are samples of changes to the rates by using capital values and two levels of the UAGC (rating unit rather than SUIP).

Sector	Property	Status quo	Capital Value	
		UAGC \$821	UAGC \$874	UAGC \$345
Business	Utility	821	1,089,095	1,126,808
	Kamo Street-unimproved	8,213	3,814	3,388
	Commerce Street	14,718	12,485	12,364
	Ralph Trimmer Drive	810,250	1,866,900	1,931,946
Residential	Kohe Street	1,696	1,691	1,528
	Maunu Road - Flats	9,304	3,998	4,868
	Stace Hopper Drive - unimproved	2,188	1,567	1,348
	Hector Lang Drive	3,555	4,129	5,058
Rural	Berridge Road - unimproved	2,195	1,885	1,453
	Mangakahia Road	5,530	5,761	5,702
	Jordan Valley Road	8,552	10,522	10,920
	Lovell Road - large farm	45,880	38,857	41,978

The impacts were:

- For properties with high improvement values and relatively low land values (or none for utility properties) the modelling showed significant rates increases.
- Unimproved properties (vacant) had decreases.
- Properties with many SUIPS, mainly had large decreases depending on the difference between the land and capital values.

3.3.4 Modelling – Land and Capital Value

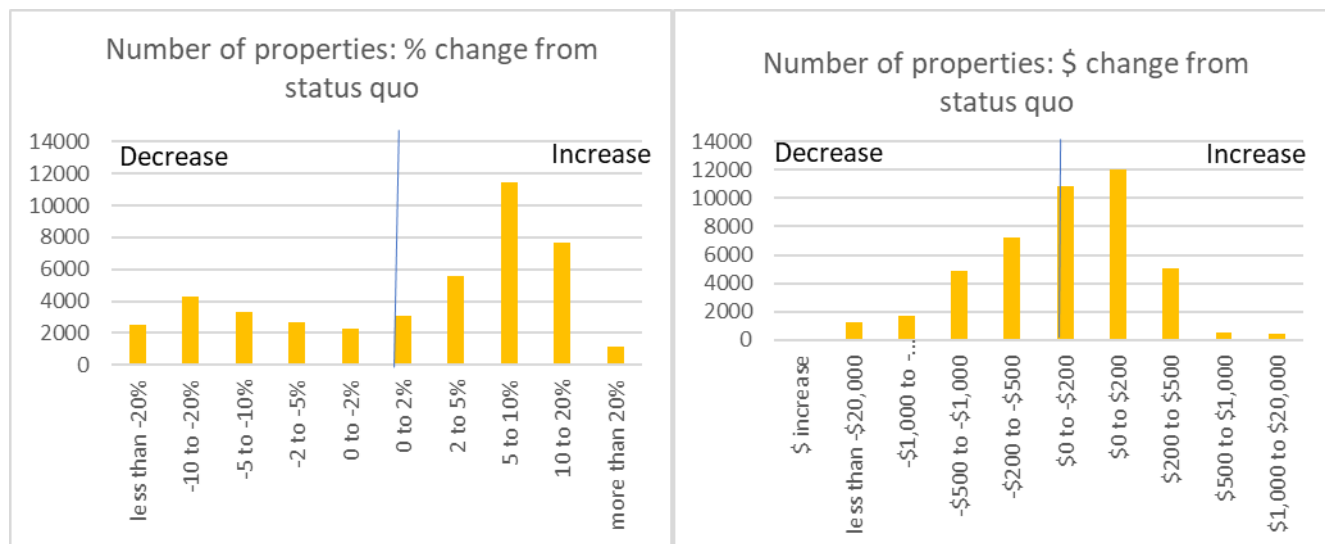
Some Elected Members suggested that the capital value rating be considered as this could be a fairer way to set rates. A 50/50 mix of capital and land values (one being a targeted rate) were investigated with a transition to 100% capital value over, say 5 years.

Options were presented with low and status quo UAGC's. Each option was modelled and considered. As capital value rating accounts for the improvements (building, dwellings etc) on a property, we modelled charging the UAGC using rating units rather than SUIP's.

The below graphs show the outcomes with a low UAGC and the status quo UAGC.

50% land value general/50% capital value targeted rates, UAGC \$874 (rating units)

Rateable properties across the district

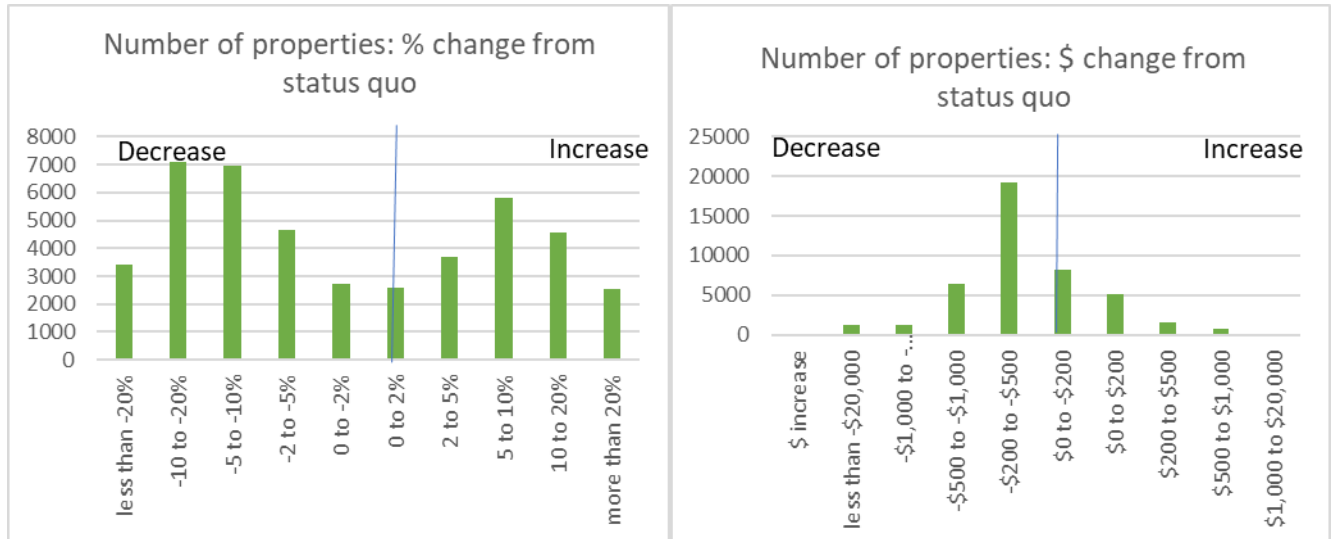


Outcomes:

- 1,261 properties with rates decreases more than \$1000 and more than 5% and 475 properties with rates increases more than \$1000 and more than 5%.
- Properties with high capital value and relatively low or zero land values saw the biggest dollar amount and percentage increases.
- Properties with low or no improvement value have the highest dollar amount and percentage decreases in rates.
- More lower value residential and lifestyle properties have rates increases higher than 5%.
- Higher dollar amount and percentage increases for multi accommodation sector.
- High dollar amount and percentage increases for utilities.
- High dollar amount and percentage increases for kiwifruit farms.
- Retirement villages see higher dollar amount and percentage decreases.
- Large number of commercial & industrial properties see dollar amount and percentage decreases (due to large share of rates for utilities).

50% land value general/50% capital value targeted rates, UAGC \$345 (rating units)

Rateable properties across the district



Outcomes:

- Less outliers with lower UAGC.
- 120 properties with rates decreases more than \$1000 and more than 5% and 779 properties with rates increases more than \$1000 and more than 5%.
- Properties with high capital value and relatively low or zero land values see the biggest dollar amount and percentage rate increases.
- Properties with low or no improvement value have the highest dollar amount and percentage decreases in rates.
- Higher value residential and lifestyle properties see more with dollar amount and percentage rates increases.
- Higher dollar amount and percentage rate increases for multi accommodation sector
- High dollar amount and percentage rate increases for utilities.
- High dollar amount and percentage rate increases for kiwifruit farms.
- More lower value residential and lifestyle properties have rates decreases or low increases.
- Retirement villages see higher dollar amount and percentage rate decreases.
- Large number of commercial & industrial properties see dollar amount and percentage rate decreases (due to large share of rates for utilities).

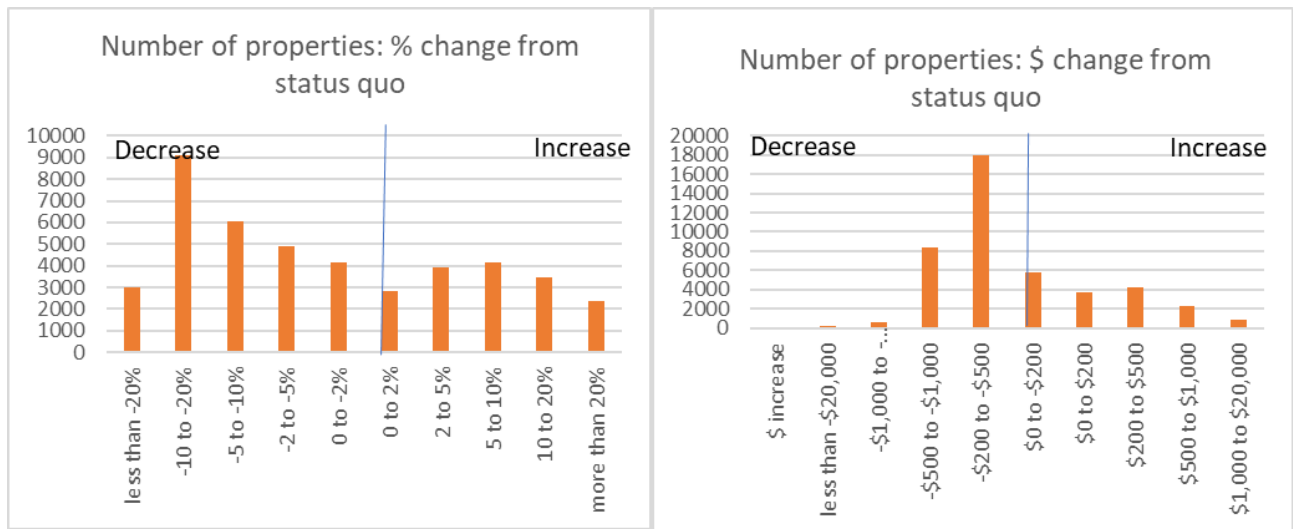
These outcomes were not desired, so finessing with additional rating categories were explored.

3.3.5 Modelling - Land value

The UAGC is a regressive tax, and lower valued properties and properties with multiple uses e.g. dwellings, businesses are rated more. The impact on the district by decreasing the UAGC from \$821 to \$345 per SUIP may address this some of the perceived inequity while retaining land value rating. The below graphs show the outcomes with a low UAGC.

Land Value UAGC \$345 (SUIPS)

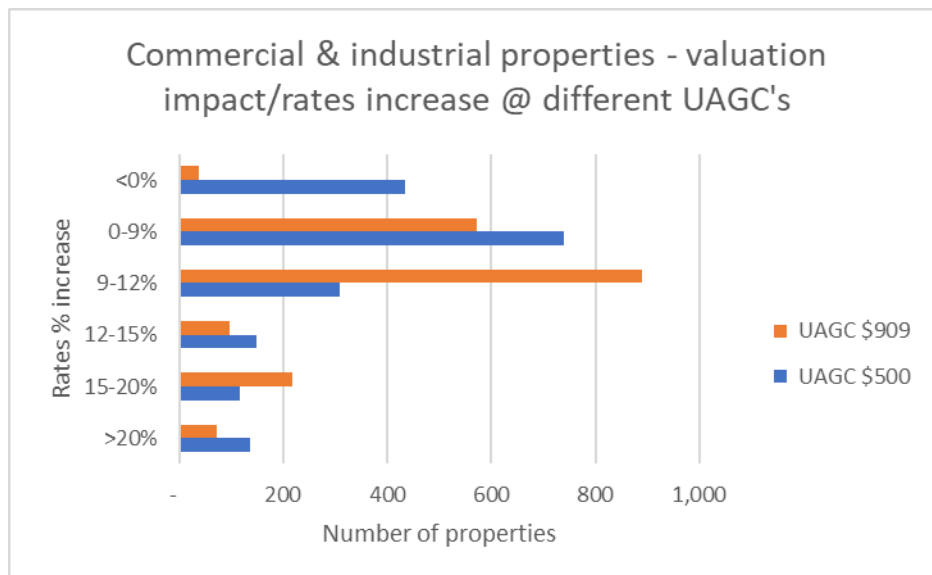
All rateable properties across the district



Summary:

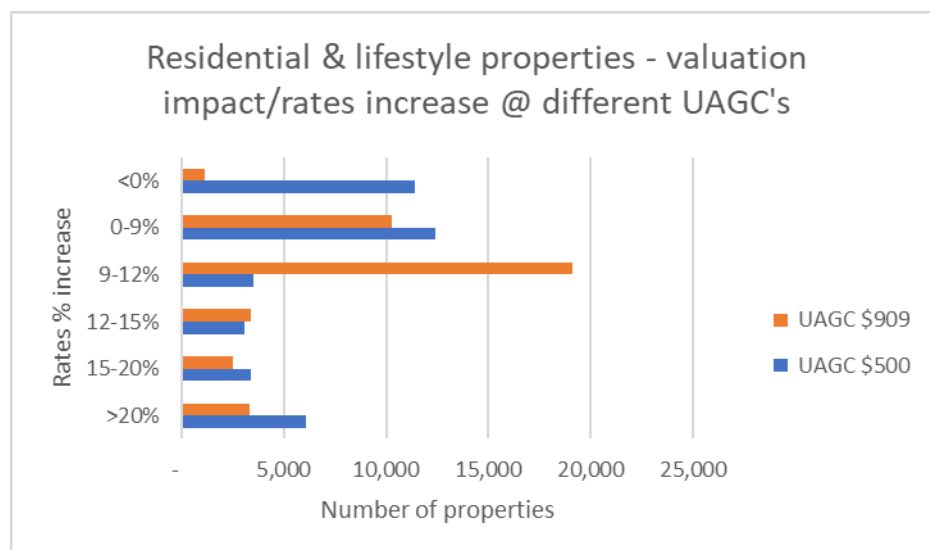
- Lower valued properties, generally have lower rates.
- Higher valued properties see the highest dollar amount and percentage rate increases.
- Retirement villages see higher dollar amount and percentage rate decreases (multiple SUIPs).
- Multi-accommodation properties have higher dollar amount and percentage rate increases.

Following discussion, the UAGC at \$500 per SUIP was modelled. Along with the impact of the 2024 General Revaluation, separated by sector, the outcome is as follows,:



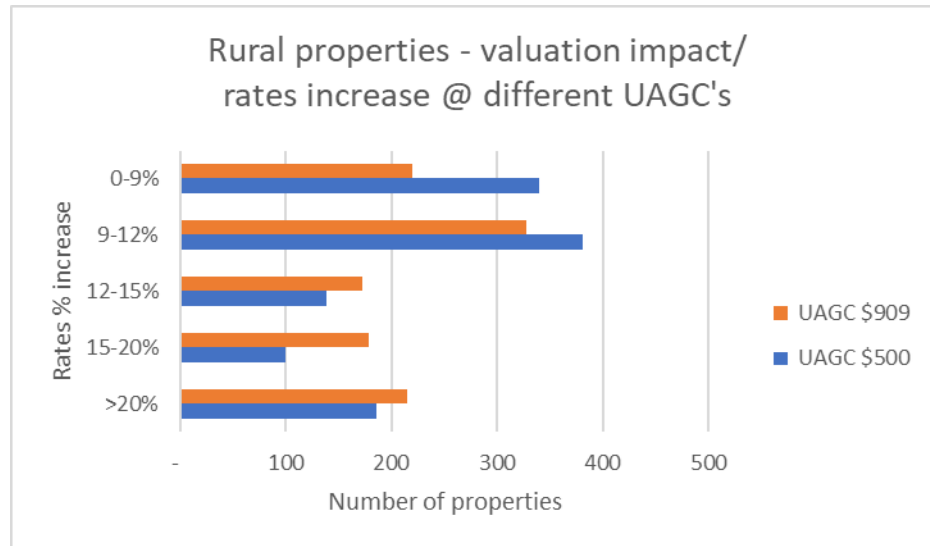
The 10.7% planned rates increase along with the change in rating values has 21% of the properties seeing rates increases 12% or more for both options.

There are 62% of the properties with rates decreases or increases less than 9% with the UAGC at \$500, and 32% at \$909.



The 10.7% planned rates increase along with the change in rating values has 31% of the properties seeing rates increases 12% or more for the UAGC at \$500, and 23% at \$909.

There are 60% of the properties with rates decreases or increases of less than 9% with the UAGC at \$500, and 29% at \$909.



The 10.7% planned rates increase along with the change in rating values has 50% of the properties seeing rates increases 12% or more for the UAGC at \$500, and 58% at \$909.

There are 42% of the properties with rates decreases or increases less than 9% with the UAGC at \$500, and 32% at \$909.

The proposed change of lowering the UAGC was widely agreed to be desirable.

3.3.6 Additional Rating Categories

Further rating categories attracting higher or lower differentials have been considered:

- Lifestyle/Rural residential – separating from the Residential sector at possibly a higher or lower rate in the dollar.

Currently 24% of the Residential sector includes private dwellings (that are not on a farm) in rural areas. The properties, which can be identified as lifestyle blocks/rural residential, could be separated to reflect the different burden or benefit they place or receive on council services.

Multiple options were modelled (land value with low UAGC, mix of capital and land value with low and higher UAGC), with rural residential properties at 90% and 110% of the other properties in the Residential sector.

The outcomes were as expected, as decreasing non-urban residential properties to 90% of the other properties in the Residential sector, saw their rates mainly decreasing and urban residential mainly increasing.

Conversely increasing rural residential properties to 110% of the other properties in the Residential sector, proposed as a disincentive to minimise urban spread, saw their rates mainly increasing and urban residential mainly decreasing.

Both options were discounted.

- Multi- unit category – revisiting the rating of the category

There are 44 properties that are multi-unit residential properties, used for commercial accommodation without a liquor license: hotels, hostels, motels,

boarding houses, hostels. They do not attract SUIP's but are rated twice Residential. In 2018, we consulted on including these properties in the Commercial & Industrial sector. The ratepayers did not agree, however there was some understanding of the inequity, and one ratepayer suggested implementing a transitional change. A way of doing this could be via a diminishing remission over say 3 years.

This group is arguably disadvantaged in terms of their rating burden compared to Book a Bach and Airbnb properties. However, councils that have adopted policies in this space have found them both controversial and extremely challenging to implement.

The multi-unit accommodation differential was modelled at 3 times the residential differential rather than the current 2 times to address inequity between accommodation with and without liquor licences.

This option was unsupported.

- Utilities – under a rating system using capital value, creating a new category with a lower differential.

Changing the differential to 50% of the Commercial & Industrial sector rate-in-the-dollar for the capital value-based rates saw those properties with zero land value have the highest increases with other see big rates decreases.

Staying the line with land value rating alleviated an additional rating category for utility properties.

- Industrial – splitting the Commercial & Industrial sector at possibly a higher rate in the dollar

41% of the Commercial & Industrial properties have been identified in the district valuation roll as Industrial. While not a significant issue while land value is used, a move to rating on capital value would be, and a few high value properties may attract a dis-proportionate share of rates.

Changing the differential to 110% of the Commercial property category rate-in-the-dollar for the value-based rates, saw almost half of the properties with large dollar and percentage increases.

Similarly, land value rating alleviated the need to separate Industrial properties from the Commercial properties.

- Retail – separating from the Commercial & Industrial sector at possibly a lower rate in the dollar or implementing a remission for small retail outlets

21% of the Commercial & Industrial properties have been identified in the district valuation roll as "retail". Other commercial categories are: wholesale, offices, carparks and services.

Changing the differential to 90% of the Commercial & Industrial sector rate-in-the-dollar for the value-based rates saw their rates mainly decreasing.

Providing partial rates relief to small retail outlets – to attract businesses to the central business district and the shopping precincts in our suburbs and rural towns. An estimated \$400,000 (10% of the retail share of the commercial and

industrial sector value-based rates), was modelled, however defining eligibility proved difficult to determine so the proposal was abandoned.

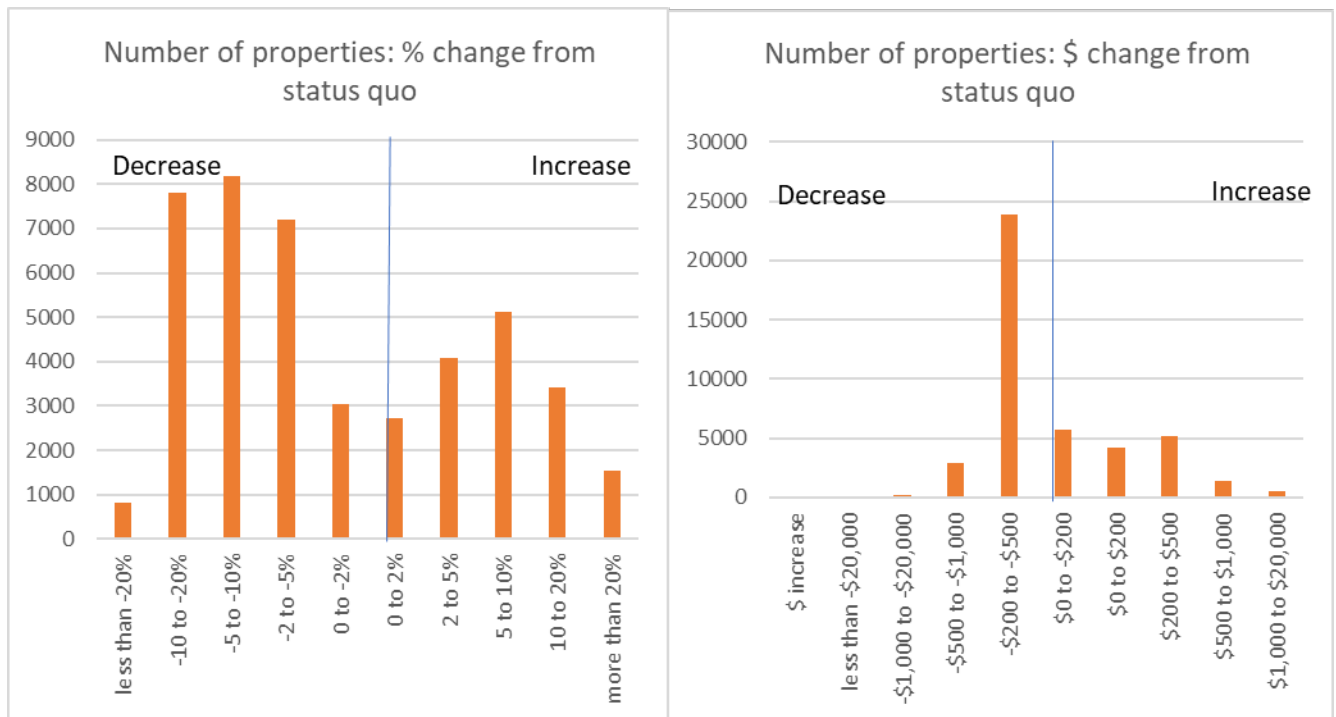
Modelling of Additional Rating Categories

Several options were discussed to improve the fairness of the distribution of the rates revenue across the district. The following rating categories were modelled:

- Introducing a rating category “rural residential” at 110% of urban residential
- Multi-unit accommodation at 3 times the urban residential
- Providing say \$400,000 remission to small shops to attract businesses to the central business district and the shopping precincts in our suburbs and rural towns.

The outcome can be seen graphically:

Land value UAGC \$500 (SUIPS) modified All rateable properties across the district



Summary:

- Urban residential properties rated less
- Properties with multiple SUIPS rated less (retirement villages)
- Multi accommodation rated significantly more
- Commercial and industrial properties rated more
- Rural residential properties rates more.

3.3.7 Sector splits

In 2012 the sector splits were determined based on the benefit from each activity for each sector. This process was completed via a number of workshops with Elected Members where each activity was analysed to determine:

- Community outcomes
- Who benefits
- When the benefits occur
- Exacerbator pays
- Overall linkages to community well-beings.

There are three broad categories of rates allocations:

- Those activities that are available to every property in the District, allocated to every Separately Used or Inhabited part (SUIP) and are to be shared on a uniform basis which should form the Universal Annual General Charge (UAGC). An example is Libraries, which everyone has access to whether they choose to use it or not.
- Those activities that should be allocated to each property on a relative basis according to property value within each sector i.e. general rates on land value. An example is Civil Defence.
- Those activities where the allocation should be weighted differently to others because of its unique characteristics, but direct beneficiaries cannot be identified (meaning a targeted rate is inappropriate). Bespoke allocations are made to each sector, with this then apportioned as general rates on land value. An example is Footpaths, where the Rural sector is allocated just 1% of the total cost as virtually all footpaths service Residential or Commercial properties.

This analysis has been revisited by Elected Members on several occasions; with a position reached each time that there had been no significant changes and they were still appropriate to use in determining the sector splits for rating, after adjusting for movement attributable to relative growth in property numbers across each sector.

The funding required for the 2024-34 LTP along with the changes to the district due to growth on the same basis showed that the sector splits should (theoretically) be:

Sector	Percentage
Residential, Lifestyle & Other	66.1%
Commercial & Industrial	23.4%
Rural	10.5%

The sector splits in the 2024-25 Annual Plan (with differences to the above noted) are:

Sector	Percentage	Difference
Residential, Lifestyle & Other	67.5%	(+ 1.4%)
Commercial & Industrial	23.9%	(+ 0.5%)
Rural	8.6%	(- 1.9%)

At face value, this indicated Residential and Commercial & Industrial sectors are allocated too much of the general rates funding, with the Rural sector benefitting by an offsetting amount. However, it must be stressed that this is a very high-level analysis based on decisions made some time ago and this is not necessarily a valid conclusion. Further the model is extremely sensitive to the allocation of Transportation costs, and small changes here can skew the results significantly.

For general rates, direction was given:

- **Continue with land value rating**
- **No change to the sector splits**
- **No change to rating categories**
- **Lower the UAGC to \$500 rather than status quo at \$909.**

3.4 Targeted rates

Council's current rating system for targeted rates is:

- Wastewater - differentiated residential (per SUIP) and non-residential (per pan)
- Water - mainly per cubic meter consumed and supply charge
- Hikurangi Swamp – differentiated by area of benefit: hectares
- Seal extensions – per rating unit.

Feedback from the community, staff and the elected members lead Council to explore targeted rates:

- Adding a Stormwater targeted rate - debt funded in 2024-25, a targeted rate to fund this activity was included in the 2024-34 Long Term Plan.
- Adding a Forestry Roding targeted rate– to partially fund the maintenance of roads damaged by logging trucks.
- Increasing the water and wastewater targeted rates to cover the costs of the central government levies to fund their regulatory function.

3.4.1 Stormwater targeted rate

In adopting the 2024-34 LTP it was decided to debt fund the stormwater activity in 2024-25 and start funding the activity likely via a targeted rate calculated using a property's capital value from 2025-26.

To recap, the stormwater activity has been previously funded by general rates. As part of the Affordable Waters reform, the then legislation provided for stormwater being funded by rating the properties in the areas of benefit based on their capital value.

Why a targeted rate?

The Local Water Done Well reform requires Council to ring-fence the three-waters activities whatever the legal structure. Therefore, a targeted rate, as the water and waste-water activities' funding practice, is the most appropriate funding mechanism.

Who pays? Who benefits?

As general rates are district-wide, the stormwater activity has been funded by all ratepayers. Should it continue to be funded by all the district, just those properties that directly benefit or should the whole district contribute differentiated by the level benefit received?

Scenarios modelled:

- District-wide universal rate on capital value
- 80% of funding from urban areas, 20% from other areas rate on capital value
- 60% of funding from urban areas, 40% from other areas rate on capital value
- Status quo, District-wide universal rate on land value
- District-wide universal rate per separately used or inhabited parts of a rating unit.

Local Government (Water Services) Bill

The Local Government (Water Services) Bill (the Bill) was introduced on 10 December 2024 and the proposed provisions needed consideration. If Council establishes a water organisation (such as a CCO) the Bill does not permit any rating valuations (capital, land or annual) to be used as a basis for charging for the 3 waters services. The basis for charges can be fixed, variable or according to water usage. However, there is a 5-year grace period to allow transition away from value-based rating if that is already in place. While this provision has been included to encourage all councils to install water meters, it will also influence the way stormwater charges are levied.

However, if Council does not establish a water organisation, the basis for rating stormwater refers to the Local Government (Rating) Act 2002. This does permit rating valuations to be used. At the Briefing on 27 November 2024 it was generally agreed that there is a district wide benefit from the activity, and it was also suggested a property's land value is the best basis to calculate the rate. As no decision on whether to establish a water organisation has been made yet, we have modelled this option.

When consulting with the public, at least two options are required so a standard rate per separately used or inhabited parts of a rating unit has been calculated. This would somewhat meet the Bill's requirements although not all properties may be subject to the charge under a CCO model (given some rural properties may not be within 100 metres of the stormwater network or within the geographic zone of the service area).

Options to be consulted on:

Options	Rate
District-wide universal rate on land value	\$0.0003678, average \$179
District-wide universal rate per separately used or inhabited parts of a rating unit	\$172

Note: The average is higher for the first option because there are fewer rating units than SUIP's.

3.4.2 Water Rates

New Levy to be introduced

Central Government is proposing to levy councils to fund the three waters regulatory function. The levies are proposed to be set at: \$4.14 (Taumata Arowai) and \$1.30 (ComCom) per person, per year, living in our district. The cost to Council could be some \$526,000 for 2025-26. The water activity share would be \$363,000. It is proposed to fund this via the water supply rate. The water supply rate is \$40 per connection in 2024-25, the current year. Including the additional levy funding it is proposed to increase the supply charge to **\$57** per connection rather than \$42 as per the 2024-34 Long Term Plan.

Backflow Preventers

One of Council's barriers to water contamination is backflow preventors. Generally domestic/ordinary use connections will have a non-testable dual check device and commercial/extraordinary use customers will require a testable backflow prevention device at the point of supply.

The testable back flow preventor costs have increased more than the rates increases. There are some 1,370 properties with testable back flow preventors. The revenue sought in 2024-25 was \$129,000. However, revenue of \$226,000 is now needed to cover the increased cost.

The proposed rates for 2025-26 and what the rates would be if only increased as per the 2024-34 Long Term Plan are:

Backflow preventer charge	2024-25 rates	2025-26 rates	
		@ 5.7%	Proposed
15/20mm connection	94.22	99.59	137.00
25mm connection	95.5	100.94	139.00
32mm connection	112.98	119.42	151.00
40mm connection	115.63	122.22	154.00
50/60mm connection	119.96	126.80	170.00
80/100mm connection	302.13	319.35	370.00
150mm connection	353.69	373.85	430.00
200/250mm connection	585.79	619.18	857.00

3.4.3 Wastewater Targeted Rate

As noted above, a new levy is being introduced to cover regulation of the three waters. The Wastewater share of this levy is \$147,000.

It is proposed that the targeted rates are increased to cover this additional cost. This would add an additional \$8 for each residential connection and \$5 per pan for Non-Residential connections.

3.4.4 Forestry Roding targeted rate

There are about 109 properties in the district that are used for forestry, owned by companies, individuals, trusts, Council, and the regional council. These properties are

identified in the district valuation roll with a Property Category “FE”, Forestry Exotic. The forests are located throughout the district.

What to fund?

The Transportation team have advised there are challenges in estimating the extra costs. While we count traffic volume on some roads we estimate for others and we don't differentiate truck numbers by load type (logs, milk, stock etc.). A significant portion of the logging harvest comes from forests outside the boundaries of the Whangarei District. All trucks using Council's roading network also pay a road user charge based on the weight of the truck load and the distance travelled. That charge is returned to Council via the Waka Kotahi subsidy that funds Council's roading programme.

At this point \$500,000 is being used as an indicative amount and is purely notional to illustrate how this rate could work. The Roding team have been asked to identify the additional funding required annually to remediate the abnormal damage caused by logging operations. However, If Roding cannot supply evidence supporting the incremental cost of this work it is recommended that this targeted rate is not introduced.

How to rate?

Different factors for rating are used by other councils but the fairest is the property area. However, the distance from a state highway is another factor that may be able to be considered when calculating the rates. In addition to the forest's area, the distance from the state highway has been modelled, multiplying both factors.

There are 8 properties covering 4,228 hectares located on a state highway that would not be rated once the distance from the state highway is a factor for calculating the rates liability.

It has been suggested that using the distance, along with the property area from a state highway may not be allowed under legislation. In addition to a property's area, the Local Government (Rating) Act 2002 Schedule 3(8) permits *“The extent of provision of any service to the rating unit by the local authority, including any limits or conditions that apply to the provision of the service.”*

There may be difficulties using the provisions of the Local Government (Rating) Act 2002 to attempt to use roading distance from a state highway to differentiate rates payable. While a road is technically a service provided by council, using road length for the purpose of collecting differentiated rates has never been tested before the Courts. It is expected that some ratepayers would dispute distances used and/or the use of road length as a basis for rate differentiation.

To keep the ratepayers informed, we recommended sending correspondence to the ratepayers impacted, noting for the two options: the proposed rates and the basis (area and distance to the closest state highway).

The options considered were:

Options	Rate
Rating unit with property category FE hectares multiplied by distance	\$1.4857 per hectares multiplied by distance
Rating unit with property category FE hectares	\$12.37

Following further discussion, it was considered prudent to delay introducing a forestry roading targeted rate at present and seek funding from central government.

3.5 Assistance, Rates Relief and other subjects

The elected members also requested information about the rating of Crown land, carbon farmed properties and assistance for farmed business-zone properties.

3.5.1 Crown owned properties

For the most part, crown-owned properties are rated. However, schedule 1 of the Local Government (Rating) Act 2002 provides for specific land to be non-rateable.

There are around 1,861 crown-owned properties (1 July 2024) in the district. Rates are payable on 86% of these, totaling \$4,590,000 for 2024-25. The Crown accounts for 4% of the total land rates revenue.

If the 256 non-rateable properties (1 July 2024) were rated in 2024-25, the general rates revenue impact would be roughly \$600,000 extra.

3.5.2 Carbon farming

Any land use for which landowners capture economic benefit from carbon sequestration is carbon farming. Carbon sequestration is the natural process by which growing plants remove carbon dioxide from the atmosphere and store it in their tissues.

Carbon farming is overseen by the Ministry for Primary Industries, although we do not currently have a reliable and sustainable source to track whether a forest has joined the Emissions Trading Scheme (ETS).

Should carbon farms be rated differently from other rural uses? It could be argued that permanent forestry (no felling within 50 years) should be minimally rated given the low use of Council services. This could be managed via a remission policy with an application including ETS registration details.

If the intention is to discourage the re-purposing of productive grazing land to carbon farming, rating policy was agreed not be the best tool to use.

3.5.3 Zoning and land use – Land Banking and/or Future Development

There are some business zoned properties in the district that are being farmed until they are developed further or sub-divided. Up to 1 July 2021 rating policy determined that the rating differential for (land) value-based general rates was rural, for that part that was farmed.

As part of the 2021-31 Long Term Plan process, we reviewed our rating policy and made some changes. All business zoned properties used for farming purposes were rated using the Commercial & Industrial differential for the value-based general rates from 1 July 2021.

Council made these rating policy changes to facilitate orderly growth in our district, in a way that meets the best needs of all our ratepayers. For many years previously, our policies effectively allowed a “rates concession” by rating land zoned for business purposes as rural land until it was developed. This was effectively paid for by all other Commercial & Industrial ratepayers. However, Council made a considered choice to change its policy to set rates based on the underlying zoning to encourage people to use

and/or develop the land for its intended purpose and discourage land banking in prime sites.

Since 1 July 2021 the properties have been rated using the Commercial and Industrial rating differential, which is significantly higher than the Rural rating differential, with a subsequent increase in rates. However, this situation was further compounded by significant movements in property values in the Marsden Point area as identified in the 2021 general revaluation. This had considerable impact on some properties, as the land value movement was considerably higher than in other areas in the district. Some ratepayers saw their general rates increase by as much as 163%-563%.

A group of the property owners most financially impacted contacted Council to revisit the change the rating policy as they consider it inequitable and unaffordable. They also do not believe the current council services available could meet infrastructure requirements if the land was used for other, than rural purposes, so being rated for them is unfair. Energy companies appear to be the major driver for development in this area currently, indicating that they wish to install solar energy plant/farms if the sites are made available. The current owners have asked whether that is the best use for our district's economic growth, because will it create the same employment opportunities that their business may generate in future decades? However, they claim that our rating policy encourages them to sell the properties rather than develop them.

Also, ratepayers have raised the issue that the uncertainty to connect to Council's wastewater system may delay development and business opportunities for some time. Current rating policy does not consider this type of issue.

Options considered were:

- Remit rates on properties that are used for rural purposes as if rated rurally. The same value of rates would need to be funded elsewhere.
- Postpone rates, requiring repayment when property's use is changed use (part or fully). Postponed rates are written off after 6 years so in the year the property's use is changed the last 6 years rates would be repaid. The same value of rates would need to be funded elsewhere, however could be partially offset at some unknown level and date depending on development.
- Offer business development grants outside the rating system, which recipients could use to offset this rate. This would avoid making bespoke policy changes, which often have unintended consequences and can lead to 'gaming' of the system. A grant (which would still have to be funded from rates on some basis) could be offered with specific and unique conditions and milestones and would give Council more certainty that proposed developments occur.

The preferred option was a contestable business development grant. The District Development team have been exploring this option.

7.4 2025-26 Fees and Charges

Meeting: Whangarei District Council
Date of meeting: 27 March 2025
Reporting officer: Delyse Henwood (Finance Manager)

1 Purpose / Te Kaupapa

To consider and adopt fees and charges for the 2025-26 financial year prior to consultation (where applicable).

2 Recommendations / Whakataunga

That Whangarei District Council:

- a) Adopt the Statement of Proposal for 2025-26 fees and charges listed in Table A below which are subject to the Special Consultative Procedure process under the Local Government Act 2002
- b) Resolve to seek public submissions on these fees and charges in accordance with the Special Consultative Procedure.

Table A: 2025-26 Fees and charges subject to the Special Consultative Procedure

	Refer Statement of Proposal
Bylaw Enforcement	Page 7 - 8
Drainage (Waste Water and Trade Waste)	Page 3 - 6
Food Premises	Page 9 - 13
Gambling and Racing Act	Page 13
Health Act Registered Premises	Page 13 - 15
Public Places Bylaw	Page 15
Resource Management Act Council Professional Fees Monitoring and Land Use District Plan/Private Plan Changes Abatement notices	Page 16 - 28
Rubbish Disposal	Page 28 - 31
Water Supply	Page 32 - 34

- c) Adopt the 2025-26 fees and charges which are not subject to the Special Consultative Procedure listed in Table B below

Table B: 2025-26 Fees and charges not subject to the Special Consultative Procedure

	Refer Attachment Proposed Fees and Charges
Animals: Dogs, Stock Control	Page 5 - 8
Building Control	Page 9 - 19
Cameron Street Mall Permits	Page 21
Cemetery	Page 22 - 24
Forum North Venue Hire	Page 39 - 42
Laboratory	Page 46 - 48
Library	Page 49 - 53
Land Information Memorandum (LIM)	Page 54
Official Information	Page 56
Parks and Reserves (excluding Playing field rentals)	Page 57 - 61
Photocopying	Page 63
Searches	Page 74
Swimming Pool Fencing Inspections	Page 75
Transport	Page 76

- d) Adopts the 2025-26 Playing field rental fees and charges included on pages 57 - 58 of the Proposed Fees and Charges (Attachment 1), which are not subject to the Special Consultation Procedure.

OR

Adopts an inflation only increase (based on Local Government Cost Index (LGCI) of 3.2% for 2025-26 Playing fields rental fees and charges, which are not subject to the Special Consultation Procedure, noting that additional maintenance costs will be funded by general rates and reduce Council's balanced budget position.

- f) Authorises the Chief Executive to make minor amendments, drafting, typographical or presentation corrections necessary to the Proposed Fees and Charges and the Statement of Proposal prior to consultation.

3 Background / Horopaki

To ensure consistency in the development of various user charges, staff have developed a consolidated fees and charges document and agenda item covering each Department's fees and charges.

This report, and the corresponding document included as Attachment 1, covers both fees and charges being consulted on under the Special Consultative Procedure (Table A), and those that are not subject to the Special Consultative Procedure (Table B).

Attachment 2 is the Statement of Proposal which once adopted becomes Council's consultation document for 2025-26 Fees and Charges. This document includes only those fees subject to consultation.

The review of Fees and Charges includes measuring actual performance and projected budgets against the desired split between public and private benefit (as detailed within the Revenue and Financing Policy), whether these ratios are likely to be met by the current and proposed charges and, where available; a comparison with charges at other similar organisations.

In general, the following recommended changes have been made:

- The majority of fees include a proposed inflation increase of 3.2%. The rate of 3.2% is the Local Government Cost Index (LGCI) calculated by Business and Economic Research Ltd (BERL).
- Hourly rates and Professional fees have generally been adjusted to reflect a 3.2% increase in costs in accordance with LGCI. The professional fee rates are used across Council to charge for services including Resource consents and for this reason they are included within the fees subject to consultation. Other areas where these rates are used for on-charging, for example within building consents processes, are not subject to the same consultation requirements.

In setting and reviewing fees the criteria developed by the Office of the Auditor General are used as a guideline in conjunction with Council's Revenue and Financing Policy. These include:

- Charges cannot have a 'profit' component
- Charges should reflect the actual and reasonable costs incurred by Council
- Those who gain the benefit of Council's services contribute appropriately to those costs
- Costs will be itemised as required for a number of activities
- Fees are reviewed regularly
- There should be no cross-subsidisation between functions.

All fees are GST inclusive unless otherwise stated.

Fees are reviewed on an annual basis with rolling reviews periodically.

As part of the development of each Long Term Plan cycle, Council's Revenue and Financing Policy is reviewed. As part of this process a Funding Needs Analysis is carried out which reviews each significant activity to assess public versus private good ratios. The main funding sources are user charges (user pays), and rates (public good). These are defined as follows:

- User Pays

"An activity should be funded on a user pays basis if an individual or group of individuals directly receive benefits of the activity exclusively, and that costs of the activity can easily be attributed to that individual or group of individuals."

- Public Good

“An activity should be collectively funded if those that benefit directly cannot be identified and/or if those that benefit directly cannot be excluded from using the service.”

The Revenue and Financing Policy presents the funding sources associated with each of the key activities undertaken by Council. The relevant banding within each of the funding sources reflects the allocation of funding or cost burden between User Pays and Public Good.

Proposed fee increases and the associated budgeted revenue has been reviewed at an activity level against the suggested funding bands provided in Council’s Revenue and Financing Policy.

Adherence to our Revenue and Financing Policy provides comfort that our fees are set at an appropriate level.

Proposed Fees and Charges were presented to Elected Members at a Council Briefing on 13 March 2025. There was significant discussion regarding the large increase proposed for Sports Ground fees, with feedback both in support as well as against the proposal. Various other funding mechanisms were raised, including budget reallocation, a stepped change, and exploring alternative funding sources. Further information is included within Parks and Reserves section of this agenda.

2025 - 2026 Proposed Fees and Charges

PLANNING AND DEVELOPMENT GROUP

RMA: Resource Consents

Statutory Obligations

Council’s Resource Consents Department is primarily responsible for the processing of applications lodged under the Resource Management Act 1991 (‘RMA’). Section 36(1)(a) of the RMA allows councils to fix charges for the purposes of *‘carrying out by the local authority of its functions in relation to the receiving, processing and granting of resource consents....’*

Section 36(5) allows councils to recover all actual and reasonable costs incurred where the initial deposit or lodgement fee has been exceeded. This is dealt with by Council through a time recording and invoicing process.

Section 36AAA of the Resource Management Act 1991, sets out criteria for fixing charges. In particular, it emphasises the ability of councils to only charge for those reasonable costs incurred by the local authority as a result of actions of a person making an application. In other words, while a council can charge reasonable costs for processing an application, it cannot charge for actions instigated by a council which benefit the community. This is recognised as a split between public funding and private (applicant) funding.

All RMA fees and charges must be set in accordance with Section 150 of the Local Government Act 2002 through the special consultative procedure process.

The processing of applications, including resource consents, other permissions, subdivision certificates and consent monitoring by Council directly benefits individuals or groups of individuals. A resource consent is a right to develop land and, in a vast majority of cases, the development is for the betterment of a specific party. Therefore, the total cost of an application is usually charged to the applicant. Any appeals to decisions are not usually recoverable.

Appeal costs are unable be charged to an applicant and therefore 100% borne by Council.

Monitoring of Land Use Consent Conditions – RMA

Fees are set under the Resource Management Act 1991 to recover the cost of monitoring of resource consents. The proposed fees are to increase by LGCI of 3.2%. These are provided in attached *Statement of Proposal* and *Proposed Fees & Charges 2025-26*.

Resource Consents Fees and Charges

Generally there are two components to the fees and charges. The first is the fixed initial deposit charge ('lodgement fee') which is required to be paid when lodging an application. The second component is the hourly rate each staff position is charged out at.

For the 2025-26 year deposit charges (lodgement fees) are proposed to be kept largely at existing levels, with only two amendments proposed:

- An increase of the deposit for Non-notified Notices of Requirement (under section 168, 168A and 181 of the RMA 1991) from \$2,500 to \$3,000.
- A new deposit fee of \$1,000 is also proposed to cover the cost of processing a request for Removal/ Partial Removal of Designation by a requiring authority (under s182 of the RMA). These fees are proposed to cover staff time assessing this request against the requirements of the Resource Management Act 1991, preparing an associated report and updating the designation text and mapping in the District Plan.

For the 2025-2026 it is proposed that the hourly rates are increased by 3.2% as per the Local Government Cost Index. This will support a consistent trend in the level of recovery within the department, buffering inflationary costs in the approaching financial year.

Proposed fees are provided in attached *Statement of Proposal* and *Proposed Fees & Charges 2025-26*.

RMA: District Plan Development

Statutory Obligations

Council's District Plan Department is primarily responsible for writing and maintaining the District Plan and processing requests for Private Plan Changes under the Resource Management Act 1991 ('RMA').

Section 36(1)(a) of the RMA allows councils to fix "*charges payable by applicants for the preparation or change of a policy statement or plan, for carrying out by the local authority of its function in relation to such application*".

Section 36(5) allows councils to recover all actual and reasonable costs incurred where the initial deposit or lodgement fee has been exceeded. This is dealt with by Council through a time recording and invoicing process.

Section 36AAA sets out criteria for fixing charges. It emphasises the ability of councils to only charge for those reasonable costs incurred by the local authority as a result of actions which benefit a particular person or persons, rather than for activities that benefit the community as a whole. This is recognised as a split between public funding and private (Applicant) funding.

The maintenance of the District Plan and any plan changes that Council initiates are considered to be of public interest and for the public good. These are therefore funded by general rates.

Private plan changes, although by nature may also be of public interest, are normally submitted by developers for their own developments and mainly for profit. Council's policy sets out that these must be fully funded by the Applicant. As such 100% of costs are charged to the Applicant.

All RMA fees and charges must be fixed in accordance with Section 150 of the Local Government Act 2002 through the special consultative procedure process.

District Plan Department Budget

As the Department is largely involved in writing professional reports, the main resource is the staff. This is complemented by consultants either with specialist knowledge or where a project requires additional professionals over and above existing staff. The budget therefore is largely dictated by the cost of salaries or cost of professional consultants, with overheads allocated based on such matters as office space, computer access and use, and support services (such as ICT Department).

Each staff position has a different cost recovery capability, depending on their role. Where staff undertake work for a private plan change the full cost of their time spent on that project is charged and likewise the full cost of any consultancy work is on-charged to the Applicant. Where Council initiates a plan change the cost is charged against that project, as is any consultant costs. Manager cost recovery is determined by their direct line activity versus them managing the process. The latter is partly considered to be for the public good and not recoverable whilst their line function work is on-charged to the Applicant if it is a private plan change.

Notably, where any decision on a plan change is appealed to the Environment Court, significant costs can be incurred by Council being involved in those appeals. It is not possible to recover those costs through User Pays, unless Council sees fit to seek an award of costs through the Court should its position be upheld. Generally, any award for costs that is achieved is not significant when compared to the total costs of the appeal. Appeals are therefore funded almost completely through General Rates.

District Plan Fees and Charges

There are currently two components to the fees and charges. The first is a \$20,000 deposit fee which is required to be paid at each stage of the private plan change process: (1) on receipt of request to change the plan; (2) before commencement of notification; and (3) before commencement of hearing. The second component is the hourly rate each staff position is charged out at for private plan changes.

For the 2025-26 year, changes are proposed to the fees and charges as follows:

- The private plan changes fees are split into a "complex" and "non-complex" deposit fee structure, with the "complex" deposit fee set at \$50,000 for each stage of the plan change process and the non-complex deposit fee set at \$20,000 for each stage of the plan change process. This proposed fee structure more accurately reflects the actual and reasonable costs of processing a plan change request and signals that complexity will be more costly.
- A new pre-application fee for private plan changes is proposed where Applicants request to meet relevant Council staff prior to lodging a formal request for a plan change. The first pre-application meeting including meeting preparation, staff attendance, and any follow-up actions undertaken by Council staff will be free of charge (except for the cost of any technical assessments required by third parties acting on behalf of Council (i.e. use of consultants) which will be on-charged at cost). Any requested follow up meetings would be charged at actual and reasonable cost. This new fee would support our process of providing for pre-application discussions on Private Plan Changes and aligns with the

current Council approach to pre-application meetings for Resource Consents Applications.

- Hourly staff rates are increased to reflect a 3.2% increase in costs in accordance with LGCI.

A draft fee schedule is included in the attached *Proposed Fees & Charges 2025-26*, with a comparison where necessary shown against the 2024-25 fees and charges.

Health and Bylaws

The Health and Bylaws Department has several user fees due to its wide-ranging activities and functions. These include fees relating to Environmental Health (registration of food premises, other registered premises, and alcohol licensing), consenting under Gambling and Racing Acts, and contracted enforcement services (dog and stock control and various bylaw fees). Where possible and appropriate, fees and charges are reviewed annually, and increases are made to various fees to achieve and maintain cost recovery requirements established by Council.

Enforcement related work undertaken by the Department consists of functions generally required by statute, some of which permits cost recovery and others not. In general, cost recovery can be applied where licensing regimes are in place, but there are other services provided such as health nuisance and bylaw enforcement and excessive noise investigation, where cost recovery is not authorised or possible.

Fees have been reviewed against cost recovery requirements of the Revenue and Financing Policy and benchmarked against G9 local authorities, plus our neighbours at Kaipara and Far North District Councils. Fees are generally below or in line with those charged by these local authorities.

This report recommends that in general, except where otherwise provided, fees are increased by LGCI of 3.2%. The fees are included within the attached *Statement of Proposal* and *Proposed Fees & Charges 2025-26*, with a comparison where necessary shown against the 2024/25 fees and charges.

Animals

Dog Control

Fees are set under the Dog Control Act 1996.

Council has a range of different dog registration fees. Through its Revenue & Financing Policy Council has set a cost recovery ratio between 60% to 80% from “Users” (dog owners), the shortfall of which is covered through General Rates. This means that dog owners and exacerbators should contribute a minimum of 60% of Council’s total cost of providing dog control services, but no more than 80%. As a result, all dog registration categories (standard; desexed and working dogs) have a proposed increase of around 3.2% LGCI per dog for the 2025/26 year, dependent on the category. An exception to this is impound fees which are proposed to increase by approximately 4% to better recover Council’s actual cost for this service as well as to discourage wandering dogs. These increases are necessary to aim to achieve a 60% User Pays cost recovery for the 2025/26 year.

The rate for a “Standard” dog (not de-sexed) when paid before 1 August is currently \$117, the proposed increase will see this fee increase to \$121. When payment for the same Standard dog is made after 1 August, the Act provides for a 50% late penalty, which when applied increases this fee from the current \$176 to \$182.

The rate of a de-sexed dog when paid on or before 1 August is currently \$102, the proposed 3.2% increase will see this fee increase to \$105. When payment for the same de-sexed dog is made after 1 August, that increases from the current \$153 to \$158.

Council's current fees compare well against benchmarking of dog registration fees for the current (2024-25) financial year. Review against these shows that Council's current standard dog (late registration) fee of \$176 (before increase) is only \$1 more than the average of \$175 charged by the G9, including Kaipara and Far North District Councils.

The current (2024-25) average cost for a de-sexed dog (with an "early bird" fee discount applied) across eleven councils is \$104. WDC's current fee of \$102 for this category of dog is \$2 less and thus below par. The above calculations do not include any future fee increases planned by these councils, including WDC. Our proposed fee for this category for next year is \$105, which is \$1 more than the average fee for the current (2024/25) year, which clearly does not consider any increases that these local councils are planning.

Figure 1 - Dog registration fees across TAs for the current year (**2024/2025**)

	Tauranga	Gisborne	New Plymouth	Napier	Hastings	PNCCC	Rotorua	Wanganui	Far North	Kaipara	Whangarei	Average fee
	\$ (Rounded to nearest dollar)											
Standard dog, including late payment penalty	188	132	230	191	198	264	182	158	99	111	176	175
Early bird & de-sexed dog	125	95	94	132	132	131	105	96	58	76	102	104

The proposed fees are included in the attached *Proposed Fees & Charges 2025-26*, with a comparison where necessary shown against the 2024-25 fees and charges.

Stock Control

Council's impounding and associated stock handling fees have increased by the LGCI average of 3.2%, as provided in the attached *Proposed Fees & Charges 2025-26*.

Health Act Registered Premises

Activities such as camping grounds, offensive trades, hairdressers, and funeral directors/mortuaries are licensed by councils under the Health Act 1956 and must comply with specific regulations to protect public health.

Fees recover the cost of licensing and inspection of these activities. Benchmarking with the G9 Territorial Authorities, plus our neighbours at Kaipara and Far North District Councils show that for 2024-25 year these fees to be below the average fee charged.

Figure 2 – Registered premises fees across TAs for **2024-25**

	Tauranga	Gisborne	New Plymouth	Napier	Hastings	PNCCC	Rotorua	Wanganui	Far North	Kaipara	Whangarei	Average fee
	\$ (rounded to nearest dollar)											
Hairdressers	298	316	183	230	226	202	255	235	357	414	226	267
Camping Grounds	392	556	366	415	336	511	394	235	357	559	396	411
Funeral Directors / Mortuaries	148	380	183	320	226	511	337	235	357	414	272	308
Offensive Trades	277	380	185	293	226	511	365	235	357	233	272	303

Under this category, an increase of LGCI (3.2%) is recommended for both Hairdresser, Mortuary operators and all transfers, as presented in the attached *Proposed Fees & Charges 2025-26*.

However, for Camping Ground and Offensive Trade operators, as well as Funeral Directors no fee increases are proposed for the 2025-26 year, as cost recovery under current fees is deemed sufficient and as a result the fees for these three business categories will remain at current (2024/25) year levels.

The applicable fees for all Health Act registered premises are presented in the attached *Proposed Fees & Charges 2025-26*.

Gambling Act and Racing Act

This fee recovers significant time required to assess and report on matters required by applications for territorial authority consent under policies which Council must adopt and maintain under the Gambling Act 2003 and Racing Act 2003. This includes any assessment of social impact reports and reporting to Council on complex matters relating to gambling harm.

For Territorial Local Authority consent applications under the Gambling Act 2003, Council's current Fees & Charges allow for a deposit of \$3,395 which provides for a maximum of 14 hours of processing time, with any additional processing time (where required) charged out at \$241/hr. Where the processing of an application does not require the full 14 hours of processing provided for under the deposit, a proportional refund of the unspent time will be facilitated.

The deposit and associated hourly rates are proposed to be increased by 3.2% for next year. These are presented in the attached *Statement of Proposal* and *Proposed Fees & Charges 2025-26*, with a comparison where necessary shown against the 2024-25 fees and charges.

Bylaw Enforcement and Licensing

There are several activities requiring monitoring and enforcement under bylaws, unfortunately for the majority of which the associated enforcement costs can't be recovered. However, there are activities, for example applications for trading permits, where cost recovery is possible, and fees are set to recover the cost of these activities.

Enforcement staff also undertake (where necessary) infrequent seizure of non-compliant roadside signs and structures. Whilst cost recovery in this area is often not possible or even

necessary, fees have been set to recover the actual cost of this where possible or deemed appropriate.

Fees have generally been increased by the LGCI of 3.2% for next year, except for the seizure of signage where annual increases thus far have not kept up with our actual costs and as a result needed to double for next year. These are provided in attached *Statement of Proposal and Proposed Fees & Charges 2025-26*.

Food Premises

The Food Act 2014 provides for Territorial Authorities (TA's) to provide registration and where accredited, verification (auditing) services to food business operators and allows for the full cost recovery of these services.

The table below shows the comparison of current (2024/25 year) Food Act fees across the G9 Territorial Authorities, plus our neighbours at Kaipara and Far North District Councils.

Average Food Act Fees across G9 Authorities plus our neighbours at Kaipara and Far North District Councils *

Average Verification cost for Food Control Plans - FCP (max cost)	Average verification cost for National programme (max cost)	Average hourly rate (max rate)
\$671 (max \$886)	\$590 (max \$886)	\$192 (max \$235)

*New Plymouth, Rotorua, Hastings, Tauranga, Napier, Gisborne, Wanganui, Palmerston North, Far North, Kaipara and Whangarei

Food fees charged in Whangarei are generally around the midpoint of the fees charged by the G9, plus KDC and FNDC. For example, the verification of a Food Control Plan (FCP) during 2024-25 costs \$671 in Whangarei, which was exactly the average charged by the above councils.

The average verification of a National Program was \$590, compared to \$480 in Whangarei and our hourly rate on which all of these fees are calculated on was \$191, compared to the above average of \$192.

All Food Fees, except registration renewal fees (which have been kept the same as the current year) have been increased by the LGCI of 3.2% for next year. These are provided in Attached Documents *Statement of Proposal* and *Proposed Fees & Charges 2025-26*.

In addition to Council's above food fees, the Ministry for Primary Industries have notified Councils that on 31 May 2024, Cabinet approved a new Food Business Levy under the Food Act 2014.

The annual levy applicable to all food businesses was approved and written into Regulations after consultation. The collection of the food business levy commences on 1 July 2025, and will enable core services to be maintained and expanded for businesses and co-regulators.

As co-regulators, both the Ministry for Primary Industries (MPI) and Territorial Authorities (TA's) are collection agents for food businesses that are registered with them, as per section 3D of the Food (Fees, Charges, and Levies) Amendment Regulations 2024.

Under these Regulations TA's **must** collect these levies annually from all food businesses registered with the TA. That's for all food businesses who operate either under a Food Control Plan or National Program risk based measure and for Multi-site registered food businesses this levy applies per site, rather than per registration held.

The annual future levy value stipulated under these Regulations will be as follows:

Year 1, as of 1 July 2025 = \$66.13 (GST inclusive)

Year 2, as of 1 July 2026 = \$99.19 (GST inclusive)

Year 3, as of 1 July 2027 = \$132.25 (GST inclusive)

In addition, the Regulations provide that as “Collection Agents” TA’s can charge a “levy collection fee” to cover their cost of collecting these levies from food businesses on behalf of MPI. That collection levy has been set by Government at \$12.65 per site (GST inclusive).

As a result of the above and for the 2025/26 Fees & Charges process it is recommended that the need to charge and collect this levy and the associated collection fee are included in both the Statement of Proposal and the 2025/26 Proposed Fees & Charges and are reflected as follows:

MPI Food Act Levy – Year 1 (1 July 2025 to 30 June 2026) = \$78.78, consisting of \$66.13 per site (GST inclusive) and Food Act Levy Collection fee of \$12.65 per site (GST inclusive).

Alcohol Licensing

Fees and charges for alcohol licensing functions have been set by Council’s Alcohol Fees Bylaw 2016, made under the Sale and Supply of Alcohol Act 2012 and as a result there is no ability to increase these fees without a review and amendment of the associated bylaw.

Alcohol licensing fees are therefore not provided for in the current fee setting process having already been set under a separate process.

The current fees are as shown in the attached *Proposed Fees & Charges 2025-26* for completeness.

Building Control

The Building Act 2004 gives Council discretion in relation to imposing fees and charges under sections 219 and 240, both in setting fees and charges and in the collection of them. The Council can charge a fixed or variable fee, can require a deposit and later payment of the balance, or can require payment in full from the outset.

The Council can also charge a fee for performing a function or service that is done on its own initiative and may increase fees to meet additional or actual costs in performing the service and may waive or refund fees.

Recovery of costs for the Whangarei District Council Building Control functions are based on fair and reasonable costs incurred to provide the service and based on the recommendations of the Auditor General.¹ The budgeted cost recovery is at the lower end of the Revenue and Finance Policy recovery bands. While the allocation of Customer Services expenses to building has been reduced, the allocation of corporate overheads and building staff costs have increased. Council may consider higher fee increases in the future in order to increase the revenue and recovery, reducing the required allocation of general rates to this activity. The actual recovery achieved depends on the volume of applications.

The fees and charges have been subject to change over the previous two years with charges being amended (reduced) to reflect non-technical input into various processes. It is proposed to increase building charges by LGCI of 3.2%, including staff charge out rates. Swimming pool fencing inspections are also to increase by inflation and reflects actual time spent. Some other changes are proposed to the fees and charges. These changes include

¹ Auditor General, 2008, “*Charging fees for Public Sector Goods and Services*”, New Zealand Government.

increasing the deposit fee for commercial Code Compliance Certificates for projects with a value of more than \$50,000. Time spent generally well exceeds the deposit fee due to the time-consuming task of formulating compliance schedules. It is proposed that the deposit increase from \$350 to \$600. Even with this increase many applications will be subject to additional charges. Consideration has been given to having a separate charge for remote inspections compared with conventional on-site inspections. There is a current lack of data to justify changes and at least initially any travel/vehicle savings are likely to be off-set by additional training requirements. It should also be noted that the current charging regime is based on inspections being the same price no matter where they are in the district. The cost recovery for inspections is also at the lower end of the cost recovery goals set by Council. Objective Build have also increased some of their fees for the use of the portal. These are outlined in the attached document.

The Building Control fees and charges are presented in the attached *Proposed Fees & Charges 2025-26*.

Swimming pool/spa pool barrier inspections

The Swimming pool/spa pool barrier inspections and associated fees are proposed to increase by 3.2% LGCI and are presented in the attached *Proposed Fees & Charges 2025-26*.

STRATEGY AND DEMOCRACY GROUP

Strategic Policy

Much of the strategic planning undertaken by the Department is done under the provisions of the Local Government Act and is ratepayer funded. These are all activities that Council has determined are of benefit to the wider community and should therefore be paid for by the wider community through general rates as a public good.

TRANSPORT AND COMMUNITY INFRASTRUCTURE GROUP

The activities undertaken within Transport and Community Infrastructure Group include a range of funding splits between user pays and public good. Fees and charges have been set in accordance with the Revenue and Financing Policy.

Rubbish Disposal

Rubbish disposal fees are set according to the Waste Minimisation Act 2008 and are set at a rate to recover costs or to encourage behaviour that helps to meet the goals of the Council's Waste Management and Minimisation Plan. Specifically, fees are set according to clause 2.9.1 of the Solid Waste Management Bylaw and must be consulted on under s82 of the Local Government Act 2002 (LGA).

Waste Minimisation Act 2008

Section 46 Funding of plans (waste management and minimisation plan)

“(1) A territorial authority is not limited to applying strict cost recovery or user pays principles for any particular service, facility, or activity provided by the territorial authority in accordance with its waste management and minimisation plan.

(2) Without limiting subsection (1), a territorial authority may charge fees for a particular service or facility provided by the territorial authority that is higher or lower than required to recover the costs of the service or facility, or provide a service or facility free of charge, if—

(a) it is satisfied that the charge or lack of charge will provide an incentive or disincentive that will promote the objectives of its waste management and minimisation plan; and

(b) the plan provides for charges to be set in this manner.”

Section 53 Proceeds from activities and services must be used in implementing waste management and minimisation plan.

“A territorial authority may sell any marketable product resulting from any activity or service of the territorial authority carried out under this Part, but any proceeds of sale must be used in implementing its waste management and minimisation plan.”

The fees are proposed to increase by LGCI of 3.2% The proposed fees are included within the *Statement of Proposal and Proposed Fees & Charges 2025-26*.

Transport

Transport fees and charges are proposed to be increased by LGCI of 3.2% and rounded. It is noted however, that as per Council parking policy (Parking Management Strategy 2011), charges reflect demand and therefore may change throughout the year.

The current and proposed fees are provided in the *Proposed Fees & Charges 2025-26*.

Cemeteries

Cemetery fees and charges are proposed to be increased by LGCI of 3.2% and rounded.

Parks and Reserves

For the 2025/26 year, it is proposed to significantly increase sports fields charges.

The Sports Field Demand study identified a critical shortage of sports fields in Whangarei. With limited capacity to develop new fields Council responded by upgrading soil based fields to sand based with drainage and irrigation to improve the capacity of existing fields. These upgrades have allowed for additional playing hours however the cost to maintain sand based fields is more expensive than soil as it requires additional maintenance to maintain the asset. Parks and Recreation is unable to maintain the current network of facilities with the existing budget and in 2024/25 is unable to undertake the annual renovation programme in its entirety.

The sports budget has an operational shortfall of approximately \$150,000 resulting in soil-based fields not receiving summer renovations in 2024/25. This will see these fields deteriorate and become unplayable in the 2025 winter season resulting in customer dissatisfaction and additional pressure put on the sand-based fields further increasing costs to maintain these fields.

The Revenue and Financing Policy adopted as part of the 2024-34 Long Term Plan, indicated that sports grounds should be funded 0-20% by user fees, and 80-100% by general rates. Current recovery from sports fields fees is equivalent to 2% of maintenance costs. While this is within the range suggested in the Policy, it reflects a very low user fees percentage. Due to the significant pressure on rates increases and operational budgets, an increase to the user pays portion of funding is suggested.

Parks and Recreation is proposing a significant increase to sports fields fees to achieve a 7.8% recovery which will provide revenue of approximately \$155,000 to ensure fields can be maintained to a community sport standard. This requires an increase of up to 150% to existing fees as detailed in the below table:

Seasonal hire to parent sporting codes		(\$)	
		Current fee	Proposed fee
Cricket	Senior wickets	720.00	1,800.00
	Twilight wickets	134.00	334.00
	Artificial wickets	110.00	275.00
Softball and baseball	Diamond	265.00	663.00
Rugby	Senior field	615.00	1,538.00
	Junior field	501.00	683.00
Touch rugby	Field	273.00	683.00
Five-a-side soccer	Field	273.00	683.00
	Mini/First Kicks Field	64.50	161.00
Football	Senior Field	615.00	1,538.00
	Junior field	501.00	683.00
	Mini/First Kicks Field Charge	64.50	161.00
Rugby league	Senior field	615.00	1,538.00
	Junior field	501.00	683.00
Casual one-off, out of season usage per field		47.00	118.00

Increasing sports field charges will have an impact on clubs where they will need to recover the costs either through reserves, fund raising or increasing membership fees. If passing costs onto members this may impact membership as those who can't afford the fees may drop out of playing sport. Junior sport could be most impacted as parents struggle to pay kids membership fees.

An alternative to increasing sports field charges is to reduce service levels. Reductions in field mowing, line marking, weed control and annual maintenance can be implemented however this will result in a deteriorating asset and a poor user experience.

A smaller staged increase over several years could also be considered. However, this would require a higher portion of general rates funding in the interim to cover the required maintenance costs until fees reach a sufficient recovery level. The addition of this operational expense without a corresponding revenue increase will reduce surplus and impact both balanced budget and everyday funding.

All other parks fees are increased by LGCI of 3.2%. The proposed fees are provided in the attached *Proposed Fees & Charges 2025-26*.

Options: Playing Fields Fees

Proposed Fees and Charges were presented to Elected Members at a Council Briefing on 13th March 2025. There was significant discussion regarding the large increase proposed for Sports Ground fees, with feedback both in support as well as against the proposal. Various other funding mechanisms were raised, including budget reallocation, a stepped change, and exploring alternative funding sources.

It is important to note that any price increase won't take effect until summer 2025 season as winter codes have already been booked and charged at current rates. Parks fees are not subject to public consultation and consequently are included within this agenda for adoption unless otherwise directed by Council.

Ultimately, this is a Council decision. Due to an unclear consensus at the briefing, and the size of the increase proposed, the adoption of Playing fields fees have been included as two separate recommendations for consideration.

Recommendation (d): proposed increases of up to 150% as included within the Proposed Fees and Charges (Attachment 1), and the table below:

Seasonal hire to parent sporting codes		(\$)	
		Current fee	Proposed fee
Cricket	Senior wickets	720.00	1,800.00
	Twilight wickets	134.00	334.00
	Artificial wickets	110.00	275.00
Softball and baseball	Diamond	265.00	663.00
Rugby	Senior field	615.00	1,538.00
	Junior field	501.00	683.00
Touch rugby	Field	273.00	683.00
Five-a-side soccer	Field	273.00	683.00
	Mini/First Kicks Field	64.50	161.00
Football	Senior Field	615.00	1,538.00
	Junior field	501.00	683.00
	Mini/First Kicks Field Charge	64.50	161.00
Rugby league	Senior field	615.00	1,538.00
	Junior field	501.00	683.00
Casual one-off, out of season usage per field		47.00	118.00

Recommendation (e): LGCI only increase (3.2%) as included within the table below:

Seasonal hire to parent sporting codes		(\$)	
LGCI Increase		Current fee	Proposed fee
Cricket	Senior wickets	720.00	743.00
	Twilight wickets	134.00	138.00
	Artificial wickets	110.00	114.00
Softball and baseball	Diamond	265.00	273.00
Rugby	Senior field	615.00	635.00
	Junior field	501.00	517.00
Touch rugby	Field	273.00	282.00
Five-a-side soccer	Field	273.00	282.00
	Mini/First Kicks Field	64.50	67.00
Football	Senior Field	615.00	635.00
	Junior field	501.00	517.00
	Mini/First Kicks Field Charge	64.50	67.00
Rugby league	Senior field	615.00	635.00
	Junior field	501.00	517.00
Casual, one-off or out of season usage per field		47.00	49.00

Due to budget constraints, the expense involved in maintaining fields, and the low cost recovery of current fees, staff endorse recommendation (d) as the preferred approach.

An alternative recommendation (e) proposes an LGCI only increase of 3.2% to Playing fields fees. This option would result in the additional cost being attributable to general rate payers,

rather than user fees. Considering the recovery from sports field fees is currently less than 2% of maintenance costs this is not recommended.

WATERS GROUP

While the majority of funding for the Waters Group is generated through targeted rates, some additional fees and charges apply.

Wastewater

Fees and charges for drainage are authorised under the Wastewater Bylaw and must be consulted on in accordance with s82 of the LGA 2002.

Existing drainage fees and charges have been increased by the LGCI rate of 3.2% and rounded.

The pan charge is determined at the same level as the sewerage disposal rate for non-residential properties and is set as part of the Rate Funding Impact Statement.

Fees are as shown in the Attached Documents *Statement of Proposal* and *Proposed Fees & Charges 2025-26*.

Trade Waste

Fees and charges for trade waste are authorised under the Trade Waste Bylaw and must be consulted on in accordance with s82 of the LGA 2002.

The components of trade waste charges are analysed every five years. For the 2024-25 year the fees and charges have generally been increased by the averaged LGCI of 3.2% and rounded as shown in the attached *Statement of Proposal* and *Proposed Fees & Charges 2025-26*.

Water Supply

Fees and charges for water are authorised under the Water Supply Bylaw and must be consulted on in accordance with s82 of the LGA 2002.

The fees and charges have been increased by LGCI over the last few years. This year actual increased calculated rates have been used to more accurately reflect costs. These costs include additional levies imposed by central government to fund their regulatory function. The Water Supply charge and water consumption rate are set as part of the Rating Funding Impact Statement. Proposed fees are included within the attached *Statement of Proposal* and *Proposed Fees & Charges 2025-26*.

Laboratory Testing

The majority of laboratory fees are proposed to increase by LGCI of 3.2% and rounded. In some instances where fees were held in the previous years due to rounding down, a larger increase has been applied this year to raise the fee to the nearest dollar.

There have been both price increases within the supply chain and test price reductions obtained by doing analyses in-house. Using the overall LGCI index of 3.2% across the testing range enables cost recoveries to be achieved and manageable for customers.

The fees are detailed within the attached *Proposed Fees & Charges 2025-26*.

COMMUNITY SERVICES GROUP

Fees and charges have been set in accordance with the Revenue and Financing Policy. All other activities in this Group are funded by the ratepayer with some contestable Government Funding. The proposed fees are provided in the attached *Proposed Fees & Charges 2025-26*.

Venues and Events

The proposed 2025-26 fees and charges for venue hire at Forum North include an LGCI increase of 3.2%. Theatre hire fees are proposed to increase more than LGCI to better reflect actual costs incurred. A community venue hire rate is available upon request for community groups that meet the criteria. The proposed fees are provided in the attached *Proposed Fees & Charges 2025-26*.

Library

There is no proposed increase to the current library fees.

Charges for meeting rooms are not increasing as these are frequently used by community and non-profit making organisations unable to afford commercial rates. It is proposed to charge all users the discounted rate of \$12.50 per hour as the majority of users are considered to fit into the non-profit category.

The proposed fees are provided in the attached *Proposed Fees & Charges 2025-26*.

Cameron St Mall Permits

Cameron St Mall permits has been proposed to be increased by LGCI of 3.2% and rounded.

OTHER FEES

Land Information Memorandum

LIM fees are proposed to be increased by LGCI of 3.2% and rounded. It is also proposed to make an adjustment to the split of charges between Residential and Commercial applications to remove the reference to 20 hectares and align with the rating differentials. The new categories will be either 'Residential and Lifestyle', or 'Commercial, Industrial and Rural'.

The proposed fees are provided in the attached *Proposed Fees & Charges 2025-26*.

Official Information

The current charge is based on Ministry of Justice "Charging Guidelines for Official Information Act 1982 Requests" and is the standard charge used by most councils. The Ministry of Justice's guidelines state that the charges "*represent what the Government regards as reasonable charges for the purposes of the Official Information Act and should be followed in all cases unless good reason exists for not doing so. Organisations covered by the Act who wish to develop their own charging regimes should be aware that charges are liable to review by an Ombudsman.*"

The current charge provided in Attachment 1; Proposed fees and charges, is in line with the Ministry of Justice Guidelines, and remains unchanged from the 2024-25 fee.

Photocopying

General photocopying charges are proposed to remain the same as for 2024/25. The proposed fees are provided in the attached *Proposed Fees & Charges 2025-26*.

Searches

Property searches are charged on a time basis. There are no changes proposed to the current rate of \$50 per search up to 30 minutes. The proposed fees are provided in attached *Proposed Fees & Charges 2025-26*.

4 Financial/budget considerations / Ngā pānga pūtea/tahua

Fees and Charges are set each year as part of the budgeting process. The LGCI rate of 3.2% has been applied where considered sufficient to maintain recovery percentages. Where the cost of providing the service has increased by more than LGCI, higher increases are proposed. The Revenue and Financing Policy determines the appropriate user fee vs public good split for each of the activities Council performs. Suggested funding bands are then provided within the policy to guide the appropriate recovery sought from user fees. The public good element is funded by general rates.

Fees and charges revenue based on these proposed increases have been included with the draft budget.

5 Significance and engagement / Te Hira me te Arawhiti

The setting of fees and charges does not trigger the significance criteria outlined in Council's Significance and Engagement Policy. While there is potential for the public interest criteria to be triggered (particularly where the increase is over and above LGCI), Council anticipates this to be minor.

Fees and charges subject the Special Consultative procedure (SCP) under s 83 will be consulted on in accordance with the legislation.

Fees and charges not subject to the SCP will be adopted by Council resolution and the public will be informed via publication on the website prior to 1 July 2025.

6 Attachments / Ngā Tāpiritanga

Attachment 1 – Proposed Fees and Charges 2025-26

Attachment 2 – Statement of Proposal Fees and Charges 2025-26

Proposed
**Fees and
Charges**
2025-26

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Animals

Dogs

Registration fees

		Current fee	Current fee	Proposed fee	Proposed fee
Dog class	Explanation of dog class	Discount fee ('early bird') if paid on or before 31 July 2024	Fee for registration on or after 1 August 2024	Discount fee ('early bird') if paid on or before 31 July 2025	Fee for registration on or after 1 August 2025
Pet (P)	Standard owner	\$117.00	\$176.00	\$121.00	\$182.00
Desexed pet (DP)	Standard owner	\$102.00	\$153.00	\$105.00	\$158.00
Working dog (W)	Dogs kept principally for the herding of stock, Police dog or other Government Agency dog	\$78.00	\$117.00	\$81.00	\$122.00
Disability assist dog (D)	A dog certified by an organisation listed in Schedule 5 of the Dog Control Act 1996	No fee	No fee	No fee	\$No fee

		Current fee	Current fee	Proposed fee	Proposed fee
Dog class	Explanation of dog class	Discount fee ('early bird') if paid on or before 31 July 2024	Fee for registration on or after 1 August 2024	Discount fee ('early bird') if paid on or before 31 July 2025	Fee for registration on or after 1 August 2025
Dangerous dog		\$176.00	\$264.00	\$182.00	\$273.00
Puppy		*see note	*see note	*see note	*see note

*1/12th the relevant fee for each complete month remaining in the registration year

Other registration charges

	Current fee	Proposed fee
Infringement fee for non-registration, as set under the Dog Control Act 1996	\$300.00	\$300.00
Replacement tags	\$7.00	\$8.00

Other Charges

	Current fee	Proposed fee
First impound	\$168.00	\$175.00
Second impound	\$188.00	\$196.00
Third or any subsequent impound	\$230.00	\$240.00
Dog sustenance fee per day	\$27.00	\$28.00

Stock ranging/impounding

	Current fee	Proposed fee
Impound fee for first impounding (driving charges additional)	\$164.00	\$169.00
Impound fee for second impounding (driving charges additional)	\$184.00	\$190.00
Impound fee for third and subsequent impounding (driving charges additional)	\$226.00	\$233.00
Stock control Impound charges - per hour rate (driving charges and impound fees additional)	\$181.00	\$187.00
Stock sustenance fees - per day	\$23.00	\$24.00
Stock control- driving charges - per hour	\$189.00	\$195.00
Transportation Charges	Actual	Actual

Building Control

Project Information Memorandum (PIM) application

	Current fee	Proposed fee
PIM Commercial		
All works for new, existing and alterations to existing buildings described in the terms of the Building Regulations under the classifications of commercial, industrial and communal residential. In short, if the works are not solely and expressly residential then it is deemed commercial Examples of such include, but are not limited to: show homes, milking sheds and other farm buildings, residential accommodation in or attached to a commercial building, schools, changing a bedroom so it can be used as part of a home occupation, retaining walls and bridges for sub divisional development, communal buildings within retirement villages	\$631.00	\$651.00
Residential PIM – Type 1		
All works for new, existing and alterations to existing buildings described in the terms of the Building Regulations under the classifications of housing, outbuilding and ancillary Examples of such include, but are not limited to: dwellings, minor residential dwellings, farm worker's accommodation, sleep outs, garages, carports, and any alterations affecting or changing the exterior footprint of the building, pergolas, decks, swimming pools, retaining walls and bridges not for sub divisional development	\$507.00	\$523.00

	Current fee	Proposed fee
Residential PIM – Type 2		
Internal alterations with a change of use, re-roof with a change of pitch, re-cladding, drainage or re-piling Examples of such include, but are not limited to: altering a wardrobe or bedroom to become an en-suite/bathroom or laundry, closing in a carport to become a garage, changing from tiles to long run or corrugated iron roofing	\$224.00	\$231.00
Residential PIM – Type 3		
Minor alterations, fireplaces and plumbing Removal or demolition of buildings Examples of such include, but are not limited to: replacing a window with a ranch slider, constructing or altering of a non-load-bearing wall without a change of use (see PIM – type 2 for examples of change of use), repositioning of kitchen or bathroom fixtures within existing kitchen or bathroom, wet area showers within existing bathroom, taking out a bath and replacing it with a shower	\$140.00	\$144.00

Building consents

The below fees are instalments only and may attract additional processing or inspection fees charged on a time basis.

Note: the following levy charges will apply.

BRANZ levy

Calculated at \$1.00 per \$1,000.00 or part thereof of projects with an estimated value of building work exceeding \$19,999.00 (or as amended by BRANZ). The BRANZ levy is not subject to GST.

MBIE levy

Calculated at \$1.75 per \$1,000.00 or part thereof of projects with an estimated value of building work exceeding \$65,000.00 including gst (or as amended by the MBIE). The Building (MBIE) levy includes GST.

Accreditation levy

21 cents per \$1,000.00 of project value or part thereof. The accreditation levy includes GST.

Objective Build Applications Portal Charges

- Project Information Memorandum and/or Building Consent: \$80.00 fixed fee where the value of works is up to \$124,999, or 0.075% of the value of work if \$125,000.00 or greater.
- Project Information Memorandum only: \$80.00 fixed fee
- Certificate of Acceptance: \$80.00 fixed fee where the value of works is up to \$124,999, or \$350 fixed fee where the value of work is \$125,000 or greater.
- Amendment to a Building Consent to a Building Consent: \$80.00 fixed fee where the value of works is up to \$124,999, or 0.075% of the value of work if \$125,000 or greater. Note: where the value of works is reduced by the amendment, a \$80.00 fixed fee applies.
- Certificate of Public Use: \$80.00 fixed fee.
- Exemption from Building Consent: \$80 fixed fee.
- The estimated value of work is capped at \$2,500,000 for all applications.

Any external services that are required through the consenting process to be evaluated by an appropriate engineer or an agency such as Fire and Emergency New Zealand, will be invoiced at the actual cost incurred through the review or regulatory process. Inspection fees are charged at the scheduled rate below per inspection and any additional inspections will be charged at the rate at the time of service. Please note inspections are charged per inspection type and not per site visit.

Building Consent Applications

Residential

The below fees are instalments only and may attract additional processing or inspection fees charged on a time basis.

This is calculated on a case by case basis for each application and must be paid before processing start.

Residential Building Consents

Includes inspection instalment based on estimated inspections required

Estimated value of the building project	Estimated number of inspections required	Current fee (Includes PA)*	Proposed fee (Includes PA)*	Current fee (Includes PIM)*	Proposed fee (Includes PIM)*
Heating and/ or Solar Appliances	1	\$410	\$423	\$410	\$423
\$0 to \$5,000	2	\$1,579	\$1,630	\$1,597	\$1,648
\$5,001 to \$10,000	3	\$1,917	\$1,978	\$2,001	\$2,065
\$10,001 to \$50,000	3	\$2,493	\$2,572	\$2,674	\$2,759
\$50,001 to \$100,000	5	\$3,443	\$3,554	\$3,624	\$3,741
\$100,001 to \$250,000	7	\$4,391	\$4,532	\$4,572	\$4,719
\$250,001 to \$500,000	10	\$5,970	\$6,161	\$6,151	\$6,348
\$500,001 to \$700,000	14	\$7,657	\$7,902	\$7,838	\$8,089
\$700,001 to \$900,000	16	\$8,540	\$8,814	\$8,721	\$9,001
\$900,001 and over	18	\$9,963	\$10,282	\$10,144	\$10,469

Residential Certificate of Acceptance

Includes 1 Inspection. Additional inspection fees may apply

Estimated value of the building project	Current fee (Includes PA)*	Proposed fee (Includes PA)*
Heating and/ or Solar Appliances	\$569	\$587
\$0 to \$5,000	\$1,435	\$1,481
\$5,001 to \$10,000	\$1,435	\$1,481
\$10,001 to \$50,000	\$1,435	\$1,481
\$50,001 to \$100,000	\$1,435	\$1,481
\$100,001 to \$250,000	\$1,435	\$1,481
\$250,001 to \$500,000	\$1,435	\$1,481
\$500,001 to \$700,000	\$1,435	\$1,481
\$700,001 to \$900,000	\$1,435	\$1,481
\$900,001 and over	\$1,435	\$1,481

* BRANZ levies apply on applications in excess of \$19,999.00

* MBIE levies apply on applications in excess of \$65,000.00

† Accreditation Levy apply to all Building Consent applications (See page 11 for calculations)

* Cost for use of the Customer Consent Management Portal apply

** In the case of an application for a certificate of acceptance under Section 96(1)(a) of the Building Act 2004, the application must be accompanied by any fees, charges or levies that would have been payable had the owner, or the owner's predecessor in title, applied for the building consent before carrying out the building work. This is in addition to the deposit fee for the costs of processing the Certificate of Acceptance.

Commercial

The below fees are instalments only and may attract additional processing or inspection fees charged on a time basis.

Commercial Building Consents

Includes inspection instalment based on estimated inspections required

Estimated value of the building project	Estimated number of inspections required	Current fee (Includes PA)*	Proposed fee (Includes PA)*	Current fee (Includes PIM)*	Proposed fee (Includes PIM)*
\$0 to \$5,000	2	\$2,364	\$2,439	\$2,583	\$2,665
\$5,001 to \$10,000	3	\$3,030	\$3,126	\$3,249	\$3,352
\$10,001 to \$50,000	3	\$3,658	\$3,774	\$3,877	\$4,000
\$50,001 to \$100,000	4	\$4,261	\$4,655	\$4,480	\$4,881
\$100,001 to \$250,000	5	\$5,450	\$5,882	\$5,669	\$6,108
\$250,001 to \$500,000	7	\$6,902	\$7,379	\$7,121	\$7,605
\$500,001 to \$1,000,000	10	\$9,863	\$10,660	\$10,082	\$10,660
\$1,000,000 to \$1,500,000	14	\$13,764	\$14,459	\$13,983	\$14,685
\$1,500,001 and over	18	\$18,976	\$19,836	\$19,195	\$20,062

Commercial Certificate of Acceptance

Includes 1 Inspection. Additional inspection fees may apply

Estimated value of the building project	Current fee (Includes PA)*	Proposed fee (Includes PA)*
\$0 to \$5,000	\$1,435	\$1,481
\$5,001 to \$10,000	\$1,435	\$1,481
\$10,001 to \$50,000	\$1,435	\$1,481
\$50,001 to \$100,000	\$1,435	\$1,481
\$100,001 to \$250,000	\$1,435	\$1,481
\$250,001 to \$500,000	\$1,435	\$1,481
\$500,001 to \$1,000,000	\$1,435	\$1,481
\$1,000,000 to \$1,500,000	\$1,435	\$1,481
\$1,500,001 and over	\$1,435	\$1,481

* BRANZ levies apply on applications in excess of \$19,999.00

* MBIE levies apply on applications in excess of \$65,000.00

† Accreditation Levy apply to all Building Consent applications (See page 11 for calculations)

* Cost for use of the Customer Consent Management Portal apply

** In the case of an application for a certificate of acceptance under Section 96(1)(a) of the Building Act 2004, the application must be accompanied by any fees, charges or levies that would have been payable had the owner, or the owner's predecessor in title, applied for the building consent before carrying out the building work. This is in addition to the deposit fee for the costs of processing the Certificate of Acceptance.

Other applications, functions or services

The below fees are instalments only and may attract additional processing fees charged on a time basis.

	Current fee	Proposed fee
Amendment to a Building Consent: commercial	\$449.00	\$463.00
Amendment to a Building Consent: residential	\$449.00	\$463.00
Certificate for Public Use Application: commercial (note: additional time may be charged out at standard hourly rate).	\$436.00	\$450.00
Extension to Certificate for Public Use Application: commercial (note: additional time may be charged out at standard hourly rate)	\$205.00	\$212.00
Notification of change of use	\$152.00	\$157.00
Exemption under Schedule One (1) from the requirement for Building Consent	\$410.00	\$423.00
Exemption under Schedule One (1) from the requirement for Building Consent: Wall Insulation subject to Code mark authorization	\$143.00	\$148.00
Certificate of title registration or removal of registration (e g natural hazards identification or the binding of two or more allotments)	\$448.00	\$462.00
Vehicle crossing application to council's engineering standards	\$477.00	\$492.00

	Current fee	Proposed fee
Notice to fix issuance only (additional fees will be charged on a time basis)	\$329.00	\$340.00
Building code certificate under section 100(f) of the Sale and Supply of Alcohol Act 2012	\$210.00	\$217.00
Change of certifier: residential review (including two inspections)	\$1,161.00	\$1,198.00
Change of certifier: commercial review (including two inspections)	\$1,308.00	\$1,350.00
Change of certifier: heating appliance (including one inspection)	\$348.00	\$359.00
Building Consent Change of Certifier Code Compliance Certificate (CCC) fee	\$322.00	\$335.00
Building Consent Change of Certifier Admin fee	\$113.00	\$118.00
Building Consent Change of Certifier Technical fee	\$216.00	\$225.00
Building Consent S75 & S72 Title registration fee	\$448.00	\$462.00
Building Consent amendments planning-commercial fee	\$384.00	\$396.00
Building Consent amendments planning- residential fee	\$330.00	\$341.00
Building inspection fee: residential (per inspection)	\$250.00	\$258.00

	Current fee	Proposed fee
Building inspection fee- Residential (Cancellation- 50% of Residential inspection fee))	\$125.00	\$129.00
Building inspection fee: commercial (per inspection)	\$324.00	\$334.00
Building inspection Fee- Commercial (Cancellation- 50% of Commercial Inspection Fee)	\$162.00	\$167.00
Code compliance certificate (CCC): residential	\$330.00	\$341.00
Code compliance certificate (CCC): commercial- project value up to \$50,000K	\$330.00	\$341.00
Code compliance certificate (CCC): commercial- project value over and above \$50,000	\$330.00	\$600.00
Instalment fee for minor building work not covered in the lists above, including one site inspection/site visit. Note: additional charges may be incurred for time and inspections charges at the rates shown in the fee schedule.	\$702.00	\$724.00

Building Warrant of Fitness and compliance schedules

The below fees are instalments only and may attract additional processing fees charged on a time basis. Any applications processed through our Building Consent Customer Portal will be subject to charges as detailed on page 11.

	Current fee	Proposed fee
Compliance Schedule Statement	\$114.00	\$118.00
IQP annual renewal to remain registered (per person) not company	\$187.00	\$193.00
Amendment to compliance schedule	\$113.00	\$117.00
BWOF site audits (allowance of one (1) hour only) Std Inspection Fee	\$191.00	\$197.00
Building Warrant of Fitness (BWOF) receipt and administration fee	\$113.00	\$117.00

Subscriptions and publications

	Current fee	Proposed fee
Issued building consent register- monthly	\$43.00	\$44.00
Issued building consent register - annual	\$370.00	\$382.00

Bylaw enforcement

Seizure of property under bylaws

	Current fee	Proposed fee
Seizure and confiscation of signs under the Local Government Act 2002 and bylaws (fixed fee) - Signs over 1m Square	\$156.00	\$300.00
Seizure and confiscation of signs under the Local Government Act 2002 and bylaws (fixed fee) - Signs under 1m Square	\$77.00	\$140.00
Seizure of other property (hourly)	Actual cost recovery at \$103/hr and mileage per IRD rate plus any additional costs	Actual cost recovery at \$106/hr and mileage per IRD rate plus any additional costs
Seizure of skateboards, bikes and similar (fixed fee)	\$75.00	\$77.00
Where otherwise not specified any application for a permit, consent or exemption application or request under a Whangarei District Council Bylaw. Fee is for one hour of processing, with additional time charged at \$197.00 per hour	\$191.00/hr	\$197.00/hr

Cameron Street Mall permits

	Current fee	Proposed fee
Bond for power charge	\$20.00	\$21.00
Cameron Street Mall permits	\$20.00	\$21.00
Preferred busking permit	\$20.00	\$21.00

Cemetery

Plot fees

Plot purchase fees	Current fee	Proposed fee
Standard Burial plot	\$3,059.00	\$3,157.00
Family Burial plot	\$3,813.00	\$3,935.00
Natural Burial plot	\$3,012.00	\$3,108.00
Veterans Burial plot	\$No Charge	No charge
Youth Burial plot	No Charge	No charge
Stillborn Burial plot	No charge	No charge
Standard Cremains plot	\$747.00	\$771.00
Family Cremains plot	\$962.00	\$993.00
Premium Cremains plot	\$801.00	\$827.00
Natural Cremains plot	\$700.00	\$722.00
Veterans Cremains plot	No Charge	No charge

Memorial only options	Current fee	Proposed fee
Rose garden Pillar	\$317.00	\$327.00
Memorial bench	\$1,500.00	\$1,548.00
Book of Remembrance	\$100.00	\$103.00

Interment fees and options	Current fee	Proposed fee
Standard Digging	\$1,002.00	\$1,034.06
Off-site Digging	\$1,687.00	\$1,741.00
Children's Digging	No Charge	No Charge
Stillborn and Babies Digging	No Charge	No Charge
Lowering device fee	\$99.00	\$102.00
Grave mats	No Charge	No Charge
Audio Visual Equipment	\$100.00	\$103.00
Late/Early Arrival Surcharge	\$256.00	\$264.00
Weekend Surcharge	\$455.00	\$470.00
Special Circumstances Surcharge	\$912.00	\$941.00

Interment fees and options	Current fee	Proposed fee
Grave Obstruction Surcharge	Actual Cost Recovery	Actual Cost Recovery
Oversize casket Surcharge	\$192.00	\$198.00
Cremains Interment	\$124.00	\$128.00
Cremains Scatter	\$78.00	\$80.00

Disinterment fees	Current fee	Proposed fee
Urn Disinterment	\$181.00	\$187.00
Casket Disinterment	\$3,876.00	\$4,000.00

Administration fee

	Current fee	Proposed fee
Plot Administration Fee	\$61.00	\$63.00

* A fee may be charged for the compilation of large amounts of information.

Council professional fees

Hourly rates charged in 6 minute intervals	Current fee	Proposed fee
Manager, Infrastructure Development Manager, Waste and Drainage Manager, Parks and Recreation Manager, Infrastructure Planning Manager, Infrastructure Capital Programs Manager, Rooding Manager, District Plan Manager, Health and Bylaws Manager, Building Control Manager, Libraries Manager, Water Services	\$241.00	\$249.00
Manager, RMA Consents	\$227.00	\$234.00
Senior Water Technician Infrastructure Asset Engineer Infrastructure Project Engineer Infrastructure Senior Engineer Team Leader Asset Planning Distribution Engineer Team Leader Development Contributions Solid Waste Engineer District Plan Specialist Senior Planner (District Plan & Consents) Team Leader Development Engineering Senior Development Engineering Officer Development Engineer Engineering Officer, Water Asset Engineer, Water	\$216.00	\$223.00

Hourly rates charged in 6 minute intervals	Current fee	Proposed fee
Waste and Drainage Engineer Waste and Drainage Asset Engineer Wastewater Projects Engineer Senior Building Controls Officer Team Leader Building Team Leader Infrastructure Planning Team Leader Landscape Architects Team Leader Environmental Health Manager, Cemetery and Botanica Senior Asset Engineer		
RMA Planning Specialist Team Leader – Property Assessment Team Team Leader RMA Consents Senior Specialist Resource Consents Senior Planner (consents)	\$204.00	\$211.00
Engineering Officer (Drainage and Water) Strategic Asset Coordinator - Parks Infrastructure Technical Officer Senior Roading Engineer (Traffic and Parking) Traffic Projects Engineer Building Control Officer Approvals and Compliance Officers (Building Control) Architect/Urban Designer Environmental Health Officer Property Assessment Officer Planner (District Plan and Consents) Landscape Architect Post-Approval Subdivision Officer Development Contributions Coordinator	\$191.00	\$197.00

Hourly rates charged in 6 minute intervals	Current fee	Proposed fee
Infrastructure Planner Development Engineering Officer		
Team Leader RMA Support Compliance Officer (RMA Consents) Planner (RMA Consents) Team Leader RMA Approvals and Compliance	\$181.00	\$187.00
Infrastructure Asset Systems Technician Compliance Officer (Regulatory Services)	\$166.00	\$171.00
Planning Assistant (RMA Consents)/Support Assistant (District Plan/Health and Bylaws/Building Processing) Building Administrator (BCA and TA)	\$113.00	\$117.00
Planning Assistant (RMA Consents)	\$107.00	\$110.00
Mileage	Per IRD rate	Per IRD rate
Disbursement	At cost charged to department by provider	At cost charged to department by provider

- Hearings required for any resource consent or other permission will be charged at actual cost.
- Cost of any consultant/hearings commissioner will be charged at actual cost.
- Miscellaneous charges will be charged at actual cost.
- All costs will be itemised.
- All figures are standard fees inclusive of GST, the final fee in any one application will be determined by the Resource Consents Manager or his/her appointee.

- Council reserves the right to interim invoice applications where significant costs have been incurred over a period of one month or more without progress on the application.

District plan

Private plan change

All fees and charges are DEPOSITS unless otherwise stated. Processing may require further charges that exceed the initial lodgment deposit.

	Current fee	Proposed fee
Non-Complex- Private Plan Change - before commencement of notification	\$20,000.00	\$20,000.00
Non-Complex- Private Plan Change - before commencement of a hearing	\$20,000.00	\$20,000.00
Non-Complex- Private Plan Change - on receipt of a request to change the Plan	\$20,000.00	\$20,000.00
Complex-Private Plan Change - before commencement of notification (new)	0.00	\$50,000.00
Complex-Private Plan Change - before commencement of a hearing (new)	0.00	\$50,000.00
Complex-Private Plan Change - on receipt of a request to change the Plan (new)	0.00	\$50,000.00
Disbursements	At cost charged to department by provider	At cost charged to department by provider
Pre-application meetings with Council staff: Applicants can request to meet relevant Council staff to discuss a potential private plan change prior to preparing and lodging a request, in accordance with Councils pre-application meetings process	Free of charge	One pre-application meeting free of charge*. All meetings requested thereafter (including preparation

	Current fee	Proposed fee
		and follow up) will be charges at actual reasonable cost
Hourly rates charged in six-minute intervals. Hours over the above advance fee and mileage, plus disbursements, which may also involve work by other specialist planning, parks and engineering staff will be charged at a rate specified in Council's Professional Fee Schedule	See page 25	See page 25

Hearings required for any plan change

Any and all costs of third party or independent Commissioners will be recoverable as well as the cost associated with the hearing (i.e. staff time, consultant's costs, venue hire, printing).

When a Councillor is appointed as a Hearings Commissioner the cost set by Regulation will be charged.

All figures are standard fees inclusive of GST, the final fee in any one change to the District Plan will be determined by the District Plan Manager or his/her appointee.

In the case where a consultant(s) is required, Council will charge the actual and reasonable costs incurred by the consultant, plus 5% for supervision and administration.

Notes

Private plan changes may be processed by consultants. In this situation, an applicant will be asked to undertake, at the submission stage, to pay the full cost of such processing in addition to the normal cost of Council to process it's part of the application Fees are charged to defray the cost of:

- a) Initial receipt of the application
- b) Cost of allocation of the application and distribution of information
- c) Site visits
- d) All professional and administrative staff costs at the hourly rate, mileage and disbursements in handling the application
- e) Request for additional information and review or peer review such information
- f) Notification procedure

- g) Summarising submissions and input into database
- h) Notification of submissions for further submissions
- i) Summary of further submissions and input into database
- j) Preparation of staff report to a Hearings Committee and/or Council
- k) Preparation of hearing, notices, hall hire, appointment of commissioners, etc
- l) Attendance and any cost of hearings plus secretarial services
- m) All cost of the hearing including full cost of independent commissioners
- n) Preparation and finalising the Hearings Committee's recommendation to Council
- o) Submission to Council of the hearings report and cost of any subsequent requirements of Council
- p) Updating of database with all the decisions of Council on submissions
- q) Distributing decision replies to all submitters
- r) Council may on-charge cost of an appeal where the decision of Council was in favour of the applicant, but was appealed by a submitter
- s) All costs will still be payable notwithstanding the outcome of the application, i.e. if an application is declined or only partially accepted/adopted/granted the cost still has to be recovered
- t) Cost can be reduced if all information is provided electronically and distributed electronically where applicable.

Drainage

Services location	Current fee	Proposed fee
Where work is done by Council to locate connections and the connection is found to be within 1.5 metres horizontally and 0.5 metres vertically of the 'as-built' position, work done will be charged at cost.	Actual cost of contractor	Actual cost of contractor

Septage treatment	Current fee	Proposed fee
For disposal and treatment of septage at Council's treatment facility - types 1.02, 1.03 & 1.14*	\$43.59/m ³	\$44.98/m ³
For disposal and treatment of septage at Council's treatment facility - types 1.04 & 14.01*	\$13.11/m ³	\$13.53/m ³
Consent monitoring hourly rate	\$99.00	\$102.00
Trade Waste uniform annual charge	\$534.00	\$551.00
Trade Waste Consent Application Fee (controlled & conditional)	\$210.00	\$217.00
Trade Waste Consent Application Fee (permitted)	\$73.00	\$75.00

*Liquid and Hazardous Waste Code of Practice (2012)

Pan charge	Current fee	Proposed fee
Pan charge for discharge of wastewater into Council's wastewater system where connection cannot be charged as targeted rate**	To align with sewerage disposal rate for non-residential properties	To align with sewerage disposal rate for non-residential properties

**An approved connection may be provided but as the building is not on land, no certificate of title exists therefore the charge cannot be levied as a rate under the Local Government Rating Act 2002.

Part year wastewater charge	Current fee	Proposed fee
Sewer connection date	(as a % of annual pan fee)	(as a % of annual pan fee)
Part year wastewater fee for properties connected to the public wastewater system during the year. After connection, properties are charged on 1 July as part of the rates.		
July	92%	92%
August	83%	83%
September	75%	75%
October	67%	67%
November	58%	58%

Part year wastewater charge	Current fee	Proposed fee
December	50%	50%
January	42%	42%
February	33%	33%
March	25%	25%
April	17%	17%
May	8%	8%
June	0%	0%

Trade waste discharges	Current fee	Proposed fee
By Volume	\$1.82/m ³	\$1.88/m ³
By Total Kjeldahl Nitrogen (TKN)	\$0.91/kg	\$0.94/kg
By Total Suspended Solids (TSS)	\$0.72/kg	\$0.74/kg
By Chemical Oxygen Demand (COD)	\$0.48/kg	\$0.50/kg

Food premises

Fees for functions under the Food Act 2014

Registration – food control plan	Current fee	Proposed fee
Application for new registration of food control plan (fee includes up to 2.75 hours of processing time, supply of thermometer and printed food safety plan)	\$528.00 fixed fee	\$542.00 fixed fee
Fee for additional time for processing the application	\$191.00/hr	\$197.00/hr
Registration renewal fixed fee	\$373.00	\$373.00
MPI Annual Domestic Food Business Levy- per site (New)*	0.00	\$66.13
Territorial Authorities MPI Collection Fee per- site (New)*	0.00	\$12.65
Thermometer	\$34.00	\$35.00
Additional food control plan document pack	\$31.00 per pack	\$32.00 per pack

Registration – national programmes	Current fee	Proposed fee
Application for new registration of model issued by MPI of a business subject to a national programme (up to 2.75 hours processing time)	\$528.00 fixed fee	\$542.00 fixed fee
Fee for additional time for processing the application	\$191.00/hr	\$197.00/hr
Registration renewal fixed fee	\$373.00	\$373.00

Registration – national programmes	Current fee	Proposed fee
MPI Annual Domestic Food Business Levy- per site (New)*	0.00	\$66.13
Territorial Authorities MPI Collection Fee -per site (New)*	0.00	\$12.65
Thermometer	\$34.00	\$35.00
Additional national programme document pack	\$31.00 per pack	\$32.00 per pack

**To maintain a strong, robust and agile Food Regulation system, the Government through the Ministry for Primary Industries (MPI) has implemented an “Annual Domestic Food Business Levy” under the Food Act 2014 and through the “Food (Fees, Charges, and Levies) Amendment Regulations 2024”.*

Amendment to registration	Current fee	Proposed fee
Significant amendment to registered food control plan based on a template or model issued by MPI or an amendment to the registration of a business subject to a national programme	\$191.00/hr	\$197.00/hr
Fee for additional in processing the application	\$191.00/hr	\$197.00/hr

Verification of food control plan	Current fee	Proposed fee
Verification including site visits and compliance checks with food control plans (include up to 3.5 hours of processing and travelling time)	\$671.00 Fixed fee	\$690.00 Fixed fee
Where the verification results in the issue of a Corrective Action Request (CAR), that requires a	\$191.00/hr	\$197.00/hr

Verification of food control plan	Current fee	Proposed fee
return visit, then this follow up visit to check remedial actions and every additional visit is subject to additional compliance and monitoring fees		
Failure to attend scheduled verification	\$191.00/hr	\$197.00/hr
Fee for additional time of verification activity	\$191.00/hr	\$197.00/hr
Unscheduled verification	\$191.00/hr	\$197.00/hr

Verification of national programme	Current fee	Proposed fee
A fixed fee for up to 2.5 hours of verification activity for national programmes	\$480.00 fixed fee	\$493.00 fixed fee
Where the verification results in the issue of a Corrective Action Request (CAR), that requires a return visit, then this follow up visit to check remedial actions and every additional visit is subject to additional compliance and monitoring fees	\$191.00/hr	\$197.00/hr
Failure to attend scheduled verification	\$191.00/hr	\$197.00/hr
Fee for additional time of verification activity	\$191.00/hr	\$197.00/hr
Unscheduled verification hourly rate	\$191.00/hr	\$197.00/hr

Compliance and monitoring	Current fee	Proposed fee
Application for review of issue of improvement notice	\$191.00/hr	\$197.00/hr

Compliance and monitoring	Current fee	Proposed fee
Second and subsequent return to business to check on compliance with CAR	\$191.00/hr	\$197.00/hr
Complaint driven investigation resulting in issue of improvement notice by food safety officer	\$191.00/hr	\$197.00/hr
Monitoring of food safety suitability	\$191.00/hr	\$197.00/hr

Fees and charges under the Food Businesses Grading Bylaw 2016

	Current fee	Proposed fee
Regrading of premises under the Food Business Grading Bylaw 2016	\$216.00/hr	\$223.00/hr

Forum North venue hire

Te Kotahitanga Expo Hall	Current fee	Proposed fee
Day	\$1,223.00	\$1,262.00
Half Day	\$612.00	\$632.00
Evening	\$916.00	\$945.00
Day and Evening	\$1,530.00	\$1,579.00

Cafler Suite	Current fee	Proposed fee
Day	\$515.00	\$531.00
Half Day	\$257.00	\$265.00
Evening	\$364.00	\$376.00
Day and evening	\$617.00	\$637.00

Cafler Suite 1 or 2	Current fee	Proposed fee
Cafler 1 or 2- Day	\$334.00	\$345.00
Cafler 1 or 2- Half Day	\$172.00	\$178.00

Cafler Suite 1 or 2	Current fee	Proposed fee
Cafler 1 or 2- Evening	\$257.00	\$265.00
Cafler 1 or 2- Day and evening	\$417.00	\$430.00

Bounty Room	Current fee	Proposed fee
Day	\$287.00	\$296.00
Half Day	\$152.00	\$157.00
Evening	\$214.00	\$221.00
Day and Evening	\$360.00	\$372.00

Theatre	Current fee	Proposed fee
Day - peak	\$1,297.00	\$1,439.00
Day - off-peak	\$1,036.00	\$1,169.00
Half Day- Peak	\$684.00	\$806.00
Half Day- Off Peak	\$525.00	\$642.00
Evening - peak	\$1,026.00	\$1,159.00

Theatre	Current fee	Proposed fee
Evening - off-peak	\$816.00	\$942.00
Day and Evening- Peak	\$1,646.00	\$1,799.00
Day & evening - off peak	\$1,335.00	\$1,478.00

Equipment Hire	Current fee	Proposed fee
Equipment Hire	POA	POA

A community venue hire rate discounted at 50% may be available to eligible organisations upon application.

Bookings in Advance: A deposit will be required to secure booking. The current year's fees at the time of room hire will be applicable.

Please note venue hire does not include technical labour. Price on application.

	Current fee	Proposed fee
Expo Package	\$1,997.00 per day inclusive of GST	\$2,061.00 per day inclusive of GST
Banquet/performance package	\$1,997.00 per day inclusive of GST	\$2,061.00 per day inclusive of GST
Venue included: Te Kotahitanga Exhibition Hall, conference suites, lower concourse (upper corner of Te Kotahitanga), kitchen, dressing rooms, green room (not if already booked by a theatre hirer)		

	Current fee	Proposed fee
Setup and pack away rate (50% of daily rates)	\$999.00 per day inclusive of GST	\$1,031.00 per day inclusive of GST

*Half day booking rate applies between the hours of 8am - 1pm and 1pm-6pm,

*Full day bookings rate applies between the hours of 8am-6pm

*Evening booking rate applies between the hours of 6pm-11pm

*Day/evening booking rates applies between the hours of 8am-11pm

*Community rates applies to nonprofit organisations

*Off peak- Monday to Wednesday

*Peak- Thursday to Sunday

Gambling Act and Racing Act application

	Current fee	Proposed fee
Application for TLA Consent under the Gambling Act 2003 (s99) and Racing Industry Act 2020 (s94) - Deposit provides for a maximum of 14 hours of processing	\$3,395.00	\$3,504.00
Additional processing time	\$241.00/hr	\$249.00/hr

Health Act registered premises

Fees for functions under the Health Act 1956: Registered Premises

Funeral directors	Current fee	Proposed fee
On application (annual fee) and renewal	\$256.00	\$256.00
Transfer	\$71.00	\$73.00

Mortuary	Current fee	Proposed fee
Mortuary Operator - on application (Annual Fee) and renewal	\$272.00	\$281.00
Transfer	\$71.00	\$73.00

Hairdressers	Current fee	Proposed fee
On application (annual fee) and renewal	\$226.00	\$233.00
Transfer	\$71.00	\$73.00

Camping grounds	Current fee	Proposed fee
On application (annual fee) and renewal	\$396.00	\$396.00
Transfer	\$71.00	\$73.00

Offensive trades	Current fee	Proposed fee
Offensive trade	\$272.00	\$272.00
Transfer	\$71.00	\$73.00

Miscellaneous	Current fee	Proposed fee
Consultation work including inspection undertaken by request and other inspections under the Health Act 1956	\$191.00/hr plus mileage per IRD rate	\$197.00/hr plus mileage per IRD Rate

Laboratory testing

Chemical

	Current fee	Proposed fee
Biochemical Oxygen Demand (BOD ₅)	\$52.00	\$54.00
Carbonaceous Biochemical Oxygen Demand (CBOD ₅)	\$57.00	\$59.00
Iron	\$25.00	\$26.00
Manganese	\$25.00	\$26.00
Ammonia nitrogen	\$20.00	\$21.00
Nitrate + nitrite (total oxidised nitrogen)	\$25.00	\$26.00
Dissolved reactive Phosphorous	\$25.00	\$26.00
Corrosive index (LSI)	\$81.00	\$84.00
Routine water profile (sub-contracted)	\$193.00	\$199.00
Solids – total	\$28.00	\$29.00
Solids - suspended	\$28.00	\$29.00
Solids - total dissolved	\$28.00	\$29.00

	Current fee	Proposed fee
Hardness – total	\$30.00	\$31.00
Hardness - calcium	\$30.00	\$31.00
Hardness – magnesium (calculation)	No Charge	No Charge
Calcium	\$30.00	\$31.00
Total alkalinity (to pH 4.5)	\$30.00	\$31.00
Chloride	\$30.00	\$31.00
Free available chlorine	\$21.00	\$22.00
Total chlorine	\$21.00	\$22.00
Dissolved oxygen	\$16.00	\$17.00
Conductivity	\$16.00	\$17.00
Salinity	\$16.00	\$17.00
pH	\$16.00	\$17.00
Turbidity	\$16.00	\$17.00
Colour	\$16.00	\$17.00

	Current fee	Proposed fee
Chemical Oxygen Demand (C.O.D)	\$44.00	\$45.00

Microbiological

	Current fee	Proposed fee
Enterococci	\$58.00	\$60.00
Faecal coliform (presumptive)	\$40.00	\$41.00
Escherichia coli & total coliform	\$45.00	\$46.00
Total plate count @ 35°C	\$42.00	\$43.00
Total plate count @ 20°C	\$42.00	\$43.00
Pseudomonas aeruginosa (presumptive)	\$42.00	\$43.00
Staphylococcus aureus (presumptive)	\$42.00	\$43.00

Sample collection

	Current fee	Proposed fee
Sample collection - per hour	94.00	97.00
Mileage	Per IRD rate	Per IRD rate

Library

Membership

Membership	Current fee	Proposed fee
Residents and ratepayers	No Charge	No Charge
Non-ratepayers/visitors	No Charge	No Charge

Inter-library loans	Current fee	Proposed fee
From a cooperating library - per item	\$6.50	\$6.50
From a non-cooperating New Zealand library - per item	Minimum of \$20.00	Minimum of \$20.00
Urgent requests - per item	\$25.00 - \$30.00	\$25.00 - \$30.00

Lost/non-returned items	Current fee	Proposed fee
Replacement value of item plus administration fee	Replacement value of item plus 10.00 admin fee	Replacement value of item plus 10.00 admin fee
Uncollected hold charge	No Charge	No Charge

Overdue charges (per non-rental item)	Current fee	Proposed fee
Overdue fine (per item) - per day	No Charge	No Charge
Overdue fine - maximum	No Charge	No Charge

Rental items

Bestseller books (green stickers)	Current fee	Proposed fee
1 week	\$3.00	\$3.00
Overdue fine (per item) - per day	No Charge	No Charge
Overdue fine - maximum	No Charge	No Charge

DVDs	Current fee	Proposed fee
Per week	No Charge	No Charge
Hearing impaired - 1 item per visit	No Charge	No Charge
Overdue fines (per item) - per day	No Charge	No Charge
Overdue fine - maximum	No Charge	No Charge

New release DVDs	Current fee	Proposed fee
3 days	No Charge	No Charge
Overdue fine (per item) - per day	No Charge	No Charge
Overdue fine - maximum	No Charge	No Charge

Other pay services – library

Self-help computer services	Current fee	Proposed fee
Internet - per 3 minutes	No charge	No charge

Photocopy/printing services	Current fee	Proposed fee
Colour - A4	\$1.00	\$1.00
Colour - A3	\$2.00	\$2.00
Black and white A4	\$0.10	\$0.10
Black and white A3	\$0.20	\$0.20
Scanning per page	\$0.10	\$0.10
Laminating per A4 sheet	\$2.00	\$2.00
Laminating per A3 sheet	\$4.00	\$4.00

Miscellaneous	Current fee	Proposed fee
Sales	Prices as marked	Prices as marked
Book mending & covering services	POA	POA
Sundry items	Prices as marked	Prices as marked

Display	Current fee	Proposed fee
Display cabinet - per week	\$14.00	\$14.00

Room hireage

May Bain Room	Current fee	Proposed fee
Booking fee	\$25.00	\$12.50
Plus, room hire per hour	\$25.00	\$12.50
Sundries supplied (per booking period)	\$12.00	\$12.00
Data projector hire (per booking period)	\$30.00	\$30.00
Wi-Fi access - per day	No Charge	Free

Leonard Room	Current fee	Proposed fee
Room hire per hour	\$10.00	\$10.00

Land Information Memorandum (LIM)

The below fees are instalments only and may attract additional processing fees charged on a time basis.

Residential and Lifestyle	Current fee	Proposed fee
Properties used principally for residential or lifestyle residential purposes. Lifestyle blocks may be of variable sizes which are used for non-economic lifestyle residential purposes.	\$405.00	\$418.00

Commercial, Industrial and Rural	Current fee	Proposed fee
Properties used principally for commercial, industrial or related purposes. Additionally properties which are used for economic rural purposes including agricultural, forestry, pastoral or aqua cultural purposes. Large property files may will be assessed and may incur additional costs for time spent.	\$732.00	\$755.00

Miscellaneous	Current fee	Proposed fee
Hard copy/paper LIM additional charge	\$26.00	\$27.00
LIM - Cancellation fee	\$103.00	\$106.00

Monitoring and land use consent conditions – RMA

Monitoring and land use consent conditions

	Current fee	Proposed fee
Deposit invoiced at the time a resource consent decision is issued. Should the cost of monitoring (based on Council staff hourly rates and mileage) exceed the deposit, an invoice will be issued for the additional amount.		
Commercial deposit	\$610.00	\$630.00
Residential Deposit	\$425.00	\$439.00
Professional Fee Schedule plus any additional specialist contractor cost	See page 25	See page 25

Abatement notices

	Current fee	Proposed fee
Charge applied to issue of abatement notice	\$150.00	\$155.00
Charge to cover seizure, impounding, transporting and storing of property under Section 366, Resource Management Act 1991	\$245.00	\$253.00

Official information

Where no other fee applies	Current fee	Proposed fee
	Fee set out by statute	Fee set out by statute
Time spent by staff searching for relevant material, extracting and collating, copying, transcribing and supervising access where the total time involved is more than one hour	\$38.00/half hour	\$38.00/half hour

Photocopying	Current fee	Proposed fee
First 20 pages of A4 black and White copies	No Charge	No Charge
Thereafter - see Photocopy charges page 63		

Other costs

All other charges incurred will be fixed at an amount which recovers the full costs involved.

Fee in advance

A fee in advance may be required where the charge is likely to exceed \$76.00 or where some assurance of payment is required to avoid waste of resources.

Parks and reserves

Playing field rentals

Seasonal hire to parent sporting codes

Cricket	Current fee	Proposed fee
Senior wickets	\$720.00	\$1800.00
Twilight wickets	\$134.00	\$334.00
Artificial wickets	\$110.00	\$275.00

Softball and baseball	Current fee	Proposed fee
Diamond	\$265.00	\$663.00

Rugby	Current fee	Proposed fee
Senior field	\$615.00	\$1,538.00
Junior field	\$501.00	\$683.00

Touch rugby	Current fee	Proposed fee
Field	\$273.00	\$683.00

Five-a-side soccer	Current fee	Proposed fee
Field	\$273.00	\$683.00
Mini/First Kicks Field	\$64.50	\$161.00

Football	Current fee	Proposed fee
Senior Field	\$615.00	\$1,538.00
Junior field	\$501.00	\$683.00
Mini/First Kicks Field Charge	\$64.50	\$161.00

Rugby league	Current fee	Proposed fee
Senior field	\$615.00	\$1,538.00
Junior field	\$501.00	\$683.00

Note: Rugby, soccer, hockey, touch, league, twilight and artificial cricket wicket per field, softball per diamond, netball per court

Other seasonal hire charges	Current fee	Proposed fee
Casual, one-off or out of season usage per field	\$47.00	\$118.00
Schools and pre-school groups	No Charge	No Charge

Barge Park Show Grounds, Maunu

	Current fee	Proposed fee
Equestrian Federation and New Zealand Pony Club Association events cross country and dressage events etc per day per group	\$50.00 per day including set up day	\$50.00 per day including set up day

Other

	Current fee	Proposed fee
Bike Park Circuit	Exclusive use \$103.00/day or \$21.00/hr	Exclusive use \$106.00/day or \$22.00/hr
Bike Park Shelter	Exclusive use \$20.00/hour	Exclusive use \$22.00/hr
Bike Park pump track	Exclusive use \$21/hour	Exclusive use \$22/hr
Annual community/sports lease fee*	P.O.A	P.O.A
Grazing license	By negotiation	By negotiation

**Set in accordance with the Lease Policy (#0044) at 1% of the land value with a minimum of \$520.00 plus GST*

All parks and reserves

	Current fee	Proposed fee
Community Events - by non-profit making organisations (Putahi park and Pohe Island)	\$109.00	\$112.00
Filming on reserve (depending on scale of event)	\$550.00 per day	\$550.00 per day
Events by profit making or commercial organisations, with the intention of making a profit (all venues): Plus, bond \$500.00	Up to \$600.00 depending on scale of event	Up to \$600.00 depending on scale of event

Botanica Whangārei

	Current fee	Proposed fee
Booking fee - per hour (or part thereof) and minimum fee	\$81.00	\$84.00

Mair Park

	Current fee	Proposed fee
Use of power. Key available ex Parks - per day	\$30.00	\$31.00

Laurie Hall Park

	Current fee	Proposed fee
Use of power. Key available ex Parks - per day	\$30.00	\$31.00

Sign parks

	Current fee	Proposed fee
Community events - single site 1.2m x 1.2m - per 3 weeks	\$44.00	\$45.00
Community events - double site 1.2m x 2.4m - per 3 weeks	\$85.00	\$88.00

Pensioner housing

Pensioner Housing rents are set in accordance with Council's Pensioner Housing Policy 0050, as a percentage of the tenant's superannuation entitlement.

Increases are implemented annually with the required notification period as detailed in the Residential Tenancies Act 1986.

Note: GST does not apply to pensioner housing rents.

Council's Pensioner Housing is administered by the Whangarei AMP Society, Whangarei Agricultural and Pastoral Society.

Photocopying and file handling charges

Photocopying and printing - colour	Current fee	Proposed fee
Single-sided A4*	\$1.00	\$1.00
Single-sided A3*	\$2.00	\$2.00

Photocopying and printing – black and white	Current fee	Proposed fee
Single-sided A4*	\$0.10	\$0.10
Single-sided A3*	\$0.20	\$0.20

*Double sided – charge each side as a single page

Public places bylaw

Licences issued under any Whangārei District Council bylaw

These are annual fees unless otherwise stated	Current fee	Proposed fee
Any application for a permit, consent, exemption, or request under a Whangarei District Council Bylaw, includes up to one hour of processing time. Additional time will be charged at \$191.00 per hour	\$191.00/site or application	\$211.00 / site or application
Animal Powered Vehicle License	\$213.00	\$220.00
Alfresco dining permit application fee	\$265.00	\$273.00
Alfresco dining monitoring Fee	\$146.00	\$151.00

Resource management administrative charges

All fees and charges are DEPOSITS unless otherwise stated	Current fee	Proposed fee
You will be charged a final processing fee when council has reached a decision on your application. Interim billing may also occur. The processing charge covers tasks such as site visits, report preparation, information searches and input from other council staff. Mileage is also charged.		
Application under the Resource Management Act as follows: • Non-notified or Limited Notified Resource Consent applications (land Use and / or Subdivision) • Non notified or Limited Notified Notices of Requirements for designations and alterations to existing designations under Section 168, 168A and 181	\$2,500.00	\$3,000.00
Removal or Partial Removal of Designation by requiring authority under section 182 of the RMA (New)	0.00	1,000.00
Application under the Resource Management Act as follows: • Applications for Certificates of Compliance under Section 139/139A	\$2,000.00	\$2,000.00
Applications requiring public notification under the Resource Management Act: • Note: Where a determination is made requiring notification of and application where \$2,500.00 advance fees have already been paid, Council will require an additional \$8,000.00 advance fee to be paid before public notification proceeds.	\$10,500.00	\$10,500.00

All fees and charges are DEPOSITS unless otherwise stated	Current fee	Proposed fee
Application under the Resource Management Act as follows: • Non-notified or Limited Notified Change or Cancellation of Consent Condition/s under Section 127 • Extension of time under Section 125 • Review of Consent Condition/s under Section 128 • Vary or cancel of consent notice under Section 221(3)	\$1,500.00	\$1, 500.00
Application under the Resource Management Act as follows: • Outline Plans 176A	\$1,250.00	\$1,250.00
• Certification that Subdivision complies with District Plan under Section 226 • Cancellation of Covenant against transfer of allotment & Cancellation of Amalgamation of allotment under Sections 240(4) and 241 • Grant, Surrender, Transfer, Vary or Cancel Easements under Section 243 • Applications under Section 100 of the Sale and Supply of Alcohol Act 2012 • Applications under Sections 327A (Cancellation of Building Line Restriction) and 348 (Creation of right-of-way easement) of the Local Government Act • Applications under Section 94 and 14 (Conservation Covenant) of the Reserves Act • Applications under the First Schedule of the Overseas Investment Regulations 1995	\$1,000.00	\$1,000.00
Application for Boundary Activity under section 87B	\$750.00 (Set Fee)	\$750.00 (Set Fee)

All fees and charges are DEPOSITS unless otherwise stated	Current fee	Proposed fee
Application for Marginal or Temporary Activity under Section 87BB	\$750.00 (Set Fee)	\$750.00 (Set Fee)
Application under the Resource Management Act as follows: • Approval of Survey Plan under Section 223 • Completion Certificate for subdivision under Section 224 • Surrender of Consent under Section 138 • Outline Plan Waiver s176A(2)(C) Monitoring of NES permitted activities	Actual and reasonable cost	Actual and reasonable cost
Pre-application meetings with Council staff: Applicants can request to meet relevant Council staff to discuss potential resource consent matters prior to preparing and lodging an application, in accordance with Councils pre-application meetings process	One pre-application meeting free of charge*. All meetings requested thereafter (including preparation and follow up) will be charges at actual reasonable costs	One pre-application meeting free of charge*. All meetings requested thereafter (including preparation and follow up) will be charges at actual reasonable costs
Rejection of applications with the information requirements of Schedule 4. Council will charge actual and reasonable costs at the relevant hourly rate in the event that any application lodged is required to be rejected because it does not comply with the information requirements of Schedule 4.	Actual and reasonable costs	Actual and reasonable costs

All fees and charges are DEPOSITS unless otherwise stated	Current fee	Proposed fee
Hours over and above deposit, plus mileage and disbursements (which may also involve work by other specialist planning, parks and engineering staff), will be charges at a rate specified in Council's Professional Fee Schedule. Consultants will be on-charged at actual costs.	See page 25	See pages 25
Potential contaminants site search (file review only) residential (allowance of two (2) hours only)	\$384.00	\$400.00
Potential contaminants site search (file review only) - commercial (allowance of three (3) hours only)	\$575.00	\$600.00

*This includes all meeting preparation, staff attendance, and any follow-up actions undertaken by Council staff as a result of the first meeting It does not include the cost of any technical assessments required by third parties acting on behalf of Council (i.e. use of consultants)

Hearings required for any resource consent or other permission

- Cost of third party/hearings commissioners will be charged at actual cost.
- All staff will be charged at the rate specified in Council's Professional Fee Schedule and Consultants will be on-charged at actual cost.
- Miscellaneous charges will be charged at the rate specified in Council's Professional Fee Schedule and Consultants will be charged at actual cost.
- All costs will be itemised.

Notes

All figures are standard fees inclusive of GST; the final fee in any one application will be determined by the Resource Consents Manager or his/her appointee.

Council reserves the right to interim invoice applications where significant costs have been incurred over a period of one month or more without progress on the application.

Rubbish disposal

Rubbish service at kerbside	Current fee	Proposed fee
Recycling crate urban* delivery (when service is available)	\$15.00	\$15.00
Recycling crate rural* delivery fee (when service is available)	\$20.00	\$20.00
Replacement recycling crate	\$18.00	\$19.00
Official rubbish bag (65-litre) or sticker	\$4.00	\$4.20
Small rubbish bag (35-litre)	\$2.00	\$2.10
*Urban delivery would include post code areas 0110 and 0112 *Rural include all other post code areas in the District as long as they are on a collection route.		

Rubbish services at all Council transfer stations	Current fee	Proposed fee
Standard rubbish bag (65 litre) - rubbish	\$4.00	\$4.20
Standard rubbish bag (65 litre) - vegetation	\$3.00	\$3.10
Small rubbish bag (35 litre) - rubbish	\$2.00	\$2.10
Car boot - rubbish	\$28.00	\$29.00

Rubbish services at all Council transfer stations	Current fee	Proposed fee
Car boot - vegetation	\$16.00	\$17.00
Station wagons, people movers - rubbish	\$50.00 per m ³	\$52.00 per m ³
Station wagons, people movers - vegetation	\$25.00 per m ³	\$26.00 per m ³
Utes, vans, 4 wheel drives - rubbish	\$50.00 per m ³	\$52.00 per m ³
Utes, vans, 4 wheel drives - vegetation	\$25.00 per m ³	\$26.00 per m ³
Trailers - rubbish	\$50.00 per m ³	\$52.00 per m ³
Trailers - vegetation	\$25.00 per m ³	\$26.00 per m ³
Loaded vehicle plus loaded trailer - rubbish	\$50.00 per m ³	\$52.00 per m ³
Vegetation per ton (Uretiti Transfer Station only – when operational)	\$126.00	\$130.00
Televisions/screens/other e-waste	\$22.00	\$23.00
Whiteware/gas bottles (de-gassing)	\$17.00	\$18.00
Earthmover tyres	Not accepted	Not accepted
4WD and light commercial tyre	\$14.00	\$14.50
Tractor tyre	\$55.00	\$57.00

Rubbish services at all Council transfer stations	Current fee	Proposed fee
Car tyre	\$9.00	\$9.50
Truck tyre	\$28.00	\$29.00
Tyres on rim	As above + \$3.50	As above + \$3.50
Rubbish per ton (Uretiti Transfer Station only – when operational)	\$290.00	\$299.00
Public Use of Weighbridge (Uretiti Transfer Station only – when operational)	\$17.00	\$18.00
Clean Rubble, concrete, bricks per ton (Uretiti Transfer Station only – when operational)	\$215.00	\$222.00

Sale and Supply of Alcohol Act 2012

Alcohol licensed premises

The alcohol fees stated here are set under the Whangarei District Council Alcohol Fees Bylaw 2016. These fees replace the fees payable as stated under Regulation 7 of the Sale and Supply of Alcohol (Fees) Regulations 2013.

The above Regulations however continue to determine and define the various application and annual risk categories for the various premises and does so by allocating a numeral weighting to each category, depending on the perceived risk. In addition, the Regulations also allocate a higher risk rating to premises that operate longer hours; or those that have in the past suffered some enforcement action.

The sum total of each of these then translate into five (5) different risk categories ranging from “very low” to “very high”. A very low risk category premises will pay a substantially lower application or annual compliance monitoring fee than premises in a higher risk category.

For Special licensed events, the Regulations provides for three (3) Classes, dependent upon the number of attendees. With Class 1 being the highest risk and Class 3, the lowest.

For a more detailed explanation and in order for applicants to predetermine their individual application and/or annual risk categories, please see the Sale and Supply of Alcohol (Fees) Regulations 2013.

Application fee (set by bylaw)	Current fee	Proposed fee
Very Low	\$600.00	\$600.00
Low	\$994.00	\$994.00
Medium	\$1,456.00	\$1,456.00
High	\$1,669.00	\$1,669.00
Very High	\$1,969.00	\$1,969.00

Annual fee (set by bylaw)	Current fee	Proposed fee
Very Low	\$262.00	\$262.00
Low	\$637.00	\$637.00
Medium	\$1,031.00	\$1,031.00
High	\$1,687.00	\$1,687.00
Very High	\$2,344.00	\$2,344.00

Special license fee (set by bylaw)	Current fee	Proposed fee
Class 1	\$937.00	\$937.00
Class 2	\$337.00	\$337.00
Class 3	\$102.00	\$102.00

Other fees (set by regulations)	Current fee	Proposed fee
Temporary Authority*	\$484.00	\$484.00
Temporary License*	\$484.00	\$484.00
Manager's Certificate*	\$316.25	\$316.25

*This fee is set through the regulations and not through the bylaw but is included here for completeness.

Searches

Note: Photocopy charges may also apply, see photocopying and file handling fees on page 63.

Basic property search	Current fee	Proposed fee
Residential	\$50.00 per search up to 30 mins	\$50.00 per search up to 30 mins
Commercial	\$50.00 per search up to 30 mins	\$50.00 per search up to 30 mins

Specific searches	Current fee	Proposed fee
Historical LIM (as scanned for record purposes) 30 mins Historical PIM Building File Subdivision or Resource Consent Engineering report Dangerous goods/health/licensing GIS consultancy	\$50.00 per search up to 30 mins	\$50.00 per search up to 30 mins
Deposited plans	No Charge	No Charge

Swimming pool/spa pool barrier inspections

	Current fee	Proposed fee
Administration of empty pools (Admin)	\$111.00	\$115.00
Certificate of acceptance of building consent for pool barrier recorded on Council's register	\$478.00	\$493.00
First inspection of pool barrier	\$191.00	\$197.00
Follow up inspections	Direct recovery of actual cost for each inspection with time recovered at \$191.00/hr	Direct recovery of actual cost for each inspection with time recovered at \$197.00/hr

Transport

Parking

As per Council parking policy (Parking Management Strategy 2011), charges reflect demand and therefore may change throughout the year

Trade cards – per day	Current fee	Proposed fee
Parking meter cards (trades)	\$17.00	\$18.00

Road corridor – licence to occupy	Current fee	Proposed fee
Residential/non-commercial applicant	\$513.00	\$529.00
Commercial applicant	\$1,483.00	\$1,530.00

Water

Application to connect to the public water network

	Current fee	Proposed fee
Service connection to, or disconnection from, the public utility infrastructure	\$477.00	\$492.00

Meter testing

	Current fee	Proposed fee
25mm Diameter and under	\$580.00	\$599.00
Over 25mm up to 40mm diameter	\$740.00	\$764.00
Over 40mm diameter	\$885.00	\$913.00

Meter only water connections (Fast Track)

	Current fee	Proposed fee
Public Utility 20mm Manifold Meter Only	\$425.00	\$456.00
Public Utility 20mm Manifold + Meter	\$855.00	\$915.00
Public Utility 20mm Manifold + Meter + Box	\$985.00	\$1,058.00

	Current fee	Proposed fee
Public Utility 20mm Inline Meter +Dual Check Valve	\$730.00	\$781.00
Cast iron meter box (materials only)	245.00	262.00

Boundary devices

Charges for backflow preventers are now targeted rates. Refer to the current Annual Plan or Long Term Plan for current costs.

Special meter reading

	Current fee	Proposed fee
For Special meter readings requested by customers for each meter reading outside the normal reading cycle	\$75.00	\$77.00

The applicant shall arrange for a Water Services licensed contractor to undertake the installation of the connection once approved.

Standpipes metered

	Current fee	Proposed fee
Weekly Hire (minimum charge one week)	\$41.00	\$42.00
Meter Reading - (monthly)	\$88.00	\$91.00

Tanker filling point – Kioreroa and Sime road

	Current fee	Proposed fee
Per Fill	\$29.00	\$30.00

Water consumption rates

	Current fee	Proposed fee
Water Supply Charge	\$40.00	\$57.00
Volumetric Consumption charge- per M ³ (Standard domestic charge)	\$3.38 m ³	\$3.57m ³

Abbreviations and acronyms

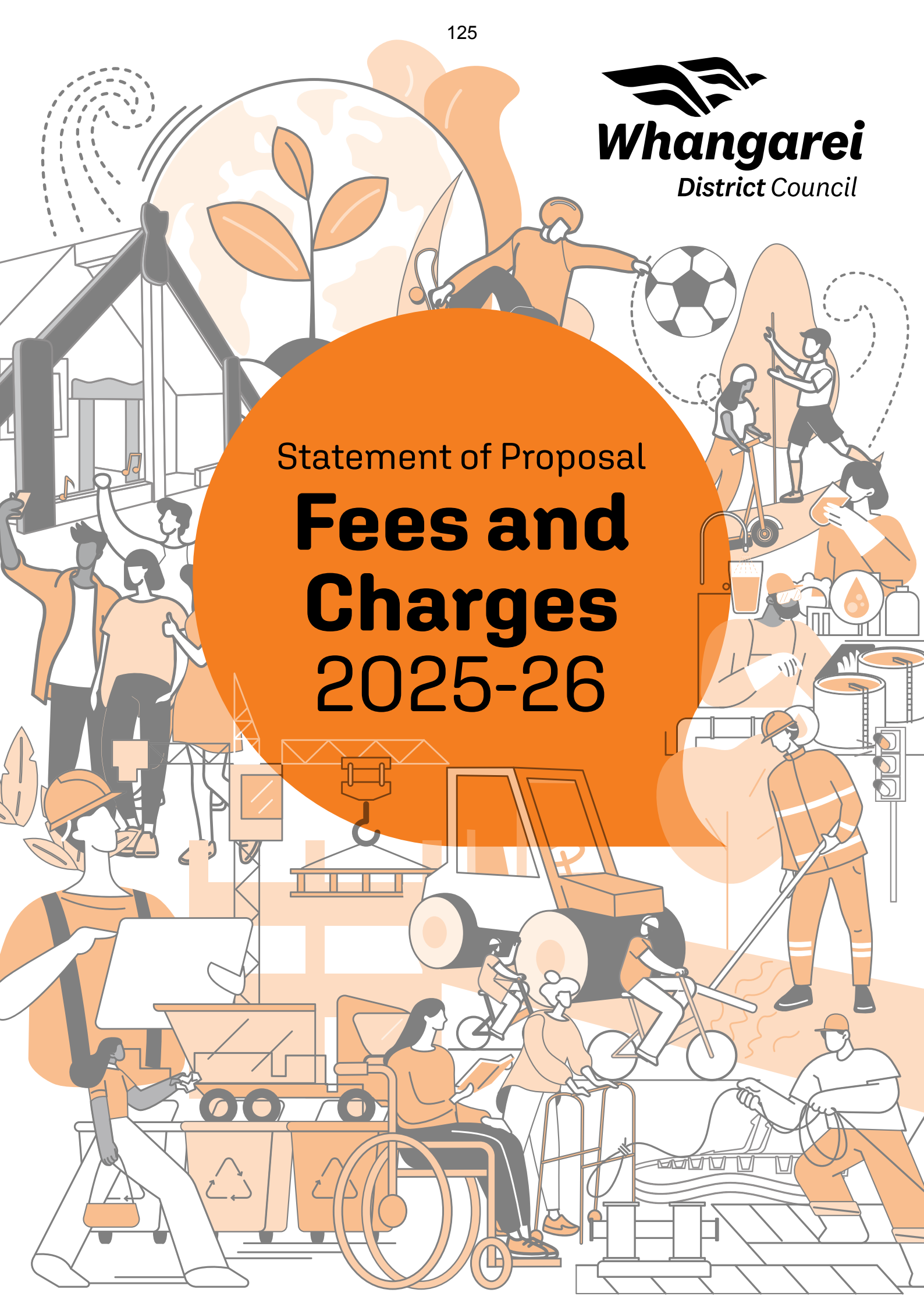
B O D	Biochemical Oxygen Demand
BC	Building Consent
BRANZ	Building Research Association of New Zealand
BWOF	Building Warrant of Fitness
CAR	Health Corrective Action Request
C B O D	Carbonaceous Biochemical Oxygen Demand
CCC	Code Compliance Certificate
COD	Chemical Oxygen Demand
DBH	Department of Building and Housing
GIS	Geographic Information Systems
HPMV	High Productivity Motor Vehicles
IQP	Independent Qualified Person
LIM	Land Information Memorandum
LSI	Langelier Saturation Index
MBIE	Ministry of Building Innovation and Employment
PIM	Project Information Memorandum
PAT	Project Assessment Team
PA	Project Assessment
POA	Price on application
TLA	Territorial Local Authority



Whangarei
District Council

Statement of Proposal

Fees and Charges 2025-26



1. Purpose

Council's vision is to be an inclusive, resilient and sustainable District. This is supported by our four Community Outcomes:

- Thriving local identity.
- Diverse and inclusive culture.
- A great place to call home.
- Sustainable and resilient future

The fees and charges play an important role in the delivery of these outcomes. In order to ensure our fees and charges are robust, we review them annually following Auditor Generals Best Practice Guidelines.

This Statement of Proposal is for fees and charges subject to consultation under Sections 82 and 83 of Local Government Act 2002, for the 2025-26 year.

2. Background

Council provides a wide range of services and functions to the community which have a cost associated with them. Council's Revenue and Financing Policy identifies two sources of funding for the provision of these services and functions being user charges (private good), and rates (public good). Fees and charges are set by Council to recover costs in varying proportion dependant on where the benefit of the service or function is seen to lie. Fees and charges are reviewed in accordance with the following criteria developed by the Office of the Auditor General:

- any charges cannot have a 'profit' component
- the charges should reflect the actual and reasonable costs incurred by Council
- those that gain the benefit of Council's services contribute appropriately to those costs
- costs must be itemised for a number of activities
- fees should be reviewed regularly
- there should be no cross-subsidisation between functions.

3. Summary of changes

The majority of fees include a proposed inflation increase of 3.2%. This is the average Local Government Cost Index (LGCI) derived by Business and Economic Research Ltd (BERL). In accordance with Council's Financial Strategy set as part of Council's 2024-34 Long Term Plan, this is the inflation rate used throughout our 2024-34 Long Term Plan.

Council will apply the current Inland Revenue Department mileage rate per kilometre for mileage charges (applicable to Petrol, Diesel, Hybrid and Electric vehicles).

The following summarises the changes to Council's fees and charges in regards the specific council services that are subject to consultation:

Drainage

Wastewater

Fees and charges for wastewater are authorised under the Wastewater Bylaw.

Majority of existing drainage fees and charges have been increased by the LGCI rate of 3.2% and rounded as shown below.

Services location	Current fee	Proposed fee
Where work is done by Council to locate connections and the connection is found to be within 1.5 meters horizontally and 0.5 meters vertically of the 'as-built' position, work done will be charged at cost.	Actual cost of contractor	Actual cost of contractor

Septage treatment	Current fee	Proposed fee
For disposal and treatment of septage at Council's treatment facility - types 1.02, 1.03 & 1.14*	\$43.59/m ³	\$44.98/m ³
For disposal and treatment of septage at Council's treatment facility - types 1.04 & 14.01*	\$13.11/m ³	\$13.53/m ³

Septage treatment	Current fee	Proposed fee
Consent monitoring hourly rate	\$99.00	\$102.00
Trade Waste uniform annual charge	\$534.00	\$551.00
Trade Waste Consent Application Fee (controlled & conditional)	\$210.00	\$217.00
Trade Waste Consent Application Fee (permitted)	\$73.00	\$75.00

**Liquid and Hazardous Waste Code of Practise (2012)*

Pan charge	Current fee	Proposed fee
Pan charge for discharge of wastewater into Council's wastewater system where connection cannot be charged as targeted rate**	To align with sewerage disposal rate for non-residential properties (targeted rate)	To align with sewerage disposal rate for non-residential properties (targeted rate)

***An approved connection may be provided but as the building is not on land, no certificate of title exists therefore the charge cannot be levied as a rate under the Local Government Rating Act 2002*

Part year wastewater charge	Current fee	Proposed fee
Sewer connection date	(as a % of annual panfee)	(as a % of annual panfee)
Part year wastewater fee for properties connected to the public wastewater system during the year. After connection, properties are charged on 1 July as part of the rates.		

Part year wastewater charge	Current fee	Proposed fee
Sewer connection date	(as a % of annual panfee)	(as a % of annual panfee)
July	92%	92%
August	83%	83%
September	75%	75%
October	67%	67%
November	58%	58%
December	50%	50%
January	42%	42%
February	33%	33%
March	25%	25%
April	17%	17%
May	8%	8%
June	0%	0%

Trade waste

Fees and charges for trade waste are authorised under the Trade Waste Bylaw.

Trade Waste charges have been increased by the LGCI rate of 3.2% as shown below.

Trade waste discharges	Current fee	Proposed fee
By Volume	\$1.82/m ³	\$1.88/m ³
By Total Kjeldahl Nitrogen (TKN)	\$0.91/kg	\$0.94/kg
By Total Suspended Solids (TSS)	\$0.72/kg	\$0.74/kg
By Chemical Oxygen Demand (COD)	\$0.48/kg	\$0.50/kg

Health and Bylaws

Health and Bylaws fees cover a wide range of activities and functions. These include fees relating to Environmental Health (registration of food premises, other registered premises and alcohol licensing), consenting under Gambling and Racing Acts, and contracted services (dog and stock control and various bylaw fees). The fees and charges are reviewed annually, and increases are made to achieve and maintain cost recovery requirements established by Council. The Health and Bylaw activities which require public consultation are included below.

Enforcement related work undertaken by the Council consists of functions generally required by statute, some of which permits cost recovery and others not. In general, cost recovery can be applied where licensing regimes are in place but there are other services provided such as health nuisance, bylaw enforcement and excessive.

Fees have been reviewed against cost recovery requirements of the Revenue and Financing Policy and benchmarked against G9 local authorities, including our neighbours Kaipara and Far North District Councils. Fees are generally in line with those charged by these other local authorities.

Bylaw Enforcement

Proposed fees have been increased by the LGCI rate of 3.2%, except where otherwise provided such as for the seizure of signage where annual increase thus far have not kept up with our actual costs.

Seizure of property under bylaws	Current fee	Proposed fee
Seizure and confiscation of signs under the Local Government Act 2002 and bylaws (fixed fee) - Signs under 1m ²	\$77.00	\$140.00
Seizure and confiscation of signs under the Local Government Act 2002 and bylaws (fixed fee) - Signs over 1m ²	\$156.00	\$300.00

Seizure of property under bylaws	Current fee	Proposed fee
Seizure of other property (hourly)	Actual cost recovery at \$103/hr and mileage per the IRD rate plus any additional specialist contractor's cost	Actual cost recovery at \$106/hr and mileage per the IRD rate plus any additional specialist contractor's cost
Seizure of skateboards, bikes and similar (fixed fee)	\$75.00	\$77.00
Where otherwise not specified any application for a permit, consent or exemption application or request under a Whangarei District Bylaw. Fee is for one hour of processing, with additional time charged at \$197.00 per hour.	\$191.00/hr	\$197.00/hr

Food Premises

Food premises and food related activities are covered by the Food Act 2014.

Hourly rates and most fees have been increased by 3.2% to reflect the LGCI.

Fees for functions under the Food Act 2014

Registration – food control plan	Current fee	Proposed fee
New application for registration of food control plan (fee includes up to 2.75 hours of processing time, supply of thermometer and printed food safety plan)	\$528.00 fixed fee	\$542.00 fixed fee
Fee for additional time in processing the application	\$191.00/hr	\$197.00/hr
Additional food control plan document pack	\$31.00 per pack	\$32.00 per pack
MPI Annual Domestic Food Business Levy- per site (New)*	0.00	\$66.13
Territorial Authorities MPI Collection Fee per- site (New)*	0.00	\$12.65
Thermometer	\$34.00	\$35.00
Registration renewal fixed fee	\$373.00	\$373.00

Registration – national programmes	Current fee	Proposed fee
Application for registration of model issued by MPI of a business subject to a national programme (includes up to 2.75 hours of processing time)	\$528.00 fixed fee	\$542.00 fixed fee
Fee for additional time in processing the application	\$191.00/hr	\$197.00/hr
Additional national programme document pack	\$31.00 per pack	\$32.00 per pack
MPI Annual Domestic Food Business Levy- per site (New)*	0.00	\$66.13
Territorial Authorities MPI Collection Fee per- site (New)*	0.00	\$12.65
Thermometer	\$34.00	\$35.00
Registration renewal fixed fee	\$373.00	\$373.00

**To maintain a strong, robust and agile Food Regulation system, the Government through the Ministry for Primary Industries (MPI) has implemented an “Annual Domestic Food Business Levy” under the Food Act 2014 and through the “Food (Fees, Charges, and Levies) Amendment Regulations 2024”.*

Amendment to registration	Current fee	Proposed fee
Significant amendment to registered food control plan based on a template or model issued by MPI or an amendment to the registration of a business subject to a national programme	\$191.00/hr	\$197.00/hr

Amendment to registration	Current fee	Proposed fee
Fee for additional time in processing application	\$191.00/hr	\$197.00/hr

Verification of food control plan	Current fee	Proposed fee
Verification including site visits and compliance checks with food control plans (includes up to 3.5 hours of processing and traveling time).	\$671.00 fixed fee	\$690.00 fixed fee
Where the verification results in the issue of a Corrective Action Request (CAR), that requires a return visit, then this follow up visit to check remedial actions and every additional visit is subject to additional compliance and monitoring fees.	\$191.00/hr	\$197.00/hr
Fee for additional time of verification activity	\$191.00/hr	\$197.00/hr
Failure to attend scheduled verification	\$191.00/hr	\$197.00/hr
Unscheduled verification	\$191.00/hr	\$197.00/hr

Verification of national programme	Current fee	Proposed fee
A fixed fee for up to 2.5 hours of verification activity for national programmes	\$480.00 fixed fee	\$493.00 fixed fee
Where the verification results in the issue of a Corrective Action Request (CAR), that requires a return visit, then this follow up visit to check	\$191.00/hr	\$197.00/hr

Verification of national programme	Current fee	Proposed fee
remedial actions and every additional visit is subject to additional compliance and monitoring fees		
Fee for additional time of verification activity	\$191.00/hr	\$197.00/hr
Failure to attend scheduled verification	\$191.00/hr	\$197.00/hr
Unscheduled verification	\$191.00/hr	\$197.00/hr

Compliance and monitoring	Current fee	Proposed fee
Complaint driven investigation resulting in issue of improvement notice by food safety officer.	\$191.00/hr	\$197.00/hr
Application for review of issue of improvement notice.	\$191.00/hr	\$197.00/hr
Second and subsequent return to business to check on compliance with CAR.	\$191.00/hr	\$197.00/hr
Monitoring of food safety suitability.	\$191.00/hr	\$197.00/hr

Fees and charges under the Food Businesses Grading Bylaw 2016

	Current fee	Proposed fee
Regrading of premises under the Food Business Grading Bylaw 2016	\$216.00/hr	\$223.00/hr

Gambling and Racing Acts

This fee recovers significant time required to assess and report on matters required by applications for territorial authority consent under policies which Council must adopt and maintain under the Gambling Act 2003 and Racing Industry Act 2020. This includes assessment of social impact reports and reporting to Council on complex matters relating to gambling harm.

The deposit and associated hourly rates have been increased by 3.2%.

	Current fee	Proposed fee
Application for TLA Consent under the Gambling Act 2003 (s 99) and Racing Industry Act 2020 (s 94) - Deposit provides for a maximum of 14 Hours of Processing	\$3,395.00	\$3,504.00
Additional processing time	\$241.00/hr	\$249.00/hr

Fees for functions under the Health Act 1956: Registered Premises

These activities are licensed by council under the Health Act 1956. The proposed fees have been increased by the LGCI of 3.2% except where otherwise provided.

Funeral directors	Current fee	Proposed fee
On application (annual fee) and renewal	\$256.00	\$256.00

Funeral directors	Current fee	Proposed fee
Transfer	\$71.00	\$73.00

Mortuary	Current fee	Proposed fee
Mortuary Operator-On application (annual fee) and renewal	\$272.00	\$281.00
Transfer	\$71.00	\$73.00

Hairdressers	Current fee	Proposed fee
On application (annual fee) and renewal	\$226.00	\$233.00
Transfer	\$71.00	\$73.00

Camping grounds	Current fee	Proposed fee
On application (annual fee) and renewal	\$396.00	\$396.00
Transfer	\$71.00	\$73.00

Offensive trades	Current fee	Proposed fee
Offensive trade	\$272.00	\$272.00
Transfer	\$71.00	\$73.00

Miscellaneous	Current fee	Proposed fee
Consultation work including inspection undertaken by request and inspections under the Health Act 1956	Hourly rate of 191.00/hr plus mileage per IRD rate	Hourly rate of 197.00/hr plus mileage per IRD rate

Public places bylaws

Licences issued under any Whangarei District Council bylaw

The proposed fees have been increased by the LGCI of 3.2% except where otherwise provided.

These are annual fees unless otherwise stated	Current fee	Proposed fee
Any application for a permit, consent, exemption, or request under a Whangarei District Council Bylaw, includes up to one hour of processing time. Additional time will be charged at \$211.00 per hour	\$191.00/ site or application	\$211.00/ site or application
Alfresco dining application fee	\$265.00	\$273.00
Alfresco dining monitoring fee	\$146.00	\$151.00
Animal powered vehicle license	\$213.00	\$220.00

Resource Management Act

Resource management administrative charges

Generally there are two components to the fees and charges. The first is the fixed initial deposit charge ('lodgement fee') which is required to be paid when lodging an application. The second component is the hourly rate each staff position is charged out at.

For the 2025-26 year deposit charges (lodgement fees) are proposed to be kept largely at existing levels, with only two amendments proposed:

- An increase of the deposit for Non-notified Notices of Requirement (under section 168, 168A and 181 of the RMA 1991) from \$2,500 to \$3,000.
- A new deposit fee of \$1,000 is also proposed to cover the cost of processing a request for Removal/ Partial Removal of Designation by a requiring authority (under s182 of the RMA). These fees are proposed to cover staff time assessing this request against the requirements of the Resource Management Act 1991, preparing an associated report and updating the designation text and mapping in the District Plan.

For the 2025-2026 it is proposed that the hourly rates are increased by 3.2% as per the Local Government Cost Index. This will support a consistent trend in the level of recovery within the department, buffering inflationary costs in the approaching financial year.

All fees and charges are DEPOSITS unless otherwise stated	Current fee	Proposed fee
You will be charged a final processing fee when council has reached a decision on your application. Interim billing may also occur. The processing charge covers tasks such as site visits, report preparation, information searches and input from other council staff. Mileage is also charged.		
Applications under the Resource Management Act as follows: • Non-notified or Limited Notified Resource Consent applications (Land Use and /or Subdivision)	\$2,500.00	\$3,000.00

All fees and charges are DEPOSITS unless otherwise stated	Current fee	Proposed fee
Non notified or Limited Notified Notices or Requirements for designations and alterations to existing designations under Sections 168, 168a and 181		
Removal or Partial Removal of Designation by requiring authority under section 182 of the RMA (New)	0.00	\$1,000.00
Applications under the Resource Management Act as follows: Applications for Certificates - Section 139/139A	\$2,000.00	\$2,000.00
Applications requiring public notification under the Resource Management Act Note: Where a determination is made requiring notification of an application where \$2,500.00 advance fees have already been paid, council will require an additional \$8,000.00 advance fee to be paid before public notification proceeds.	\$10,500.00	\$10,500.00
Applications under the Resource Management Act as follows: - Non- notified or Limited Notified Change or Cancellation of Consent Condition/s under Section 127 - Extension of time under Section 125 - Review of Consent Condition/s under Section 128 - Vary or cancel of consent notice under Section 221(3)	\$1,500.00	\$1,500.00

All fees and charges are DEPOSITS unless otherwise stated	Current fee	Proposed fee
Applications under the Resource Management Act as follows: • Outline Plan s176A	\$1,250.00	\$1,250.00
• Certification that Subdivision complies with District Plan under Section 226 • Cancellation of covenant against transfer of allotment & Cancellation of Amalgamation of allotments under Sections 240(4) and 241 • Grant, Surrender, Transfer, Vary or Cancel Easements under Section 243 • Applications under section 100 of the Sale and Supply of Alcohol Act 2012 • Applications under sections 327A (Cancellation of Building Line Restriction) and 348 (Creation of right-of-way easement) of the Local Government Act • Applications under sections 94 and 114 (Conservation Covenants) of the Reserves Act • Applications under the First Schedule of the Overseas Investment Regulations 1995	\$1,000.00	\$1,000.00
Application for Boundary Activity under section 87B	\$750.00 (Set Fee)	\$750.00 (Set Fee)
Application for Marginal or Temporary Activity under section 87BB	\$750.00 (Set Fee)	\$750.00 (Set Fee)
Applications under the Resource Management Act as follows:	Actual and reasonable cost	Actual and reasonable cost

All fees and charges are DEPOSITS unless otherwise stated	Current fee	Proposed fee
• Approval of Survey Plan under Section 223 • Completion Certificate for subdivision under Section 224 • Surrender of Consent under Section 138 • Outline Plan Waiver s176A(2)(c) • Monitoring of NES permitted activities		
Pre-Application meetings with Council staff Applicants can request to meet relevant Council staff to discuss potential resource consent matters prior to preparing and lodging an application, in accordance with Councils Pre-Application meetings process	One pre-application meeting free of charge*. All meetings requested thereafter (including preparation and follow-up) will be charged at actual and reasonable costs	One pre-application meeting free of charge*. All meetings requested thereafter (including preparation and follow-up) will be charged at actual and reasonable costs
Rejection of Application with the information Requirements of Schedule 4 Council will charge actual and reasonable costs at the relevant hourly rate in the event that any application lodged is required to be rejected because it does not comply with the information requirements of Schedule 4.	Actual and reasonable costs	Actual and reasonable costs

All fees and charges are DEPOSITS unless otherwise stated	Current fee	Proposed fee
Hours over the above deposit, plus mileage, and disbursements (which may also involve work by other specialist planning, parks and engineering staff), will be charged at a rate specified in Council's Professional Fee Schedule. Consultants will be on-charged at actual costs.	See proposed Professional Fees Schedule pages 24-27	See proposed Professional Fees Schedule pages 24-27
Potential contaminants site search (file review only) residential (allowance of two (2) hours only)	\$384.00	\$400.00
Potential contaminants site search (file review only) - commercial (allowance of three (3) hours only)	\$575.00	\$600.00

**This includes all meeting preparation, staff attendance, and any follow-up actions undertaken by Council staff as a result of the first meeting. It does not include the cost of any technical assessments required by third parties acting on behalf of Council (i.e. use of consultants).*

Notes

All figures are standard fees inclusive of GST; the final fee in any one application will be determined by the Resource Consents Manager or his/her appointee.

Council reserves the right to interim invoice applications where significant costs have been incurred over a period of one month or more without progress on the application.

- Hearings required for any resource consent or other permission will be charged at actual cost.
- Cost of third party/hearings commissioners will be charged at actual cost.
- All staff will be charged at the rate specified in Council's Professional Fee Schedule and Consultants will be on-charged at actual cost.
- Miscellaneous charges will be charged at the rate specified in Council's Professional Fee Schedule and Consultants will be charged at actual cost.
- All costs will be itemised.

Private plan change

All fees and charges are DEPOSITS unless otherwise stated. Processing may require further charges that exceed the initial lodgment deposit.

There are two components to the fees and charges. A fixed deposit charge which is required to be paid at each stage of the plan change process: on receipt of request to change the plan; before commencement of notification; and before commencement of hearing. The second component is the hourly rate each staff position is charged out at.

For the 2025-26 year, changes are proposed to the charges and hourly rates as follows:

- Hourly rates are increased to reflect a 3.2% increase in costs in accordance with the LGCI.
- Private Plan Change fee (deposit) to include a 'complex' and 'non-complex' category per stage of the plan process with the fee set per stage at \$20,000 for non-complex plan change and \$50,000 for complex plan change.

	Current fee	Proposed fee
Non-Complex Private Plan Change - on receipt of a request to change the Plan	\$20,000.00	\$20,000.00
Non-Complex Private Plan Change - before commencement of notification	\$20,000.00	\$20,000.00
Non-Complex Private Plan Change - before commencement of a hearing	\$20,000.00	\$20,000.00
Complex-Private Plan Change - before commencement of notification (new)	0.00	\$50,000.00
Complex-Private Plan Change - before commencement of a hearing (new)	0.00	\$50,000.00
Complex-Private Plan Change - on receipt of a request to change the Plan (new)	0.00	\$50,000.00

	Current fee	Proposed fee
Disbursements	At cost charged to department by provider	At cost charged to department by provider
Hourly rates charged in six-minute intervals. Hours over the above advance deposit fee and mileage, plus disbursements, which may also involve work by other specialist planning, parks and engineering staff will be charged at the rate specified in Council's Professional Fee Schedule.	See proposed Professional Fees Schedule pages 24-27	See proposed Professional Fees Schedule pages 24-27
Pre-Application meetings with Council staff Applicants can request to meet relevant Council staff to discuss a proposed private plan change prior to preparing and lodging an application, in accordance with Councils Pre-Application meetings process.	Free of charge	One pre-application meeting free of charge*. All meetings requested thereafter (including preparation and follow-up) will be charged at actual and reasonable costs

**This includes all meeting preparation, staff attendance, and any follow-up actions undertaken by Council staff as a result of the first meeting. It does not include the cost of any technical assessments required by third parties acting on behalf of Council (i.e. use of consultants).*

Hearings required for any plan change

Any and all costs of third party or independent Commissioners will be recoverable as well as the cost associated with the hearing (i.e. staff time, consultant's costs, venue hire, printing).

When a Councillor is appointed as a Hearings Commissioner the cost set by Regulation will be charged.

All figures are standard fees inclusive of GST, the final fee in any one change to the District Plan will be determined by the District Plan Manager or his/her appointee.

In the case where a consultant(s) is required, Council will charge the actual and reasonable costs incurred by the consultant, plus 5% for supervision and administration.

Notes

Private plan changes may be processed by consultants. In this situation, an applicant will be asked to undertake, at the submission stage, to pay the full cost of such processing in addition to the normal cost of Council to process its part of the application. Fees are charged to defray the cost of:

- a) Initial receipt of the application
- b) Cost of allocation of the application and distribution of information
- c) Site visits
- d) All professional and administrative staff costs at the hourly rate, mileage and disbursements in handling the application
- e) Request for additional information and review or peer review such information
- f) Notification procedure
- g) Summarising submissions and input into database
- h) Notification of submissions for further submissions
- i) Summary of further submissions and input into database
- j) Preparation of staff report to a Hearings Committee and/or Council
- k) Preparation of hearing, notices, hall hire, appointment of commissioners, etc
- l) Attendance and any cost of hearings plus secretarial services
- m) All cost of the hearing including full cost of independent commissioners
- n) Preparation and finalising the Hearings Committee's recommendation to Council
- o) Submission to Council of the hearings report and cost of any subsequent requirements of Council
- p) Updating of database with all the decisions of Council on submissions
- q) Distributing decision replies to all submitters
- r) Council may on-charge cost of an appeal where the decision of Council was in favour of the applicant, but was appealed by a submitter
- s) All costs will still be payable notwithstanding the outcome of the application, i.e., if an application is declined or only partially accepted/adopted/granted the cost still must be recovered
- t) Cost can be reduced if all information is provided electronically and distributed electronically where applicable.

Professional fees schedule

Council professional fees are proposed to increase by the average LGCI of 3.2%.

Hourly rates charged in 6 minute intervals	Current fee	Proposed fee
Manager, Infrastructure Development Manager, Waste and Drainage Manager, Parks and Recreation Manager, Infrastructure Planning Manager, Infrastructure Capital Programs Manager, Roading Manager, District Plan Manager, Health and Bylaws Manager, Building Control Manager, Libraries Manager, Water Services	\$241.00	\$249.00
Manager, RMA Consents	\$227.00	\$234.00

Hourly rates charged in 6 minute intervals	Current fee	Proposed fee
Senior Water Technician Infrastructure Asset Engineer Infrastructure Project Engineer Infrastructure Senior Engineer Team Leader Asset Planning Distribution Engineer Team Leader Development Contributions Solid Waste Engineer District Plan Specialist Senior Planner (District Plan & Consents) Team Leader Development Engineering Senior Development Engineering Officer Development Engineer Engineering Officer, Water Asset Engineer, Water Waste and Drainage Engineer Waste and Drainage Asset Engineer Wastewater Projects Engineer Senior Building Controls Officer Team Leader Building Team Leader Infrastructure Planning Team Leader Landscape Architects Waste and Drainage Engineer Waste and Drainage Asset Engineer Wastewater Projects Engineer Senior Building Controls Officer Team Leader Building Team Leader Infrastructure Planning Team Leader Landscape Architects Team Leader Environmental Health Manager, Cemetery and Botanica Senior Asset Engineer	\$216.00	\$223.00

Hourly rates charged in 6 minute intervals	Current fee	Proposed fee
RMA Planning Specialist Team Leader – Property Assessment Team Team Leader RMA Consents Senior Specialist Resource Consents Senior Planner (consents)	\$204.00	\$211.00
Engineering Officer (Drainage and Water) Strategic Asset Coordinator - Parks Infrastructure Technical Officer Senior Roading Engineer (Traffic and Parking) Traffic Projects Engineer Building Control Officer Approvals and Compliance Officers (Building Control) Architect/Urban Designer Environmental Health Officer Property Assessment Officer Planner (District Plan and Consents) Landscape Architect Post-Approval Subdivision Officer Development Contributions Coordinator Infrastructure Planner Development Engineering Officer	\$191.00	\$197.00
Team Leader RMA Support Compliance Officer (RMA Consents) Planner (RMA Consents) Team Leader RMA Approvals and Compliance	\$181.00	\$187.00
Infrastructure Asset Systems Technician Compliance Officer (Regulatory Services)	\$166.00	\$171.00
Planning Assistant (RMA Consents)/Support Assistant (District Plan/Health and Bylaws/Building Processing) Building Administrator (BCA and TA)	\$113.00	\$117.00

Hourly rates charged in 6 minute intervals	Current fee	Proposed fee
Planning Assistant (RMA Consents)	\$107.00	\$110.00
Mileage	Per IRD rate	Per IRD rate
Disbursement	At cost charged to department by provider	At cost charged to department by provider

Monitoring and land use consent conditions- RMA

Fees are set under the Resource Management Act 1991 to reflect the cost of monitoring resource consents. The proposed fees are to increase by LGCI of 3.2%.

	Current fee	Proposed fee
Deposit invoiced at the time a resource consent decision is issued. Should the cost of monitoring (based on Council staff hourly rates and mileage) exceed the deposit and invoice will be issued for the additional amount.		
Residential Deposit	\$425.00	\$439.00
Commercial Deposit	\$610.00	\$630.00
Hour over and above advance fee and mileage, which may also involve work by other specialties planning, park and engineering staff will be charged at a rate specific in Council's Professional Fee Schedule plus any additional specialist contractor cost	See proposed Professional Fees Schedule pages 24-27	See proposed Professional Fees Schedule pages 24-27

Abatement notices

	Current fee	Proposed fee
Charge applied to issue an abatement notice	\$150.00	\$155.00
Charge to cover seizure, impounding, transporting and storing of property under Section 366, Resource Management Act 1991	\$245.00	\$253.00

Rubbish disposal

Rubbish disposal fees are set according to the Waste Minimisation Act 2008 and are set at a rate to recover costs or to encourage behaviour that helps to meet the goals of the Council's Waste Management and Minimisation Plan. Specifically, fees are set according to clause 2.9.1 of the Solid Waste Management Bylaw.

Waste Minimisation Act 2008

Section 46 Funding of plans (waste management and minimisation plan)

“(1) A territorial authority is not limited to applying strict cost recovery or user pays principles for any particular service, facility, or activity provided by the territorial authority in accordance with its waste management and minimisation plan.

(2) Without limiting subsection (1), a territorial authority may charge fees for a particular service or facility provided by the territorial authority that is higher or lower than required to recover the costs of the service or facility, or provide a service or facility free of charge, if—

(a) it is satisfied that the charge or lack of charge will provide an incentive or disincentive that will promote the objectives of its waste management and minimisation plan; and

(b) the plan provides for charges to be set in this manner.”

Section 53 Proceeds from activities and services must be used in implementing waste management and minimisation plan.

“A territorial authority may sell any marketable product resulting from any activity or service of the territorial authority carried out under this Part, but any proceeds of sale must be used in implementing its waste management and minimisation plan.”

In most instances, fees are proposed to increase by LGCI of 3.2%.

Rubbish service at kerbside	Current	Proposed fee
Recycling crate urban* delivery	\$15.00	\$15.00
Recycling crate rural* delivery	\$20.00	\$20.00
Replacement recycling crate	\$18.00	\$19.00
Official rubbish bag (65-litre) or sticker	\$4.00	\$4.20
Small rubbish bag (35-litre)	\$2.00	\$2.10

* Urban delivery would include post code areas 0110 and 0112

* Rural include all other post code areas in the District as long as they are on a collection route.

Rubbish services at all WDC transfer stations	Current fee	Proposed fee
Standard rubbish bag (65 litre) - rubbish	\$4.00	\$4.20
Standard rubbish bag (65 litre) - vegetation	\$3.00	\$3.10
Small rubbish bag (35 litre) - rubbish	\$2.00	\$2.10
Car boot - rubbish	\$28.00	\$29.00
Car boot - vegetation	\$16.00	\$17.00
Station wagons, people movers - rubbish	\$50.00 per m ³	\$52.00 per m ³

Rubbish services at all WDC transfer stations	Current fee	Proposed fee
Station wagons, people movers - vegetation	\$25.00 per m ³	\$26.00 per m ³
Utes, vans, 4 wheel drives - rubbish	\$50.00 per m ³	\$52.00 per m ³
Utes, vans, 4 wheel drives - vegetation	\$25.00 per m ³	\$26.00 per m ³
Trailers - rubbish	\$50.00 per m ³	\$52.00 per m ³
Trailers - vegetation	\$25.00 per m ³	\$26.00 per m ³
Loaded vehicle plus loaded trailer - rubbish	\$50.00 per m ³	\$52.00 per m ³
Vegetation per ton	\$126.00	\$130.00
Televisions/screens/other e-waste	\$22.00	\$23.00
Whiteware/gas bottles (de-gassing)	\$17.00	\$18.00
Earthmover tyres	Not accepted	Not accepted
4WD and light commercial tyre	\$14.00	\$14.50
Tractor tyre	\$55.00	\$57.00
Car tyre	\$9.00	\$9.50
Truck tyre	\$28.00	\$29.00

Rubbish services at all WDC transfer stations	Current fee	Proposed fee
Tyres on rim	As above + \$3.50	As above + \$3.50
Rubbish per ton	\$290.00	\$299.00
Public Use of Weighbridge	\$17.00	\$18.00
Clean Rubble, concrete, bricks per ton	\$215.00	\$222.00

Water supply

Fees and charges for water are authorised under the Water Supply Bylaw.

Fees have been increased to more accurately reflect the costs involved, as provided below.

Application to connect to public water network	Current fee	Proposed fee
Service connection to or disconnection to the public utility infrastructure.	\$477.00	\$492.00

Meter testing	Current fee	Proposed fee
25mm diameter and under	\$580.00	\$599.00
Over 25mm up to 40mm diameter	\$740.00	\$764.00
Over 40mm diameter	\$885.00	\$913.00

Meter only water connections	Current fee	Proposed fee
20mm manifold meter only	\$425.00	\$456.00
20mm manifold + meter	\$855.00	\$915.00
20mm manifold + meter + box	\$985.00	\$1,058.00
20mm In line meter + dual check valve	\$730.00	\$781.00

Meter only water connections	Current fee	Proposed fee
Cast iron meter box (materials only)	\$245.00	\$262.00

The applicant shall arrange for a Water Services licensed contractor to undertake the installation of the connection once approved

Special meter reading	Current fee	Proposed fee
For special meter readings requested by customers for each meter reading outside the normal reading cycle	\$75.00	\$77.00

Standpipes metered	Current fee	Proposed fee
Meter reading - (Monthly)	\$88.00	\$91.00
Weekly hire (minimum charge one week)	\$41.00	\$42.00

Tanker filling point – Kioreroa and Sime road	Current fee	Proposed fee
Per fill	\$29.00	\$30.00

Water consumption rates	Current fee	Proposed fee
Volumetric Consumption Charge per cubic metre (m ³)	\$3.38m ³	\$3.57m ³

Water consumption rates	Current fee	Proposed fee
Water Supply Charge	\$40.00	\$57.00

Boundary back flow devices

Charges for backflow preventers are targeted rates. Refer to the current Annual Plan or Long Term Plan for current costs.

4. Submission process

Consultation on this policy will be publicly notified on Council's website. People interested in the proposal will be able to present their views during a formal submission period 31 March to 30 April 2025. This will be followed by formal hearings where any submitter may choose to speak to their submission.

This statement of proposal includes tables of the proposed Fees and Charges for the 2025-26 Financial year. Details on how to make a submission, can be found at www.wdc.govt.nz

Information on the consultation and submission process can also be found on the WDC Website.

Have your say

**The closing date for feedback is 5pm
on Wednesday 30 April 2025.**

Points to remember when making a submission

- Please print clearly. The form should be easy to read and be understood, and may need to be photocopied.
- Please ensure that you provide appropriate contact details so that we can respond to you following the conclusion of the process.
- All submissions are considered public under the Local Government Official Information and Meetings Act, and may be published and made available to elected members and the public.
- The collection and use of personal information by Whangarei District Council is regulated by the Privacy Act 2020. www.wdc.govt.nz/Privacy
- Your submission will not be returned to you once it is lodged with Council. Please keep a copy for your reference.

How to get this form to us

Online:

www.wdc.govt.nz/HaveYourSay

In person:

By visiting Customer Services at either:

- Te Iwitihi, 9 Rust Avenue, Whangārei
- Ruakākā Service Centre, Takutai Place, Ruakākā

or by phoning 09 430 4200 or 0800 932 463 and one of our friendly Customer Services staff will fill out this form for you over the phone.

By post:

Fees and Charges 2025-26 feedback
Whangarei District Council
Private Bag 9023
Te Mai
Whangārei 0143

By email:

FeesandCharges@wdc.govt.nz

The closing date for feedback is 5pm on Wednesday 30 April 2025

Want to tell us more in person?

If you would like to speak to your submission you must register your interest during the submission period. The dates for Hearings will be confirmed but are likely to be early May 2025. We'll be in touch to confirm the dates and times.

If you wish to speak, please fill in either your email address or phone number below, so we can contact you about your hearing date and time. We will only use these details to contact you about the hearing.

Phone number to contact you about hearings:

7.5 Annual Plan 2025-26 Consultation Document with Supporting Documents

Meeting: Whangarei District Council
Date of meeting: 27 March 2025
Reporting officer: Aaron Taikato – General Manager, Strategy and Democracy

1 Purpose / Te Kaupapa

To consider and adopt the Consultation Document and Supporting Documents for the draft Annual Plan 2025-26, which are required for consultation with the community.

2 Recommendations / Whakataunga

That Council:

1. Agrees on the consultation issues for the draft 2025-26 Annual Plan, which include:

New Stormwater Targeted Rate

- a. **OPTION 1:** Introduce a targeted District-wide universal rate of \$0.0003696 per dollar of land value. This would work out to be an average cost of \$180 per household. **(preferred)**
- b. **OPTION 2:** Introduce a District-wide universal rate of \$172 per separately used or inhabited parts (SUIP) of a rating unit. A SUIP refers to any part of a property that is used for a different purpose or inhabited by someone (i.e. if you had two homes on one property, you would be charged twice).

Reducing the Uniform Annual General Charge

- a. **OPTION 1:** From 2025-26, Council reduces the UAGC from \$909 to \$500. This would relieve some of the rate burden for lower value property owners. **(preferred)**
- b. **OPTION 2:** Council leaves the UAGC at \$909 in line with what was set in the 2024-34 Long-Term Plan. This would see the share of rates paid by lower and higher value properties remain the same as what we have today.

2. Either;

- I. Consults on a grant targeted at relief for Farmed, Business Zoned Land, seeking feedback on the following options:
 - a. **OPTION 1:** Increase Commercial & Industrial and Rural rates by 1.2% to provide temporary relief to owners of business-zoned property used for farming. Support will be

available for a maximum of three years, after which landowners will transition to full business-zone rates.

- b. OPTION 2: Do not provide temporary relief to owners of business-zoned property used for farming. This would mean properties would continue to be rated within their current zoning with no relief provided. Under this option, the additional 1.2% rate increase for Commercial & Industrial and Rural rates will not be needed to fund the proposed business-zone rates adjustment.

OR

- II. Not adopt financial relief through a Farmed Business Zoned Land Grant, instead supporting engagement with central government on Special Economic Zones (SEZs) to address long-term development challenges **(staff recommendation)**.
3. Adopts the consultation document (Attachment 1) and consultation supporting documents (Attachment 2) for the draft 2025-26 Annual Plan.
 4. Authorises, through the Chief Executive, any necessary drafting, administrative, typographical or presentation corrections prior to printing and distribution, including any updates required prior to finalising the Consultation Documents. This includes any changes required from decisions made within this meeting, including those relating to the proposed Farmed Business-Zoned Land Grant Provision.
 5. Notes that budgets will need to be prioritised to manage impacts of high risk unbudgeted opex, and to identify any possible savings going forward. Where prioritisation has the potential to materially impact on service delivery it will be brought back to Council.

3 Background / Horopaki

The Annual Plan 2025-26 (AP26) represents Year 2 of the Long-Term Plan 2024-34 (LTP). Council is not required to consult formally on Annual Plans unless those Plans propose significant or material differences from the LTP or unless the consultation has been signposted in the LTP (refer to the Stormwater targeted rate).

At the Council Briefing held on 13 March 2025, Council supported the consultation process for the Annual Plan 2025-26 and the key consultation issues. Council has been steadfast in their direction to adhere as closely as possible to Year 2 of the LTP and remain committed to achieving the financial principals that formed the basis of that plan.

Council is also required to prepare a separate Water Services Delivery Plan (WSDP) as part of Local Waters Done Well (LWDW). Subject to Council approval in this meeting, Council can consult on the LWDW consultation document at the same time as the AP26. Should the Local Water Done Well consultation document not be adopted at this time, the difference in timeframes for delivering the two plans means that consultation on the AP26 must proceed as scheduled (31 March to 30 April 2025). This is in order to meet the AP26 adoption deadline of 30 June 2025. Delivery of the WSDP falls at a later date and Council has noted that the WSDP will not impact the approach for the Annual Plan.

4 Discussion / Whakawhiti kōrero

Council remains committed to delivering a 'back to basics' plan for the 2025-26 financial year ahead. The focus is on looking after what we've got instead of taking on big projects, unless they are legislated by Central Government or needed to support growth. Priorities include fixing roads, looking after our parks and reserves, and taking care of our water and waste pipes and community facilities.

4.1 Funding

Funding remains an issue. While the rate of inflation has eased, costs remain high Council is working hard to make the most of every ratepayer dollar, committing to the path set out in the 10-year LTP and working towards making sure income covers the cost of running the District.

The senior leadership team (SLT) compiled and reviewed a list of high-risk opex which was appended to the Briefing report and discussed on 5 December 2024 and 18 February 2025. This is a significant list of items that haven't been included in the draft budget. Given the back to basics focus of Council, budget increases were not requested for the high-risk items, which will have to be factored into existing budgets if they are to proceed. Transparency and commitment to the budgeting and rating plans of the LTP were the basis of this reporting. However, it must be recognised that Council faces serious challenges trying to find a way to fund these critical items. In addition the financial impacts of any legal proceedings associated with fluoridation have not been included in the draft Annual Plan.

Council has recommitted to the course of action, parameters (e.g. debt reduction) and financial principles that formed the basis of the LTP. The following rates increases are aligned to Year 2 of the plan:

Rate	Increase
General	10.7%
Water	5.7%
Wastewater	3.2%
Flood Protection	3.2%
Stormwater	Consult on a district-wide targeted rate determined by the rating unit's land value.
Taumata Arowai & Commerce Commission levy	Added to water, wastewater and stormwater targeted rates to cover the costs of the new levy.

Growth for general rates has been allowed for at 1.3%.

4.2 Adjustments to how Council calculates rates

Council has reviewed how rates are calculated to ensure they are still set in the fairest way. While most calculations will remain the same, there are a few proposed adjustments for 2025-26 that Council will seek feedback on.

4.3 New stormwater targeted rate

Councils are expecting sharp increases in the cost and expectations for managing stormwater. Stormwater management is crucial for preventing flooding, protecting water quality, and maintaining the overall health of our environment, and more must be invested in infrastructure to manage and lessen the impact of stormwater on communities.

Stormwater costs were funded through debt in 2024-25. This decision formed part of the LTP and bought time to work out the fairest way to fund stormwater management while awaiting clarity from the Government about their plans for Local Water Done Well.

Council is proposing a stormwater targeted rate to ensure there is a dedicated and sustainable funding source to cover the costs of maintaining and upgrading stormwater infrastructure. The stormwater rate will fund the maintenance and improvement of stormwater systems, including drains, pipes, and retention basins. It will also support projects aimed at reducing flood risks and improving water quality in our rivers and streams.

The proposed universal rate would result in an average annual charge of \$180 per household. This charge is designed to be fair and equitable, ensuring that all residents contribute to the essential services that benefit the entire community.

Council will seek feedback on:

Option 1 (preferred): Introduce a District-wide universal rate of \$0.0003696 per dollar of land value. This would work out to be an average annual cost of \$180 per household.

Option 2: Introduce a District-wide universal rate of \$172 per separately used or inhabited parts (SUIP) of a rating unit. A SUIP refers to any part of a property that is used for a different purpose or inhabited by someone (i.e. if you had two homes on one property, you would be charged twice).

4.4 Reducing the Uniform Annual General Charge (UAGC)

The Uniform Annual General Charge (UAGC) is a fixed charge on each property and paid by all ratepayers. When the UAGC is lowered, owners of higher-value properties pay a higher share of the District's costs so reducing the UAGC would provide rate relief for owners of lower-value properties.

Council will seek feedback on:

Option 1 (preferred): From 2025-26, Council reduces the UAGC from \$909 to \$500. This would relieve some of the rate burden for lower value property owners. However, this would see an offsetting increase in rates for higher value properties, which will be material for very high-value properties.

Option 2: Council could leave the UAGC at \$909 in line with what was set in the 2024-34 LTP. This would see the share of rates paid by lower and higher value properties remain the same as what we have today.

Samples of properties applying UACG at \$909 (status quo) and \$500 are included in Attachment 3.

4.5 Relief for farmed, business-zoned landowners

Through the rates review process Council considered the potential for a contestable business Grant to assist some of the District's ratepayers who own high-value land that is currently used for farming but is zoned for business use, and/or is not able to be serviced by Council infrastructure. In working through the options for relief Council's preference was to look at a temporary Grant rather than making changes to the rating system.

A briefing was held with councillors on 18 February 2025 where the option of a Farmed Business Zoned Land Grant was worked through. Feedback from councillors was then used to refine draft criteria.

In a subsequent workshop staff provided a high level indication of the properties that could be eligible (likely to be a small number given the proposed criteria and the proposed budget allocation), along with the rating impacts of funding a contestable Grant. At that time Council considered an alternative proposal to actively support Government proposals for a Special Economic Zone, if progressed by Cabinet. These options are briefly discussed below.

Farmed Business Zoned Land Grant

Any Grant will be funded by ratepayers in the Commercial & Industrial and Rural sectors and equates to an additional 1.2% general rates increase for ratepayers in these sectors.

A Grant is intended to provide relief to landowners who were impacted by a 2021 change in rating policy. This change resulted in the commercial and industrial differential being applied to all business-zoned properties, including those used for farming.

Most properties significantly affected by this change are in the Marsden Point area. These properties saw an increase in their land rates of up to 563% following a large lift in their land value after the 2021 general revaluation.

In proposing the Grant Council sought to target it to land that (amongst other things) was owned at the time of the rating change, continues to be farmed and/or is not able to be developed due to a lack of capacity.

It is proposed that the Grant be available for three years*, with more detailed/refined criteria, processes and conditions being brought back to Council for adoption if the proposal is supported following consultation:

Year	Grant amount (\$)
2025-26	Up to 500,000
2026-27*	Up to 350,000
2027-28*	Up to 250,000

*Note, future years are subject to decision making and the allocation of funding/rates through applicable the Annual Plan and/or Long Term Plan processes of the next Council.

Support for a Special Economic Zone

Special Economic Zones (SEZs) are currently under consideration by Cabinet as a tool to support economic growth in strategically important areas. SEZs are designed to create business-friendly environments through targeted regulatory, infrastructure, and investment support. The government has specifically identified Marsden Point as a potential SEZ location, citing its importance for energy security and economic development.

If implemented, SEZs could provide financial and regulatory incentives to accelerate development and address infrastructure constraints, reducing barriers currently faced by landowners in the area. While not providing the targeted relief that would be available under a grant this could work to address the intent of providing relief to landowners who have been affected by lack of infrastructure restricting development opportunities. If Northland is selected to participate in the Regional Deals process, negotiations could involve both financial and regulatory relief within this area.

Next steps in supporting this initiative could include:

- Expressing formal support for the government's SEZ proposal and committing to work with central government on its development.
- Engaging with relevant ministers and agencies to ensure that the needs of affected landowners are considered in SEZ planning.
- Continuing to advocate for infrastructure investment and business development incentives within Marsden.

SEZs present an opportunity to address wider development challenges and opportunities in Marsden through a broader, government-backed solution. Should SEZs proceed, Council could then determine whether additional funding mechanisms are required to support development within the zone at a later date. However, any subsequent negotiations with Government would need to ensure that Whangarei is no worse off.

Options:

In working through these options with councillors a mix of views were expressed, with no clear preference emerging for the Annual Plan Consultation Document. As such staff committed to present both options for consideration along with a recommendation from staff. The options are broadly summarised as:

Option		Pros	Cons
1	Adopt financial relief through a contestable Farmed Business Zoned Land Grant, consulting on the following: Option 1 (preferred). Increase Commercial & Industrial and Rural rates by 1.2% to provide temporary relief to owners of	Provides immediate, targeted relief to affected landowners. Addresses short-term financial pressure while infrastructure constraints remain. Structured to avoid incentivising land banking.	Requires funding from other ratepayers, increasing costs for the Commercial & Industrial and Rural sectors. Does not address long-term development challenges such as infrastructure limitations. May set a precedent for future rates relief requests, making it

	business-zoned property used for farming. Support will be available for a maximum of three years, after which landowners will transition to full business-zone rates. Option 2. Do not provide temporary relief to owners of business-zoned property used for farming. This would mean properties would continue to be rated within their current zoning with no relief provided. Under this option, the additional 1.2% rate increase for Commercial & Industrial and Rural rates will not be needed to fund the proposed business-zone rates adjustment.		difficult to decline similar cases. Limited to a three-year period, meaning landowners may still face financial challenges beyond this timeframe. Risks around implementation / the potential for challenge Administrative complexity and cost Future funding decisions for Council if to be provided over three years
2	Not adopt financial relief through a Farmed Business Zoned Land Grant, instead supporting engagement with central government on Special Economic Zones (SEZs) to address long-term development challenges and opportunities (Staff Recommendation)	Potential to align with government policy/SEZ designation for Marsden. Could provide a broader, long-term solution including regulatory, infrastructure, and financial incentives. Reduces the immediate financial burden on other ratepayers. Avoids setting a precedent for further rates relief requests.	SEZs are not yet confirmed by Cabinet, meaning uncertain timing and implementation. No immediate financial relief for affected landowners/may be perceived as a lack of direct support. Future funding decisions for Council around supporting a SEZ.

4.6 New levies

The Government is imposing levies on councils to fund New Zealand's Water Services Authority, Taumata Arowai and the Commerce Commission. The Authority regulates New Zealand's drinking water suppliers to ensure they meet drinking water quality standards and provides oversight of the environmental performance of water services networks.

The \$536,000 government levy will need to be funded from 1 July 2025.

To fund the levy, Council will increase the water supply charge by \$15, from \$40 to \$57 per connection. This is more than the \$2 increase that was planned for 2025-26. The availability water rate and unmetered water rate will also increase by an extra \$15. The wastewater rates will require an additional \$8 for each residential connection and \$5 per pan for non-residential connections.

4.7 Backflow preventer rates

Backflow preventors protect our water supply from contamination. Backflow preventor costs have increased more than expected, so we are increasing the backflow preventor rate to cover this.

4.8 Financial/budget considerations

The draft financial position was presented to Elected Members during briefings on 18 February and 13 March 2025. The budgets have been produced using LTP Year 2 as the starting point, with various adjustments made including but not limited to:

- Adjustments to the capital programme as a result of carry forwards and brought forwards.
- Adjustments to capital subsidies and opex on projects as a result of carry forwards and brought forwards.
- Council decisions made subsequent to the adoption of the LTP.
- Adjustments to transportation budgets as a result of NZTA funding confirmation.
- Increase to budgeted depreciation expense as a result of asset revaluations as at 30 June 2024.
- Recalculation of interest based on updated cost of borrowing and forecast debt.
- Inclusion of additional revenue and expenses to fund levies introduced by Taumata Arowai and the Commerce Commission.
- The inclusion of revenue generated from a forestry targeted rate and a proposed Grant for farmed, business-zoned properties, in accordance with Council direction.

Both the balanced budget benchmark and everyday funding benchmark are slightly below what was planned for Year 2 of the LTP. It is noted material unbudgeted operational expenditure may result in an unbalanced budget, where our expenses exceed our income, for the 2025-26 financial year.

In addition a deviation from the financial principles that guided the LTP may trigger an amendment to the 2024-34 LTP, and could impact Council's credit rating. Also, Council would not be in a position to adopt an Annual Plan by the statutory deadline of 30 June

2025 and set rates. Furthermore, advice from previous years indicates that a change of more than +/- 1% from the general rates increase consulted on in the 2024-34 LTP, would be considered significant. A change to the parameters contained within the 2024-34 LTP Financial Strategy, or a change in levels of service may also trigger significance according to the Significance and Engagement Policy.

4.9 Capital programme

The draft capital programme totals \$144m (LTP Year 2: \$139m). While this draft programme is in line with the LTP Year 2 budget, the final programme will be impacted by projects not completed this year, which will be a carried forward and included into the 2025-26 year. Estimated net carry forwards based on the November forecast have been included within the draft budget. It is anticipated that these carry forwards are likely to increase as we progress through the year, resulting in a larger capital programme for the final 2025-26 Annual Plan.

For debt modelling purposes, staff use historical spend to forecast Council's anticipated debt levels. History shows that capex forecasts are often aspirational and higher than what is usually delivered. As a consequence, staff make an adjustment to the financial model to ensure that we are not overestimating Council's debt and budgeting for an interest expense that exceeds what we are likely to incur.

With the various improvements being made within the capital delivery area, our historical data may no longer be an accurate representation of what is to come. Finance will continue to monitor this as we progress through the current financial year and beyond.

This does create a risk that in the event that capital delivery is higher than the assumed financial modelling adjustment, we may see debt exceeding the budgeted level. This will be considered again prior to the finalisation of the 2025-26 Annual Plan.

5 Significance and engagement / Te Hira me te Arawhiti

Changes under the proposed Annual Plan 2025-26 have been assessed against Council's Significance and Engagement Policy. Staff consider that significance is not triggered beyond what was adopted and signaled in the LTP 2024-34. Nonetheless, it is essential that we understand the views and preferences of people likely to be affected by, or who have an interest in, the matters that have created these proposed changes. Therefore, staff recommend the following consultation activities:

- Consultation will begin on Monday 31 March 2025 and run for a calendar month, until Wednesday 30 April 2025.
- Consultation documents and submission forms will be made available to the public on-line and at the customer service centres in Whangarei and Ruakaka.
- Drop-in sessions will be held at the Civic Centre, Te Iwitahi on Rust Ave, Ruakaka and Hikurangi. These events will provide an opportunity for discussion and to ask questions.
- An online podcast will be made available to the public.

6 Attachments / Ngā Tāpiritanga

Attachment 1: Consultation document for draft 2025-26 Annual Plan.

Attachment 2: Consultation supporting documents for draft 2025-26 Annual Plan.

Attachment 3: Property samples of status quo and preferred UACG.

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Ngā mea kei roto

What you'll find inside

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It's time to share our plans for 2025-26 with you. Over the coming year we're continuing to focus on looking after our infrastructure, staying on top of funding challenges, and making sure we're ready for future growth. You can read more in Whangārei District's 10-year plan at www.wdc.govt.nz/LTP

For 2025-26, we are proposing some adjustments to rates and are keen to hear your thoughts

on some
options
(see page 5
for more).



The new Whangārei District property valuations issued by our valuer Opteon in December 2024 may affect the rates charged for your property. This depends on how your property's land value moved compared to the average. You can view your proposed 2025-26 rates (for the preferred options explained in this consultation document) online at www.wdc.govt.nz/HaveYourSay. Please contact us if you would like further information about how your rates could be affected.





Anei tātou i tēnei wā

Where we are today

We are staying the course

We remain committed to delivering a 'back to basics' plan for the year ahead. Our focus is on looking after what we've got instead of taking on big projects, unless they are legislated by Central Government or needed to support growth. We are getting on with fixing roads, looking after our parks and reserves, and taking care of our water and waste pipes and community facilities.

Addressing challenges and taking opportunities

We are doing our best to stay on top of funding and infrastructure challenges across the District. While the rate of inflation has eased, costs remain high, and we are working hard to make the most of every ratepayer dollar in the coming year.

Funding

We remain committed to the path set out in our 10-year plan and working towards making sure our income covers the cost of running the District.

This year's annual budget includes the following general rates increase for the coming year:

General rates | 10.7% increase for 2025-26

Targeted rates

We are also increasing our targeted rates. Targeted rates are charged if the property benefits from the service.

All of our proposed rates increases include inflation via the local government cost index (LGCI). The LGCI measures the impact of inflation on the buying power of councils, e.g. how much we spend on things like fuel, or infrastructure construction costs. The LGCI was set by Business and Economic Research (BERL) for 2025-26 at 3.2%.

Water rates | inflation (LGCI) plus 2.5% increase for 2025-26

We are limiting the water rates increase to 5.7%. This, along with the reserves we have already accumulated, will provide enough funding for drinking water in the short term. The water levy mentioned on page x is on top of the 5.7% rates increase.

Wastewater rates | inflation (LGCI) only increase for 2025-26

We are limiting the wastewater targeted rate increase to 3.2%. This will provide enough investment for good management of our existing wastewater infrastructure, as well as increasing capacity for growth. The wastewater levy mentioned on page x is on top of the 3.2% rates increase.

Hikurangi flood protection rates | inflation (LGCI) only increase for 2025-26

A targeted rate applies to properties in the Hikurangi Swamp Special Rating District. This targeted rate will increase by 3.2% to fund the expenses of the Hikurangi Flood Protection Scheme.

Debt

We are sticking with our plan to reduce overall net debt by the end of this 10-year plan period (2024-34).

Infrastructure

We are investing in projects that support our District and enhance our lifestyle. You can read more about the projects we are delivering this year at www.wdc.govt.nz/projects

From a regional perspective, we're pleased to see the Northland Corridor expressway progressing and are working with other Northland councils on Regional Deal proposals to help drive economic growth and deliver infrastructure across Te Tai Tokerau.

Local Water Done Well

The Government is introducing Local Water Done Well, a policy that will see water services remain under local government control. It recognises the importance of local decision making, and flexibility for communities and councils to determine how their water services will be delivered in the future.

We are currently seeking your feedback on the best option for Whangarei. See www.wdc.govt.nz/HaveYourSay for more information.

Fluoridation

As we await decisions on fluoridation, the financial impact of any legal proceedings has not been included in this draft Annual Plan. See www.wdc.govt.nz/fluoridation for more information on the current situation.



Ngā whakatikatika ki te tatau reiti

Adjustments to how we calculate rates

We have reviewed how rates are calculated to ensure they are still set in the fairest way. While we are proposing to leave things largely the same, we are putting forward a few adjustments for 2025-26 that we would like your feedback on.

New stormwater targeted rate

Councils are expecting sharp increases in the cost and expectations for managing stormwater. We need to invest more in stormwater infrastructure to manage and lessen its impact on our community.

Over 2024-25, we have funded these costs through debt. This gave us time to wait for clarity from the Government about their plans for Local Water Done Well and work out the fairest way to fund our stormwater management. We are now asking you for your feedback on some proposed ratepayer-funded options for this service.

Why do we need to invest in stormwater?

Stormwater management is crucial for preventing flooding, protecting water quality, and maintaining the overall health of our environment. The proposed stormwater targeted rate will help ensure that we have a dedicated and sustainable funding source to cover the costs of maintaining and upgrading our stormwater infrastructure.

What will it cover?

The stormwater rate will fund the maintenance and improvement of stormwater systems, including important work like grading drains and renewing and maintaining stormwater pipes and retention basins. It will also support work aimed at reducing flood risks and improving water quality in our rivers and streams.

What does it mean for ratepayers?

The proposed universal rate would result in an average annual charge of \$180 per household. This charge is designed to be fair and equitable, ensuring that all residents contribute to the essential services that benefit the entire community.

Tell us what you think

Option 1

Preferred option

Introduce a District-wide universal rate of \$0.0003696 per dollar of land value. This would work out to be an average annual cost of \$180 per household.

Option 2

Introduce a District-wide universal rate of \$172 per separately used or inhabited parts (SUIP) of a rating unit. A SUIP refers to any part of a property that is used for a different purpose or inhabited by someone (i.e. if you had two homes on one property, you would be charged twice).



Reducing the Uniform Annual General Charge

Another thing we are considering is a reduction of the Uniform Annual General Charge (UAGC), which is a fixed charge on each property paid by all ratepayers.

Reducing the UAGC would provide rate relief for owners of lower-value properties, ensuring a fairer distribution of rates across our community. When the UAGC is lowered, owners of higher-value properties pay a higher share of our District's costs as the land value-based general rates are higher.

Tell us what you think

Option 1 Preferred option

From 2025-26, we reduce the UAGC from \$909 to \$500. This would relieve some of the rate burden for lower value property owners.

Option 2

We leave the UAGC at \$909 in line with what was set in the 2024-34 LTP. This would see the share of rates paid by lower and higher value properties remain the same as what we have today.



Relief for farmed business-zoned land

A

We are proposing introducing a contestable business grant to assist some of the District's ratepayers who own high-value undeveloped land that is zoned for business use and currently used for farming.

The grant would provide relief to landowners that were impacted by a 2021 change in rating policy, which saw the commercial and industrial differential applied to all business-zoned properties, including those used for farming.

Most significantly affected by this change were some in the Marsden Point area who saw an increase in their land rates of up to 563% following a large lift in their land value after the 2021 general revaluation. The grant will be available for three years:

Year	Grant amount (\$)
2025-26	Up to 500,000
2026-27*	Up to 350,000
2027-28*	Up to 250,000

*Future years are subject to decision making and the allocation of funding/rates through applicable Annual Plan and/or Long Term Plan processes of the next Council.

The grant will be funded by ratepayers in the Commercial & Industrial and Rural sectors. This equates to an additional 1.2% general rates increase.

Tell us what you think

Option 1

Preferred option

Increase Commercial & Industrial and Rural rates by 1.2% to provide temporary relief to owners of business-zoned property used for farming. Support will be available for a maximum of three years, after which landowners will transition to full business-zone rates.

Option 2

Do not provide temporary relief to owners of business-zoned property used for farming. This would mean properties would continue to be rated within their current zoning with no relief provided. Under this option, the additional 1.2% rate increase for Commercial & Industrial and Rural rates will not be needed to fund the proposed business-zone rates adjustment.

B

Special economic zone for Marsden Point

Central government has signalled they are considering Marsden Point as New Zealand's first 'special economic zone', where investors would receive special benefits. These benefits could include financial relief, a reduction in planning regulations, as well as business-friendly regulations, infrastructure and facilities, investment and support, and customs and trade facilitation.

Council fully supports this proposal and looks forward to working with Government to progress further.

New levies

The Government is imposing levies on councils to fund New Zealand's Water Services Authority, Taumata Arowai and the Commerce Commission. The Authority regulates New Zealand's drinking water suppliers to ensure they meet drinking water quality standards and provides oversight of the environmental performance of water services networks.

The \$526,000 government levy will need to be funded from 1 July 2025. This is in addition to the budgeted rates increases on page X).

To fund the levy, we are required to increase the water supply charge by \$15 more than the \$2 increase that we originally had planned for 2025-26 (from \$40 to \$57 per connection). The availability water rate and unmetered water rate will also increase an extra \$15.

The wastewater rates will require an additional \$8 for each residential connection (from \$928 to \$966 rather than the planned \$958 per connection) and \$5 per pan for non-residential connections (from \$601 to \$625 rather than the planned \$620 per connection).

Backflow preventor rates

Backflow preventors protect our water supply from contamination. Our backflow preventor costs have increased more than expected, so we are increasing the backflow preventor rates to cover this. Refer to the Draft Funding Impact Statement – Rates for more information (page xx).

Need more information?

You can see how your property would be affected by the proposed changes to rates at www.wdc.govt.nz/HaveYourSay

Full financials and detailed information on our work programme is available at www.wdc.govt.nz/HaveYourSay

Come along and talk to us at any of our upcoming drop-in sessions:

- Te Ititahi civic building (Rust Ave), TBC
- Hikurangi War Memorial Hall, TBC
- Ruakaka Recreation Centre, TBC

These sample properties show the proposed 2025-26 rates for the preferred options explained in this consultation document. You can view your proposed rates online at www.wdc.govt.nz/HaveYourSay.

Please contact us if you would like further information about how your rates could be affected.

Residential property in urban area with a land value of **\$200,000**



Last year rates were	This year they'll be	That's an increase of
\$2,296	\$2,327	1.4%

Which is **\$0.60** more a week

Residential property in urban area with a land value of **\$380,000**



Last year rates were	This year they'll be	That's an increase of
\$ 2,843	\$3,101	9.1%

Which is **\$4.98** more a week

Residential (lifestyle) property with a land value of **\$640,000**



Last year rates were	This year they'll be	That's an increase of
\$2,516	\$3,254	29.4%

Which is **\$14.20** more a week

High value residential (lifestyle) property with a land value of **\$3,400,000**



Last year rates were	This year they'll be	That's an increase of
\$6,972	\$ 11,053	58.5%

Which is **\$78.48** more a week

Rural property with a land value of \$970,000



Last year rates were	This year they'll be	That's an increase of
\$4,549	\$ 5,337	17.3%

Which is **\$15.15** more a week

Rural property with a land value of \$3,450,000



Last year rates were	This year they'll be	That's an increase of
\$13,575	\$ 17,704	30.4%

Which is **\$79.40** more a week

Commercial property with a land value of \$820,000



Last year rates were	This year they'll be	That's an increase of
\$12,954	\$ 14,643	13.0%

Which is **\$32.49** more a week

Industrial property with a land value of \$3,950,000



Last year rates were	This year they'll be	That's an increase of
\$59,266	\$ 68,743	16.0%

Which is **\$ 182.24** more a week

The above are randomly selected samples of properties from our District. Road seal extension rates, water rates and flood protection rates are not included. Proposed rates for each property is available on www.wdc.govt.nz/HaveYourSay.



Kōrerotia mai! Have your say

**The closing date for feedback is 5pm
on Wednesday 30 April 2025.**

We would love your feedback on some key issues for our District.

Points to remember when making a submission

- Please print clearly. The form should be easy to read and be understood, and may need to be photocopied.
- Please ensure that you provide appropriate contact details so that we can respond to you following the conclusion of the process.
- All submissions are considered public under the Local Government Official Information and Meetings Act, and may be published and made available to elected members and the public.
- The collection and use of personal information by Whangarei District Council is regulated by the Privacy Act 2020. See www.wdc.govt.nz/Privacy
- Your submission will not be returned to you once it is lodged with Council. Please keep a copy for your reference.

How to get this form to us

Online:

Complete this form online:
www.wdc.govt.nz/HaveYourSay

In person:

By visiting Customer Services at either:

- Te Ititahi, 9 Rust Avenue, Whangārei
- Ruakākā Service Centre, Takutai Place, Ruakākā

or by phoning 09 430 4200 or
0800 932 463 and one of our team will fill
out this form for you over the phone.

By post:

Annual Plan feedback
Whangarei District Council
Private Bag 9023
Te Mai
Whangārei 0143

By email:

APConsult@wdc.govt.nz



Annual Plan 2025-26 feedback form



Your details

First names(s)

Last name

I am making this submission as: ☐ An individual ☐ On behalf of an organisation

Organisation name

What is your preferred method of contact?

We may contact you about your submission and send you consultation updates.

☐ By email ☐ By post ☐ I do not want to be contacted

Email:

Postal address:

Your feedback

Please give us your feedback on the key issues raised in the Consultation Document.

New stormwater targeted rate

- ☐ OPTION 1: Introduce a District-wide universal rate of \$0.0003696 per dollar of land value. This would work out to be an average annual cost of \$180 per household.
- ☐ OPTION 2: Introduce a District-wide universal rate of \$172 per separately used or inhabited parts (SUIP) of a rating unit.

Why is this option important to you?

Reducing the Uniform Annual General Charge (UAGC)

- ☐ OPTION 1: We reduce the UAGC from \$909 to \$500 for 2025-26 to relieve some of the rate burden for lower value property owners.
- ☐ OPTION 2: Leave the UAGC at \$909 in line with what was set in the 2024-34 LTP.

Why is this option important to you?

Relief for farmed business-zoned land

- ☐ **OPTION 1:** Increase Commercial & Industrial and Rural rates by 1.2% to provide temporary relief to owners of business-zoned property used for farming.
- ☐ **OPTION 2:** Do not provide temporary relief to owners of business-zoned property used for farming. Under this option, the additional 1.2% rate increase for Commercial & Industrial and Rural rates will not be needed to fund the proposed business-zone rates adjustment.

Why is this option important to you?

Further comments

You can add further comments on the key topics or other points raised in the consultation document. Please tell us what your comment is about:

- ☐ Transportation ☐ Parks and Recreation ☐ Water ☐ Wastewater
☐ Stormwater ☐ Coastal Systems and Flood Management ☐ Flood Protection
☐ Solid Waste ☐ Community Facilities and Services ☐ Support Services
☐ Planning and Regulatory Services ☐ Governance and Strategy ☐ Rates
☐ Other

Hearings

Want to tell us more in person?

A Hearing is a formal session (held in Council Chambers) in which people who choose to do so can expand on their written submissions to the Council. These people will have five minutes to talk to their submission and Councillors can then ask questions to clarify their understanding of the points made by the speaker. No decisions are made at a Hearing.

If you would like to speak to your submission you must register your interest during the submission period. The dates for Hearings will be confirmed but are likely to be 12-13 May 2025. We'll be in touch to confirm the dates and times.

Would you like to speak to Council about your submission at a Hearing? ☐ Yes ☐ No

If you wish to speak, please fill in either your email address or phone number below, so we can contact you about your hearing date and time. We will only use these details to contact you about the hearing.

Email to contact you about hearings:

Phone number to contact you about hearings:





Supporting Documents

Annual Plan 2025-26

For the
Consultation
Document

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Proposed **Forecast Financial Statements**

Whangarei District Council Prospective Statement of Comprehensive Revenue and Expenditure

\$000		\$000	
LTP Year 1 2024-25		Annual Plan 2025-26	LTP Year 2 2025-26
Revenue			
145,858	Rates	167,356	165,696
7,078	Development and other contributions	6,962	6,962
52,939	Subsidies and grants	37,630	39,536
19,189	Fees and charges	19,615	19,611
2,234	Interest revenue	1,328	1,622
22,952	Other revenue	24,495	23,185
250,250	Total revenue	257,386	256,612
Expenses			
107,136	Other expenditure	107,690	104,142
69,020	Depreciation and amortisation	74,809	72,675
13,210	Finance costs	13,307	14,400
39,617	Personnel costs	41,033	41,007
228,983	Total expenses	236,840	232,224
21,267	Surplus / (deficit) before taxation	20,546	24,388
393	Taxation charge	396	341
20,874	Surplus / (deficit) after taxation	20,151	24,047
Other comprehensive revenue and expenses			
30,535	Gain / (loss) on infrastructure asset revaluation	36,222	24,899
-	Gain / (loss) on other asset revaluations	-	-
51,409	Total comprehensive income	56,373	48,946

Whangarei District Council Prospective Statement of Changes in Net Assets / Equity

\$000		\$000	
LTP Year 1 2024-25		Annual Plan 2025-26	LTP Year 2 2025-26
2,363,054	Opening balance as at 1 July*	2,525,086	2,414,463
51,409	Total comprehensive revenue and expense	56,373	48,946
-	Adjustments and contributions to net assets/ equity	-	-
2,414,463	Total recognised net assets/equity as at 30 June	2,581,459	2,463,409

* The opening balance for the Annual Plan 2025-26 is taken from a revised forecast for 2024-25.

Whangarei District Council Prospective Statement of Financial Position

\$000		\$000	
LTP Year 1 2024-25		Annual Plan 2025-26	LTP Year 2 2025-26
Assets			
	Current assets		
30,797	Cash and cash equivalents	33,155	30,634
34,912	Debtors and receivables	34,504	35,957
179	Derivative financial instruments	1,015	179
382	Other financial assets	736	382
1,777	Other current assets	1,536	1,777
-	Assets held for sale	-	-
68,047	Total current assets	70,946	68,929
	Non current assets		
9,465	Derivative financial assets	5,399	9,465
	Other financial assets:		
16,333	- Investments held in joint ventures and subsidiaries	17,797	16,967
8,258	- Investments held in other entities	14,891	8,258
6,631	Other non current assets	793	6,058
2,530,176	Property plant and equipment	2,746,272	2,612,045
10,277	Intangible assets	11,206	10,335
854	Forestry assets	910	854
100,415	Investment properties	104,318	101,441
2,682,409	Total non current assets	2,901,585	2,765,423
2,750,456	Total assets	2,972,531	2,834,352

\$000		\$000	
LTP Year 1 2024-25		Annual Plan 2025-26	LTP Year 2 2025-26
Liabilities			
	Current liabilities		
40,996	Payables and deferred revenue	45,927	40,848
392	Tax provision	396	341
-	Derivative financial instruments	-	-
28,000	Current borrowings	64,000	59,000
4,422	Employee benefits liabilities	4,337	4,578
50	Provisions	63	63
73,860	Total current liabilities	114,722	104,830
	Non current liabilities		
-	Derivative financial instruments	-	-
261,000	Non-current borrowings	275,000	265,000
588	Employee benefits liabilities	614	609
437	Provisions	395	396
108	Payables and deferred revenue	341	108
262,133	Total non current liabilities	276,350	266,113
335,993	Total liabilities	391,072	370,943
2,414,463	Net assets	2,581,459	2,463,409
Equity			
1,081,556	Retained earnings	1,113,345	1,119,711
97,736	Other reserves	76,260	83,628
1,235,171	Asset revaluation reserve	1,391,853	1,260,070
2,414,463	Total equity attributable to Council	2,581,459	2,463,409

Whangarei District Council Prospective Statement of Cash Flows

\$000		\$000	
LTP Year 1 2024-25		Annual Plan 2025-26	LTP Year 2 2025-26
Cash flows from operating activities			
143,666	Receipts from rate revenue	166,403	165,021
52,143	Subsidies and grants received	37,416	39,374
17,284	Other revenue including development contributions	18,714	18,321
18,901	Fees and charges received	19,503	19,531
2,201	Interest received	1,321	1,616
51	Dividends received	53	53
(147,227)	Payments to suppliers and employees	(148,282)	(144,942)
(13,210)	Interest paid	(13,307)	(14,400)
73,809	Net cash flow from operating activities	81,821	84,574
Cash flows from investing activities			
-	Proceeds from fixed assets	-	-
167	Receipts from investments and loans	-	-
(118,977)	Purchase and development of fixed assets	(124,151)	(119,737)
(224)	Purchase of investments and loans provided	-	-
(119,034)	Net cash flow from investing activities	(124,151)	(119,737)
Cash flows from financing activities			
24,000	Proceeds from borrowings	44,000	35,000
-	Loan repayments received	-	-
-	Repayment of borrowings	-	-
-	Loans granted	-	-
24,000	Net cash flow from financing activities	44,000	35,000

\$000		\$000	
LTP Year 1 2024-25		Annual Plan 2025-26	LTP Year 2 2025-26
(21,225)	Net increase/(decrease) in cash, cash equivalents and bank overdrafts	1,670	(163)
52,022	Cash, cash equivalents and bank overdrafts at the beginning of the year*	31,485	30,797
30,797	Cash, cash equivalents and bank overdrafts at the end of the year	33,155	30,634

* The amount at the beginning of the Annual Plan year is taken from a revised forecast for 2024-25.

Reserves

		\$'000			
		Estimated Opening balance 1 July 2025	Transfers in	Transfers out	Estimated Closing balance 30 June 2026
Asset Revaluation Reserve		1,355,632	36,222	-	1,391,853
Total Asset Revaluation Reserve		1,355,632	36,222	-	1,391,853
Activity					
Trust Funds	Bequests held for specific purposes	31	-	-	31
Parks and Recreation	Community Development Fund 1 - to provide funding for land for reserves or community facilities on Council owned reserve land	4,080	109	-	4,189
Community Facilities and services	Community Development Fund 2 - to provide funding for community facilities on non-Council reserve land	8,447	240	-	8,687
Community Facilities and services	Community Development Fund 3 - to provide funding for performing arts activities	324	10	-	334
Community Facilities and services	Art Acquisitions - to fund acquisition of artworks	2	-	-	2
Community Facilities and services	Clock Purchases - to fund purchase of clocks for the Claphams Clocks Museum	54	-	-	54

		\$000			
		Estimated Opening balance 1 July 2025	Transfers in	Transfers out	Estimated Closing balance 30 June 2026
Community Facilities and services	Leonard Library Reserve - bequest for the purchase of library books	221	-	-	221
Governance and Strategy	Property Reinvestment Reserve - to fund property purchases for a commercial return	18,068	361	1,540	16,888
General reserve	To fund operational grants committed but not paid and capital grants received but not spent	1,315	-	-	1,315
Solid Waste	Waste minimisation - to fund spend on waste minimisation	3,471	1,176	-	4,647
Water	To hold any surpluses for future funding of Water activities	17,366	-	17,366	-
Flood protection - Hikurangi	To hold any surpluses for future funding of Flood Protection activities	257	-	257	-
Wastewater	To hold any surpluses for future funding of Wastewater activities	37,500	2,392	-	39,892
Total Reserves and Special Funds		91,136	4,288	19,164	76,260

Depreciation and amortisation by group of activities

\$000		\$000	
LTP Year 1 2024-25		Annual Plan 2025-26	LTP Year 2 2025-26
27,220	Transportation	29,882	28,717
10,286	Water	10,852	10,779
313	Solid waste	503	313
10,780	Wastewater	11,286	11,052
4,925	Stormwater	5,269	5,094
635	Flood protection	463	636
5,587	Parks and Recreation	6,110	5,802
374	Coastal and Flood Management	450	400
4,173	Community facilities and services	4,582	4,542
69	Governance and strategy	81	69
78	Planning and regulatory services	277	78
4,580	Support services	5,055	5,193
69,020	Total depreciation and amortisation	74,809	72,675

Prospective Summary Funding Impact Statement

\$000		\$000	
LTP Year 1 2024-25		Annual Plan 2025-26	LTP Year 2 2025-26
Sources of Operating Funding			
101,358	General rates, uniform annual general charges, rates penalties	113,224	112,458
44,500	Targeted rates	54,132	53,238
16,154	Subsidies and grants for operating purposes	12,002	12,255
19,189	Fees and charges	19,615	19,611
3,809	Interest and dividends from investments	2,679	3,014
10,407	Local authorities fuel tax, fines, infringement fees and other receipts	11,932	10,583
195,417	Total Operating Funding	213,584	211,159
Applications of Operating Funding			
146,753	Payments to staff and suppliers	148,723	145,149
13,210	Finance Costs	13,307	14,400
-	Other operating funding applications	-	-
159,963	Total Applications of Operating Funding	162,030	159,549
35,454	Surplus / (Deficit) of Operating Funding	51,554	51,610
Sources of Capital Funding			
36,785	Subsidies and grants for capital expenditure	25,628	27,280
7,078	Development and financial contributions	6,962	6,962
24,000	Increase / (decrease) in debt	44,000	35,001
-	Gross proceeds from sale of assets	-	-
-	Other dedicated capital funding	-	-
-	Lump sum contributions	-	-

\$000		\$000	
LTP Year 1 2024-25		Annual Plan 2025-26	LTP Year 2 2025-26
67,863	Total Sources of Capital Funding	76,590	69,243
Applications of Capital Funding			
	Capital expenditure		
21,737	to meet additional demand	33,385	29,860
57,965	to improve levels of service	52,540	48,056
50,109	to replace existing assets	55,294	56,601
(27,006)	Increase / (decrease) in reserves	(13,270)	(13,859)
782	Increase / (decrease) of investments	195	195
103,317	Total Applications of Capital Funding	128,144	120,853
(35,454)	Surplus / (Deficit) of Capital Funding	(51,554)	(51,610)
-	Funding Balance	-	-

Reconciliation between Prospective Statement of Comprehensive Revenue and Expenditure and the Prospective Summary Funding Impact Statement

\$000		\$000	
LTP Year 1 2024-25		Annual Plan 2025-26	LTP Year 2 2025-26
21,267	Surplus / (deficit) before taxation per Prospective Statement of Comprehensive Revenue and Expenditure	20,546	24,388
Items recognised as revenue in the Prospective Statement of Comprehensive Revenue and Expenditure and as capital expenditure funding sources in the Prospective Summary Funding Impact Statement:			
(36,784)	Subsidies and grants for capital expenditure	(25,628)	(27,279)
(7,078)	Development and financial contributions	(6,962)	(6,962)
Non-cash items recognised in the Prospective Statement of Comprehensive Revenue and Expenditure and not included in the Prospective Summary Funding Impact Statement:			
69,020	Depreciation and amortisation	74,809	72,675
(10,971)	Vested asset revenue	(11,212)	(11,212)
35,454	Surplus / (Deficit) of Operating Funding per Council Prospective Summary Funding Impact Statement	51,554	51,610



Proposed **Capital Expenditure**



	\$000
Portfolio	2025-26 budget
Transportation	
Local Road Improvements	6,484
Local Road Renewals	29,843
Northern Growth Area	14,530
Transportation Investment Management	21
Transportation Non- subsidised programme	6,680
Walking and Cycling Improvements	2,990
Transportation Total	60,547
Park and Recreation	
Active Recreation and Sport	6,835
Arts Culture and Heritage Strategy	100
Asset Lifecycle Management	1,313
Better Off Funding	527
Blue/Green Network Strategy	848
Cemetery Strategy	1,501
Indoor and Outdoor Courts Strategy	749
Open Space Strategy	462
Pohe Island Masterplan	526
Public Conveniences	1,593
Park and Recreation Total	14,454
Water	
Asset Lifecycle Management	6,365
Network Expansion	5,076
Water Quality	13,984
Water Total	25,424

	\$000
Portfolio	2025-26 budget
Wastewater	
Air Quality	3,367
Asset Lifecycle Management	7,295
Catchment Management	421
Network Expansion	1,680
Sustainability	682
Water Quality	5,686
Wastewater Total	19,131
Stormwater	
Asset Lifecycle Management	2,208
Better Off Funding	478
Catchment Management	1,595
Northern Growth Area	1,776
Water Quality	210
Stormwater Total	6,268
Coastal and Flood Management	
Marine Strategy	510
Coastal and Flood Management Total	510
Hikurangi Repo Flood Protection	
Asset Lifecycle Management	1,236
Catchment Management	96
Hikurangi Repo Flood Protection Total	1,332
Solid Waste	
Waste Minimisation Strategy	100
Solid Waste Total	100

	\$000
Portfolio	2025-26 budget
Community Facilities and Services	
Active Recreation and Sport	4,000
Asset Lifecycle Management	3,769
Better Off Funding	79
Civil Defence & Emergency Management	4
Community Placemaking	760
Housing Strategy	2,629
Knowledge Hub	131
Community Facilities and Services Total	11,373
Planning and Regulatory Services	
Asset Lifecycle Management	752
Planning and Regulatory Services Total	752
Governance and Strategy	
Commercial Property Investment	3,310
Knowledge Hub	294
Governance and Strategy Total	3,605
Support Services	
Asset Lifecycle Management	894
Better Off Funding	184
Digital Strategy	2,524
Support Services Total	3,602
Grand Total	147,098

Note: budgets include total estimated project costs some of which may not meet the criteria for capitalisation.

Annual plan disclosure statement for year ending 30 June 2026

What is the purpose of this statement?

The purpose of this statement is to disclose the council's planned financial performance in relation to various benchmarks to enable the assessment of whether the council is prudently managing its revenues, expenses, assets, liabilities, and general financial dealings.

The council is required to include this statement in its annual plan in accordance with the Local Government (Financial Reporting and Prudence) Regulations 2014 (the regulations). Refer to the regulations for more information, including definitions of some of the terms used in this statement.

Benchmark		Planned	Met
Rates affordability benchmark			
increases	19.5%	16.2%	Yes
Debt affordability benchmark			
external debt	175%	119%	Yes
Balanced budget benchmark	100%	101%	Yes
Essential services benchmark	100%	191%	Yes
Debt servicing benchmark	15%	6%	Yes

Notes

1 Rates affordability benchmark

(1) For this benchmark, the council's planned rates increases for the year are compared with quantified limits on rates increases for the year contained in the financial strategy included in the council's long-term plan.

(2) The council meets the rates affordability benchmark if its planned rates increases for the year equal or are less than each quantified limit on rates increases.

2 Debt affordability benchmark

- (1) For this benchmark, the council's planned borrowing is compared with quantified limits on borrowing contained in the financial strategy included in the council's long-term plan.
- (2) The council meets the debt affordability benchmark if its planned borrowing is within each quantified limit on borrowing.

3 Balanced budget benchmark

- (1) For this benchmark, the council's planned revenue (excluding development contributions, vested assets, financial contributions, gains on derivative financial instruments, and revaluations of property, plant, or equipment) is presented as a proportion of its planned operating expenses (excluding losses on derivative financial instruments and revaluations of property, plant, or equipment).
- (2) The council meets the balanced budget benchmark if its revenue equals or is greater than its operating expenses.

4 Essential services benchmark

- (1) For this benchmark, the council's planned capital expenditure on network services is presented as a proportion of expected depreciation on network services.
- (2) The council meets the essential services benchmark if its planned capital expenditure on network services equals or is greater than expected depreciation on network services.

5 Debt servicing benchmark

- (1) For this benchmark, the council's planned borrowing costs are presented as a proportion of planned revenue (excluding development contributions, financial contributions, vested assets, gains on derivative financial instruments, and revaluations of property, plant, or equipment).
- (2) Because Statistics New Zealand projects that the council's population will grow faster than the national population growth rate, it meets the debt servicing benchmark if its planned borrowing costs equal or are less than 15% of its planned revenue.

Additional information - Everyday Funding benchmark

In the Financial Strategy 2024 to 2034, the Everyday Funding benchmark was introduced.

This measure takes the Balanced Budget benchmark one step further by removing the revenue Council receives for capital projects to ensure our operating funding is paying for our everyday costs. Adjustments are also made to exclude operating surpluses from targeted rates and capital grants paid to external entities that are debt funded.

The financial principle set in the LTP 2024-34 was that everyday funding should exceed everyday expenditure from Year 4 (2027-28) onwards.

The LTP 2024-34 planned for 2025-26 to reach a benchmark of 92% and the 2025-26 Annual Plan shows a slight reduction to 91%.



Proposed **Rates Information**



Funding impact statement

This statement sets out the information required by clause 20 of Schedule 10 of the Local Government Act 2002 to assist ratepayers in understanding the impact of the Annual Plan. This statement should be read in conjunction with the Revenue and Financing Policy prepared as part of the Long Term Plan (LTP) process. The amounts stated for 2025-26 are indicative.

Financial disclosures

The Local Government Act requires disclosure of all sources of funding in a prescribed format. The Funding Impact Statement showing the overall sources of funding, the amount of funds expected from each source and how those funds will be applied has been included on page 13 of this document, which are to be read together with and form part of this Funding Impact Statement.

Rates

These rates are based on the funding requirements set out in the Annual Plan together with the land values, and property numbers included in Council's Rating Information Database.

General rates

General rates are set under Section 13 of the Local Government (Rating) Act 2002. Council proposes to set a general rate for all rateable land in our District.

The general rate will be made up of a uniform annual general charge (UAGC) and a value-based general rate.

Value-based general rates

The value-based general rate will be assessed on the land value of each rateable rating unit in our District.

The general rate will be set on a differential basis based on the category of land use and the activities which are permitted, controlled or discretionary for the area in which the land is situated.

The objective of the differential rate is to achieve the total revenue sought from each category, as set out on page 26.

Where a property is used for more than one purpose, the Council will consider apportioning the value of the property between the different categories. For properties where the additional use(s) is less than 30% of the rating unit's area and the apportioned land value is less than \$30,000, no rating apportionments will be created, and the rating unit will be categorised in the category that reflects the primary use.

Subject to legal rights of objection, it shall be at the sole discretion of Council to determine the use or principal use of any rating unit.

The value-based general rate for a given property will be assessed by multiplying the land value of the rating unit by the rate per dollar that applies to the differential.

These definitions are also used for the sewerage disposal rate.

Differential basis

All rating units in our District are allocated to the most appropriate category. The categories are:

Category 1: Residential

All rating units which are used principally for residential or lifestyle residential purposes including lifestyle retirement villages, flats and apartments, that are not categorised as multi-unit. This category includes all rating units that are unused or used for a purpose other than a commercial and industrial one but that on their own and/or in the context of the surrounding land have been created and/or developed for residential use and/or are zoned for residential use.

Category 2: Multi-unit

All rating units used principally for residential purposes and on which is situated multi-unit type residential accommodation that is used principally for temporary or permanent residential accommodation for commercial purposes, including, but not limited to, hotels, boarding houses, motels, tourist accommodation, residential clubs, hostels, but excluding any properties which are licensed under the Sale and Supply of Alcohol Act 2012.

Category 3: Miscellaneous properties

All rating units not otherwise categorised.

Category 4: Rural

All rating units which are used (solely or with other rating units) principally for agricultural, horticultural, forestry, pastoral or aquaculture purposes, or for the keeping of bees, poultry or other livestock. This does not include rating units which on their own or in the context of the surrounding land have been created and/or developed for commercial and industrial use and/or mixed use but that are being used for one of the rural purposes described in the preceding sentence and/or zoned for commercial and industrial use. Also included in this category are rating units of which the land is unused but is primarily developed for and capable of being used for rural uses.

Category 5: Commercial and industrial

All rating units used principally for commercial, industrial or related purposes. This category includes properties licensed under the Sale and Supply of Alcohol Act 2012, and private hospitals and private medical centres. This category also includes rating units which are not being used but on their own or in the context of the surrounding land have been created and/or developed for commercial and industrial use and/or mixed use and/or are zoned for commercial and industrial use. This category also includes rating units that are being used for rural purposes but on their own or in the context of the surrounding land have been created and/or developed for commercial and industrial use and/or mixed use and/or are zoned for commercial and industrial use.

In the context of these definitions:

- mixed use means the commercial and industrial and residential use
- lifestyle residential purposes means land generally zoned rural, where the predominant use is residential and is normally less than 20 hectares.

Uniform Annual General Charge

The Uniform Annual General Charge (UAGC) is set under Section 15 of the Local Government (Rating) Act 2002. The UAGC will be charged to each separately used or inhabited part (SUIP) of a rating unit. The effect of this is that where a rating unit has more than one use or occupation, a separate charge will apply to each part.

The UAGC is calculated according to the judgement of Council on what is the proper balance between the fixed and variable parts of the general rate and on any consequential impacts on individuals and groups of ratepayers.

A UAGC of \$500.00 (including GST) will apply per SUIP for 2025-26. This is estimated to produce \$23.305 million (including GST) for 2025-26 and equates to 18 percent of general rates revenue and 12 percent of total rates revenue.

Definition of separately used or inhabited part of a rating unit

A separately used or inhabited part is defined as:

- any part of a property (rating unit) that is separately used or occupied, or is intended to be separately used or occupied (including any vacant unit) by any person, other than the ratepayer, having a right to use or inhabit that part by virtue of a tenancy, lease, license, or other agreement
- any part of a rating unit that is separately used, or occupied, or intended to be separately used or occupied (including any vacant unit) by the ratepayer.

Examples include:

- each separate shop or business activity on a rating unit
- each occupied or intended to be occupied dwelling, flat, or additional rentable unit (attached or not attached) on a rating unit
- individually tenanted flats, including retirement units, apartments and town houses (attached or not attached) or multiple dwellings on Māori freehold land on a rating unit

General rates for the 2025-26 financial year

Total general rates required for 2025-26 are \$132.125 million GST inclusive. This is made up of the value-based general rate and the uniform annual general charge.

The value-based general rate is set on land value and assessed on a differential basis. The differential rate in the dollar for each category of land use is set to achieve the share of the total revenue sought from each category. The percentage share of revenue sought from each category of land use for 2025-26 is:

Sector category	2025-26
Residential	66.6%
Multi-Unit	0.3%
Miscellaneous	0.3%
Rural	8.7%
Commercial and industrial	24.1%
Total	100.0%

The amount required from each category is divided by the total land value for that category to establish the cents in the dollar rate for each category. The relationship or differential between the categories will be the result of these calculations.

Details of the rates and the amount of revenue sought for the 2025-26 year is:

	\$ (GST inclusive)				
	Value-based general rates		Uniform Annual General Charge		Total general rates
	Basis of assessment: Per \$ of land value		Basis of assessment: Per separately used or inhabited part of a rating unit		
Type of rate	Rate 2025-26	Revenue sought 2025-26	Rate 2025-26	Revenue sought 2025-26	Revenue sought 2025-26
Residential category	0.0039342	67,271,000	500.00	20,812,000	88,083,000
Multi-Unit category	0.0078683	374,000	500.00	22,000	396,000
Miscellaneous category	0.0039342	291,000	500.00	74,000	365,000
Rural	0.0046171	10,457,000	500.00	999,000	11,456,000
Commercial and Industrial category	0.0161160	30,427,000	500.00	1,398,000	31,825,000
Total		108,820,000		23,305,000	132,125,000

Targeted rates for the 2025-26 financial year

Targeted rates are set under Section 16 of the Local Government (Rating) Act 2002.

Targeted rates are used where a Council service provides a specific activity or a benefit to a specific group of people and consequently it is these beneficiaries that are charged the cost of providing the service. It may apply to all ratepayers or a specific group of ratepayers.

Sewerage disposal rate

The activity for which the targeted rate is set is the operation and maintenance of the sewerage disposal system. The targeted rate is set on a differential basis. Residential connections will pay an amount per separately used or inhabited part of a rating unit (as defined on page 25), regardless of the number of toilet pans or urinals. Other premises, i.e. non-residential, will pay a fixed charge per toilet pan or urinal. The rate is only assessed to rating units connected to Council's wastewater system.

Details of rates for and the amount of revenue sought from, targeted rates for sewage disposal are:

		\$ (GST inclusive)	
Type of rate	Basis of assessment	Rate 2025-26	Revenue sought 2025-26
Total			31,098,000
Residential category as defined in the value-based general rates category 1	Per separately used or inhabited part of a rating unit	966.00	24,827,000
Other-non residential as defined in the value-based general rates categories 2-5	Per toilet pan or urinal	625.00	6,271,000

Water rates

The activity for which the targeted rates is set is for the catchment, storage, treatment and distribution of water throughout various parts of our District. A targeted rate set under section 19 of the Local Government (Rating) Act 2002 will apply for water consumption based on water consumed as recorded by a water meter on a per cubic metre basis. The targeted rate under section 19 will be calculated as a fixed charge per unit (cubic metre) of water consumed ("Volumetric consumption charge").

A fixed targeted rate set under section 16 of the Local Government (Rating) Act 2002 will apply to all connected and metered properties ("Supply charge (metered)"). This is in addition to the volumetric consumption charge.

A fixed targeted rate set under section 16 of the Local Government (Rating) Act 2002 will apply per provision of service per SUIP of a rating unit for those premises where consumption of water is not recorded through a meter, but the property is connected to any of our District's water supply systems ("Uniform charge (unmetered)"). A supply charge is not assessed where the uniform unmetered water charge is assessed.

A fixed targeted rate set under section 16 of the Local Government (Rating) Act 2002 will apply per SUIP of a rating unit for availability of water ("Availability charge") where premises are capable of being connected to the water supply as they are situated within 100 metres of any public water supply reticulation system but are not connected.

Targeted rates for back flow prevention apply to all properties which have a back-flow preventer connected. The revenue will be used for the monitoring and maintenance of the back-flow preventers. The rate will be assessed on the size of the back-flow preventer.

Details of rates for, and the amount of revenue sought from, targeted rates for water are:

		\$ (GST inclusive)	
Type of rate	Basis of assessment	Rate 2025-26	Revenue sought 2025-26
Volumetric consumption charge	Volume of metered water consumed per cubic metre	3.57	19,973,000
Supply charge (metered)	Provision of service per separately used or inhabited part of a rating unit	57.00	1,627,000
Availability charge	Availability of service per separately used or inhabited part of a rating unit	57.00	9,000
Uniform charge (unmetered)	Provision of service per separately used or inhabited part of a rating unit	602.00	49,000
Backflow preventer charge	Provision of service per connection based on the nature of connection		226,000
	15/20mm connection	137.00	N/A
	25mm connection	139.00	N/A
	32mm connection	151.00	N/A
	40mm connection	154.00	N/A
	50/60mm connection	170.00	N/A

		\$ (GST inclusive)	
Type of rate	Basis of assessment	Rate 2025-26	Revenue sought 2025-26
	80/100mm connection	370.00	N/A
	150mm connection	430.00	N/A
	200/250mm connection	857.00	N/A

Stormwater rate

Council proposes to set a district-wide targeted rate for all rateable land in our District. The stormwater activity will be funded by this targeted rate. The revenue sought for 2025-26 is \$7.986 million (GST inclusive).

The rate will be assessed on the land value of each rateable rating unit in our District.

The rate for a given property will be assessed by multiplying the land value of the rating unit by the rate per dollar of \$0.0003678

Flood protection rate

Hikurangi Swamp Rating Districts

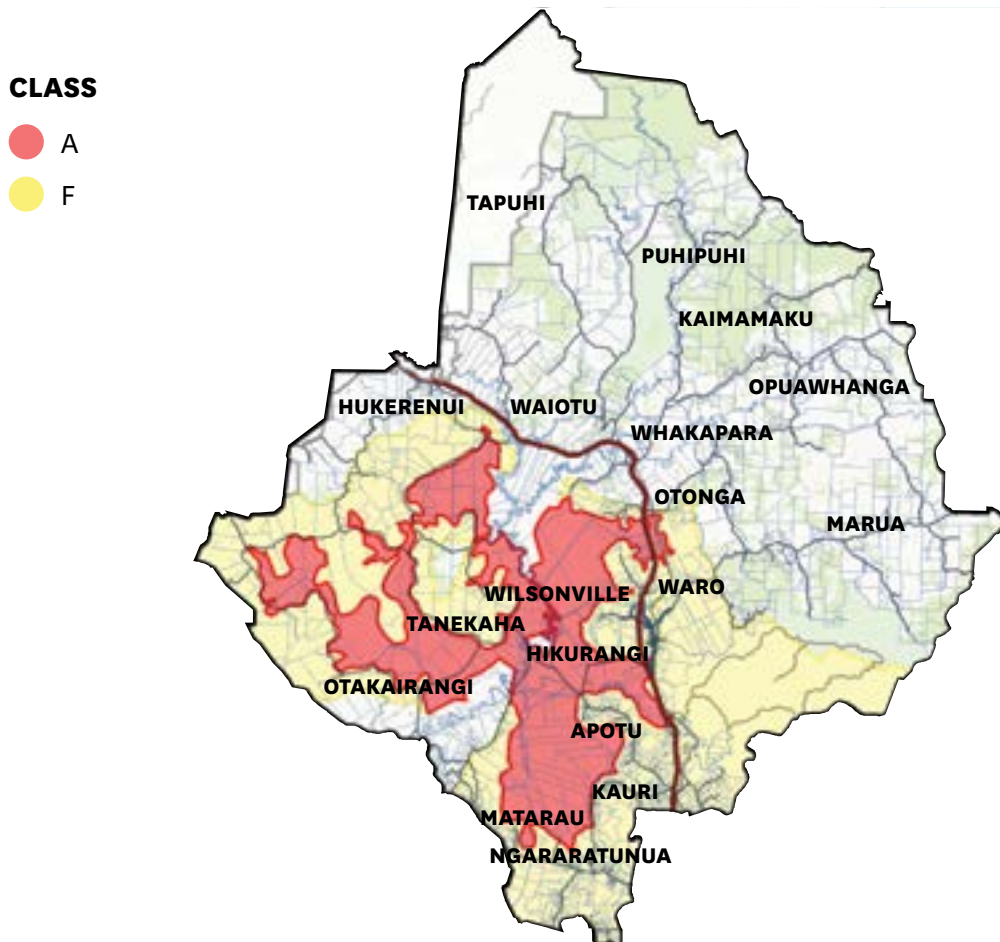
A targeted rate applies to properties in the Hikurangi Swamp Special Rating District. The area of land within this special rating district is divided into classes based on location and area of the scheme on a property or part of a property. The activity funded by this targeted rate is to defray the costs of the Hikurangi Swamp Major Scheme set out on page 94 of the Long Term Plan 2024-34 Volume One (available at www.wdc.govt.nz/LTP).

The targeted rate is based on a differential graduated scale according to the class of the property and the area of land within the rating unit. Some properties may have areas of land which fall into several classes and the rating differentials are applied accordingly. The targeted rate per hectare for each category (class) of land is set out on the diagram below.

A second targeted rate applies to properties in the Hikurangi Swamp Drainage Rating District. The activity funded by this targeted rate is to defray the costs and charges of the Hikurangi Swamp draining scheme. The targeted rate applies differentially to two categories of land: class A and class F as set out in the Hikurangi Drainage District Diagram below. The targeted rate for each category is based on a differential graduated scale according to the class of the property and the area of land within the rating unit. The targeted rate per hectare for each category (class) of land is set out on the diagram below.

	\$ (GST inclusive)	
Basis of assessment	Rate 2025-26	Revenue sought 2025-26
Total		1,517,000
Per hectare of land in the Hikurangi Swamp Special Rating area		1,351,000
Class A approx 2,485ha	241.61	599,000
Class B approx 1,425ha	217.44	310,000
Class C approx 1,342ha	169.11	227,000
Class D approx 1,970ha	24.15	48,000
Class E approx 1,106ha	12.08	13,000
Class F approx 32,353ha	4.83	154,000
Per hectare of land in the Hikurangi Swamp Drainage Rating District		166,000
Class A approx 5,592ha	24.45	137,000
Class F approx 12,076ha	2.45	29,000

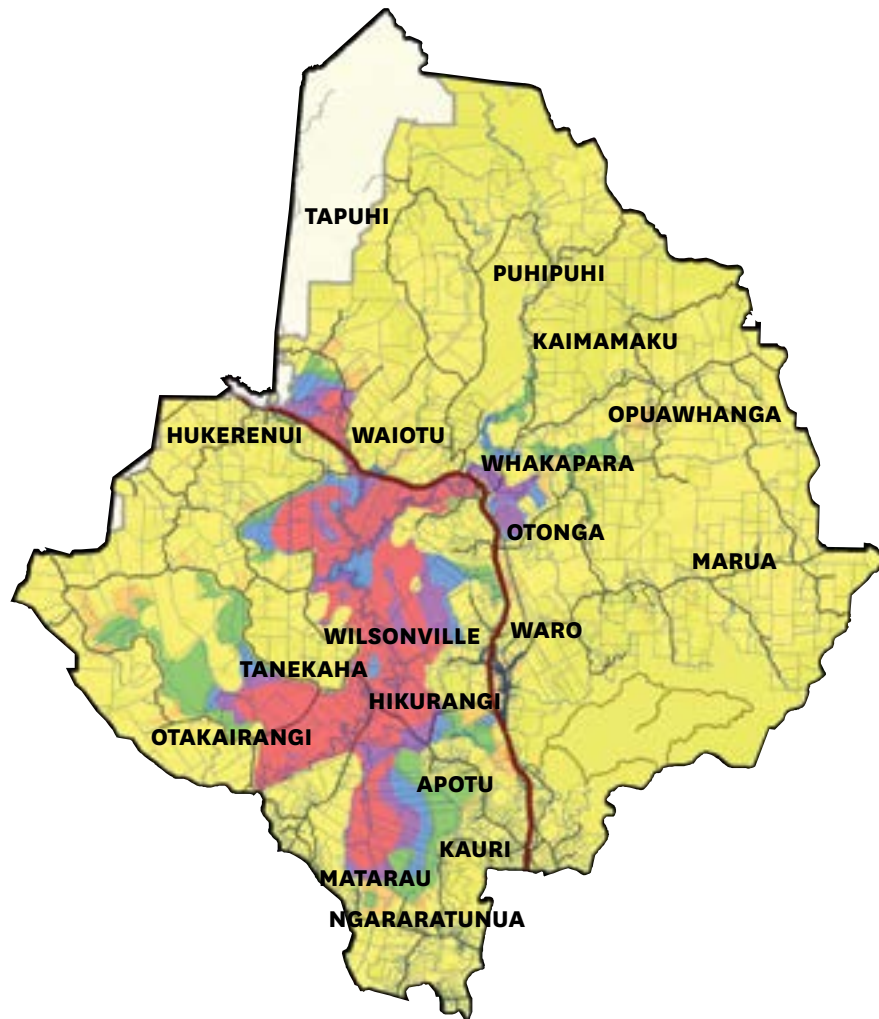
Hikurangi Drainage District



Hikurangi Major Scheme

CLASS

- A
- B
- C
- D
- E
- F



Roading seal extension rates

Council has a programme of roading seal extensions which are partially funded by ratepayers' contributions.

2021-22 was the first year of the roading seal extension programme, and rates are assessed for the rating units in the area of benefit for Attwood Road, Brooks Road, Massey Road, Nook Road and Tahunatapu Road. The ratepayer contribution is \$4,600 GST inclusive per rating unit in the specified location/area of benefit. The ratepayer(s) may choose to pay the contribution in full or pay over five years. If the ratepayer chooses to pay over 5 years, the amount each year is \$920 GST inclusive per rating unit. The ratepayer(s) may have chosen to pay the contribution in full by 1 June 2021 or pay over five years from 1 July 2021 to 30 June 2026.

2022-23 was the second year of the roading seal extension programme, and rates are assessed for the rating units in the area of benefit for Waiotoi Road. The ratepayer contribution is \$4,600 GST inclusive per rating unit in the specified location/area of benefit. The ratepayer(s) may choose to pay the contribution in full or pay over five years. If the ratepayer chooses to pay over 5 years, the amount each year is \$920 GST inclusive per rating unit. The ratepayer(s) may have chosen to pay the contribution in full by 1 June 2022 or pay over five years from 1 July 2022 to 30 June 2027.

2023-24 is the third year of the roading seal extension programme, and rates are assessed for the rating units in the area of benefit for Glenmohr Road. The ratepayer contribution is \$5,750 GST inclusive per rating unit in the specified location/area of benefit. The ratepayer(s) may choose to pay the contribution in full or pay over five years. If the ratepayer chooses to pay over 5 years, the amount each year is \$1,150 GST inclusive per rating unit. The ratepayer(s) may have chosen to pay the contribution in full by 1 June 2023 or pay over five years from 1 July 2023 to 30 June 2028.

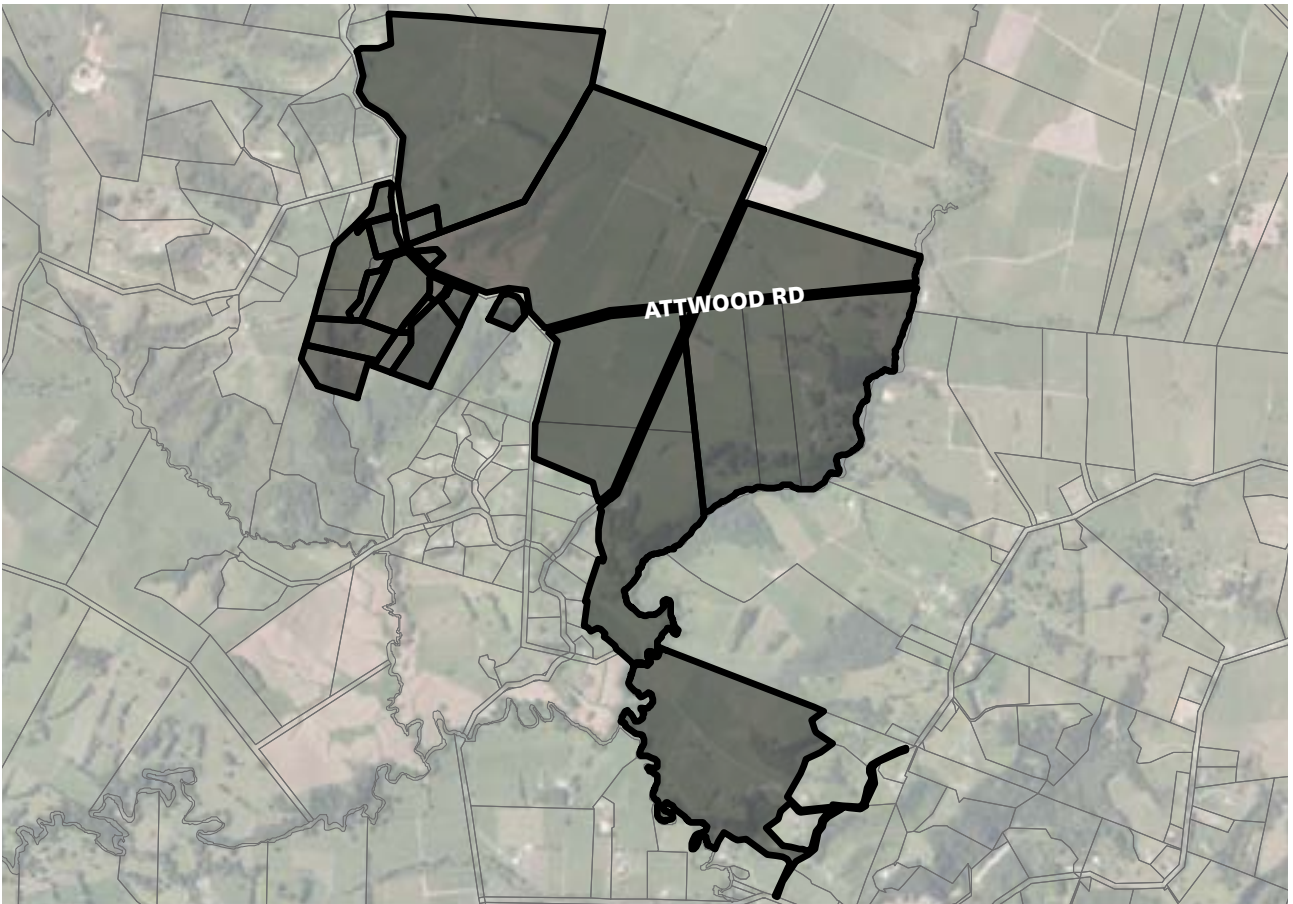
2024-25 is the fourth year of the roading seal extension programme, and rates are assessed for the rating units in the area of benefit for Knight Road, Mountain View Road and Tudehope Road. The ratepayer contribution is \$5,750 GST inclusive per rating unit in the specified location/area of benefit. The ratepayer(s) may choose to pay the contribution in full or pay over five years. If the ratepayer chooses to pay over 5 years, the amount each year is \$1,150 GST inclusive per rating unit. The ratepayer(s) may have chosen to pay the contribution in full by 1 June 2024 or pay over five years from 1 July 2024 to 30 June 2029. The ratepayers in the area of benefit for Knight Road have paid the ratepayer contribution in full, and the revenue sought for 2025-26 is \$0.

2025-26 is the fifth year of the roading seal extension programme and there are no additional rates to be assessed.

The seal extension programme and rates are:

			\$ (GST inclusive)	
Road	Area of benefit	Basis of assessment	Rate 2025-26	Revenue sought 2025-26
Attwood Road	Refer map A	Per rating unit	920.00	14,000
Brooks Road	Refer map B	Per rating unit	920.00	15,000
Glenmohr Road	Refer map C	Per rating unit	1150.00	14,000
Knight Road	Refer map D	Per rating unit	1150.00	0
Massey Road	Refer map E	Per rating unit	920.00	20,000
Mountain View Road	Refer map F	Per rating unit	1150.00	15,000
Nook Road	Refer map G	Per rating unit	920.00	7,000
Tahunatapu Road	Refer map H	Per rating unit	920.00	13,000
Tudehope Road	Refer map I	Per rating unit	1150.00	24,000
Waiotoi Road	Refer map J	Per rating unit	920.00	9,000

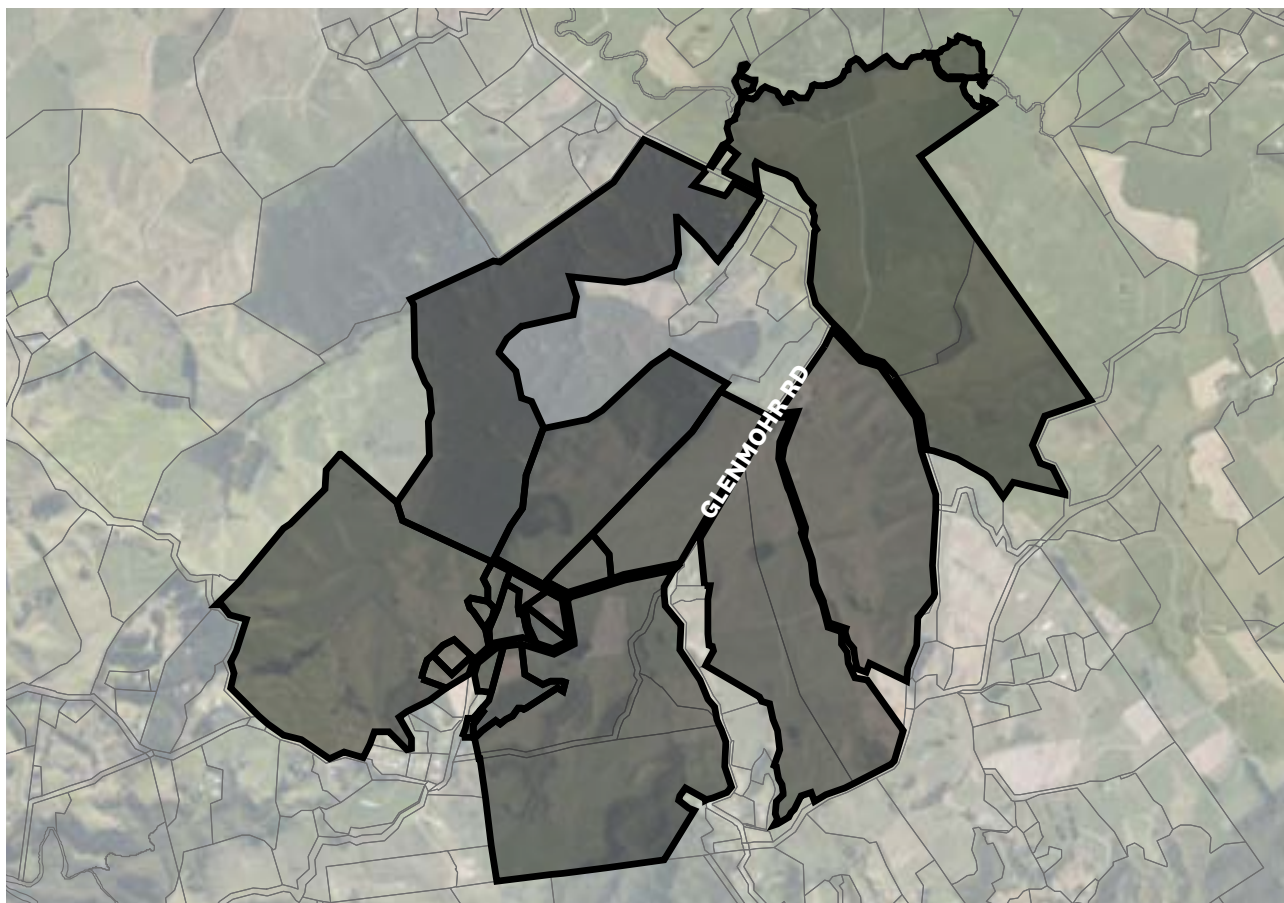
Map A: Attwood Road



Map B: Brooks Road



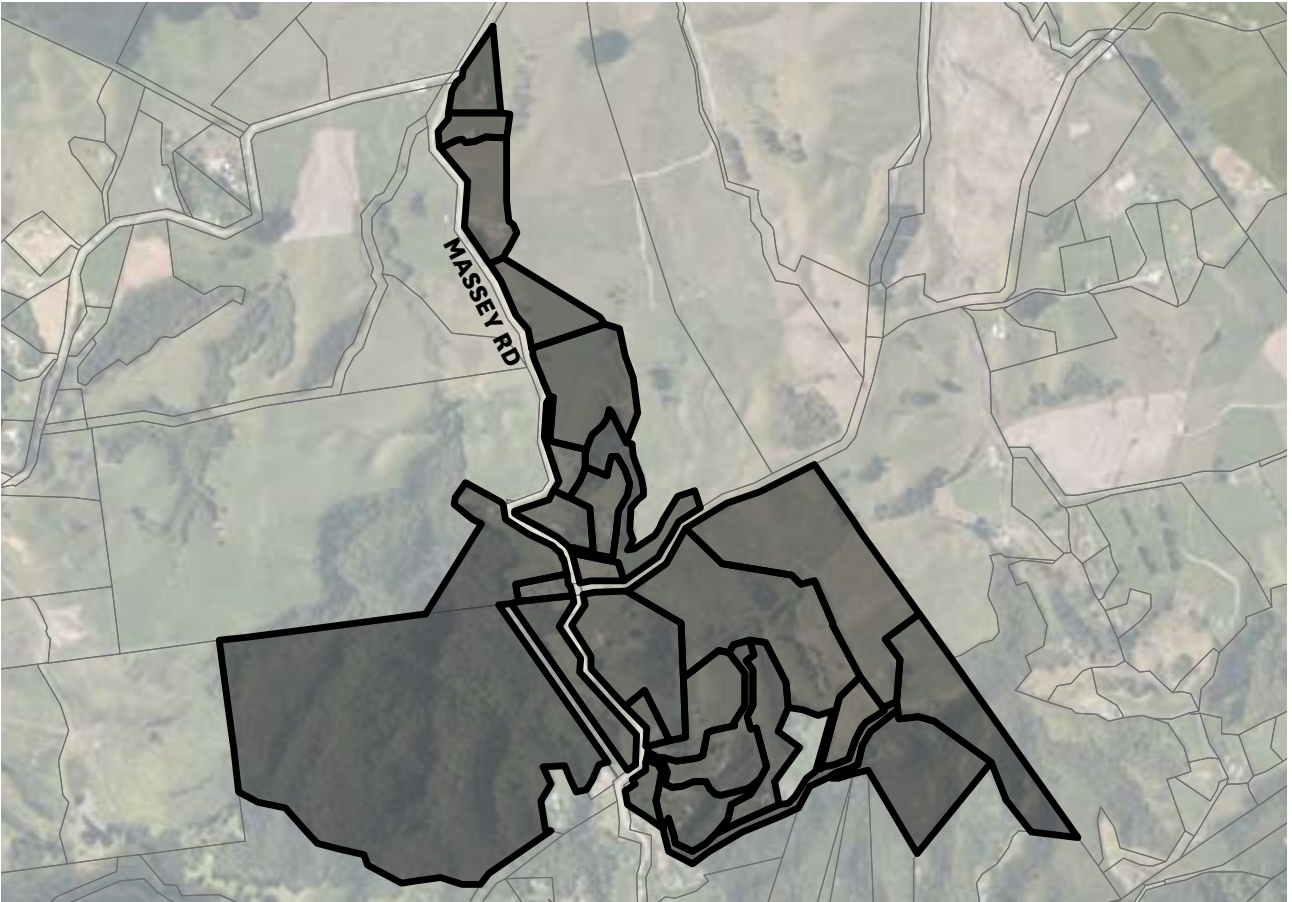
Map C: Glenmohr Road



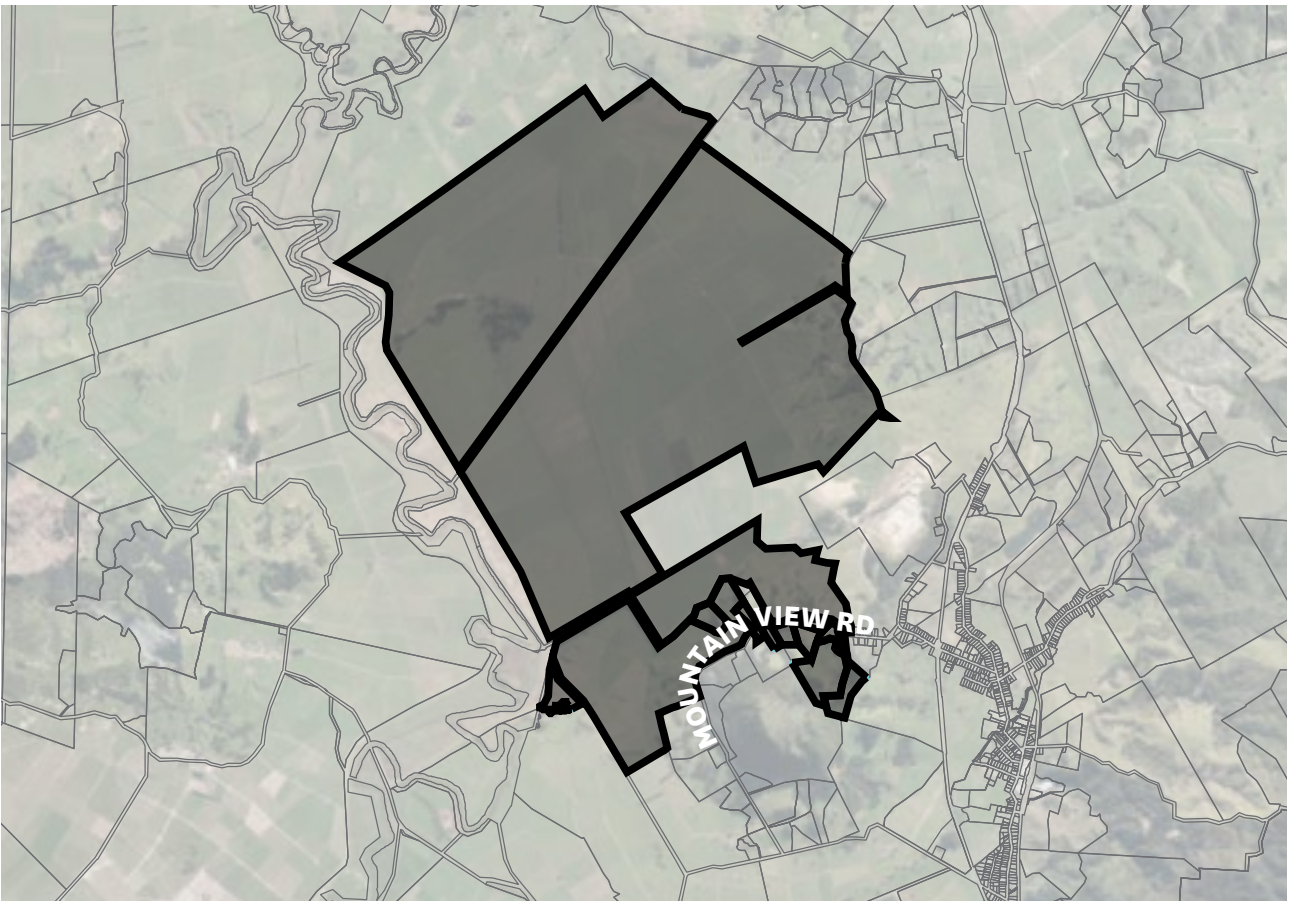
Map D: Knight Road



Map E: Massey Road



Map F: Mountain View Road



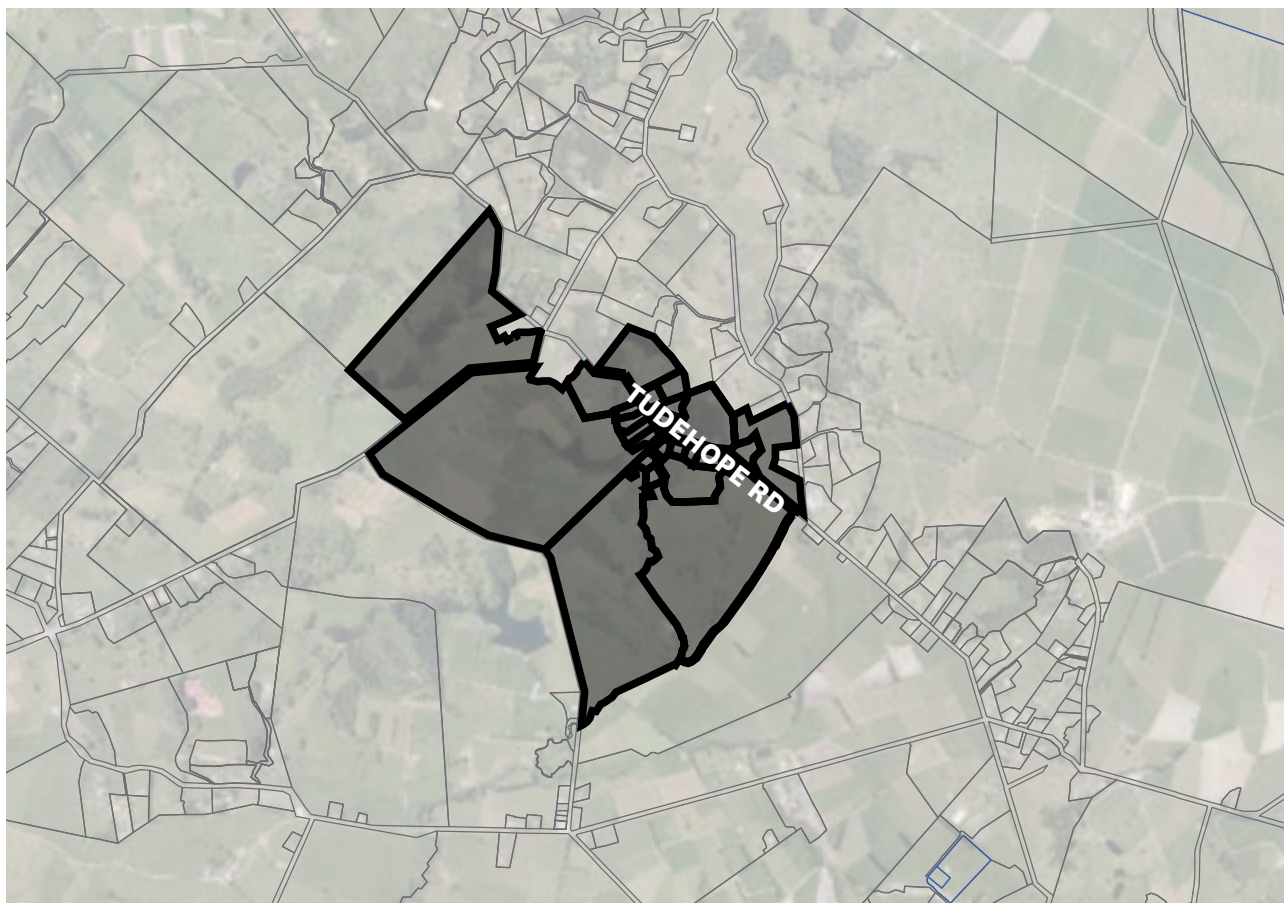
Map G: Nook Road



Map H: Tahunatapu Road



Map I: Tudehope Road



Map J: Waiotoi Road



Lump sum contributions

Lump sum contributions will not be invited or accepted in respect of any targeted rate.

Discount for full payment of annual rates

No discount will be allowed for any rates.

Due dates for rates

Due dates and penalty dates for rates other than metered water (volumetric, supply and backflow preventer charges) rates paid by instalments

Rates other than the volumetric, supply and backflow preventer charges for water will be invoiced in four equal instalments.

A 10% penalty will be added to the amount of each instalment which remains unpaid after the due date for payment as shown in the following table:

Instalment	Due date	Late payment penalty	Date penalty applied
Instalment one	20 August 2025	Penalty 10%	22 August 2025
Instalment two	20 November 2025	Penalty 10%	24 November 2025
Instalment three	20 February 2026	Penalty 10%	24 February 2026
Instalment four	20 May 2026	Penalty 10%	22 May 2026

Due dates and penalty dates for metered water (volumetric, supply and backflow preventer charges) rates

Water accounts are processed monthly, two-monthly or six-monthly. The supply and backflow preventer charges are invoiced in equal instalments, based on the frequency with which the water account is processed. Council agrees that the due dates of these accounts will be relative to the consumer's cyclic billing period and will show on the water rates invoice in accordance with the table that follows. A penalty of 10% will be applied to amounts unpaid after the due date, in accordance with the following table:

Month water rates invoice issued	Due date for payment	Date penalty will be added
July	20 August 2025	22 August 2025
August	20 September 2025	24 September 2025
September	20 October 2025	22 October 2025

Month water rates invoice issued	Due date for payment	Date penalty will be added
October	20 November 2025	24 November 2025
November	20 December 2025	24 December 2025
December	20 January 2026	22 January 2026
January	20 February 2026	24 February 2026
February	20 March 2026	24 March 2026
March	20 April 2026	23 April 2026
April	20 May 2026	22 May 2026
May	20 June 2026	24 June 2026
June	20 July 2026	22 July 2026

Payment options

Payments for rates can be made:

- by direct debit weekly, fortnightly, monthly, quarterly or annually – our preferred method
- online at www.wdc.govt.nz/Payit with a debit or credit card (please note additional charges may apply)
- internet banking
- by cash, EFTPOS or credit card at our offices: Te Iwitahi, Rust Avenue, Whangārei or 8 Takutai Place, Ruakaka.

All payments will be credited first to the oldest amount due.

Additional charges

Additional penalty on arrears of rates

All rates (land and water) from the previous rating years that remain unpaid as at 4 July 2025 will have a further 10% penalty added. This penalty will be added on 4 September 2025.

Remission and postponement policies

Remission and postponement policies are applied where Council has adopted a policy to alter the amount of rates payable in specific circumstances. These policies may be obtained from our website or on request in person or by phone.

Sample of properties showing rates for 2025-26

Randomly selected sample of properties from each category.

The rates are based on values assigned as at 1 July 2024. Please note – Northland Regional Council rates are not included. Please refer to their Long Term Plan for the impact of their rates on your property.

Road seal extension rates, water rates and flood protection rates are not included.

	\$	
Residential property in urban area with a land value of \$200,000 (2021 \$200,000)	2024-25	2025-26
General rate - land value	546.76	786.84
Uniform Annual General Charge	821.00	500.00
Sewerage disposal rate	928.00	966.00
Stormwater rate	-	73.92
Total	2,295.76	2,326.76

	\$	
Residential property in urban area with a land value of \$380,000 (2021 \$400,000)	2024-25	2025-26
General rate - land value	1,093.52	1,495.00
Uniform Annual General Charge	821.00	500.00
Sewerage disposal rate	928.00	966.00
Stormwater rate	-	140.45
Total	2,842.52	3,101.44

	\$	
Residential (lifestyle) property with a land value of \$640,000 (2021 \$620,000)	2024-25	2025-26
General rate - land value	1,694.96	2,517.89
Uniform Annual General Charge	821.00	500.00
Stormwater rate	-	236.54
Total	2,515.96	3,254.43

	\$	
High value residential (lifestyle) property with a land value of \$3,400,000 (2021 \$3,100,000)	2024-25	2025-26
General rate - land value	6,151.05	9,296.52
Uniform Annual General Charge	821.00	500.00
Stormwater rate	-	1,256.64
Total	6,972.05	11,053.16

	\$	
Rural property with a land value of \$970,000 (2021 \$950,000)	2024-25	2025-26
General rate - land value	3,728.18	4,478.59
Uniform Annual General Charge	821.00	500.00
Stormwater rate	-	358.51
Total	4,549.18	5,337.10

	\$	
Rural property with a land value of \$3,450,000 (2021 \$3,250,000)	2024-25	2025-26
General rate - land value	12,754.30	15,929.00
Uniform Annual General Charge	821.00	500.00
Stormwater rate	-	1,275.12
Total	13,575.30	17,704.12

	\$	
Commercial property with a land value of \$820,000 (2021 \$780,000)	2024-25	2025-26
General rate - land value	11,531.60	13,215.12
Uniform Annual General Charge	821.00	500.00
Sewerage disposal rate (1 pan)	601.00	625.00
Stormwater rate	-	303.07
Total	12,953.60	14,643.19

	\$	
Industrial property with a land value of \$3,950,000 (2021 \$3,750,000)	2024-25	2025-26
General rate - land value	55,440.38	63,658.20
Uniform Annual General Charge	821.00	500.00
Sewerage disposal rate (5 pans)	3,005.00	3,125.00
Stormwater rate	-	1,459.92
Total	59,266.38	68,743.12



Significant Forecasting Assumptions

General assumptions

Inflation

The impact of inflation has been factored into producing the prospective financial statements.

Business and Economic Research Limited (BERL) constructed the forecast increases for Local Authorities in October 2024. This is a specific Local Government inflator referred to as Local Government Cost Index (LGCI).

Council has elected to apply the Legacy LGCI cost adjuster, which incorporates the inflationary impact of water infrastructure and services.

This adjuster will be updated during subsequent Annual Plan and LTP processes using updated, annual BERL data to mitigate any risk.

The main financial risk for Council is that operating and capital expenditure items rise faster than revenue items. Due to the recent inflation increases being reported, the inflation risk is considered to be high.

Financial risk

High

Impact for high financial risk assumptions

The impact of inflation increases is difficult to budget and carries a high level of uncertainty.

Level of uncertainty

High

Financial impact for assumptions with high level of uncertainty

If inflation is 1% more/less than the BERL LGCI, operating expenditure (excluding finance and depreciation) would increase/decrease by \$1.5m annually and capital expenditure by \$1.4m.

Changing Government policies

Changing Government priorities have created uncertainty around the future of Local Government. Some of the more significant changes include:

The Local Water Done Well (LWDW) policy replaces the previous Three Waters Reform programme – refer below assumption for more information.

A fast-track consenting regime has been introduced to expediate approvals for major infrastructure and development projects.

The government has indicated they may prioritise and selectively implement recommendations from the Future for Local Government review.

Government have invited councils to submit proposals on Regional Deals which if approved would establish long-term agreements between central and local governments to promote economic growth, infrastructure development and housing improvements tailored to regional needs.

Until Council gains clarity about what the future will look like, no changes have been made to Council's existing Financial Strategy and the way Council operates.

Financial risk

High

Impact for high financial risk assumptions

The impact of regulation changes is difficult to budget and carries a high level of uncertainty.

Level of uncertainty

High

Financial impact for assumptions with high level of uncertainty

Regulation changes introduced may impact Council's Financial Prudence Balanced Budget Benchmark result and could cause an existing balanced budget to become unbalanced unless compensating adjustments are made.

Local Water Done Well (LWDW)

The LWDW legislation is a comprehensive reform of New Zealand's water services.

Council must develop a Water Services Delivery Plan (WSDP) by September 2025 that has been consulted on with the community.

Until the WSDP has been developed, it is unknown how water services will be provided going forward.

Council have not provided any funding in this Annual Plan to complete the WSDP or implement any changes that result from the adoption of the WSDP.

Financial risk

High

Impact for high financial risk assumptions

As the Water activities have a significant impact on the Financial Strategy, Prospective financial statements, capex programme and debt levels of Council, any future changes from Local Water Done Well will significantly impact on Council.

Level of uncertainty

High

Financial impact for assumptions with high level of uncertainty

Changes introduced may impact Council's Financial Prudence Balanced Budget Benchmark result and could cause an existing balanced budget to become unbalanced unless compensating adjustments are made.

Fluoridation

The Director-General of Health has issued a directive to fluoridate the Bream Bay and Whangarei drinking water supplies by 28 March 2025.

If Council does not comply with the fluoridation order, there is the potential to incur fines and the costs of legal proceedings. In addition, Council may not retain/receive funding for the capital costs of fluoridation already spent.

These potential costs and reduction in revenue would lead to an increase in planned debt and may impact the balanced budget benchmark.

The financial impact of this situation has not been included in this draft Annual Plan.

Any costs associated with a refusal to fluoridate the water will be added to the budget before adoption in June 2025.

Financial risk

High

Impact for high financial risk assumptions

There is the potential for significant, unfavourable financial ramifications as a result of not complying with the Fluoridation directive.

Level of uncertainty

High

Financial impact for assumptions with high level of uncertainty

For the draft Annual Plan, the uncertainty has meant the potential financial impacts have not been included in the budget.

Costs associated with a refusal to fluoridate are significant and would increase debt and may cause a balanced budget to potentially become unbalanced.

Climate change assumptions

Climate change: A prolonged staff vacancy has meant that progress on the implementation of the Corporate Sustainability Strategy adopted in 2018 has slowed.

Organisational carbon footprint: Due to a prolonged staff vacancy, the Council's carbon inventory for the 2023-24 financial year has not been verified.

Regional, District and individual level carbon footprint: Council, along with the Northland councils have partnered with Auckland Council to deliver FutureFit across the Te Tai Tokerau. FutureFit is a carbon footprint tool, which will enable the community to engage with others on the topic of climate change. It will equip individuals with information to reduce their carbon footprint. A quick, easy survey enables individuals to measure their carbon footprint and be challenged to reduce their footprint by selecting from a range of customised lifestyle choices.

Council, along with the Northland Councils have been creating a regional inventory and granulated District-level carbon footprint. Data collation has commenced, with staff providing information from our landfill and wastewater as part of our Districts' emission profile. There have been no issues with obtaining data from any of the Whangārei industries or sites, which shows a willingness to collaborate and work on this together.

Climate adaptation: Implementation of the Te Taitokerau Climate Change Adaptation Strategy adopted in 2022 is underway. Community adaptation planning is funded in the Long Term Plan, though built adaptation responses are not and will need to go through future LTP processes. The first community adaptation planning pilot project has begun.

Tangata whenua led risk assessments and adaptation planning are also two priority actions from the region-wide strategy. A contestable fund has been established to enable hapu to undertake these actions.

As anticipated, climate change impacts are putting people at risk and impacting property, including Council assets. The costs of damage to Council assets is likely to increase as the frequency and severity of adverse weather events increases.

Financial risk

Financial impact currently is High.

Large, long term financial risks.

Impact for high financial risk assumptions

Costs to protect, shift, and future proof infrastructure and assets. Increasing insurance costs and potential inability to insure some areas. Council's ability to borrow Green, Social and Sustainability (GSS) Loans may be impacted if we have inadequate climate related financial risk disclosure.

The price point for greenhouse gas emissions will likely increase through the Emissions Trading Scheme (ETS). So NRLLP

will need to pay more for carbon emissions generated through the waste operations.

Level of uncertainty

High certainty that impacts are likely. High level of uncertainty around financial impacts depends on the nature, extent and duration of impacts experienced.

Financial impact for assumptions with high level of uncertainty

Costs to protect, shift, and future proof infrastructure and assets. Increasing insurance costs and potential inability to insure some areas. Council's ability to borrow money may be impacted if we have inadequate climate related financial risk disclosure.

District growth assumptions

District growth projections: Council commissioned Infometrics to produce projections for population, demographic and household change over the next 30 years. Infometrics have recently updated the projections for Whangārei to incorporate Statistics NZ's latest subnational population estimate for 2023 and the revised international net migration forecast. Statistics NZ revised down Whangārei's 2023 population by 1,000 or 1.0%, reflecting much lower internal and international migration than previously estimated.

The projections estimate overall population growth and age for the District and are used to inform Council's Planning. In August 2023, Council adopted a high growth scenario to inform the population projections.

Whangārei continues to track between the medium and high projection scenarios once these revisions are taken into account.

District growth: The financial statements assume a 1.3% growth increase in line with LTP growth projections for the district. More recent projections of Whangārei District's population indicates a growth of 0.7% pa between 2024 and 2034.

This assumption will be revisited prior to the final Annual Plan.

Spread of growth throughout urban areas: Population growth is projected to be spread throughout Whangārei's urban areas, reflecting the potential for both greenfield and infill development. The strongest growth is forecast for the Te Kamo growth area, with an additional 6,800 residents by 2054 under the high scenario, which reflects the area's potential for both greenfield and infill development.

Fastest growing age group: The 65-years-and-older age group has been Whangārei's fastest growing in the past two decades, growing 3.8% pa on average between 2003 and 2023. It will continue to be the fastest growing age group throughout the projection period, growing 3.1% per annum between 2023 and 2033, and slowing to 1.5% pa between 2033 and 2053 under the high scenario. The population under the age of 65 is also projected to grow in Whangārei, albeit at a much slower rate than the 65 years and older group.

Financial risk

High

Impact for high financial risk assumptions

Risks of overestimating population growth

- Population forecasts influencing other decision making, such as the supply of land of housing under the National Policy Statement on Urban Development.
- Increased investment in infrastructure sooner than is needed.

- Implications for collection of Development Contributions to fund infrastructure investment.
- Overestimating future revenue and expenditure to meet the needs of the community.

Risks of underestimating population growth

- Infrastructure does not meet the demands of the population and we constrain the development sectors ability to provide housing. This can lead to housing supply and affordability issues.

- Council will need to play ‘catch-up’ in future investment to keep pace with actual growth.
- Supply of land for housing and business activity is understated.

Level of uncertainty

Population projections are an informed estimate of a future scenario, therefore there is an inherent risk of either over estimating or under estimating population growth. The longer the timeframe of the projection, the greater likelihood of inaccuracies. Conversely the early years of a growth projection are likely to be more accurate, as there is more familiarity with the factors that will influence population growth. This is why the projections are reviewed every three years.

Financial impact for assumptions with high level of uncertainty **Risks of overestimating population growth**

- Increased investment in infrastructure sooner than is needed.
- Implications for collection of Development Contributions to fund infrastructure investment.
- Overestimating future revenue and expenditure to meet the needs of the community.

Risks of underestimating population growth

- Infrastructure does not meet the demands of the population and we constrain the development sectors ability to provide housing. This can lead to housing supply and affordability issues.
- Council will need to play ‘catch-up’ in future investment to keep pace with actual growth.

Flood and storm damage

Council does not budget for unknown storm events, as referred to in the 2024-2054 Infrastructure Strategy. Lack of funding provision for emergency works may result in reduced renewals as renewal funding gets diverted to fund flood damage repairs.

Financial risk

Medium

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Medium

Financial impact for assumptions with high level of uncertainty

Not applicable

Resource consents

The necessary resource consents required for capital projects will be applied for in due course to align with the planned project timeframes. We assume conditions for resource consents will not alter budgeted project costs significantly.

Financial risk

Medium

Level of uncertainty

Medium

Impact for high financial risk assumptions

Not applicable

Financial impact for assumptions with high level of uncertainty

Not applicable

Levels of service

Levels of service changes will be limited to those indicated in the LTP only.

Financial risk

Medium

Level of uncertainty

Medium

Impact for high financial risk assumptions

Not applicable

Financial impact for assumptions with high level of uncertainty

Not applicable

Revenue assumptions

Rates increase

The following rates increases have been applied:

General rates: a 7.5% increase, plus growth* plus LGCI. In addition, Council are proposing the introduction of farmed business-zoned land relief which would be funded by ratepayers in the Commercial and Industrial and Rural sectors amounting to a further 1.2% rates increase.

Water targeted rates (excluding metered water): a 2.5% increase, plus growth* plus LGCI.

Wastewater targeted rates: LGCI plus growth*. In addition there is an increase to fund the new Water Regulatory levies.

Flood Protection targeted rates: LGCI.

The above rates increases are in line with the Financial Strategy contained in the 2024-34 Long Term Plan with the exception of the increases applied to fund the new Water Regulatory levies and the farmed business-zoned land relief.

*A growth component is factored into the rates revenue budget to reflect the increase in rateable properties in our District. Growth for water and wastewater is set at 80% of the general rates growth as not every new rateable property connects to water and wastewater.

Financial risk

Low

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Low

Financial impact for assumptions with high level of uncertainty

Not applicable

New rate

Stormwater targeted rate: a proposed targeted rate in line with the Financial Strategy contained in the 2024-34 Long Term Plan. This rate now includes a component to fund the new Water Regulatory levies.

Financial risk

Medium

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Medium

Financial impact for assumptions with high level of uncertainty

Not applicable

Metered water and supply charge

Increase of 2.5%, plus growth (refer above) plus LGCI.

The supply charge also has a further additional increase to fund the new Water Regulatory levies.

Financial risk

Medium

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Medium

Financial impact for assumptions with high level of uncertainty

Not applicable

Development contributions

The value of development contributions (DC) collected is dependent on the number of subdivision lots developed and on the level of new service connections taking place. A conservative approach is taken to forecasting DC revenue which may vary from the growth model and actuals.

Financial risk

High

Impact for high financial risk assumptions

The level of subdivision and development activity is difficult to forecast and carries a high level of uncertainty.

Level of uncertainty

High

Financial impact for assumptions with high level of uncertainty

Every 1% of Development Contribution revenue not achieved will lead to a reduction in income of approximately \$70k per year, reducing available funding.

Central government funding

Council regularly applies and is approved for Government funding for various projects and initiatives. Approved projects and funding have been included in the Annual Plan based on Council's best estimate. Recognition of revenue is contingent on the applicable milestones being satisfied under the various funding agreements. Council will continue to apply for any relevant funding and if necessary will adjust the timing of the operational and capital expenditure programme to accommodate any funding conditions.

Financial risk

Medium

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

High

Financial impact for assumptions with high level of uncertainty

Funding not received will reduce capital subsidies and grants income, and operating surplus. This would impact Council's Financial Prudence Balanced Budget Benchmark result and could cause an existing balanced budget to become unbalanced unless compensating adjustments are made.

The timing of completion of the relevant capital and operational projects may also differ to the plan.

Subsidies (excluding emergency works)

NZTA (Waka Kotahi) subsidies have been included based on Central Government contributions to certain capital expenditure and maintenance - subsidies average 53%. All subsidies are disclosed within operating revenue and are contingent on the applicable capital projects and/or maintenance taking place.

Council has assumed there are no changes to the subsidy rates in this Annual Plan. The granting of subsidies for specific programmes are contingent on being approved by NZTA.

Financial risk

High

Impact for high financial risk assumptions

If a planned capital or maintenance project that has a subsidy associated with it is not delivered, Council will not receive the budgeted subsidy income.

Level of uncertainty

High

Financial impact for assumptions with high level of uncertainty

NZTA subsidies not received will reduce subsidy income, and operating surplus. This would impact Council's Financial Prudence Balanced Budget Benchmark result and could cause an existing balanced budget to become unbalanced unless compensating adjustments are made.

The timing of completion of the relevant capital and maintenance projects may also differ to the plan.

Vested assets

Vested asset income is inconsistent from year to year and as a consequence is difficult to forecast. It has been reflected at \$11.2 million. Vested asset income has no cash impact therefore any financial risk is low.

Financial risk

Low

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Low

Financial impact for assumptions with high level of uncertainty

Not applicable

Northern Regional Landfill Limited Partnership (NRLLP)

It is assumed that Council will receive an annual distribution from NRLLP.

Financial risk

Low

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Low

Financial impact for assumptions with high level of uncertainty

Not applicable

Property transactions

Council have budgeted for no commercial property purchases and no sales in this Annual Plan.

Financial risk

Low

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Low

Financial impact for assumptions with high level of uncertainty

Not applicable

User fees

The majority of user fees have increased by LGCI, with some seeing higher increases reflective of increased costs in providing that service. These increases are assumed to be sufficient for funding purposes and will be reviewed annually to ensure compliance with Council's Revenue and Financing Policy.

Financial risk

Medium

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Medium

Financial impact for assumptions with high level of uncertainty

Not applicable

Rental income

Council has assumed rental increases will be based on the anticipated increases, timed to coincide with rental lease renewals.

Financial risk

Low

Level of uncertainty

Low

Impact for high financial risk assumptions

Not applicable

Financial impact for assumptions with high level of uncertainty

Not applicable

Expenditure assumptions

Interest rates

Council uses a forecast annual rate to calculate interest expense. The average rate for the Annual Plan is assumed to be 4.19% for existing and new debt. This is based on the weighted average cost of capital calculated across the period of the Annual Plan. Projected future interest rates are calculated by using interest and debt forecasting models provided by external Treasury advisers. Council has a comprehensive interest rate hedging program which reduces the risk of interest rate rises.

Financial risk

Medium

Level of uncertainty

Medium

Impact for high financial risk assumptions

Not applicable

Financial impact for assumptions with high level of uncertainty

Not applicable

Interest

Interest is calculated on average debt and the impact of current and forecasted interest rate changes.

Financial risk

Low

Level of uncertainty

Low

Impact for high financial risk assumptions

Not applicable

Financial impact for assumptions with high level of uncertainty

Not applicable

Credit rating

Council maintains its AA credit rating which is used to determine forecasted interest rates.

Financial risk

Medium

Level of uncertainty

Medium

Impact for high financial risk assumptions

Not applicable

Financial impact for assumptions with high level of uncertainty

Not applicable

Staff costs

Budgets have been increased to allow for growth and LGCI.

Financial risk

Medium

Level of uncertainty

Medium

Impact for high financial risk assumptions

Not applicable

Financial impact for assumptions with high level of uncertainty

Not applicable

Depreciation funding

Capital expenditure to replace assets ('renewals') will be funded by rates collected to cover the cost of depreciation. Any surplus depreciation component will be used to repay borrowings. Any shortfall in funding requirements will be met through subsidies, operating surplus or increased debt. Further information can be found in the Revenue and Financing Policy, the Financial Strategy and the Infrastructure Strategy.

Financial risk

Medium

Level of uncertainty

Medium

Impact for high financial risk assumptions

Not applicable

Financial impact for assumptions with high level of uncertainty

Not applicable

Unfunded depreciation

Council does not fund depreciation on transportation assets to the extent that NZTA funds renewals.

Financial risk

Medium

Level of uncertainty

Medium

Impact for high financial risk assumptions

Not applicable

Financial impact for assumptions with high level of uncertainty

Not applicable

Depreciation

Depreciation rates for each asset group have been calculated using rates included in the Accounting Policies.

Depreciation rates on infrastructure assets are based on the 2024 revaluation increase.

Financial risk

Low

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Medium

Financial impact for assumptions with high level of uncertainty

Not applicable

Insurance

Council's insurer, Marsh and staff, provided premium increase assumptions between five and 10% for the various insurance components.

Although adjustments have been made to ensure insurance is affordable, the insurance strategy will still be reviewed over the next few years to find the most viable option concerning Council's insurance cover and levels of self-insurance.

Financial risk

Medium

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Medium

Financial impact for assumptions with high level of uncertainty

Not applicable

Asset assumptions

Asset revaluations

Infrastructure assets: an assumption has been made that a revaluation (based on LGCI) of infrastructure assets will occur every three years, with the most recent revaluation being 30 June 2024.

Roading assets: revaluation (based on LGCI) of roading assets will occur yearly.

Pensioner Housing: the revaluation (based on LGCI) of pensioner housing will remain at five-year intervals.

Investment properties: these are revalued annually however no movement in the value of investment properties has been budgeted given the difficulty of predicting future values. Any valuation change does not impact cash requirements.

Biological assets and derivative financial assets: no movement in the value of biological assets and derivative financial assets has been budgeted given the difficulty of predicting future values. Any movements in these assets would have no cash impact on the plan.

Other financial assets: no movement in the value of shares held in Civic Assurance Limited and the New Zealand Local Government Funding Agency has been assumed in the budget.

Budgeted revaluation increases and the resulting depreciation are estimated and may differ from the actual result.

Financial risk

Medium

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Medium

Financial impact for assumptions with high level of uncertainty

Not applicable

Capital expenditure budgets

Costings of capital expenditure budgets are estimates that have been developed using the best available information to hand such as recent tender and valuation information.

Financial risk

Medium

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Medium

Financial impact for assumptions with high level of uncertainty

Not applicable

Capital expenditure timing

For the purposes of modelling debt, adjustments have been made to allow for estimated projects not completed in a particular financial year and carried forward. Actual results may vary to this estimate.

Financial risk

Medium

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Medium

Financial impact for assumptions with high level of uncertainty

Not applicable

Useful lives of significant assets

Useful lives for each asset group have been listed in the Accounting Policies. Useful life is used to determine the level of depreciation for an asset and renewal timing.

Financial risk

Low

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Low

Financial impact for assumptions with high level of uncertainty

Not applicable

Funding sources

Future replacement of significant assets is assumed to be funded in line with the Revenue and Financing Policy.

Financial risk

Low

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Low

Financial impact for assumptions with high level of uncertainty

Not Applicable

Liability assumptions

Borrowings

It is assumed that Council will have the facilities to secure funding as required.

Financial risk

Low

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Low

Financial impact for assumptions with high level of uncertainty

Not applicable

Derivative financial assets/liabilities

No movement in the value of derivative financial liabilities has been reflected in the plan due to difficulty in forecasting future values. Any movements in these liabilities would have no cash impact on the plan.

Financial risk

Low

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Low

Financial impact for assumptions with high level of uncertainty

Not applicable

Other assumptions

Strategic assets

Council has not planned for the ownership of any strategic assets to be transferred to another party.

However, the creation of a CCO or CCTO to manage development opportunities could result in the transfer of property to the new entity, which may include strategic assets.

Financial risk

Low

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Low

Financial impact for assumptions with high level of uncertainty

Not applicable

Currency movement

Council does not have any significant exposure to currency movements and consequently has not specifically taken them into account.

Financial risk

Low

Impact for high financial risk assumptions

Not applicable

Level of uncertainty

Low

Financial impact for assumptions with high level of uncertainty

Not applicable



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Attachment 3:

Property samples of status quo and preferred UACG.

These sample properties show the proposed rates for 2025-26 if status quo is maintained and none of the preferred options are chosen. The stormwater targeted rate is included at \$172 per SUIP. The proposed rates available online show the preferred options.

Residential property in urban area with a land value of **\$200,000**



Last year rates were	This year they'll be	That's an increase of
\$2,296	\$2,636	14.8%

Which is **\$6.54** more a week

Residential property in urban area with a land value of **\$380,000**



Last year rates were	This year they'll be	That's an increase of
\$ 2,843	\$3,166	11.4%

Which is **\$6.21** more a week

Residential (lifestyle) property with a land value of **\$640,000**



Last year rates were	This year they'll be	That's an increase of
\$2,516	\$2,965	17.8%

Which is **\$8.64** more a week

High value residential (lifestyle) property with a land value of **\$3,400,000**



Last year rates were	This year they'll be	That's an increase of
\$6,972	\$8,037	15.3%

Which is **\$20.48** more a week

Rural property with a land value of **\$970,000**

Last year rates
were

\$4,549

This year they'll
be

\$5,210

That's an increase
of

14.5%

Which is **\$12.70** more a week

Rural property with a land value of **\$3,450,000**

Last year rates
were

\$13,575

This year they'll
be

\$15,766

That's an increase
of

16.1%

Which is **\$42.13** more a week

Commercial property with a land value of **\$820,000**

Last year rates
were

\$12,954

This year they'll
be

\$14,427

That's an increase
of

11.4%

Which is **\$28.33** more a week

Industrial property with a land value of **\$3,950,000**

Last year rates
were

\$59,266

This year they'll
be

\$65,483

That's an increase
of

10.5%

Which is **\$119.55** more a week

The above are randomly selected samples of properties from our District. Road seal extension rates, water rates and flood protection rates are not included. Proposed rates for each property is available on www.wdc.govt.nz/HaveYourSay.

These sample properties show the proposed 2025-26 rates for the preferred options explained in this consultation document. You can view your proposed rates online at www.wdc.govt.nz/HaveYourSay.

Please contact us if you would like further information about how your rates could be affected.

Residential property in urban area with a land value of **\$200,000**



Last year rates were	This year they'll be	That's an increase of
\$2,296	\$2,327	1.4%

Which is **\$0.60** more a week

Residential property in urban area with a land value of **\$380,000**



Last year rates were	This year they'll be	That's an increase of
\$ 2,843	\$3,101	9.1%

Which is **\$4.98** more a week

Residential (lifestyle) property with a land value of **\$640,000**



Last year rates were	This year they'll be	That's an increase of
\$2,516	\$3,254	29.4%

Which is **\$14.20** more a week

High value residential (lifestyle) property with a land value of **\$3,400,000**



Last year rates were	This year they'll be	That's an increase of
\$6,972	\$ 11,053	58.5%

Which is **\$78.48** more a week

Rural property with a land value of **\$970,000**

Last year rates were	This year they'll be	That's an increase of
\$4,549	\$ 5,337	17.3%

Which is **\$15.15** more a week

Rural property with a land value of **\$3,450,000**

Last year rates were	This year they'll be	That's an increase of
\$13,575	\$ 17,704	30.4%

Which is **\$79.40** more a week

Commercial property with a land value of **\$820,000**

Last year rates were	This year they'll be	That's an increase of
\$12,954	\$ 14,643	13.0%

Which is **\$32.49** more a week

Industrial property with a land value of **\$3,950,000**

Last year rates were	This year they'll be	That's an increase of
\$59,266	\$ 68,743	16.0%

Which is **\$ 182.24** more a week

The above are randomly selected samples of properties from our District. Road seal extension rates, water rates and flood protection rates are not included. Proposed rates for each property is available on www.wdc.govt.nz/HaveYourSay.

7.6 Local Water Done Well Consultation

Meeting: Whangarei District Council

Date of meeting: 27 March 2025

Reporting officer: Andrew Carvell – General Manger Waters
 Andrew Venmore – Manager Water Services

1. Purpose / Te Kaupapa

To provide an update on Local Water Done Well (LWDW), seeking a decision on which options should be included in the consultation document, and which option is preferred.

2. Recommendations / Whakataunga

That the Whangarei District Council:

1. Notes the report
2. Agrees to consult on the following options.
 - a. An In-house Business Unit with increased collaboration with Northland councils
 - b. A Northland Council Controlled Organisation (CCO) with Kaipara and Far North District councils (drinking and wastewater only)
3. Agrees that the current preferred option is option a, an in-house business unit with increased collaboration with Northland councils.
4. Approves the attached consultation document and proposed consultation programme
5. Authorises the Chief Executive to make minor changes to the consultation document prior to release to fix any errors, provide clarifications and incorporate relevant feedback from elected members at this meeting
6. Agrees to work with other Northland Councils to explore managed/shared services arrangements where appropriate
7. Agrees to work with other Northland Councils on the establishment of a Transition Advisory Group to further investigate the potential for Shared / Managed Services, and how a Northland Council Controlled Organisation could be possible.
8. Notes that Terms of Reference for, and appointments to, any Transition Advisory Group will be reported back to Council for consideration following discussions with, and feedback from, other Northland Councils.

3. Background / Horopaki

Local Water Done Well - Water Services Legislation and Water Services Preliminary Arrangements

The Government's LWDW programme is aimed at addressing New Zealand's long-standing water infrastructure challenges. The legislation recognises the importance of local decision-making and flexibility for communities and councils to determine how their water services will be delivered in the future. Following the 2023 General Election, and the Water Services Acts Repeal Act 2024, the latest legislative step has been the Local Government (Water Services Preliminary Arrangements) Act (the Act) which establishes the Local Water Done Well (LWDW) framework and the preliminary arrangements for the new water services system.

The Act lays the foundation for a new approach to water services management and financially sustainable delivery models that meet regulatory standards.

Key areas included in the Act are:

- Requirements for councils to develop Water Services Delivery Plans within 12 months of enactment (3rd September 2025).
- Requirements for councils to include in the Water Services Delivery Plans baseline information about their water services operations, assets, revenue, expenditure, pricing, and projected capital expenditure, as well as necessary financing arrangements, as a first step towards future economic regulation
- Streamlined consultation and decision-making processes for setting up water services council-controlled organisations (water services CCOs), should that be the councils chosen delivery vehicle
- Provisions that enable a new, financially sustainable model for Watercare.

A third Bill, the Local Government Water Services Bill, will establish the enduring settings for the new water services system including statutory objectives for all water organisations, and provisions relating to a new type of water CCO with its own powers and accountability arrangements. Consultation on the third Bill, which was read into Parliament in December 2024, closed at the end of February. The Bill is currently with the select committee and is due to be enacted later this year.

The Government's Local Water Done Well programme requires Councils to consider options for delivery of three water services within their district. Last year Council undertook a high level options analysis with Rationale to determine the options to be considered in more detail. That analysis indicated the Status Quo (in-house business unit), a Whangarei Council Controlled Organisation (CCO) and a Northland CCO were the most suitable options. At that time collaboration with Auckland was considered unlikely to succeed due to the new legislation changes covering Watercare.

A subsequent letter from the CE of Auckland Council (Attachment A) confirmed that they are not in a position to consider any proposals at this time. As the Council needs to provide a fully funded Water Services Delivery Plan (WSDP) to the Department of Internal Affairs (DIA) by 3 September 2025 the Auckland option is no longer feasible.

The Northland Mayoral Forum were supportive of investigating the Northland CCO option and in December 2024 Beca and Martin

Jenkins consultants were contracted jointly by all three Northland District Councils to undertake financial modelling and analysis of the Northland CCO option.

Subsequently and in order to ensure a fuller understanding of potential implications the following scenarios were also requested to be modelled.

- A Whangarei standalone CCO
- The impact on the rest of Council if waters is removed
- A Whangarei/Kaipara CCO

Workshops were held with Elected Members on 5th and 12th of March 2025 to provide the findings of the modelling undertaken by Martin Jenkins. The modelling was based on two waters only with Stormwater remaining in Council. The initial findings indicated that a Northland CCO could work financially in the short term. However, the new CCO would have to borrow heavily and there was likely to be some cross subsidisation from Whangarei water users. In addition, it was noted that the capital programmes for a Northland CCO would need to be constrained to meet borrowing limits. The modelling of the in-house business unit and the subsequent price path assumed the current financial “low debt” approach. If the business unit was able to take on more debt a lower price path could be achieved. A copy of the report was sent to elected members following the 12th of March workshop and is included as Attachment B.

Consultation Requirements

Council must undertake consultation in alignment with sections 61 to 64 of the Act. In short Council must consult on at least two options for water services delivery;

1. The status quo (in house business unit)
2. A water services council controlled organisation or a joint local government arrangement.

Councils are only required to consult once on the options, not on the WSDP. It is hoped we can undertake it in conjunction with the Annual Plan consultation. However, the risk is that the process is rushed we are proceeding on limited information and the full implications of the options are not fully understood.

The information required for the consultation document is, with a draft Consultation Document covering these aspects being provided as Attachment C:

- The proposal outlining the recommended option, an explanation of the proposal and the reasons for the proposal;
- An analysis of the options presented;
- How the proposal will affect rates, debt and levels of service; and any charges for water services;
- How not proceeding with the proposal will affect rates, debt, and levels of services; and any charges for water services
- If a CCO or joint local government arrangement– the implications throughout the joint service area
- If proposal will involve transfer of ownership of a strategic asset, description of accountability or monitoring arrangements that the authority will use to assess the performance of the CCO or joint level government arrangement in regard to the asset;
- Any other relevant implications that will be of interest to the public.

Given the timelines required to be met under the legislation it is important to undertake the consultation phase either in line with the annual plan consultation, or at least overlapping it. This is necessary in order to both achieve efficiencies and save costs, but more importantly to ensure that we get the best engagement possible from our community. If consultation is not undertaken alongside the Annual Plan there is a risk that we will not get widespread engagement.

However, it is acknowledged that this work is being done on extremely tight timeframes, with staff and councillors having to respond to requirements of government, while ensuring that we have supporting information that provides for meaningful engagement with our community.

This Agenda works councillors through options being consulted on by other councils within Northland before outlining:

- Modelling and options worked through with Council for consultation
- Potential changes to the funding model.

In doing so the Agenda recommends the establishment of a working group of elected members from across Northland Councils (subject to support from other Councils) to provide advice and recommendations regarding the potential for shared / managed services and/or a future CCO.

4. Discussion / Whakawhiti kōrero

The modelling outcomes indicate that for a Northland CCO to work effectively Whangarei ratepayers will need to support the other areas financially for quite some years. However, a decision to work with other Councils is not just one that relates to water charges and rates – for a Northland CCO to work, all Councils would need to be fully supportive of the proposal.

As noted above there are compromises for each Northland Council in the formation of a CCO. Based on the compromises required to meet the financial sustainability targets of the Act, Far North District Council has determined to progress with an in-house business unit as their preferred option. This has led to a Northland CCO no longer being a realistic option at this stage.

The Far North resolution was;

That Council

- a. Confirm the water services delivery options to be consulted on are;
 - Internal Business Unit (“status quo”);
 - Multi-Council CCO water organisation;
- b. Direct the Chief Executive Officer to prepare a Statement of intent by 31 March 2025 to enter into a Heads of Agreement with Whangārei District Council and Kaipara District Council for the potential future formation of a Multi-Council CCO Water Organisation; and
- c. Identifies the Internal Business Unit as the current preferred option.

Kaipara District Council has issued an agenda item to be presented on 26th March 2025:

That Kaipara District Council:

- a) Agrees to consult with the community on the following water and wastewater service delivery options, in conjunction with the 25/26 Annual Plan process:
 - i. A Kaipara District Council in house Business Unit
 - ii. A shared service contract model with Whangarei District Council in the first instance, and possibly Far North District Council
 - iii. A Joint Northland Council Controlled Organisation (Preferred option).

- b) Notes that the Auckland Council has formally advised Northland Councils that discussions involving them will not be feasible until after September 2025
- c) Requests the Chief Executive explore collaboration or a CCO option with Auckland Council once they are in a position to enable those discussions.
- d) Agrees not to proceed with the following water and wastewater services delivery options:
 1. A single Kaipara District Council CCO
 2. A mixed Council Consumer Trust
 3. A Consumer Trust

Kaipara District Council are still keen to explore opportunities with Auckland Council which the Auckland Chief Executive has indicated will not be possible before September 2025.

As both Far North and Kaipara District Councils will include the Northland CCO as an alternative option in their consultation documents, it is recommended that we do the same. This will provide valuable feedback from the community as we work towards future options.

During the two workshops held at the beginning of March Elected Members indicated a preference towards retaining water services in house. However, there was also acknowledgement that Whangarei needs to work with other Northland councils to achieve improved outcomes across the region.

Acknowledging the challenging timeframes and uncertainties in the final legislation and the limited analysis of probable scenarios, there is agreement among the Northland's district councils to continue to work together on:

- a shared or managed services arrangement in the short-term; and
- further investigating how a Northland CCO model could work in the mid-term (next 3-5 years)

Where possible any change would align with future Long-term Plan (LTP) periods.

A shared/managed service option could see the three Northland District Councils create efficiencies by sharing internal services for their water services such as asset management, procurement or contractor panels. A managed service could involve outsourcing, either to the same third-party contractor, or for one council to manage parts of water service delivery for other councils.

Recent experience providing Transportation services through a shared service model showed that there are significant operational difficulties unless a separate legal entity is formed. For this reason, a managed service model, where selected services (such as asset management or project delivery) are provided by one council to another on a contractual basis is the recommended approach.

The financial modelling already completed for a Northland CCO assumed that the CCO would borrow close to the maximum amount possible, while minimising costs for the customer so that affordability targets could be achieved. Further work could be undertaken to fully understand the long-term implications of this approach. This could also investigate the reliance on development contributions or developer agreements to fund growth projects. Building greater understanding of the level of water charges consumers would be happy with could also be further investigated.

As above it is acknowledged that work on Local Waters Done Well is being done on extremely tight timeframes, as both staff and councillors respond to requirements of

government. While the options outlined within the Consultation Document are relatively high level, there is significant work to be done following consultation in order to bring a Water Services Plan back to Council. Through the process councillors have raised the potential for an elected member working group comprised of elected members across the region.

This could take the form of a Transition Advisory Group tasked with investigating the potential for Shared / Managed Services, along with how a Northland Council Controlled Organisation could be possible in the future (noting that all three councils have this as a consultation option). The establishment of a Advisory Group could also enable more work to be done on understanding the asset base/programmes of each Council, along with the ensuring that all funding possibilities have been explored with the Department of Internal Affairs (DIA) and the Ministers .

If supported Terms of Reference for, and appointments to, any Transition Advisory Group will be reported back to Council for consideration following discussions with / feedback from other Northland Councils.

4.1 Proposed changes to the funding model

For many years Water and Wastewater services have been funded entirely through targeted rates, which have provided for both operational and capital expenditure. In recent years there has been an 'over-funding' of both services, resulting in the accumulation of reserves. As part of Council's overall financial management these funds have been ring-fenced to ensure they are ultimately spent on these services. However, rather than holding these funds on deposit until used, they have been used to offset Council's overall debt position through internal borrowing. Staff advice is that this approach is no longer appropriate, as a clearer separation of funding of these services will be required in the future.

Further, there is a strong argument that capital expenditure on Level of Service and Growth projects should be funded by debt, rather than targeted rates, as this spreads the cost of the assets over their useful life, which is a more equitable approach. Targeted rates should still be used to fund operational costs as well as depreciation (which effectively funds asset renewal) and any debt repayment. Development Contributions/Levies would also be used to fund a portion of Growth projects.

This funding approach, which supports intergenerational equity, will allow future water charges to be held at current levels or even reduced, while relatively modest levels of debt are used once current reserves are depleted. The potential reductions on water charges would not be as great as those indicated in the MartinJenkins modelling for a Northland CCO, primarily because this assumes debt is used to fund a portion of renewal expenditure as well. However, the actual impact would need to be worked through with elected members, potentially through the regional transition advisory group in the first instance, prior to decisions being made.

If supported this change would have some impacts on the funding model for the 'rest of Council' in terms of balanced budget measures and debt levels, but these will arise from any changes to the delivery of water services delivery but are not expected to require major changes to the current financial strategy.

This revised funding approach is reflected in the consultation material so that feedback and submissions can be considered through future decision making of Council.

4.2 Next Steps

The next steps in the process are as follows

- Adopt consultation document
- Undertake consultation alongside Annual Plan consultation

- Transition Advisory Group established (subject to support from other Northland Councils)
- Begin preparation work for the Water Services Delivery Plan
- Receive consultation feedback
- Take agenda to Council for a decision on final option
- Complete Water Services Delivery Plan by 3rd September 2025

5. Financial

As part of the previous governments 'Affordable Waters' program funding was made available to Council for specific work. There is \$238,000 available from the last payment of the Transition Funding, as per correspondence from DIA 23 May 2024. A new funding agreement has been signed to access this funding. In addition, there is \$100,000 from unallocated 'Better off Funding', and this could be used to assist with the WSDP and strategic modelling required to support this.

Costs incurred to date on the initial multicriteria analysis total \$18,105 (excl GST). It is anticipated that future WDC costs for options analysis will be able to be met by the funding available. Joint costs will need to be shared between the Northland Councils. Where individual Councils need their own specific specialist advice, this will be covered by the respective council.

6. Significance and Engagement / Te Hira me te Arawhiti

The decisions or matters of this Agenda do not trigger the significance criteria outlined in Council's Significance and Engagement Policy.

To inform the community and councils next steps, as well as meet legislative requirements in developing a Water Services Delivery Plan, the following consultation process is proposed

Consultation will run for one month from 31 March-30 April 2025, alongside Council's Annual Plan 2025-26 consultation. The attached consultation document outlines:

- Nationwide context
- Local Water Done Well overview
- Timeline
- Snapshot of Whangarei District water services today
- Options for future water services delivery, including pros and cons. This includes Council's preferred option (in-house business unit) and an alternate option (Northland CCO).
- Feedback form – we are seeking qualitative feedback on both options.

Three combined Annual Plan/Local Water Done Well community drop-in sessions will be held in the first half of April, as well as information sharing events with Residents and Ratepayers group representatives, the business community and Council's Advisory Groups

7. Attachments

- A – Letter from Auckland Council
- B – MartinJenkins – Northland Water Services Organisation – Financial Assessment.
- C – Consultation Document

27 February 2025

Chief Executives of Northland District Councils

By email: Simon Weston, CE Whangarei District Council - simon.weston@wdc.govt.nz
Jason Marris, CE Kaipara District Council - jmarris@kaipara.govt.nz
Guy Holroyd, CE Far North District Council - guy.holroyd@fndc.govt.nz
Tanya Sullivan, EA to CE Simon Weston - tanja.sullivan@wdc.govt.nz

Kia ora Simon, Jason, Guy

Local Water Done Well

While it is a bit late to wish you all *ngā mihi o te tau hou*, I trust you all had a refreshing break and are ready to face all the opportunities and challenges that 2025 will bring us collectively and individually.

Thank you for your letter dated 17 December 2024 regarding the possibility of a Northland/Auckland CCO water services provider.

You will be aware of the work that Auckland Council and Watercare have been doing with the Department of Internal Affairs and Ministers on achieving financial separation of Watercare and Auckland Council and setting up for interim economic regulation from 01 July 2025. Equally, I am aware of the opportunities and challenges for you in developing your solution under the Government's Local Water Done Well policy.

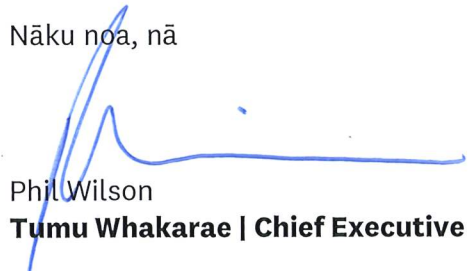
At present, Watercare is fully occupied with its own transition process both to drive operational improvements and to implement what are proving to be very demanding obligations in terms of economic regulation. We have discussed extensively at our end and I'm afraid there simply isn't an appetite for distracting them from this task at this time. This is true at political, operational and Board levels.

As things stand, I cannot see that we can contemplate a potential Northland/Auckland CCO and certainly not in the immediate future.

The prospect of a contract for service delivery – in support of either individual councils or a Northland combined CCO is however an option for the future. For the same reasons discussed above, we cannot see that being feasible to contemplate prior to September this year and suggest we keep conversation channels open in that regard.

I trust this provides the clarity you need for your continued deliberations. I look forward to continuing to work with you all throughout 2025.

Nāku noa, nā



Phil Wilson
Tumu Whakarae | Chief Executive



Northland Water Services Organisation

Financial assessment – Whangārei District Council, Kaipara District Council, Far North District Council

Final report

10 March 2025

Commercial in Confidence



Preface

This report has been prepared for Whangārei District Council, Kaipara District Council and Far North District Council by MartinJenkins.

For over 30 years MartinJenkins has been a trusted adviser to clients in the government, private, and non-profit sectors in Aotearoa New Zealand and internationally. Our services include organisational performance, employment relations, financial and economic analysis, economic development, research and evaluation, data analytics, engagement, and public policy and regulatory systems.

We are recognised as experts in the business of government. We have worked for a wide range of public-sector organisations from both central and local government, and we also advise business and non-profit clients on engaging with government.

Kei te āwhina mātau ki te whakapai ake i a Aotearoa. We are a values-based organisation, driven by a clear purpose of helping make Aotearoa New Zealand a better place. Our firm is made up of people who are highly motivated to serve the New Zealand public, and to work on projects that make a difference.

Established in 1993, we are a privately owned New Zealand limited liability company, with offices in Wellington and Auckland. Our firm is governed by a Board made up of Executive Partners and Independent Directors. Our Independent Directors are Sophia Gunn and Chair David Prentice. Our Executive Partners are Sarah Baddeley, Nick Carlaw, Allana Coulon, Nick Davis, and Richard Tait. Michael Mills is a non-shareholding Partner of our firm.



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[Appendix D: Approach to price paths \(harmonisation and non-harmonisation\)](#)

Introduction and purpose



Introduction and purpose

Joint Councils engaged MartinJenkins to undertake a high-level financial assessment of a possible Joint Water Services Council Controlled Organisation – Whangārei District Council, Kaipara District Council, and Far North District council

To inform the preparation of its Water Services Delivery Plan required by the Local Government (Water Services Preliminary Arrangements) Act 2024, participating councils wish to understand the potential financial implications of various joint WSCCO options.

Local Water Done Well requires councils to demonstrate their delivery of water services is financially sustainable

The Government's Local Water Done Well policy means councils across New Zealand will need to assess whether their water services delivery arrangements are, and will continue to be, financially sustainable over the medium- to longer-term.

Councils also need to consider whether existing service delivery arrangements will continue to meet community expectations regarding levels of service, achieve compliance with future regulatory requirements, while remaining affordable for their communities.

Future legislation is expected to require that

councils demonstrate their water services can stand on their own two feet. This means that:

- rates and water charges are ring-fenced and only used to pay the costs of water services
- rates and water charges generate sufficient revenue to fully-fund operating and financing costs over the medium-term, and
- investment to maintain and renew assets, to meet regulatory requirements, and provide for growth can be funded and financed on a sustainable basis.

A Water Services Council Controlled Organisation offers additional financial benefits compared to in-house delivery options

A WSCCO has the ability to borrow at higher gearing ratios than councils, while also borrowing at rates similar to councils due its ability to access LGFA lending. The potential economies of scale from amalgamating assets and service delivery, ability to optimise capital structure, alongside professional governance and management, mean there are likely efficiencies available to those who participate, relative to in-house delivery options.

This report assesses how joint WSCCO delivery models could benefit participating councils, collectively and individually, through enabling greater

efficiencies and more efficient capital structures.

It presents these findings for a joint WSCCO comprising all participating councils under three scenarios:

1. Balanced budget
2. Accelerated investment
3. Optimised prices

It also provides an indicative assessment of costs to consumers under scenario three where prices are harmonised and where they are not.

Further scenarios that explore alternative mixes of council participants are included as appendices for reference.

We have relied on council inputs and an agreed set of assumptions

In undertaking this analysis, we have relied on information provided by the participating councils and used assumptions agreed upon by them (refer [Appendix B](#)). These assumptions guide the scope of potential outcomes and inform the overall conclusions regarding the financial and operational viability of the proposed joint WSCCO model. Changes to these underlying assumptions will likely have a material impact on the outcomes presented in this report.

Limitations

This is a point-in-time, indicative assessment of stylised WSCCO scenarios to inform decision making

This analysis represents a snapshot in time, based on the data, assumptions and information available at the date of this report. As circumstances, policies and council data evolve, this assessment, in whole or part, may become out of date and warrant re-evaluation.

We have relied on council-provided information and have not verified its accuracy

The modelling outputs are dependent on the accuracy and completeness of information provided by participating councils. Any errors, omissions or inconsistencies in that information may affect the reliability of the findings, and have not been independently verified by us.

Scope of analysis is limited to indicative financial implications only

Work focuses on the potential structure and outcomes of a joint water services council-controlled organisation. It does not examine potential flow-on effects for other parts of the councils' operations and delivery arrangements, nor does it evaluate the underlying capital delivery programme. It is high-level, indicative analysis and does not constitute a detailed business case nor provide information sufficient to support implementation planning.

The outputs should be considered representative rather than exhaustive

The purpose of this modelling is to provide a representative analysis based on current assumptions. It is not an exhaustive analysis or a detailed operational review. Users of this report should exercise caution when extrapolating the

results beyond the specific scenarios modelled.

Ongoing changes and updates

Given the dynamic nature of legislative frameworks, council priorities and data quality, the inputs underpinning this analysis may change over time. Readers should refer to the most recent information and seek updated modelling if circumstances change.

Use of sensitive information

This report relies on the provision of sensitive information, the disclosure of which may prejudice commercial positions or negotiations, or inhibit the future supply of such information in a free and frank manner. It is recommended that participating councils are consulted prior to the disclosure of any information or findings in this report.

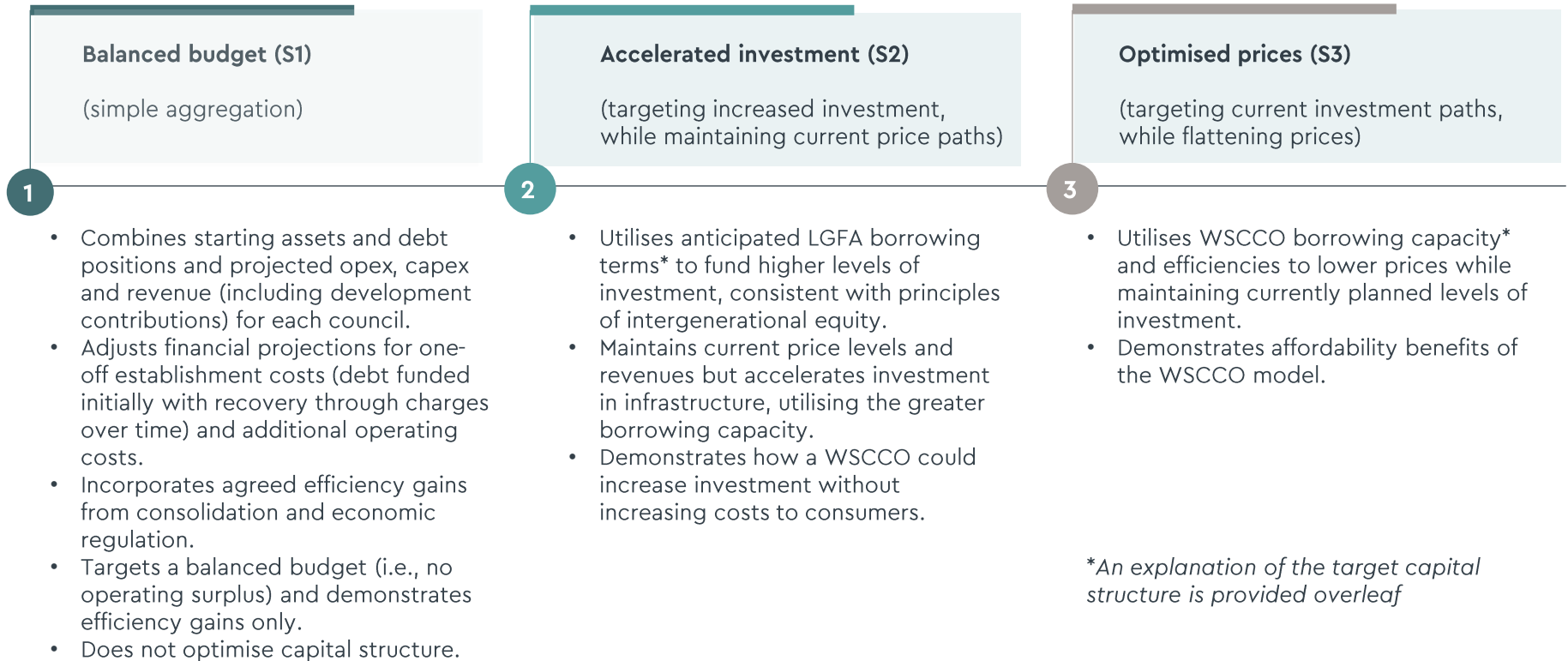


Scenario overview

+ target capital structure and key assumptions



Three scenarios have been modelled



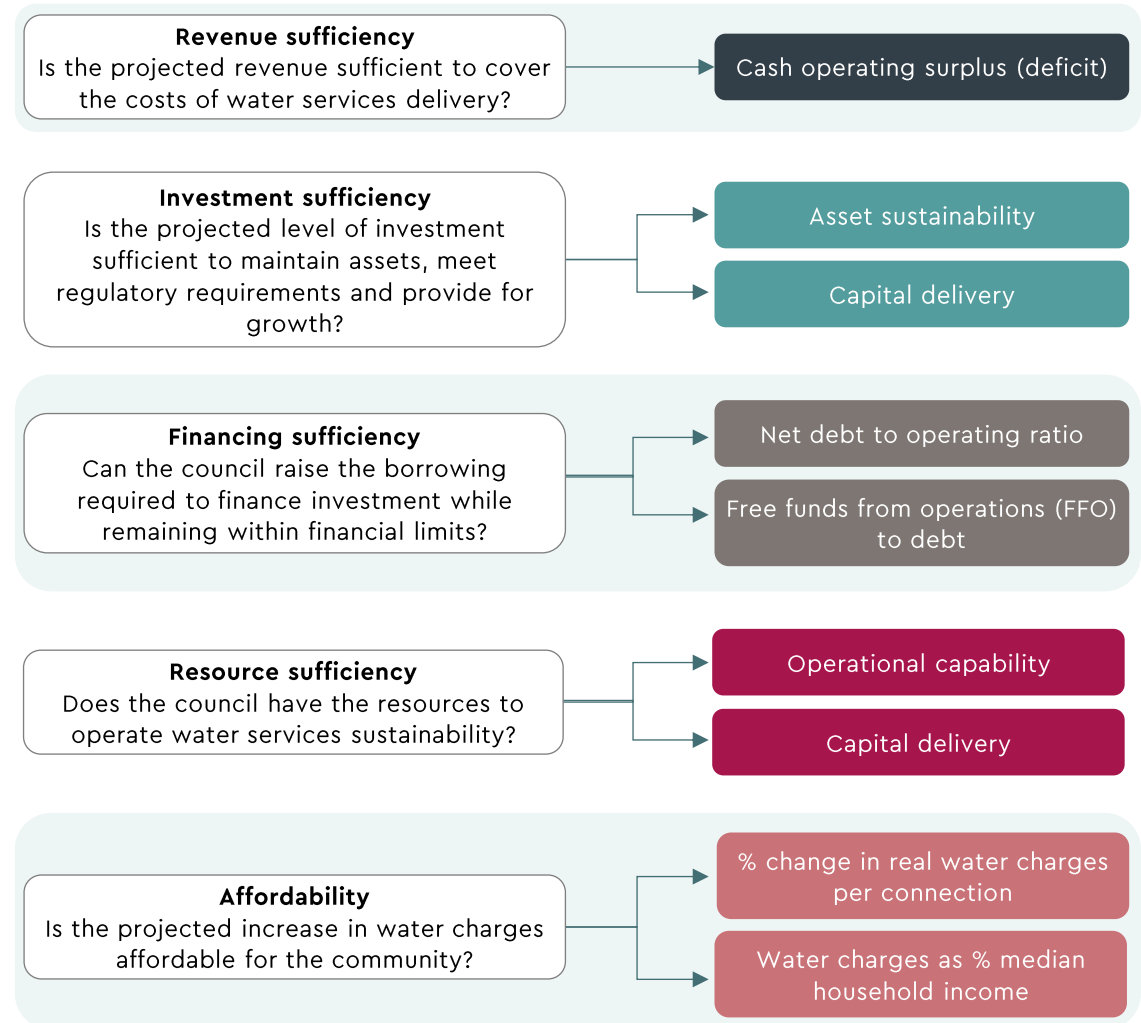
**An explanation of the target capital structure is provided overleaf*

Additional considerations:

- A status quo comparator is used as the benchmark for comparison, aggregating the financial positions supplied without adjustments or efficiency assumptions applied.
- Harmonised pricing is presented for scenario 3. An explanation of how the harmonised, and non-harmonised price paths are arrived is presented in [Appendix D](#).

Target capital structure

- **DIA guidance sets out key financial principles** that underpin the requirement for financial sustainability. Under Local Water Done Well, the expectation is that operating revenues pay for operating costs with capital investment funded by capital sources (e.g., borrowing and development contributions).
- **LGFA has set out a number of credit criteria.** A critical component of the 'prudent credit criteria' is that a 'funds from operations' ('FFO') to debt covenant would be required, with an **expected minimum 'FFO to debt' ratio likely to fall between 8% and 12% depending on individual circumstances for the CCO.**
- FFO to debt provides a metric by which you can assess the ability for revenues (including DCs in certain circumstances) to meet operating costs and debt servicing requirements.
- By **targeting an efficient capital structure** through a WSCCO, it is possible to **optimise revenues, expenditures and debt** that meet prudent credit criteria. This creates opportunities to:
 - **increase investment while maintaining current price levels** or
 - **maintain investment while lowering price levels** or
 - **A combination of these scenarios.**
- **Our modelling targets FFO to debt at the mid-point of 10%** as a conservative assumption. This means cash surpluses (including DCs) generated in any year are equal to 10% of the WSCCOs net borrowings.



Key assumptions

Several key assumptions underpin the analysis, which are consistent across the scenarios modelled.

Additional information on the underlying assumptions can be found in [Appendix B](#).

Further information on efficiencies can be found in [Appendix C](#).

Note, adjustments to the base debt and capital profiles were made with agreement from KDC and FNDC, more information is provided in [Appendix B](#).

Assumption	Commentary
Operating efficiencies 0.6% - 1.1% p.a.	Operating efficiencies are driven by a number of factors, including productivity gains arising from effective management practices, purchasing power, and more streamlined operations and maintenance. Efficiencies are modelled to begin two-years after the entity's establishment (FY30) and ramp to 1.1% p.a. (the midpoint of the efficiency range) until peak operating efficiency is achieved in FY44 (cumulative gain of 15% relative to the initial opex cost) .
Capital efficiencies 0.7% - 1.3% p.a.	Capital efficiencies reflect reductions in real unit costs from prudent investment decisions, streamlined cost structures and market power from a larger entity having long-term investment pipelines. They are modelled to begin two-years after the entity's establishment (FY30) and ramp to 1.3% p.a. (the midpoint of the efficiency range) until peak capital efficiency is achieved in FY44 (cumulative gain of 17%) .
Inflation rates – BERL	Councils typically utilise the BERL cost index to inform inflation assumptions. These have been used to support the analysis in this report.
Establishment costs are capitalised	Establishment costs are assumed to be: • \$9 million for three council entity scenarios This covers transition activities, including legal, commercial and other due diligence, and fit out of premises and basic IT hardware. The model is not sensitive to this assumption.
Additional opex	Additional opex associated with a WSCCO include additional management costs, board fees, audit and other costs. These are assumed to be around \$1.5 million p.a.
1 July 2027 establishment date	The entity is established from 1 July 2027.
Three waters	Water supply and wastewater are transferred to the entity. Stormwater has not been included in the analysis.

Key findings



Key findings

By FY34, a price-optimised WSCCO could **support financially sustainable water services** while enabling **up to \$213 million** in additional investment (+23% compared to the status quo) in water infrastructure and/or **reducing the cost to consumers by up to \$450** (-19%, relative to current price paths) – *note the differences in these figures compared to the table reflects rounding.*

This means a **joint WSCCO** could deliver water services **at a lower cost to consumers** than individual councils under current operating models and capital structures.

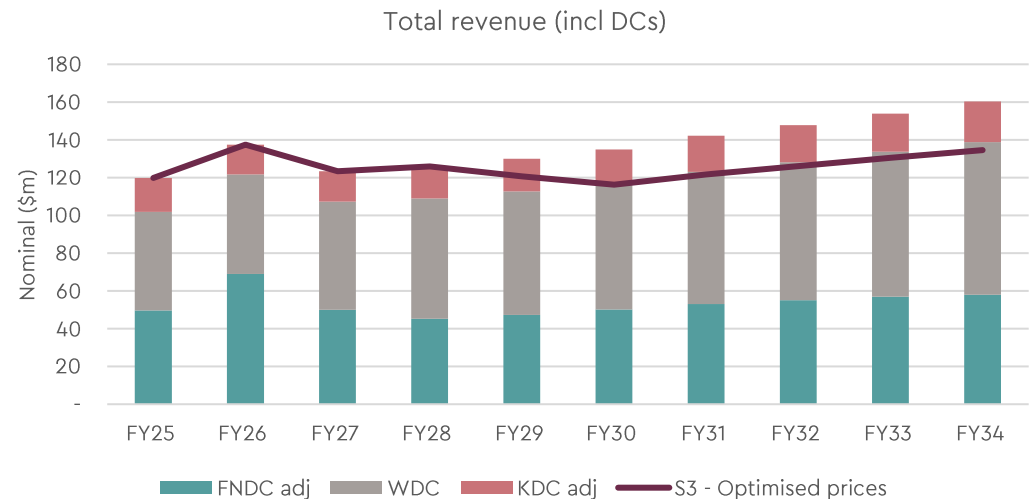
A WSCCO could achieve:

- **Operating efficiencies peak at 15% relative to initial opex by FY44**, and generate around \$3.5 million in annual savings by FY34.
- **Capital efficiencies peak at 17% relative to initial capex by FY44**, and generate around \$5.5 million in annual savings by FY34.
- **The current investment profile could be delivered for around \$11 million less between entity establishment and FY34.**

This arises from using a more **efficient capital structure** and gains from opex and capex efficiencies to provide:

- **Immediate uplift in access to borrowing.**
- **Better cost distribution** by funding and financing assets over their useful lives.
- **Increased investment capacity** and financial flexibility.

Scenario	FY25 cost per connection (\$ real)	FY34 cost per connection (\$ real)	Total capex (FY25-FY34) (\$m nominal)	FY34 FFO-to-debt (incl. DCs)
S1 Balanced budget	~\$1,900	~\$2,200	\$912	18%
S2 Accelerated investment	~\$1,900	~\$2,400	\$1,135	10%
S3 Optimised prices	~\$1,900	~\$1,900	\$912	10%
Comparator (status quo)	~\$1,900	~\$2,400	\$922	24%

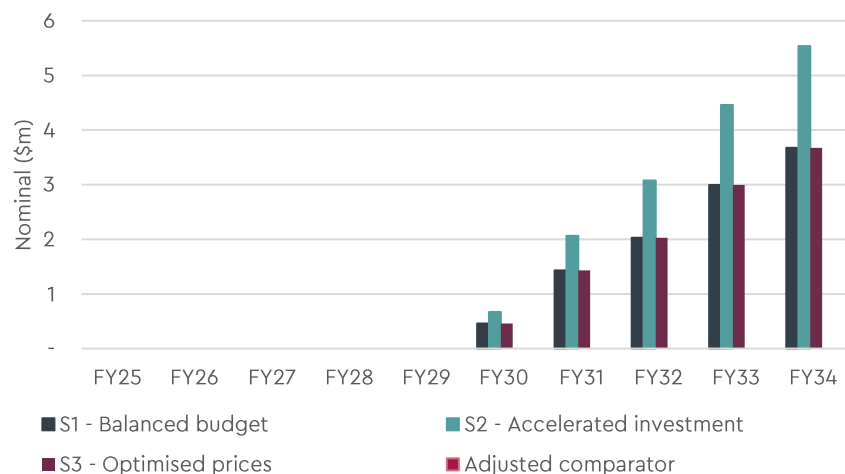


Capital expenditure



Levels of investment

Capital expenditure efficiencies FY25-FY34



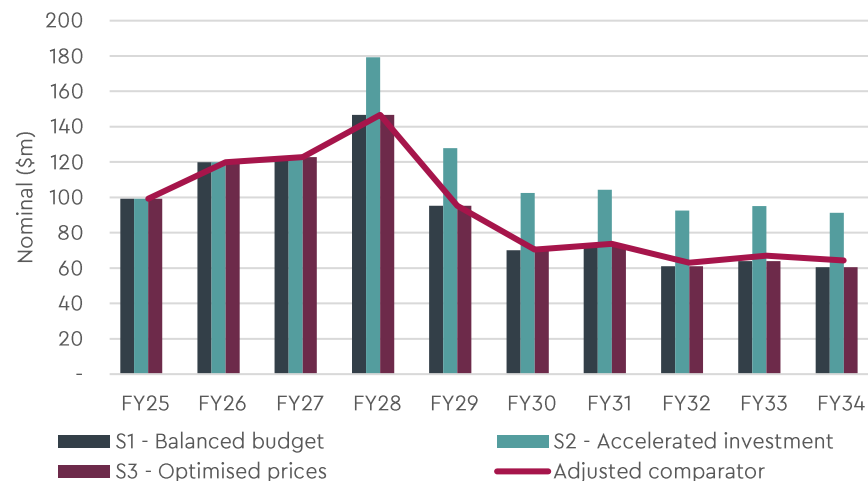
The three councils plan to invest **\$922 million** in water infrastructure over the next ten years, representing a significant increase over recent investment levels and, in some cases, surpassing LTP commitments for regulatory compliance.

Investment Scenarios under a WSCCO

By optimising the capital structure and achieving modest efficiencies, the WSCCO could generate **annual capital efficiencies of between \$3.7 million and \$5.5 million by FY34**. This would enable the delivery of the same investment for **\$11 million less** than current council arrangements by FY34, while also **lowering costs for consumers**. As efficiencies are phased in and permanent, benefits would be larger and continue to accumulate over time (i.e., beyond FY34).

If the **current price path** is maintained, a WSCCO could invest an **additional \$213 million** over the next decade, raising total investment to **\$1.14 billion**.

Capital expenditure (net of efficiencies)



Scenario	Total capex (FY25-FY34) (\$m nominal)	FY34 Capex efficiencies p.a. (\$m nominal)
S1 Balanced budget	\$912	\$3.7
S2 Accelerated investment	\$1,135	\$5.5
S3 Optimised prices	\$912	\$3.7
Comparator (status quo)	\$922	\$0

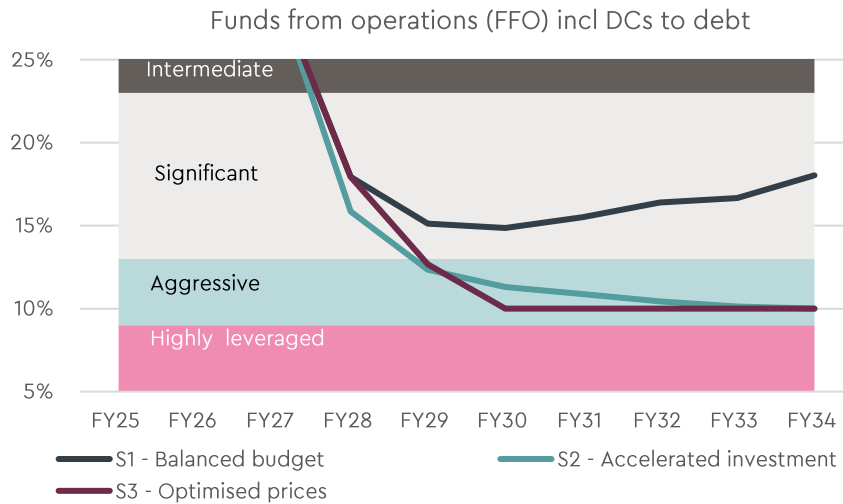
Capex efficiency	Cumulative efficiency (FY34)	Peak efficiency (FY44)
1.3% p.a.	6%	17%



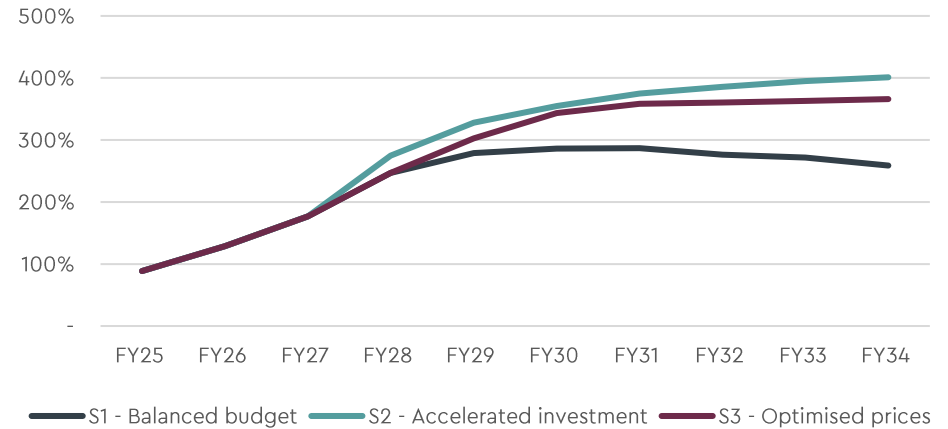
Debt sustainability



Debt sustainability



Net debt to operating revenue
(not expected to be a LGFA WSCCO credit metric)



Borrowing for investment

Based on the information supplied, of the **\$0.9 billion of water infrastructure investment projected over 10 years**, approximately:

- **\$103 million (~11%)** is proposed to be debt funded
- **\$63 million (~6.5%)** is proposed to be funded via DCs.
- **\$692 million (~75%)** is proposed to be funded through operating revenues and a further **\$64 million (~6.5%)** is proposed to be funded by subsidies).

Capital structure

As outlined in DIA guidance, it is inefficient to fund investment in long-lived infrastructure primarily through operating revenues. Under **LWDW framework**, capital investment is expected to be funded through **capital sources** (i.e., **borrowing and development contributions**), while **operating revenues** must be

sufficient to maintain debt repayments and ensure debt remains within LGFA lending limits* for water CCOs.

Scenarios 2 (accelerated investment) and 3 (optimised prices) target a FFO-to-debt ratio of 10%, the mid-point of the range indicated by the LGFA*, resulting in:

- **Higher average level of gearing of water activities.**
- **Lower long-term increases in water charges** compared to in-house service delivery options.
- **Increased levels of investment.**

**The LGFA has signalled a minimum 'FFO-to-debt' ratio of between 8% and 12%. If LGFA approved a lower FFO-to-debt ratio than 10% for the CCO, then this would further increase the additional investment or further reduce prices relative to the modelled scenario. If the LGFA required a higher FFO-to-debt ratio, the inverse would likely occur.*



Approaches to credit ratings

The standalone rating for water activities would be determined by the scale of the entity, the economic regulatory regime, WSCCO financial metrics and links to the parent council(s)

- For regulated water utilities, the funds from operations (FFO) to debt ratio is the primary metric used.
- To determine the appropriate FFO-to-debt ratio to target, we have used S&P's credit rating criteria to illustrate the ratios required for an investment grade entity. This aligns with DIA and LGFA guidance.
- In the short term, uncertainty regarding the regulatory regime means higher ratios would be required to achieve an equivalent credit rating – in 5-10 years, once the economic regulatory regime is embedded, we expect WSCCOs will be assessed more favourably and the lower financial ratios apply .
- The business risk assessment is expected to differ across WSCCO depending on the scale of the entity and diversity of the customer base (including geographic, economic, and regulatory foot-prints).
 - For a large multi council WSCCO this is expected to result in an 'excellent' business risk profile and therefore an FFO / debt of 6-9% would be required for an investment grade rating,
 - **For this analysis, a target FFO-to-debt of 10% is applied to the WSCCO. This moves the WSCCO up from the 'aggressive' to the more favorable 'significant' band, leaving a lower residual risk for participating councils.**
- The above analysis considers the standalone credit profile.

We note the WSCCO **issuer credit rating may benefit from links to the council and therefore is expected to be only a few notches below council (once it is standalone investment grade).*

S&P corporate rating criteria (for a regulated water utility)

Outcome	1	2	3	4
Country risk	Low risk			
Industry risk	Very low risk			
Competitive position	Strong		Satisfactory	
Business risk	Excellent		Strong	
Financial risk	Significant	Aggressive	Significant	Aggressive
Modifier	None			
Standalone rating	a-	bbb	bbb	bb+
Government support*	High to very high*			
Issuer credit rating	aa-	a	a	bbb+

Ratio	Significant ¹	Aggressive ¹
FFO / Debt (%)	9 - 13%	6 - 9%

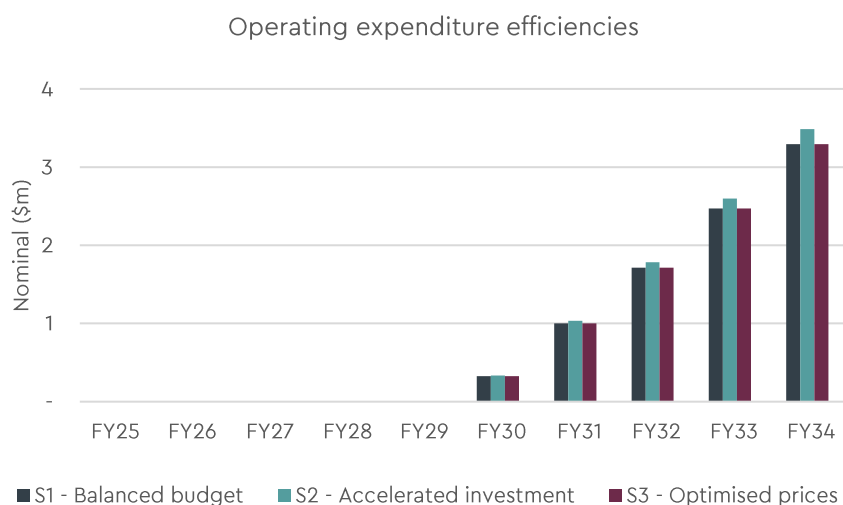
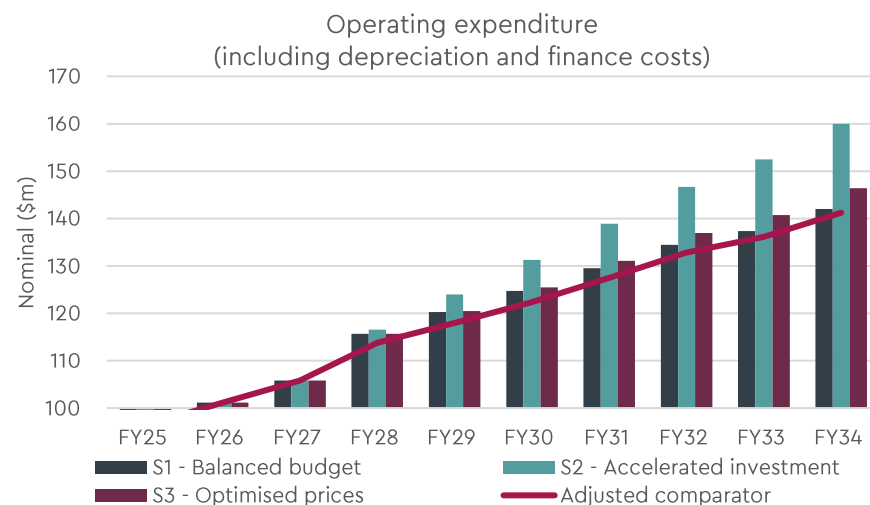
A large, regional water utility is likely to have an 'excellent' business risk profile and therefore could be in the 'aggressive' band whereas a smaller, rural water utility is likely to have a 'strong' business risk profile and therefore need to be in the 'significant' band to achieve an investment grade standalone rating (i.e. before any uplift for government support (e.g. from parent council(s)).

1. Assumes a 'strong' regulatory assessment applies once the regulatory regime is established and therefore the 'low volatility' metrics are applied.

Operating expenditure



Projected operating expenditure



Scenario	Total opex (FY25-FY34) (\$m nominal)	Opex efficiencies p.a. (FY34) (\$m)
S1 Balanced budget	\$1,207	\$3.3
S2 Accelerated investment	\$1,273	\$3.5
S3 Optimised prices	\$1,220	\$3.3
Comparator (status quo)	\$1,195	\$0

Opex efficiency	Cumulative efficiency (FY34)	Peak efficiency (FY44)
1.1% p.a.	5%	15%

Operating expenditure

Efficiency gains increase over time, with a two-year ramp-up post-establishment, and the full efficiency frontier reached 15-years thereafter. This means cost savings will **continue beyond the FY25-FY34 period modelled**, delivering ongoing benefits and savings to communities. *Operating efficiencies have been applied only to core operating costs. No efficiencies are applied to financing or depreciation costs.*

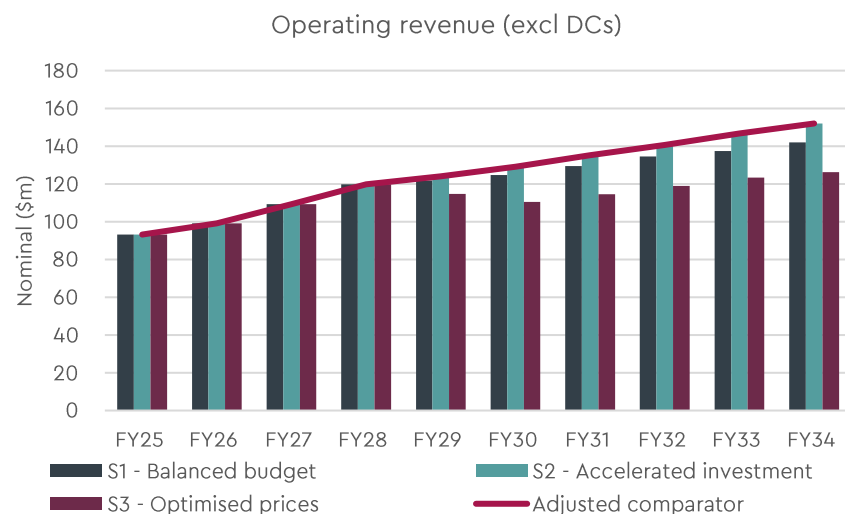
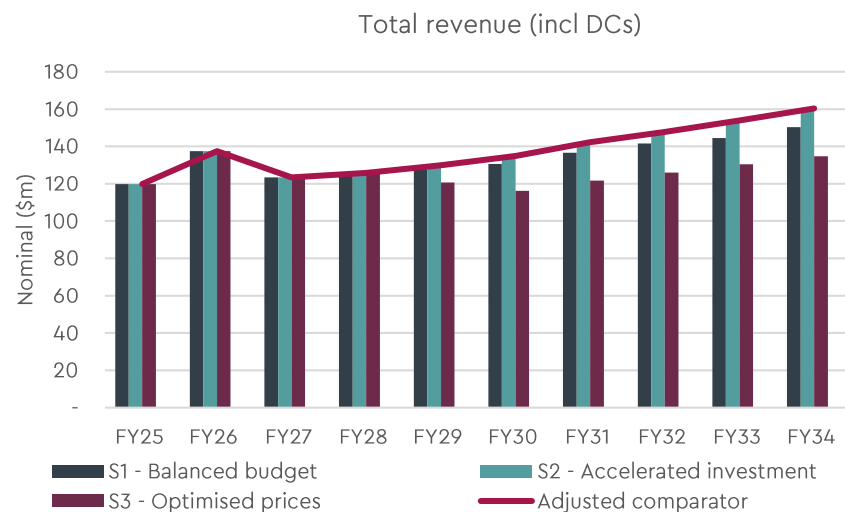
The **largest cost drivers over the forecast period** are **finance costs and depreciation**, accounting for approximately **half of total operating expenses**.

Scenario 2 provides for additional investment of up to \$213 million, which drives additional **financing and depreciation costs**. This is enabled through a more **efficient capital structure**. *We have assumed this additional capex is primarily directed to improving existing assets and have not allowed for consequential opex.*

Operating revenue



Projected revenues



Determining operating revenues

Under Local Water Done Well, the expectation is that operating revenues pay for operating costs with capital investment funded by capital sources (e.g., borrowing and development contributions).

This means operating revenues (and therefore charges for water services) should be set to recover all cash operating expenses plus a minimum FFO requirement (indicatively 8-12% of net debt, depending on the underlying council credit profiles).

We have adopted this approach to determine the level of revenue required, ensuring an efficient approach to setting water charges while maintaining borrowing at a prudent level.

With the councils' agreement, the underlying capital and debt profiles for KDC and FNDC were adjusted prior to this analysis to meet a debt-to-revenue target of 400% for those councils water services (excluding stormwater).

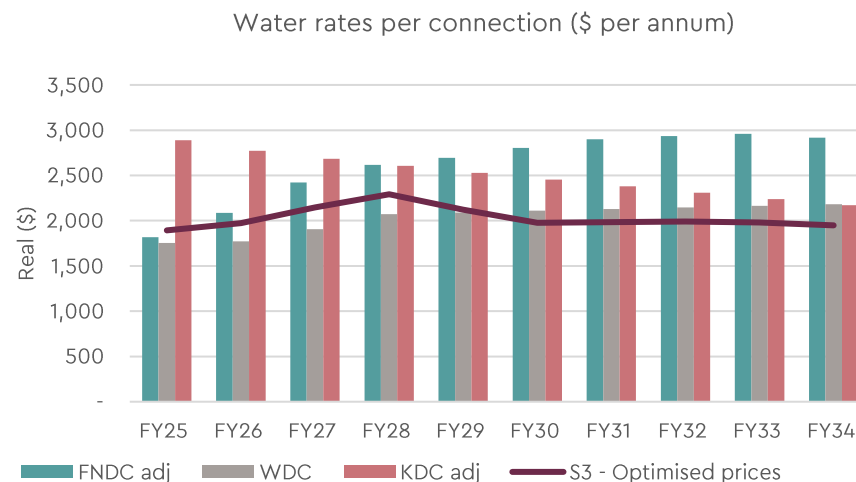
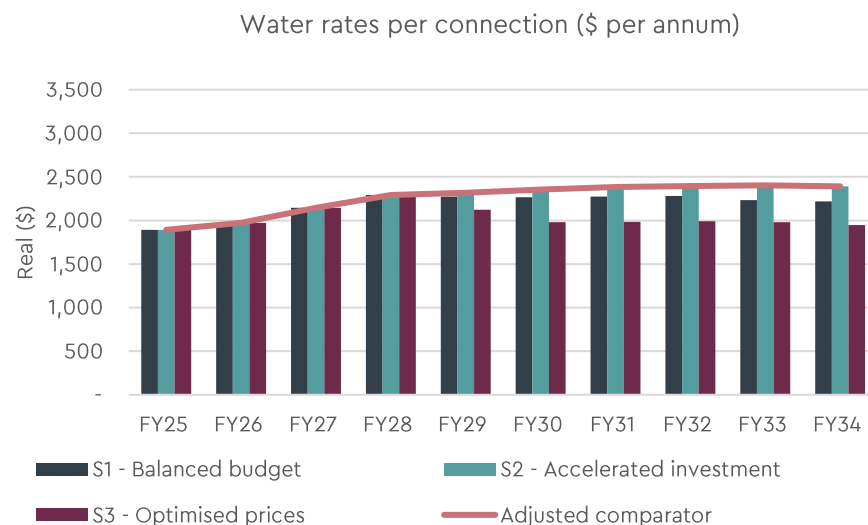
These results are heavily influenced by WDC's no debt position, and their relative contribution to the WSCCO being around 50% of revenue.

Scenario	Total revenue, incl. DCs (FY25-FY34) (\$m)	FFO-to-debt(FY34)
S1 Balanced budget	\$1,338	18%
S2 Accelerated investment	\$1,376	10%
S3 Optimised prices	\$1,256	10%
Comparator (status quo)	\$1,376	24%

Cost to consumers



WSSCO price path



Water charges per connection

Under current council arrangements, the average water charge per connection is projected to exceed **\$2,300 per connection annually*** (in today's terms). A **WSSCO could reduce this to as low as \$1,900 per connection** across the councils.

**This rate is strongly influenced by WDC's comparatively low connection charge, and high share of connections (67% of total WSSCO connections), which bringdown the average price across the three councils. Compounding this effect is KDC's strong forecast in connection growth of around 5% year-on-year, compared to WDC's and FNDC's at around 1% p.a..*

Consistent pricing methodology

This approach reflects an entity level price per connection. We note that in practice the customers will like be subject to different tariff structures as they are currently. For ease of reference, individual council price paths are located in Appendix A, and include relevant observations on harmonised and non-harmonised price paths.

Harmonising prices means that there are consistent pricing methodologies for similar households and users across the area served by the WSSCO. Good pricing principles would likely drive the setting of these charges over time to ensure the approach reflects the long-term costs of delivering water services regardless of the specific point in time investment requirements of those communities.



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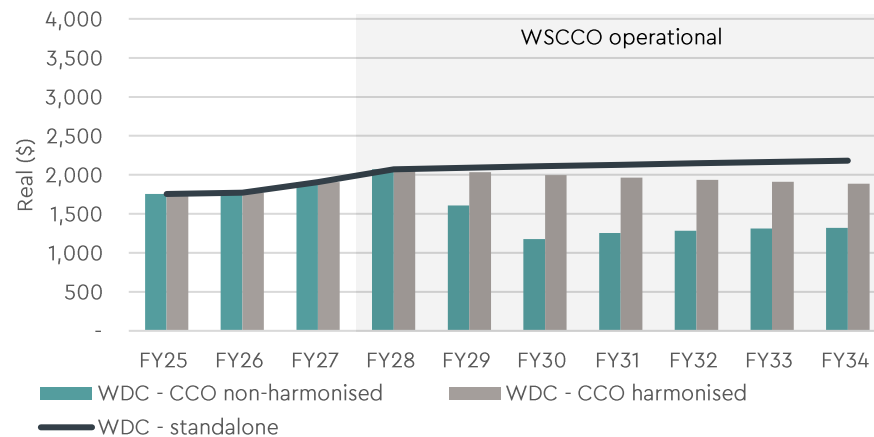
info@martinjenkins.co.nz **martinjenkins.co.nz**

Appendix A: Individual Council findings

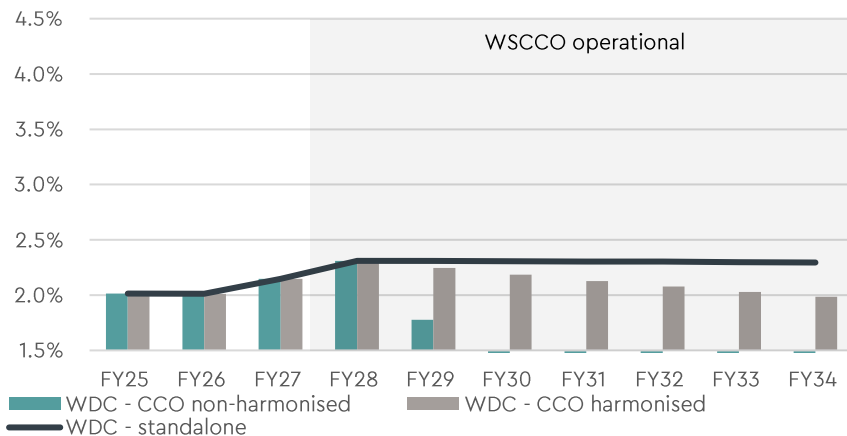


Whangārei District Council findings – Optimised prices (\$3)

Water rates per connection (\$ per annum)



Water rates % of median* household income



*Median household income is derived from the latest census data, and projected forward

Water charges per connection

Under current council arrangements, average water charges are projected to reach around \$2,200 **per connection annually** (in today's terms). A **WSSCO could reduce this to as low as ~\$1,300 per connection**, reducing the required increases by up to 39%.

The lower price path is the result of moving away from WDC's current approach of funding investment through revenues, to the WSSCO using debt to fund investment and the realisation of efficiencies. The greatest cumulative savings to the WDC community arise from a non-harmonised scenario, where the benefits of efficiency gains accrue without the sharing of costs with other districts. However, the analysis suggests efficiencies and capital structure optimisation would result in WDC ratepayers being better off (even with harmonised prices) relative to a standalone (balanced budget) scenario.

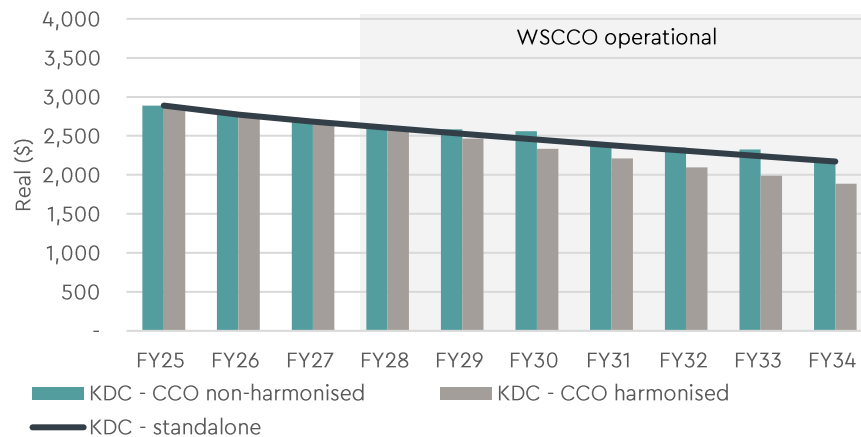
Affordability of water charges

Affordability of water charges would improve for the WDC community by FY29, compared to the status-quo. Efficiencies would build over time, likely generating further savings for your community into the future.

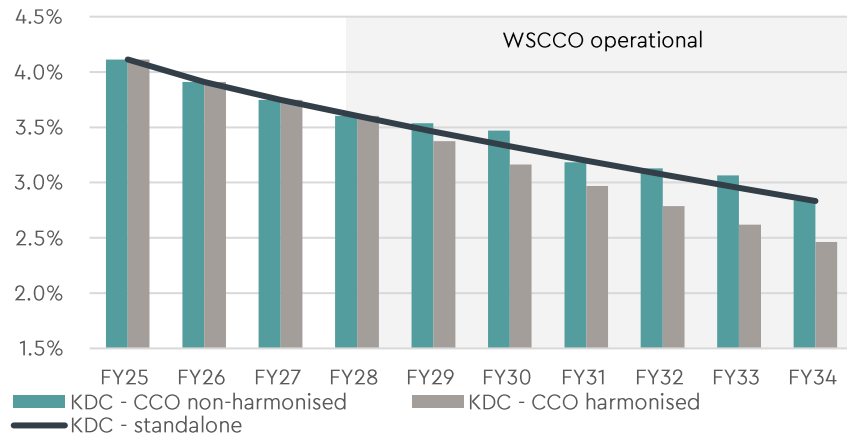
Council	Δ (cumulative) to current price path - Harmonised	Δ (cumulative) to current price path - Non-harmonised
WDC	~\$1,090	~\$4,850
B	+ve	-ve
C	+ve	-ve

Kaipara District Council findings – Optimised prices (\$3)

Water rates per connection (\$ per annum)



Water rates % of median* household income



*Median household income is derived from the latest census data, and projected forward

Water charges per connection

Under current council arrangements, average water charges are projected to reach around **\$2,200 per connection annually** (in today's terms). A **WSSCO could reduce this to as low as \$1,900 per connection**, reducing the required increases by up to 14%.

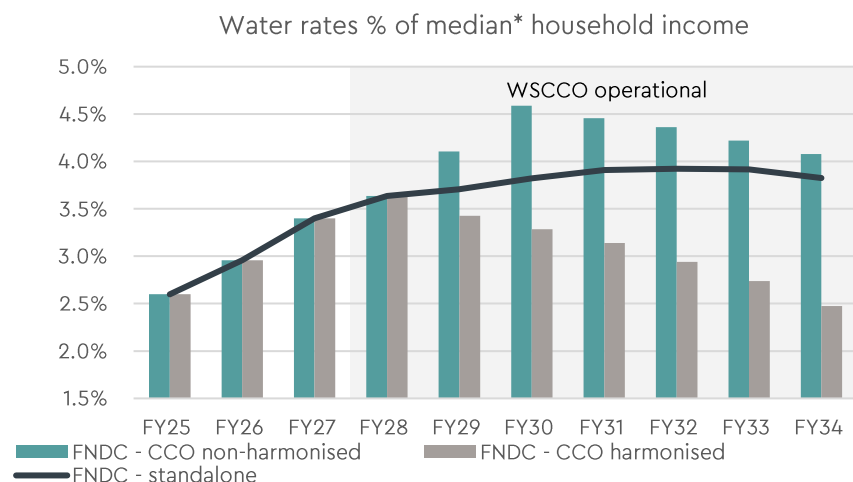
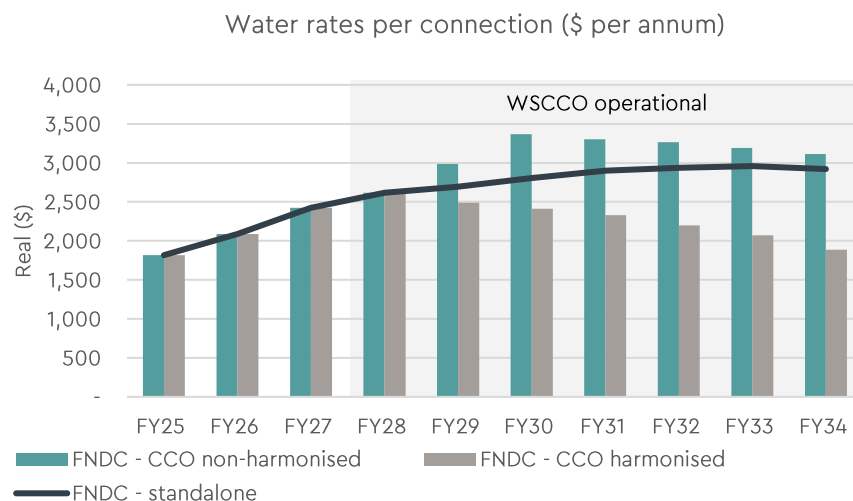
KDC is forecasting significant growth in connection numbers. This is the primary driver of the reducing average cost per connection over the forecast period. We note there does not appear to have been adjustments to the opex projections to reflect higher costs associated with an expanded network. Together, these may present some downside risk to cost per connection projections.

Affordability of water charges

Affordability of water charges could improve for the KDC community by FY29, compared to the status-quo. Efficiencies would build over time, likely generating further savings for your community.

Council	Δ (cumulative) to current price path - Harmonised	Δ (cumulative) to current price path - Non-harmonised
A	+ve	+ve (strongest)
KDC	~\$1,100	~\$(280)
C	+ve	-ve

Far North District Council findings – Optimised prices (S3)



*Median household income is derived from the latest census data, and projected forward

Water charges per connection

Under current council arrangements, average water charges are projected to exceed **\$2,900 per connection annually** (in today's terms). A **WSSCO could reduce this to as low as \$1,900 per connection**, reducing the required increases by up to 35%.

The higher-non-harmonised price is a result of the revenue profile needing to adjust to maintain an FFO-to-debt ratio of 10% while meeting the required level of investment. Whereas the lower harmonised price is a result of sharing the benefits and costs of the entity collectively (i.e., optimising the revenue path and capital structure at a whole of region level).

Affordability of water charges

Under a harmonised approach, affordability of water charges would improve for the FNDC community by FY29, compared to the status-quo. Efficiencies would build over time, likely generating further savings for your community.

Council	Δ (cumulative) to current price path - Harmonised	Δ (cumulative) to current price path - Non-harmonised
A	+ve	+ve (strongest)
B	+ve	-ve
FNDC	~\$3,824	~\$(2,009)

Appendix B: Approach to modelling

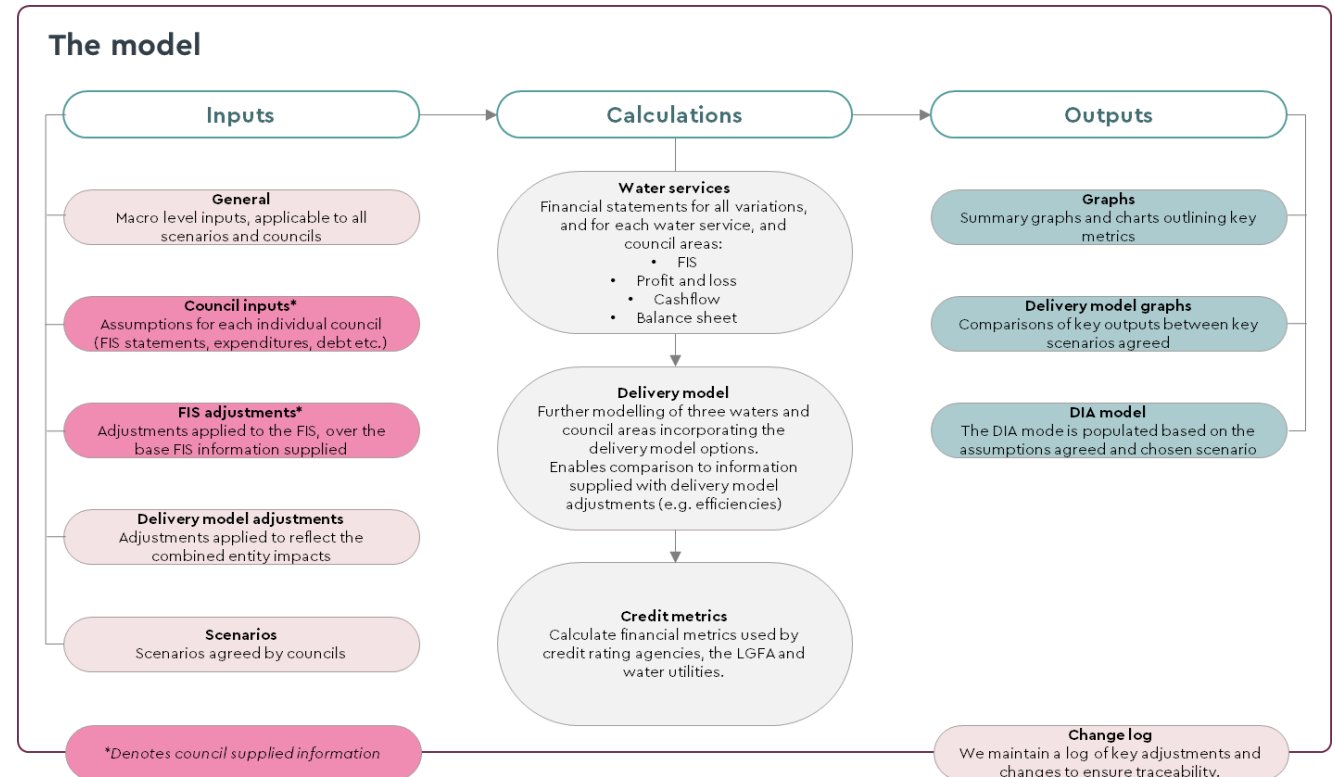


Our modelling approach

Our model builds on the Department of Internal Affairs WSDP financial template in a number ways including:

- Ability to solve for certain capital structures, financial ratios, revenue profiles and other key metrics. Testing and comparison of multiple scenarios.
- Incorporates efficiency assumptions for both capital and operating expenditure based on international benchmarks and scale of the proposed entity.
- Allows for estimated establishment costs.
- Models several key assumptions, based on evidence or information supplied by councils.

The usefulness of the model's outputs is dependent on the robustness of inputs and assumptions. We have relied on information supplied by councils, with adjustments documented in the assumptions.



Base assumptions

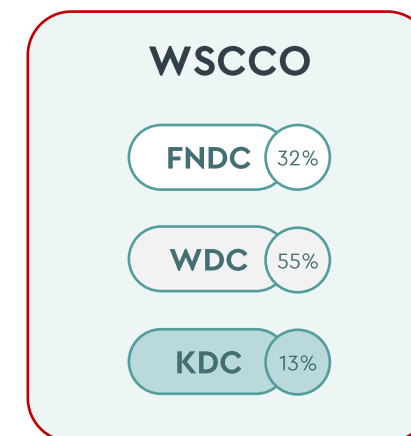
Assumption	Commentary	Basis of assumption / source
Financing	LGFA has indicated that for multi-council CCOs the borrowing margin would be based on the weighted average borrowing margin of the participating councils. Default weighting will be based on ownership structure per LGFA guidance.	LGFA
Inflation	Each Council will have created their FIS with potentially different inflation rates. We rely on nominal inputs and do not attempt to normalise. We will present nominal and real figures for capital and operating spend.	BERL LGCI
Governance and management costs (incremental)	Incremental governance and management costs associates with the WSCCO are assumed to be \$1.5 million p.a. from FY25. <i>The model is not sensitive to this assumption.</i>	Watercare Services Limited and council statistics
Establishment costs (one-off)	Establishment costs are assumed to be: • \$9 million for three council entity scenarios This covers transition activities, including legal, commercial and other due diligence, and fit out of premises and basic IT hardware. <i>The model is not sensitive to this assumption.</i>	<i>Note: We assume that operating costs associated with establishment will be capitalised.</i>
Stormwater	Stormwater has been excluded for the purposes of the modelling.	
Levies	Commerce Commission (estimated \$0.253m) and Taumata Arowai (estimated \$0.478m) levies.	Commerce Commission and Taumata Arowai + population statistics
Optional price harmonisation	For the testing of price harmonisation, scenario 3 is used, with price harmonisation being phased in from year two of the entity's establishment, achieving full price harmonisation by FY34.	Agreed by councils
Establishment date	The joint WSCCO is operational from 1 July 2027 (FY28), with all councils joining at the same time.	Agreed by councils

Base assumptions (allocations)

Assumption	Commentary		
Allocation of efficiencies, costs and revenues (non-harmonised)	Adjustments possible through the following →	- Asset value (book or replacement value) - Connections	- Population - Share of revenue - Share of opex
Efficiencies have been allocated using an average of each of the options identified above. Table one , below sets out the relative weightings of each measure to the participating councils.			

Table one: Allocation methodologies

Allocation methodology	FNDC	WDC	KDC
Total connections	21%	67%	12%
Population	37%	50%	13%
Operating revenue	36%	48%	16%
Operating expenditure	45%	39%	16%
Asset book value	28%	60%	12%
Asset replacement value	25%	63%	12%
Average	32%	55%	13%



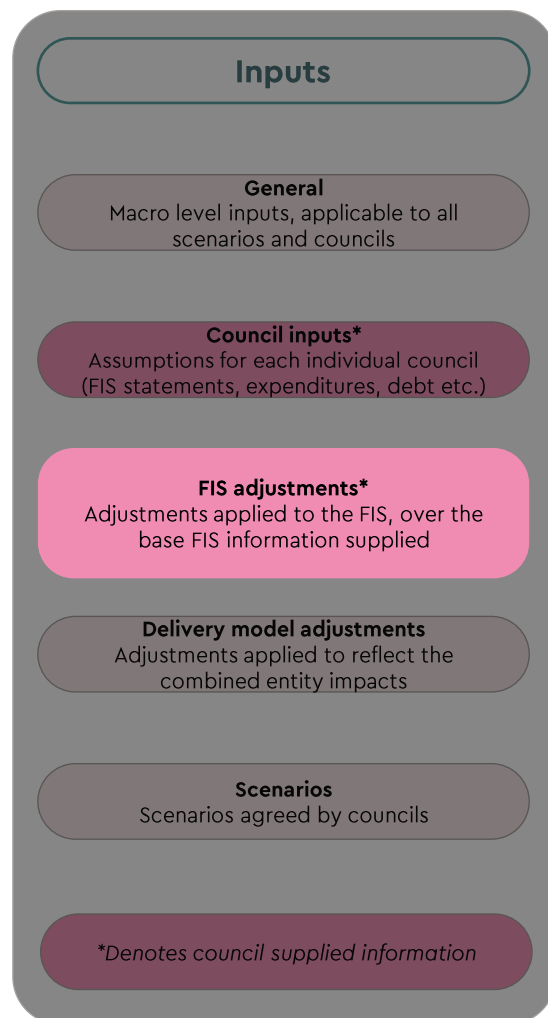
Efficiency assumptions

We have examined international experience where water utilities have been merged into larger public entities. Evidence suggests that efficiencies are largely driven by scale and the agglomeration benefits of a metro. For the proposed WSCCO, we have applied the following:

	Northland grouping
Characteristics	
No. of councils	3
Population (2023 census)	194,000
Average number of connections (based on supplied data)	~46,500 (2025)
Proposed assumptions	
Opex efficiencies p.a.	0.6% – 1.1%
Capex efficiencies p.a.	0.7% - 1.3%
Efficiency ramp	Efficiencies build from FY30, and then over the following two years. The efficiency frontier is reached 15 years later.
Commentary	Some scope for operational efficiencies and capex efficiencies. Note, We have modeled the upper range of possible efficiency assumptions, considering the group's previous comments on achievable efficiency levels.

The above efficiencies represent a MartinJenkins view of reasonable efficiency assumptions that could be applied to support financial assessment of alternative options. The assumption should be applied on a compound (diminishing rate) basis from year 3 onwards. Note the above estimates apply after adding incremental establishment or operating costs.

Main adjustments to data provided



Whangārei District Council

- No adjustments have been made to the base information supplied by WDC.

Kaipara District Council

- Initial data suggested that KDC was operating waters at ~1,200% debt-to-revenue.
 - Following the February 25 2025 workshop, the debt track and capital profile were adjusted to maintain a 400% debt-to-revenue council for the council's three waters activities. This was agreed, on the basis that was considered a more feasible revenue and debt track.
 - This is used as the base comparator for KDC and presented as "KDC adj" in the report.

Far North District Council

- FNDC provided updated connection data following the February 25 2025 workshop.
- Initial data suggested that FNDC was operating waters at ~700% debt-to-revenue.
 - Following the February 25 2025 workshop, the debt track and capital profile were adjusted to maintain a 400% debt-to-revenue council for the council's three waters activities. This was agreed, on the basis that was considered a more feasible revenue and debt track.
 - This is used as the base comparator for FNDC and presented as "FNDC adj" in the report.

Appendix C: Additional information on efficiencies



We have had to make assumptions regarding the policy and regulatory environment (including economic regulation) and quality of governance and management given their critical impact on potential realisable efficiency gains

What efficiencies are gained by moving to professional Boards but with sole council ownership?

International water reform has tended to involve a combination of legislative reform, improved quality and economic regulation, corporatisation and professionalisation of governance, aggregation or amalgamation of service delivery and, in some cases, privatisation. As a result, it is very difficult to disentangle the impact of any one element from other changes.

We consider corporatisation and professional Boards provide an opportunity to improve governance and management, when supported by appropriate institutional and regulatory frameworks. Professional Boards alone, as demonstrated by entities like Wellington Water Limited, are insufficient to drive high-performance improved efficiency. A key differentiator is having Boards empowered with integrated oversight of investment, pricing, and financing decisions, and subject to economic regulation. This alignment of decision-making responsibilities with asset stewardship creates stronger incentives for effective and efficient operations than a professional Board operating with limited decision-making scope.

The assumption of improved governance and strategic focus is reflected in all scenarios being analysed. However, evidence clearly suggests that stronger corporate governance alone is insufficient to realise significant efficiency benefits without being coupled with clear strategic priorities, a service delivery model that provides appropriate incentives for the Board, and a strong-form economic regulation.

We have assessed efficiency on the basis that corporate structure, council performance and clear policy priorities are not compromising factors.

We have had to make assumptions regarding the policy and regulatory environment (including economic regulation) and quality of governance and management given their critical impact on potential realisable efficiency gains

The role of the economic regulator is yet to be determined, and this may have an impact on efficiency realisation.

Separate water CCOs can expect more focused attention from future regulators, with structural separation supporting greater transparency and accountability for delivery. However, given the costs of customized, entity-specific regulation, this is likely to be reserved for a small subset of the largest entities.

A key question is the extent of attention a water CCO gets under the future economic regulatory regime, and the degree of customisation to the entity's particular circumstances. This is an unknown as there is limited information currently on the approach the Commerce Commission will take, and the threshold for when they will move from an Information Disclosure regime to stronger forms of regulation (e.g., Price-Quality regulation). However, we know that Watercare will be subject to a price-quality path from 1 July 2025 under an interim regulatory scheme and is expected to transition to price-quality regulation under the enduring regulatory framework.

There are two plausible scenarios here:

1. Most water services providers (including inhouse council business units) are subject to information disclosure-only, with only the largest metropolitan CCOs subject to a stronger form of regulation
2. All inhouse council business units are subject to ID-only, with all independent water CCOs subject to some form of stronger regulation (see for example the PREMO model in Victoria).

Evidence base to support efficiency assumptions

Significant improvements in efficiency have been achieved in overseas jurisdictions that have pursued reform of a similar nature to that proposed in New Zealand. For example:

Productivity Commission

- In Australia, the Productivity Commission found that service delivery reform has helped to improve efficiency and deliver significant benefits for water users and communities. [National Water Reform - Draft Report \(pc.gov.au\)](#)

Frontier Economics

- In its review of the experience with water services aggregation in Australia, Great Britain, Ireland and New Zealand (Auckland) finds that there is "strong and consistent evidence" that reforms have led to significant improvements in productivity and efficiency. [Review of experience with aggregation in the water sector \(dia.govt.nz\)](#)

FarrierSwier

- In its review of WICS methodology, FarrierSwier commented on the potential that exists for efficiency gains from amalgamating water services in New Zealand and notes significant improvements are possible through aggregation and associated reforms, including improving the ability to attract and retain skilled management and staff, more effective procurement functions, asset level optimisation and reduction in corporate overheads and duplicative functions. [Farrierswier - Three Waters Reform Programme - Review of WICS methodology and assumptions underpinning economic analysis of aggregation - 2 May 2021 \(dia.govt.nz\)](#)

- In an independent review of the Essential Services Commission's PREMO regulatory model in Victoria, Australia, FarrierSwier found that water companies set efficiency targets through its 2018 Price Review ranging from 1.0% p.a. to 2.7% p.a. (averaging 1.8% p.a. across 15 regulated water authorities). While all but two companies delivered reductions in controllable opex per connection, the actual opex savings reported were lower than the target (ranging from 2.2% to -0.2% and average 0.9% p.a.) [Victoria's water sector: The PREMO model for economic regulation](#)

WICS

- WICS reports that Scottish Water has been able to reduce its operating costs by over 50% since reform, while improving levels of service to customers and absorbing the new operating costs associated with its investment programme. [WICS Supporting Material 2 - scope for efficiency \(dia.govt.nz\)](#)

UK Water Trade Association

- A report for the United Kingdom water trade association found that reform of the water industry in England resulted in annual productivity growth of 2.1% or 64% over 24 years when adjusted for service quality improvements. [Water-UK-Frontier-Productivity.pdf](#)



The Victorian model is a strong example of driving greater focus on customer, and driving cost efficiencies and reducing customer bills

In the mid-1990s, Victoria's water industry underwent significant restructuring. The provision of water services was largely corporatised, so that over 80 water providers became 20. This reform had an impact on the price consumers pay for water, as well as the terms of service delivery. As part of the restructuring process (in conjunction with the privatisation of the energy industry), the Kennett Government established the Office of the Regulator-General, which later became the ESC. On 1 January 2004, the ESC became the economic regulator for all water businesses in Victoria.

In the State of Victoria in Australia, the Essential Services Commission makes individual price determinations using its PREMO framework for four metropolitan water businesses (South East Water, Yarra Valley Water, Greater Western Water, Melbourne Water) and 11 regional urban water authorities (Barwon Water, Central Highlands Water, Coliban Water, East Gippsland Water, Gippsland Water, Goulburn Valley Water, Lower Murray Water (urban), North East Water, South Gippsland Water, Wannon Water and Westernport Water). These entities range in size, from 20,000 customers (Westernport Water) to 2 million customers (Yarra Valley Water).

There is strong evidence that regulation under the PREMO regime, combined with well governed and managed water businesses, led to a much greater focus on their customers and improved customer outcomes (see two independent reviews by FarrierSwier of the PREMO model on the Essential Service Commission's website). Under the PREMO framework, water businesses are required by the regulator to commit to a range of customer outcomes and associated performance measures and targets as part of their price submissions.

The PREMO model in Victoria has been effective in incentivising water businesses to pursue cost efficiencies and minimise prices for customers. Water businesses' opex efficiency improvement targets averaged 1.3% in the 2023 price review. This is lower than the 1.8% average opex efficiency hurdle in the 2018 price review, but higher than the standard 1.0% rate the commission applied prior to the introduction of PREMO.

The lower efficiency hurdles in the 2023 price reviews reflects the view that Victorian water businesses are now operating close to the 'efficient frontier' following years of regulation.

Analysis of Victorian utilities demonstrates potential deliverable efficiencies may improve with scale

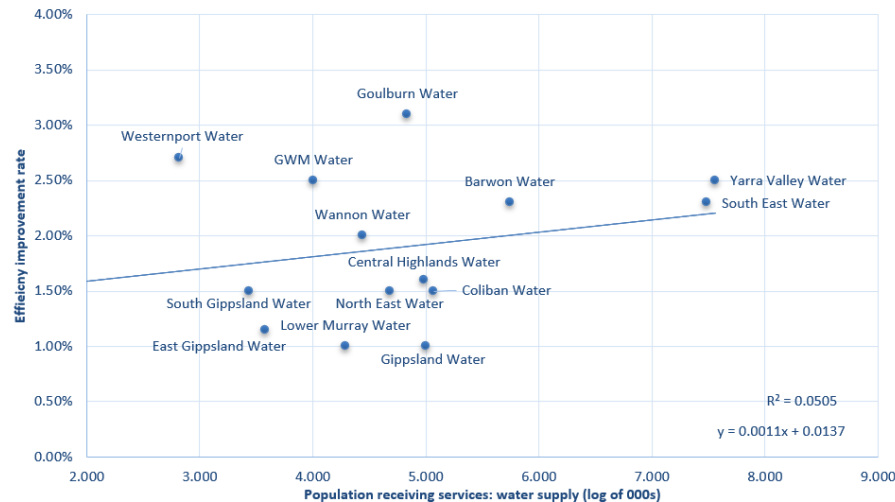
While actual performance data across Victorian utilities is limited and inconsistent (discussed overleaf), analysis of regulatory efficiency targets (hurdles) provides valuable insights into the relationship between scale and expected improvements.

We have analysed the efficiency improvement hurdle imposed by or agreed with the Essential Services Commission in Victoria for each of the price reviews in 2018 and 2023 against scale (measured by population served).

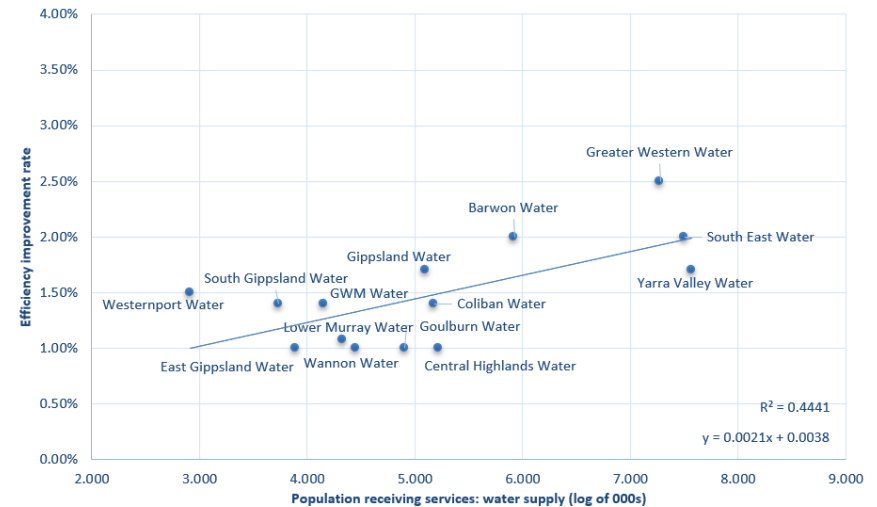
The analysis highlights a clear relationship in the 2023 price review where larger entities were set a higher efficiency improvement hurdle for the ensuing five years. Larger entities were set efficiency hurdles of 1.5 – 2.5% per annum despite already being regulated for over 15 years.

The relationship in the 2018 price review is less clear (largely driven by a number of smaller entities with efficiency improvement hurdles of 2.5 – 3.0%), reflective of a greater weighting on industry-wide catch-up efficiency. The larger entities in this price review were still set efficiency targets of approximately 2.5% per annum for the ensuing 5 years. We also note that most entities serving 200,000 or less population (5.3 on X-axis) were set targets of 1 – 1.5% in both price reviews.

2018 efficiency improvement rate to population receiving services



2023 efficiency improvement rate to population receiving services



Source: Essential Services Commission, Victoria Water Price Reviews 2018 and 2023

The Australian national performance report does not measure efficiency however average operating expenditure per property can be analysed

This analysis captures all Australian water utilities however does not track actual efficiency improvement and as such is only intended to be used for verification rather than in determining the efficiency opportunity purposes. We note that inferences from this data should be undertaken with caution given the limited sample size in each category (shown below graph) and the numerous factors influencing operating costs per property. External variables such as geographic dispersion, water sources, treatment requirements, growth impacts and infrastructure delivery methods make comparisons challenging (despite averaging approach).

Operating costs vary significantly by utility size

Major utilities (100,000 plus connections) consistently demonstrate the lowest operating costs per property (around \$900–1,000) likely partly due to economies of scale as well as higher density.

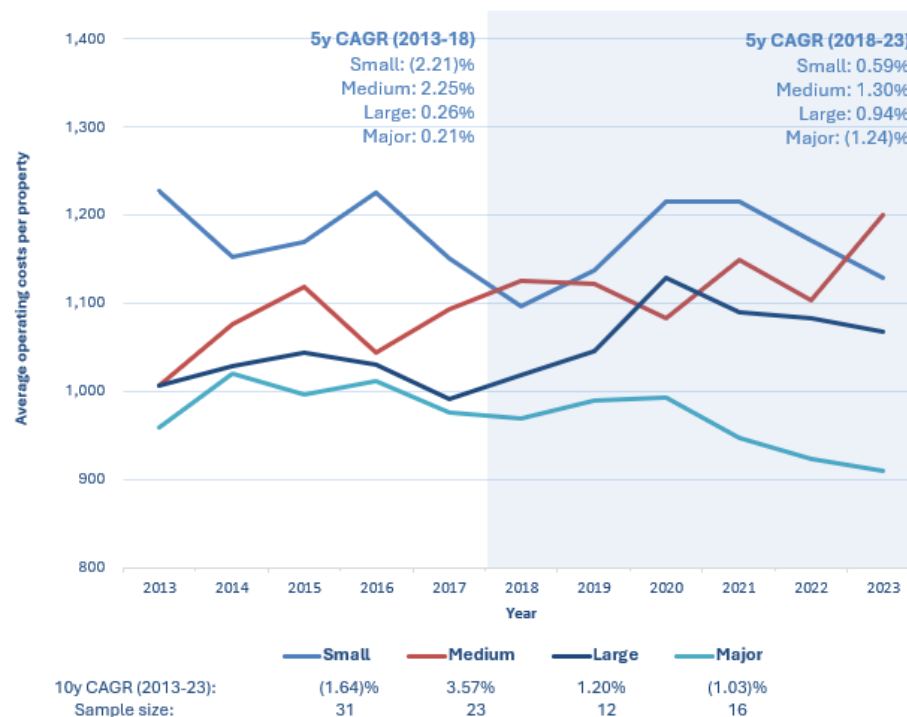
10-year horizon highlights benefit of scale

Major utilities annualised growth over the period 2013 – 2023 outperformed large and medium utilities by 2.2% and 4.6% respectively. Small utilities average operating cost per property reduced by more than the major utilities however off a substantially higher base.

Dataset highlights variability over time

We note there are limited differences between medium, larger and major utility cost per property changes in the first five-year period (2013 – 2018) with all of the differential occurring in the second five-year period (2018 – 2023). The small utility dataset shows an irregular pattern over time.

Australian Average Opex per Property by Corporation Size



Source: Urban NPR Dataset 2023

Note: four outliers with extreme operating costs per property have been removed from the Small utility group dataset.

Note: CAGR stands for 'Compound Annual Growth Rate', which is the cumulative average annual growth rate over the period.

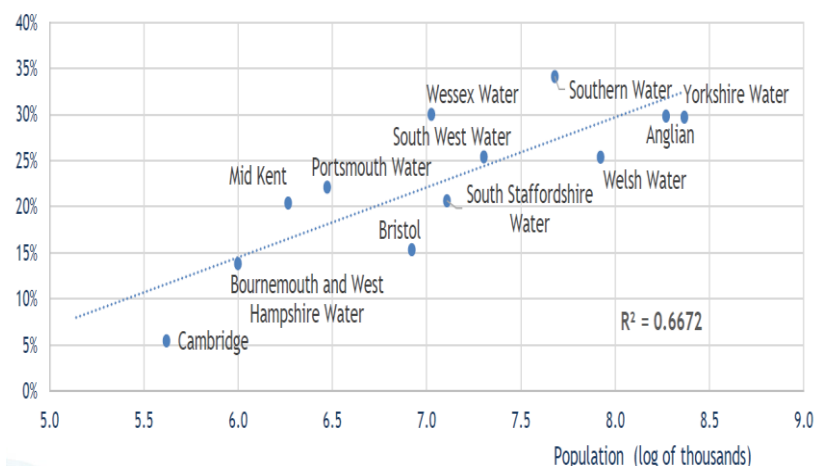
Small	Medium	Large	Major
Less than 20,000 connected properties	Between 20,000 and 50,000 connections	Between 50,000 and 100,000 connections	Over 100,000 connections

WICS compared efficiency for different scale UK water utilities following corporatisation, and used this to inform estimates for NZ councils

Water Industry Commission for Scotland (WICS) undertook analysis of the observed operating efficiency improvement for the different UK entities over a six-year period commencing with corporatisation (between 1994 and 1996) relative to the population served. In terms of quantifying the gains, the evidence indicates a non-linear relationship between scale (measured as population size or number of connections) and potential efficiency (see graph below). The WICS models are based on models developed by Ofwat and have been in use for 20+ years in England, Wales and Scotland.

There are diminishing returns to scale, with maximum scale reached with a connected customer base of 600,000-800,000. For councils below 60-70,000 population there is minimal scope for efficiency gains. This is consistent with management theory, whereby small entities are unable to achieve high levels of asset management maturity, procurement gains etc. WICS utilised the below to estimate efficiency gains for different scales of entity. WICS reduced the potential efficiency gains by a factor of 5 for scenarios where economic regulation, strong corporate governance and clear policy objectives were considered not present.

WICS calculated improvement in efficiency (over 6-year period following corporatisation) for UK water utilities and assessed catch-up potential for NZ



Source: Water Industry Commission for Scotland

Council Area	LGNZ classification	Population served (thous)	Log of population	Assessed catch-up based on observed experience
Auckland	Metro	1,758	7.47	100%
Christchurch	Metro	385	5.95	55.1%
Wellington City	Metro	223	5.41	38.9%
Hamilton	Metro	162	5.09	29.6%
Tauranga	Metro	143	4.97	25.9%
Dunedin	Metro	121	4.80	21.0%
Palmerston North	Metro	89	4.49	11.8%
New Plymouth	Provincial	64	4.16	2.0%
Hastings	Provincial	64	4.15	1.9%
Upper Hutt	Metro	63	4.14	1.6%
Rotorua Lakes	Provincial	62	4.13	1.3%
All other Councils		<60	4.1	0%

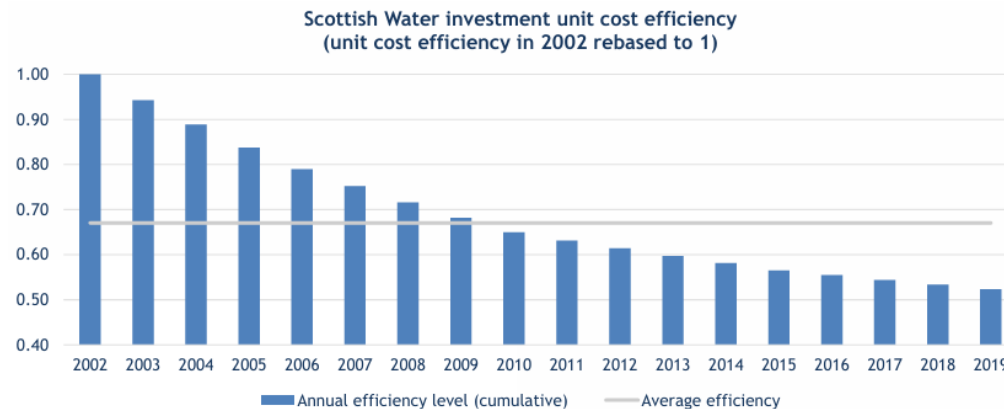
The table above shows the estimated potential efficiency improvement (%) that each NZ council could achieve relative to Watercare (i.e., New Zealand's most efficient water company), based on the observed efficiency improvements of similar-sized UK water utilities in their first 6 years following corporatisation.

The capital efficiency evidence base is less robust due to information scarcity. WICS utilised the capital efficiency achieved in Scotland reforms to estimate potential efficiency deliverable in NZ

There is limited international information readily available that enables a robust estimate of the potential capital efficiency gains possible from water reform in New Zealand. This reflects a lack of investment unit cost efficiency reporting which is necessary to ensure capital efficiency can be identified (as opposed to capital expenditure deferral or other driving factors).

WICS are the economic regulator for Scottish Water under a detailed and comprehensive economic regulation model. As such WICS have a detailed understanding of the Scottish Water investment unit cost efficiency over time. This information is presented below and highlights that as a result of reform, Scottish Water achieved approximately 45-50% lower capital expenditure unit costs between 2002-2019. WICS also noted that Scottish Water had recently committed to achieving further 0.75% real improvements in capital expenditure unit costs annually until 2040 suggesting significant further long-term efficiency gains were possible.

WICS considered that under the previous NZ water reform model (including necessary scale, professionalisation of Boards / governance and strong-form economic regulation) that NZ entities could achieve similar improvements. WICS worked closely with Watercare (and other councils) to understand potential differences between NZ and Scotland that would limit the potential capital efficiency achievable and edit efficiency targets to account for these differences.



FarrierSwier in reviewing the WICS approach noted that:

- While this represents a reasonable starting point the analysis suffers from several limitations, including that Scottish Water's experience could differ markedly from what may be achievable in New Zealand.
- The top-down efficiency assumption was also not adjusted to account for differences between Scotland and New Zealand in key expenditure drivers, potential for asset optimisation and any other driving factors.
- Without such adjustments or comparison to other case studies, it is hard to say whether the Scottish Water experience is a reasonable guide for what is achievable in New Zealand.

Source: Water Industry Commission for Scotland

As such we believe it is prudent to use a significantly more conservative capital efficiency assumption (relative to WICS) and vary this less with increasing scale.

Appendix D: Approach to price paths

Harmonised and non-harmonised price paths



Approach to modelling alternative price paths

The councils jointly agreed to model three scenarios based on an agreed set of assumptions including:

- Efficiency gains for operating and capital spend
- A capital structure based on a target FFO-to-debt ratio of 10% (the mid-point of LGFA's guidance).

It was agreed that modelling should demonstrate the differences in price paths for each participating council, based on the above assumptions, for both a harmonised and non-harmonised price path, with both alternatives compared to the standalone price path implied in the data supplied by each council, post adjustments. This is tested against scenario 3 (optimised prices).

Determining a non-harmonised price path

1. The model takes the initial debt, revenues, and expenditures for each constituent council, effectively ringfencing borrowing, revenues, and expenditures.
2. Establishment costs and ongoing incremental costs are allocated back to each council using the agreed basis for apportionment. E.G. If the costs are \$10 million, and Council A's apportionment is 20%, then \$2 million is allocated to Council A.
3. Entity level efficiency assumptions are applied each individual council's forecast opex and capex projections.
4. In summary, the net cashflow impact of the establishment and incremental costs are allocated back to each council's starting operating and debt positions. The price path for each council is then recalculated by solving, at the council level, for the revenues required to maintain the FFO-to-debt ratio at 10%. **Note, this calculation is performed for each council, resulting in varying revenue per connection at council level.**

This approach has the effect of sharing the net benefits of efficiency savings with each district, by lowering prices relative to their standalone price path, but does not result in cost-sharing between districts.

Determining a harmonised price path

1. The model combines the initial debt and projections of revenues and expenditures into an aggregate WSCCO view as with the non-harmonised scenario.
2. Establishment costs and ongoing incremental costs are added to the WSCCO's starting debt position and forward opex projections, with efficiencies applied to forecast opex and capex projections to reduce the WSCCO's cash outgoings.
3. The net cashflow impact of these changes is incorporated within the aggregate WSCCO cashflow projections (i.e., they do not sheet back to individual districts).
4. The price path for the WSCCO is determined by solving for revenues required to maintain FFO-to-debt ratio at 10%. **Note, this calculation is performed at the WSCCO level. Revenues are then allocated to each district according to the number of connections,** resulting in each district having and equivalent revenue per connection .

This approach basis has the effect of sharing debt, revenues and costs between districts (noting that, net of efficiencies, most customers are likely to be better off relative to the standalone position once benefits are accounted for).

Northland Water Services Organisation

Financial assessment – Whangārei District Council, Kaipara District Council, Far
North District Council
Draft Report

Addendum additional scenarios

WSCCO B

Whangarei District Council
and
Kaipara District Council

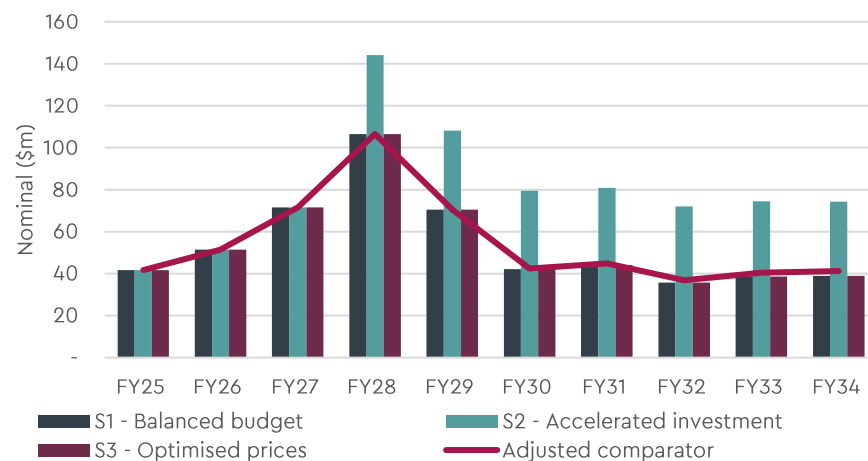
WSCCO B

WDC 80%

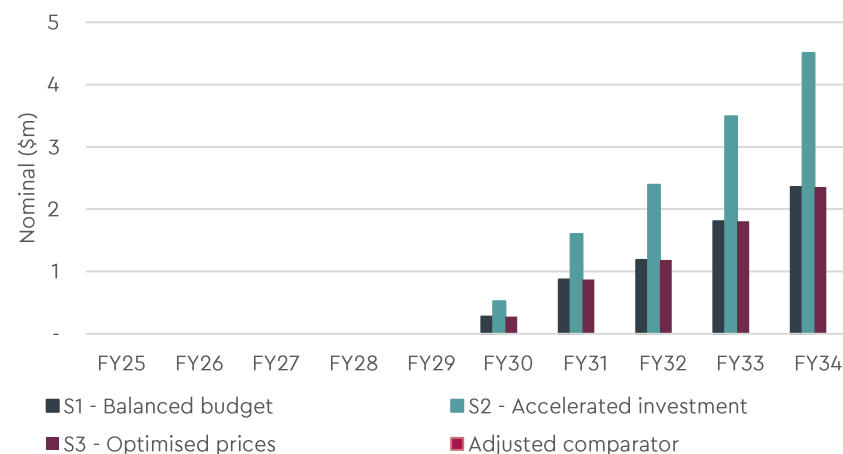
KDC 20%

WSCCO B – Capital expenditure and debt

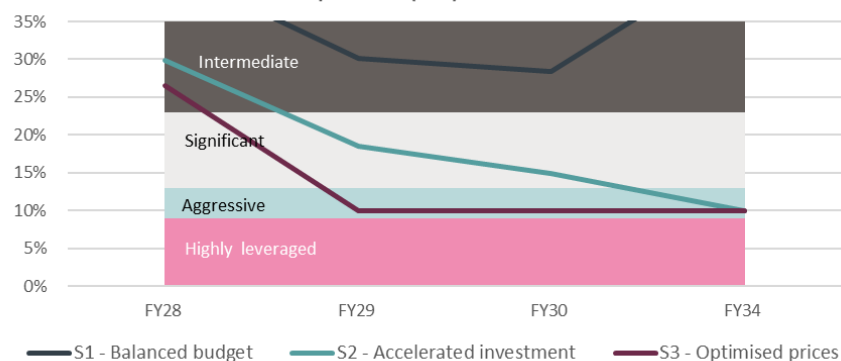
Capital expenditure (net of efficiencies)



Capital expenditure efficiencies FY25-FY34



Funds from operations (FFO) incl DCs to debt



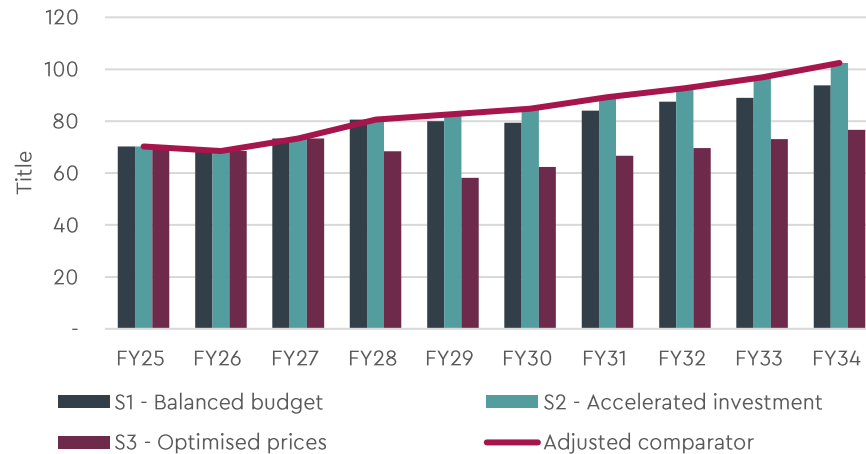
Scenario	Total capex (FY25-FY34) (\$m)	Capex efficiencies p.a. (FY34) (\$m)
S1 Balanced budget	\$541	\$2.4
S2 Accelerated investment	\$798	\$4.5
S3 Optimised prices	\$541	\$2.4
Comparator (status quo)	\$548	\$0

Capex efficiency	Cumulative efficiency (FY34)	Peak efficiency (FY44)
1.3% p.a.	5.7%	17.3%

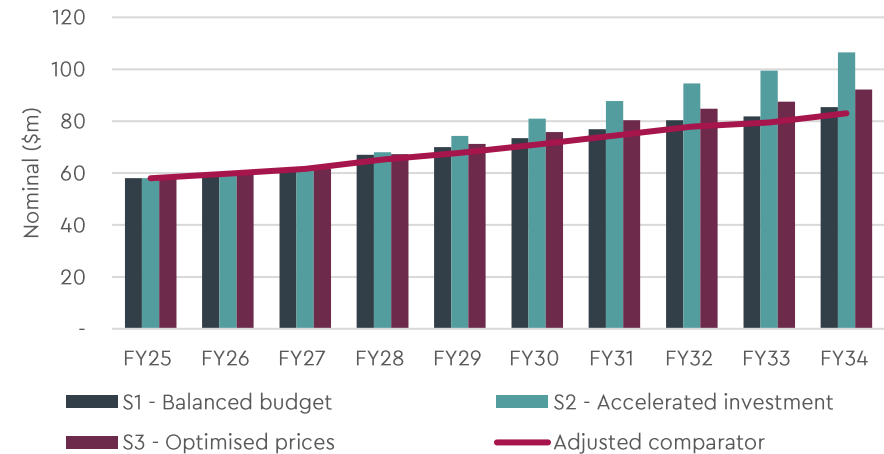


WSCCO B – Operating revenue and expenditure

Total revenue (incl DCs)



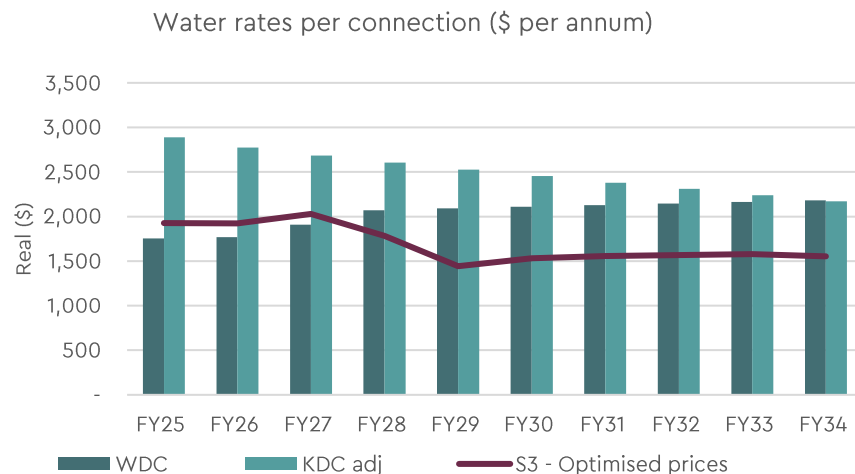
Operating expenditure (net of efficiencies)



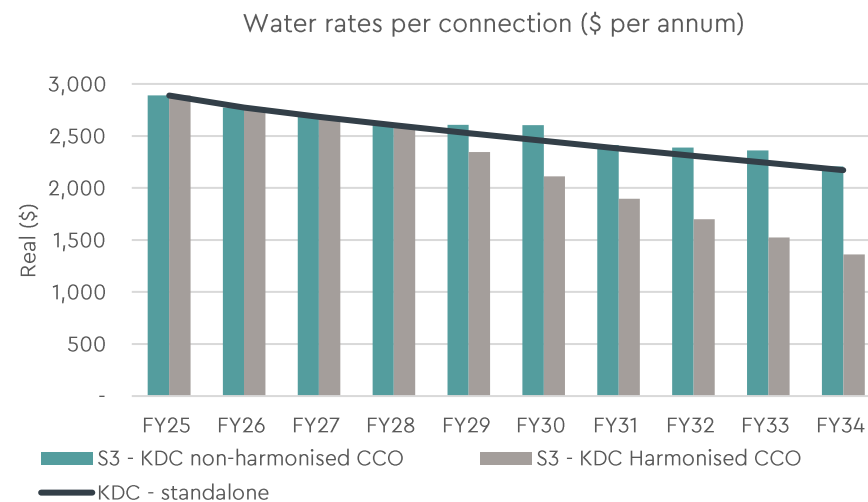
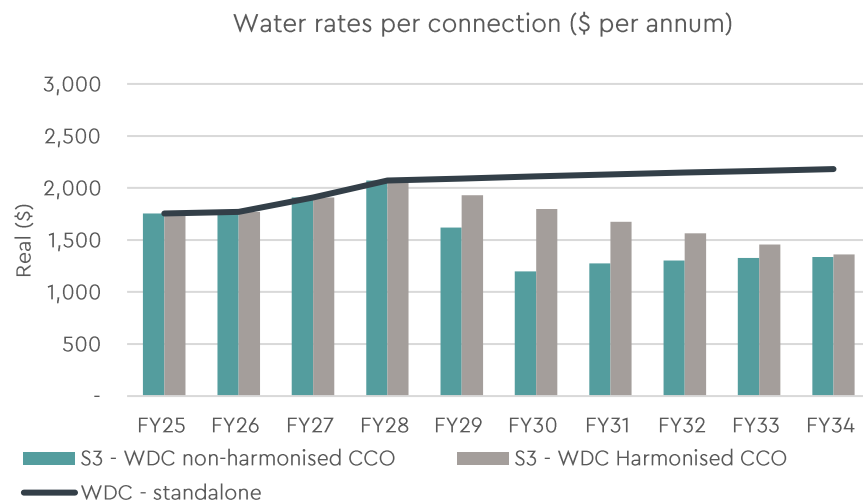
Scenario	Total revenue, incl. DCs (FY25-FY34) (\$m)	FFO-to-debt(FY34)
S1 Balanced budget	\$806	44%
S2 Accelerated investment	\$841	10%
S3 Optimised prices	\$687	10%
Comparator (status quo)	\$841	104%

Scenario	Total opex (FY25-FY34) (\$m)	Opex efficiencies p.a. (FY34) (\$m)
S1 Balanced budget	\$715	\$2.0
S2 Accelerated investment	\$791	\$2.2
S3 Optimised prices	\$739	\$2.0
Comparator (status quo)	\$698	\$0
Opex efficiency	Cumulative efficiency (FY34)	Peak efficiency (FY44)
1.1%	4.9%	14.8%

WSCCO B – Price paths



Council	Savings (cumulative) to current price path - Harmonised (FY25-FY34)	Savings (cumulative) to current price path - Non-harmonised (FY25-FY34)
WDC	~\$3,040	~\$4,770
KDC	~\$3,150	~ (\$500)

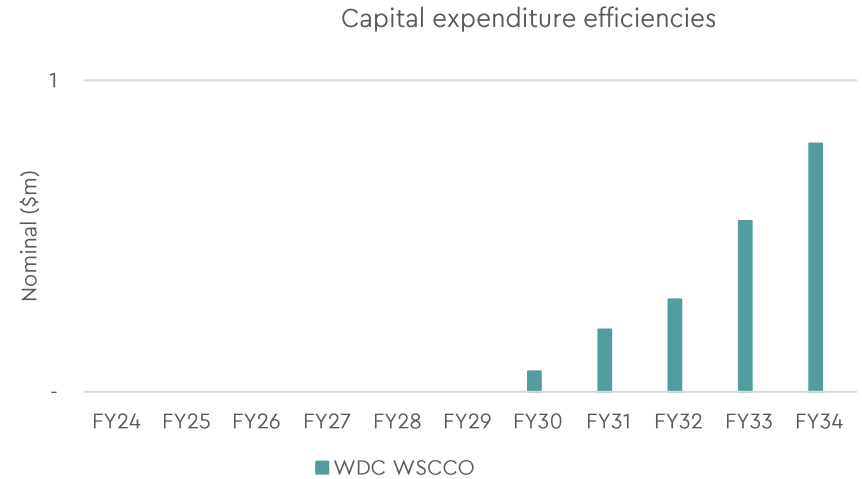
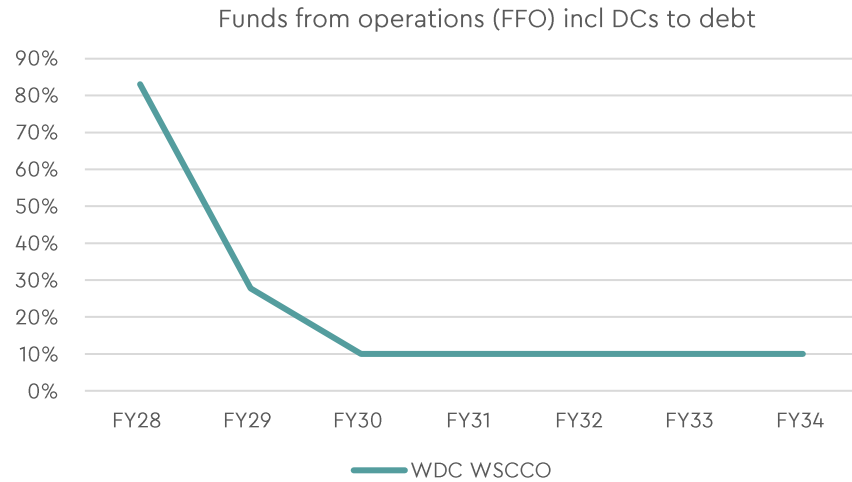


WDC WSCCO

Whangārei District Council only



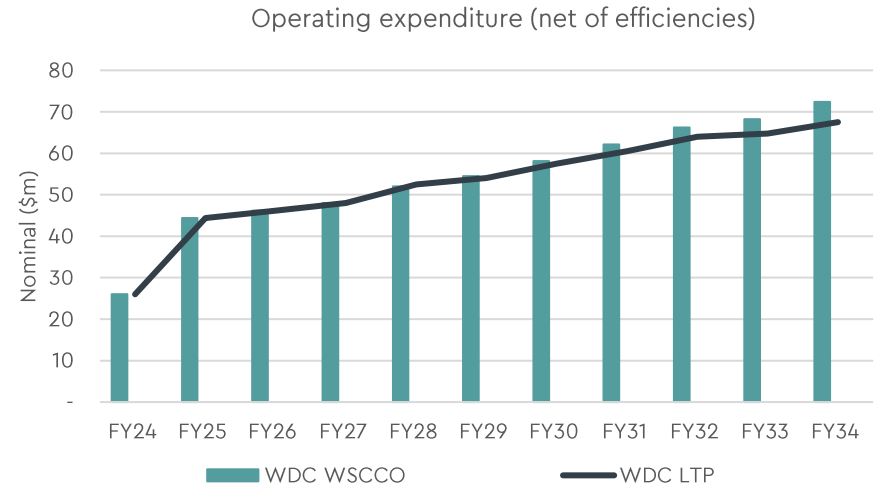
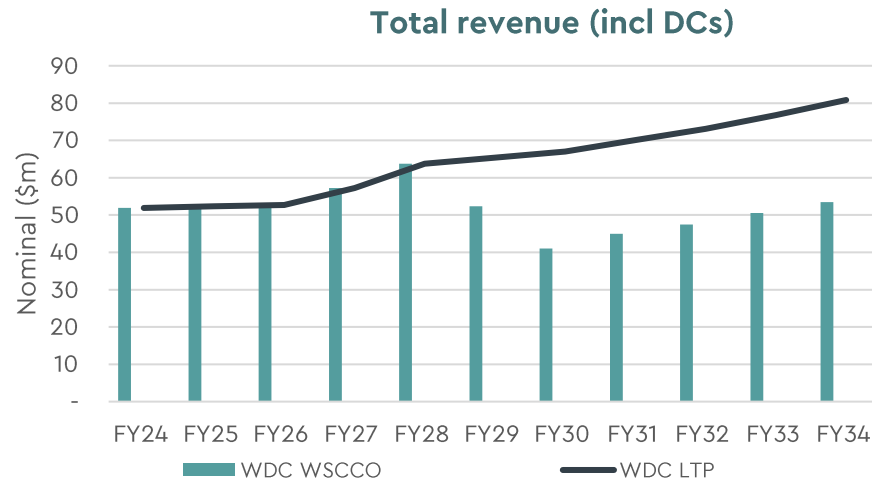
WDC WSCCO – Capital expenditure efficiencies and debt



Scenario	Total capex (FY25-FY34) (\$m)	Capex efficiencies p.a. (FY34) (\$m)
WDC LTP	\$541	-
WDC WSCCO	\$798	\$0.8

Capex efficiency	Cumulative efficiency (FY34)	Peak efficiency (FY44)
1.0% p.a.	4.9%	13.99%

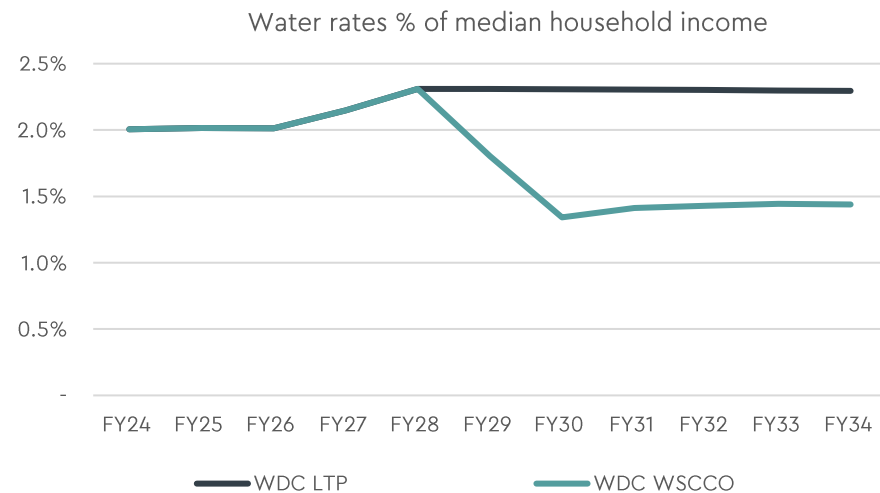
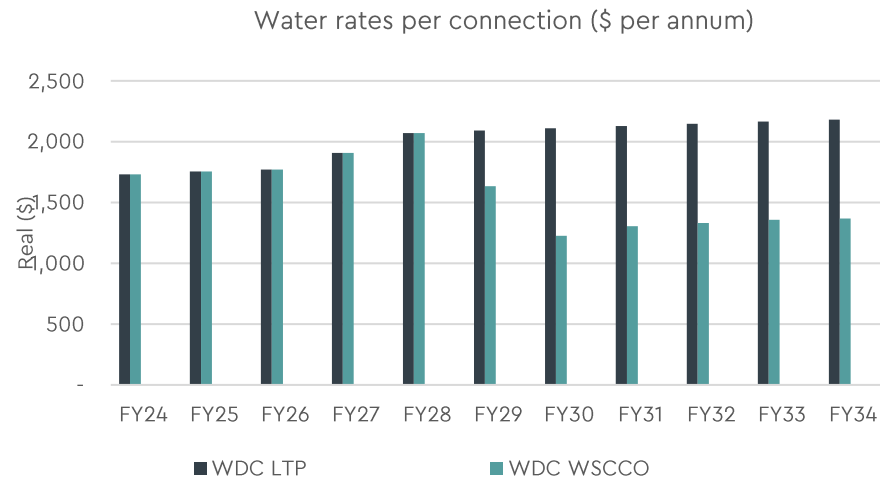
WDC WSCCO – Operating revenue and expenditure



Scenario	Total revenue, incl. DCs (FY25-FY34) (\$m)	Total opex (FY25-FY34) (\$m)	Opex efficiencies p.a. (FY34) (\$m)
WDC LTP	\$659	\$559	-
WDC WSCCO	\$515	\$572	\$1.5

Opex efficiency	Cumulative efficiency (FY34)	Peak efficiency (FY44)
1.0% p.a.	4.9%	13.99%

WDC WSCCO – Price paths

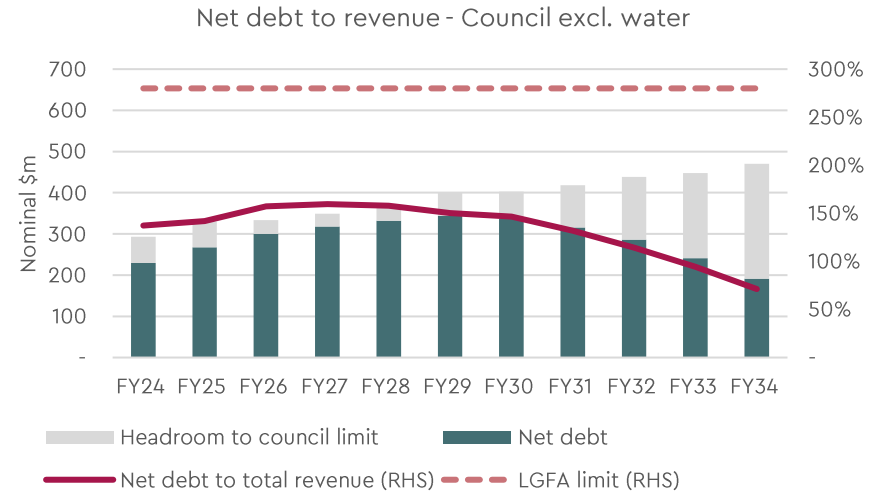
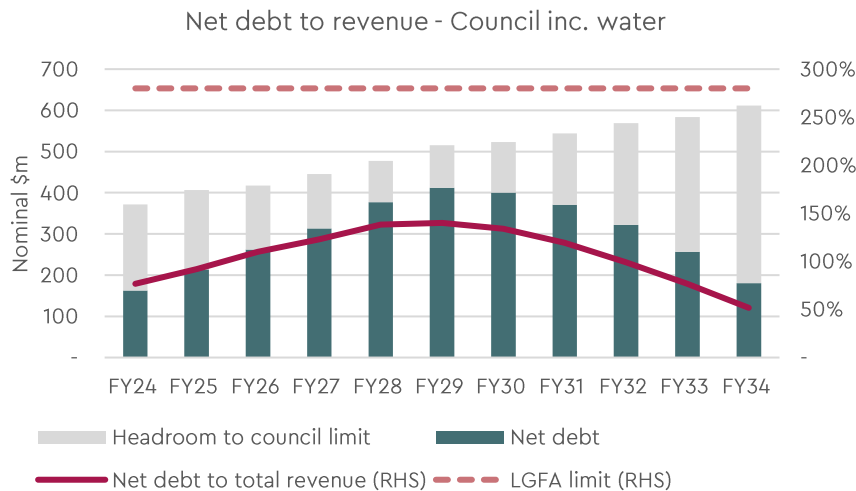
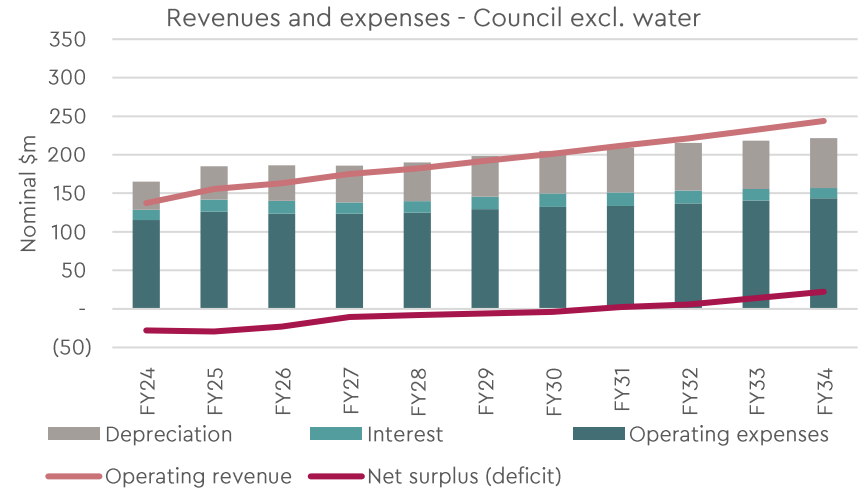
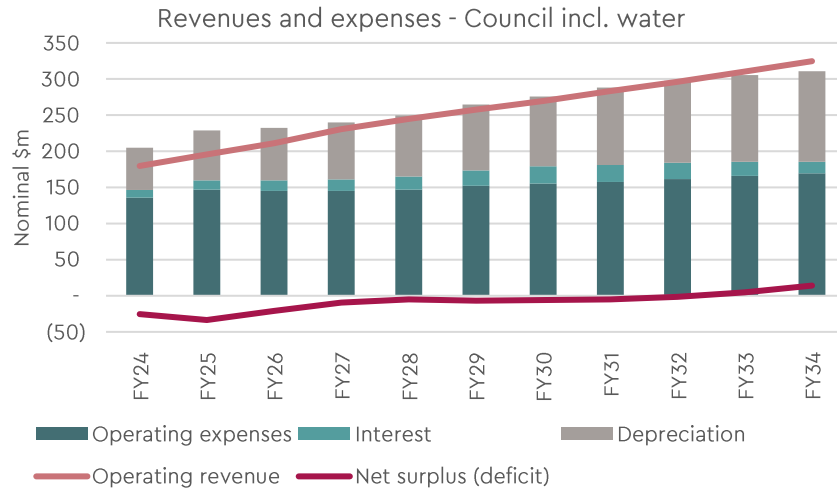


Scenario	Price per connection FY34 (\$real)	Cumulative savings FY25-FY34 (\$real)
WDC LTP	~\$2,200	-
WDC WSCCO	~\$1,400	~\$4,600

WDC rest of council assessment



Council excluding three waters (due to ring-fencing requirements)





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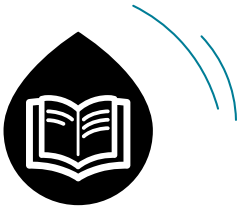


Whangarei
District Council

Water you say, Whangārei?

Local
Water
Done
Well

**Consultation
Document**



Ngā mea kei roto

What you'll find inside

New Zealand is facing big challenges in delivering water services	3
Water reforms and Local Water Done Well	4
Our timeline	5
Whangārei's water services today	6
What could the future of Water Services Delivery look like for us?	8
Options assessment	13
Have your say	14
Local Water Done Well feedback form	15

Have your say on the future delivery of Whangārei's water services.

Find out about the new water reforms, the options we have looked at, and tell us what you think before 30 April 2025.



Me whai mōhiohio anō?

Need more information?

You can read more at
www.wdc.govt.nz/HaveYourSay

Come along and talk to us at any of our upcoming drop-in sessions:

- Te Iwitihi, TBC Wednesday, 2 April
- Ruakaka, TBC Monday, 08 April
- Hikurangi, TBC Thursday, 3 April



Kei te aro atu te motu ki ngā wero nui mō te tuku ratonga wai

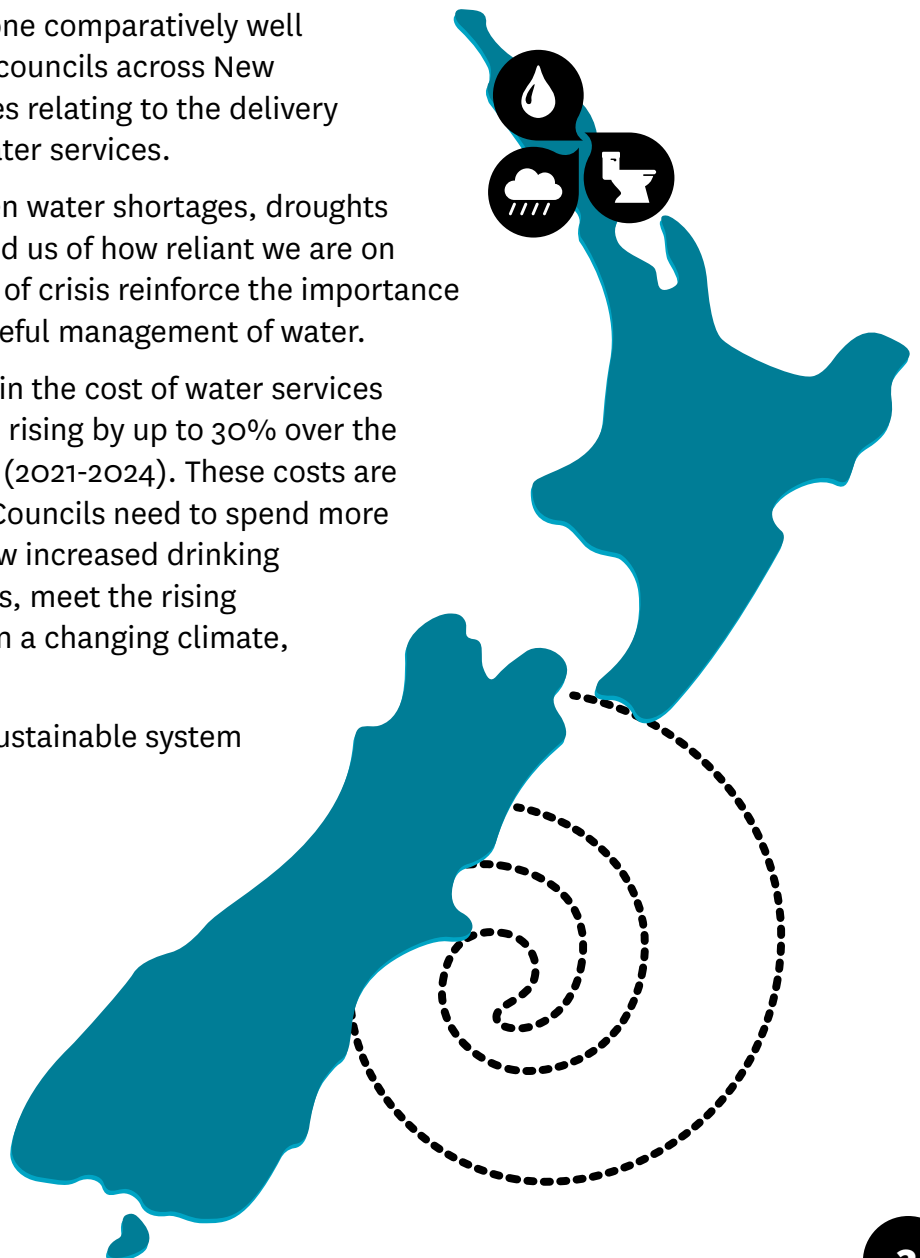
New Zealand is facing big challenges in delivering water services

While Whangārei District has done comparatively well in managing its water services, councils across New Zealand are facing big challenges relating to the delivery of drinking, waste and storm water services.

Across the country, we have seen water shortages, droughts and contamination issues remind us of how reliant we are on our water services. These times of crisis reinforce the importance of adequate investment and careful management of water.

We have also seen a huge jump in the cost of water services delivery with construction costs rising by up to 30% over the previous Long Term Plan period (2021-2024). These costs are expected to continue growing. Councils need to spend more to achieve the Government's new increased drinking water and wastewater standards, meet the rising costs of managing stormwater in a changing climate, and prepare for growth.

Ensuring we have a financially sustainable system is critical as we move forward.





Ngā whakahou wai me te Whakahaere Kou o ngā Wai ā-Rohe

Water reforms and Local Water Done Well

Back in 2017, the Government of the day launched ‘The Three Waters Review’ which sought to identify how regulation can best support the delivery of the three key water services – drinking water, wastewater and stormwater. Then in 2020, it announced its Three Waters Reform Programme, which would have seen ten large organisations managing water across the country. Whangārei would have been in an organisation with Auckland and the rest of Northland. The reform contained a co-governance component, with 50/50 representation of mana whenua and Councils on each strategic oversight group.

Many voiced concerns at the loss of local ownership and control. Our Council, along with others around New Zealand, advocated for a different approach to water reform. After the 2023 Central Government elections, the new Coalition Government passed legislation to repeal the previous government’s three waters programme in 2024, reinstating previous legislation while it worked on its own answer to New Zealand’s water challenges: Local Water Done Well.

Local Water Done Well is an approach which will see water assets remain under local control while looking to address New Zealand’s long-standing water infrastructure challenges. It recognises the importance of local decision making, while ensuring a strong emphasis on meeting economic, environmental and water quality regulatory requirements.

Councils have been investigating several options for water service delivery into the future. For Whangārei District, we are seeking public feedback on the following options, which are expanded on in [pages <page numbers>](#).



Option 1

Preferred option

In-house business unit with increased collaboration with Northland councils

Option 2

Northland Council Controlled Organisation (CCO) with Kaipara and Far North District councils (drinking and wastewater only)

As part of the legislation, each Council must consult with the public, before submitting a 'Water Services Delivery Plan' (WSDP) to Government before 3 September 2025. The WSDP must demonstrate the Council's commitment to deliver water services in a way that:

- Ensures that the Council will meet all relevant regulatory quality standards for its water services
- Is financially sustainable for the Council and its community
- Ensures that the Council will meet all drinking water quality standards
- Supports the Council's housing growth and urban development, as specified in the Council's Long Term Plan (LTP).



Te ara kei mua Our timeline

March	Finalise modelling of different options
27 March	Councillors vote on preferred option
31 March	Consultation opens
30 April	Consultation closes
June	Council decides future delivery model for water services
Before 3 September	Council adopts Water Services Delivery Plan and submits to Government
October	Government decides whether to accept our Water Services Delivery Plan
November 2025 – July 2027	Implementation period
July 2028	Our Water Services Delivery Plan is effective and proven to be financially sustainable



Ngā ratonga wai o Whangārei i tēnei wā

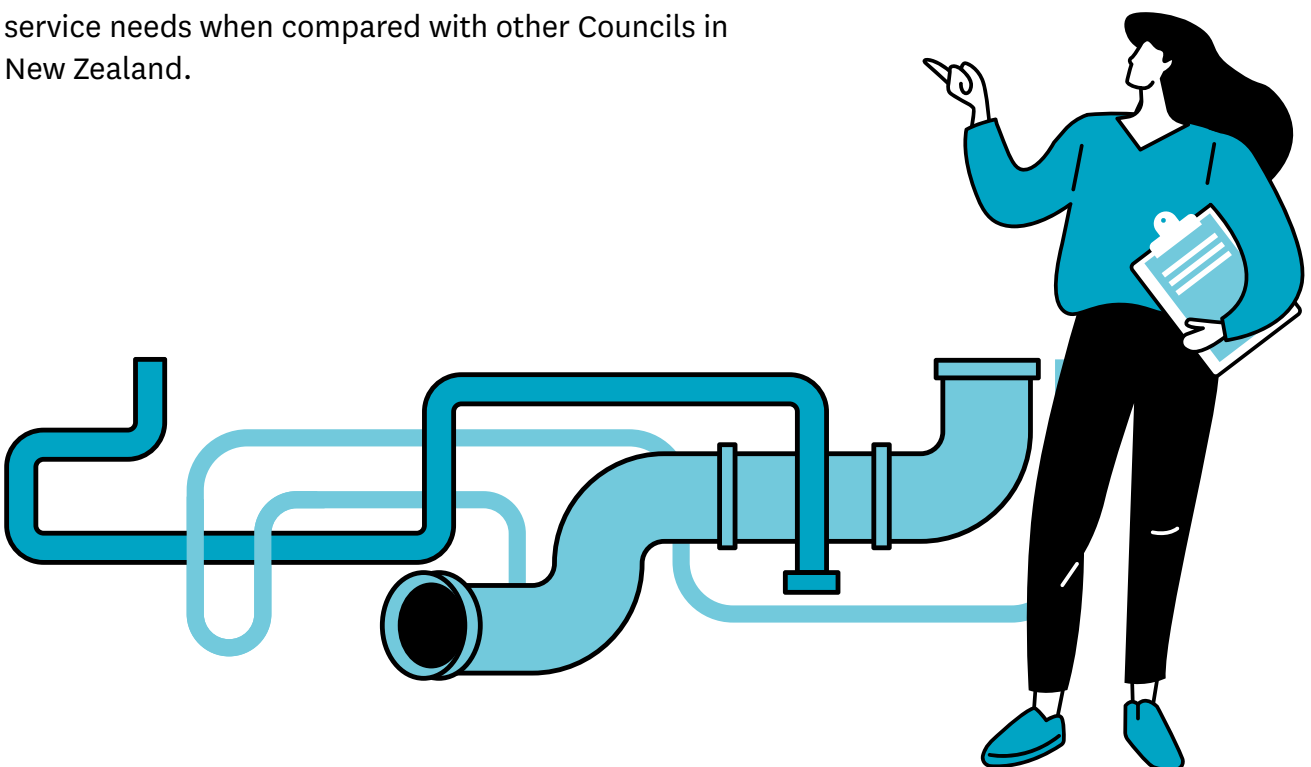
Whangārei's water services today

Council provides fresh, clean water to the district, supporting households, businesses, and fire-fighting efforts through a network of treatment plants, reservoirs, pump stations, and pipelines. Our wastewater management system ensures the safety and cleanliness of our communities and waterways, contributing to a vibrant, thriving District.

Many councils within New Zealand are struggling to meet today's standards, however, Whangārei District Council isn't one of them. In fact, in 2023-4 we met or exceeded all the Standards and Quality Rules for safe, high-quality drinking water, making us 100% compliant. This doesn't mean we don't still have work to do though, regulatory requirements are increasing, our infrastructure must support rapid growth as Whangārei expands, and resilience is more important than ever as we face into more extreme weather events.

However, responsible management of our water services has enabled Council to build up reserves in our water and wastewater account. Currently, we have enough surplus to commence the next stage of water infrastructure development (as outlined in our LTP) whilst keeping debt levels comparatively low.

Having used funding from ratepayers to invest heavily in water infrastructure, we are in very good shape to meet our District's current and future water service needs when compared with other Councils in New Zealand.



Whangārei's water services at a glance

763km

water distribution system

621km

sewerage system

100%

compliance

We met or exceeded all of our Levels of Service performance measures for safe, high-quality drinking water in 2023-24

We supply approx.

8 billion

cubic litres of clean, high quality drinking water on average per year.

We treat over

24 million

litres of wastewater from businesses and households every day and dispose of it meeting legal and cultural expectations.

Our stormwater network is approx.

725km

in length made up of around 36,000 assets – a mix of pipes, open channels, culverts, inlets and manholes.

We're carrying out an

\$85 million

upgrade to the Ruakākā wastewater treatment plant to cater for current and future growth in the Bream Bay area.



Careful water management means we have enough surplus to fund the next

phase of water infrastructure development.



Substantial improvements have been made in our water infrastructure in recent

decades, like building Wilson's Dam, taking water from the Hatea river to improve drought resistance, and building the new state-of-the-art Whau Valley water treatment plant.



We've reduced the likelihood of raw sewage entering the harbour, by introducing

offload tanks at Hatea and Tawera.



Ka pēhea rā te tuku ratonga wai ā muri ake nei mō tātou?

What could the future of Water Services Delivery look like for us?

Option 1
Preferred
option

In-house business unit with increased collaboration with Northland councils

This option would see the delivery of water services remain within Council as a business unit, rather than the establishment of a new organisation. The business unit would be responsible to the elected Council members, with established Council governance oversight, and the delivery of services would be accountable to the public through usual local democracy practices.

We have shown we have the capability to build, operate and maintain great water services for the District, so keeping water services in-house would see service delivery remain strong. This option also means we retain local ownership and control of our assets, we wouldn't need to fork out for any CCO set-up costs, nor would we need to cross-subsidise other parts of Northland's water costs.

As the only city in the region, Whangārei District has the largest population (and number of ratepayers) in Northland. This means we are spared some of the challenges of our Northland neighbours who are grappling with lower populations, smaller amounts of commercial activity and larger geographic areas to maintain and provide for. These factors place unique pressures on Far North and Kaipara Districts' ability to fund infrastructure and prepare for growth.

This contributes to the current situation, which sees the other Northland councils with debt on existing water infrastructure assets and greater future borrowing needs than our Council. In comparison, Whangārei District has funds in reserve for water and wastewater infrastructure.

Taking these factors into account, we believe an in-house option is the best choice for Whangārei right now.

We also see that a multi-council CCO has potential benefits for Northland. With this in mind, we are committed to taking some immediate and future steps in this direction and have been having discussions with neighbouring councils to progress.

Increased collaboration across Northland

We will work with Kaipara District Council to investigate managed or shared service opportunities in the short term, which will likely involve sharing professional services like project delivery and asset management. At the same time, we will work alongside Kaipara and Far North District councils to further investigate how a Northland CCO could work in the mid-term (next 3-5 years) with the intention of aligning any change with future LTP.

Modifying our approach to funding

Today, we cover water costs almost entirely with funding from ratepayers with very low levels of debt on our water assets. To help manage the expected rise in water costs in the future, we propose to use debt to fund some assets and share the assets' costs between current and future users. Using this approach means all the people using an asset end up paying for it over its lifetime. Debt financing water infrastructure is common practice in New Zealand and internationally. However, we are keen for your thoughts on this.

What would change?

In terms of changes to the status quo, the water services business unit would continue to have its revenue and expenditure ring-fenced from the rest of Council, however it would develop its own annual report. This would include new financial statements on water supply, wastewater and stormwater, ensuring new compliance and reporting requirements are met.

Under this option our debt is proposed to increase; however, we would remain well below our debt limits.

You can find out more about the impact this option would likely have in the 'Option Assessment' section.

Let us know what you think about this option in the 'Have Your Say' section on page <page number>.

Potential pros and cons of option 1



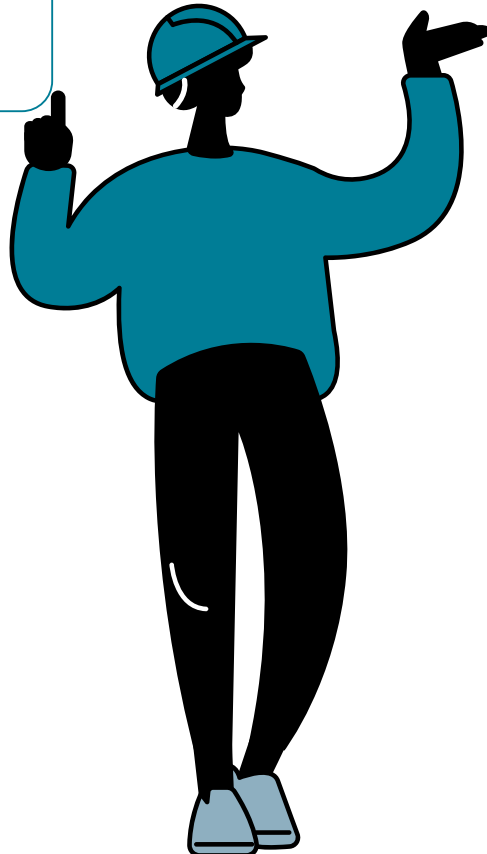
Potential pros

- Council has day-to-day decision making and maintains total control of assets.
- Local voice is safeguarded. Community input remains through Council's consultation processes.
- Minimal set-up cost compared to the establishment of a council-controlled organisation.
- No cross-subsidisation of water costs for all of Northland.
- Lower amounts of debt than what would be anticipated in a multi-council CCO.
- Allows time for Northland Councils to work with Central Government to explore ways to address the region's infrastructure challenges.



Potential cons

- Cannot borrow as much as a CCO could as a percentage of revenue.
- Does not financially support neighbouring districts to improve their water services.
- Delay in leveraging the opportunity for greater efficiencies over time though size and scale.
- Water services remain tied to election cycles, missing opportunity for longer-term governance stability.
- May not meet Central Government expectation for more regional collaboration in the short-term.





Option 2

Northland Council Controlled Organisation (CCO) with Kaipara and Far North District councils [drinking and wastewater only]

This option would see the creation of an external, Council controlled water organisation, jointly owned by Whangārei District Council, Kaipara District Council and Far North District Council. Governance of this organisation would be independent from Council, with a competency-based board appointed, and the three Councils making up 100% of shareholdings.

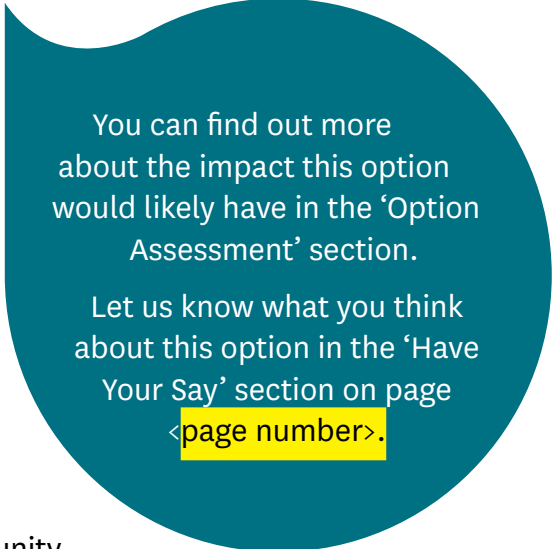
The organisation would be responsible for, and limited to, the provision of water supply and wastewater services, preparing its own strategy, and asset management plans. It would be financially independent from Council, making its own investment decisions.

Stormwater assets would likely remain Council owned with the CCO managing the services on the Councils' behalf. This is because many critical parts of the system are shared across other services too. For example, roads drain stormwater during heavy rain, and green spaces in parks and reserves are designed to capture excess water where possible.

What would change?

We would anticipate the new CCO would maintain the same high level of service delivery our District enjoys today. However, at this current time, a multi-council Northland CCO would mean Whangārei would need to cross-subsidise water costs for the rest of Northland and would carry higher amounts of debt than Option 1.

A CCO would have its own board of directors independent of all participating Councils and it would own and manage all the assets associated with public water and wastewater services that Whangārei District has. The directors would be working in the best interests of the organisation as a whole rather than for any particular district or community.



You can find out more about the impact this option would likely have in the 'Option Assessment' section.

Let us know what you think about this option in the 'Have Your Say' section on page <page number>.

Accountability and monitoring arrangements

If Councils were to establish Northland CCO, a number of key accountability arrangements could be put in place during the transition process for the CCO including:

- clearly outlining the responsibilities and expectations of the CCO in the transfer agreement
- a constitution for the CCO which has clear rules and governance arrangements
- a statement of expectations
- requirements for an asset management plan prepared by the CCO and reviewed by Council to ensure sound long-term management of water infrastructure
- performance reporting, monitoring and reviews of the CCO's finances, service levels and major projects, including through the CCO's annual report
- protections to ensure strategic assets continue to serve the community's needs
- Council input on key CCO governance appointments.

Potential pros and cons of option 2



Potential pros

- Could borrow more than Council as a percentage of revenue.
- Support neighbouring districts in improving their water services for the greater good of Northland.
- Opportunity for greater efficiencies over time through size and scale.
- Separation of water organisation from election cycles.
- Potential to recruit governance with specific water-related skills, knowledge and experience.
- Meet Central Government expectation for more regional collaboration.
- Has potential benefits for Northland as a region.



Potential cons

- Significant increase in debt levels.
- Risk of higher lending costs due to increased borrowing needs for wider Northland area.
- Potential cross-subsidisation of water costs for rest of Northland.
- Higher set-up costs and complexities to develop an integrated water services delivery system than in-house management.
- Potential de-prioritisation of Whangārei's water plans as outlined in our Long Term Plan.
- Councils would have no day-to-day involvement in water service delivery.
- Potentially less opportunity for iwi/hapū and community involvement in decision-making.



Te arotakenga kōwhiringa

Options assessment

The cost of delivering water services is expected to increase in the future, no matter which option we choose. This comes down to increasing regulatory requirements, the rising costs of maintenance and renewals and the need to invest in infrastructure to ensure we prepare for future growth and respond to extreme weather.

The table below provides a snapshot of what each option would mean for debt levels, water charges and level of service. There is too much uncertainty to clearly determine the impact on general rates at this stage.

	In-house business unit with increased collaboration with Northland councils	Option 2: Northland CCO with Kaipara and Far North District Councils (drinking and wastewater only)
Financial strategy	• Water charges to fund operations and asset renewals • Potential to use debt to fund a greater portion of infrastructure needs	• Maximise debt to fund all infrastructure needs (including renewals) across Northland • Water charges to cover the remaining costs
Approach to debt	• Middle of the road approach. More debt than we have today but comparatively low	• High debt approach
Water charges	• Ensures our water charges continue to fund our everyday costs and long-term debt repayment	• Minimising water charges by increasing debt to address Northland's infrastructure challenges
Level of service	• Same as what it is today	• Same as what it is today
What this means for you	• Lower water charges than current approach • Lower debt per connection than CCO model	• Lowest water charges • Higher debt per connection than in house business unit
Overall impacts on Council	• Higher debt overall due to reduced water revenue	• Water and wastewater assets transferred to CCO • Debt increased to fund reserve transfer • Guarantor of CCO obligations



Kōrerotia mai!

Have your say

The closing date for feedback is 5pm on Wednesday 30 April 2025.

We would love your feedback on the options we have provided.



Points to remember when making a submission

- Please print clearly. The form should be easy to read and be understood, and may need to be photocopied.
- Please ensure that you provide appropriate contact details so that we can respond to you following the conclusion of the process.
- All submissions are considered public under the Local Government Official Information and Meetings Act, and may be published and made available to elected members and the public.
- The collection and use of personal information by Whangarei District Council is regulated by the Privacy Act 2020. See www.wdc.govt.nz/Privacy
- Your submission will not be returned to you once it is lodged with Council. Please keep a copy for your reference.

How to get this form to us

Online:

Complete this form online:
www.wdc.govt.nz/HaveYourSay

In person:

By visiting Customer Services at either:

- Te Iwitihi, 9 Rust Avenue, Whangārei
- Ruakākā Service Centre, Takutai Place, Ruakākā

or by phoning 09 430 4200 or 0800 932 463 and one of our team will fill out this form for you over the phone.

By email:

LWDWConsult@wdc.govt.nz

By post:

Local Water Done Well feedback
Whangarei District Council
Private Bag 9023
Te Mai
Whangārei 0143

Local Water Done Well feedback form



Your details

First names(s)

Last name

I am making this submission as: ☐ An individual ☐ On behalf of an organisation

Organisation name

What is your preferred method of contact?

We may contact you about your submission and send you consultation updates.

☐ By email ☐ By post ☐ I do not want to be contacted

Email:

Postal address:

Your feedback

Please choose which option you prefer and tell us your thoughts below:

OPTION 1: In-house business unit with increased collaboration with Northland councils

Please tell us what you **like** about OPTION 1.

Please tell us what you **don't like** about OPTION 1.

Please attach extra sheets if needed

The closing date for feedback is 5pm on Wednesday 30 April 2025





OPTION 2: Northland CCO with Kaipara and Far North District councils (drinking and wastewater only)

Please tell us what you **like** about OPTION 2.

Please tell us what you **don't like** about OPTION 2.

FURTHER COMMENTS

RESOLUTION TO EXCLUDE THE PUBLIC**Move/Second**

That the public be excluded from the following parts of proceedings of this meeting.

The general subject of each matter to be considered while the public is excluded, the reason for passing this resolution in relation to each matter, and the specific grounds under Section 48(1) of the Local Government Official Information and Meetings Act 1987 for the passing of this resolution are as follows:

General subject of each matter to be considered		Reason for passing this resolution in relation to each matter	Ground(s) under Section 48(1) for passing this resolution
1.1	Confidential Minutes Whangarei District Council 27 February 2025	Good reason to withhold information exists under Section 7 Local Government Official Information and Meetings Act 1987	Section 48(1)(a)
1.2	Confidential Minutes Whangarei District Council Emergency Meeting 11 March 2025		
1.3	Confidential Minutes Whangarei District Council Emergency Meeting 11 March 2025		
1.4	TAB Recommendations		
1.5	KPP Steering Board – Monthly Chair’s Report – March 2025		
1.6	Property Negotiation		
1.7	Land Purchase		
1.8	Land Option Recommendation		

This resolution is made in reliance on Section 48(1)(a) of the Local Government Official Information and Meetings Act 1987 and the particular interest or interests protected by Section 6 or Section 7 of that Act which would be prejudiced by the holding of the whole or the relevant part of the proceedings of the meeting in public, are as follows:

Item	Grounds	Section
1.1	For the reasons stated in the open minutes	
1.2	For the reasons stated in the open minutes	
1.3	For the reasons stated in the open minutes	

1.4	To enable Council to carry on without prejudice or disadvantage negotiations (including commercial and industrial negotiations). To prevent the disclosure or use of official information for improper gain or improper advantage.	Section 7(2)(i) Section 7(2)(j)
1.5	To protect information where the making available of the information would be likely unreasonably to prejudice the commercial position of the person who supplied or it the subject of the information. To enable Council to carry on without prejudice or disadvantage negotiations (including commercial and industrial negotiations).	Section 7(2)(b)(ii) Section 7(2)(i)
1.6	To enable Council to carry on without prejudice or disadvantage negotiations (including commercial and industrial negotiations).	Section 7(2)(i)
1.7	To enable Council to carry on without prejudice or disadvantage negotiations (including commercial and industrial negotiations).	Section 7(2)(i)
1.8	To enable Council to carry on without prejudice or disadvantage negotiations (including commercial and industrial negotiations).	Section 7(2)(i)

Resolution to allow members of the public to remain

If the Council wishes members of the public to remain during discussion of confidential items the following additional recommendation will need to be passed:

Move/Second

"That _____ be permitted to remain at this meeting, after the public has been excluded, because of his/her/their knowledge of Item _____.

This knowledge, which will be of assistance in relation to the matter to be discussed, is relevant to that matter because _____.

Note: Every resolution to exclude the public shall be put at a time when the meeting is open to the public.